elan1 Govern

SERIES A INFORMATION MEMORANDUM · **REVISED EDITION**

The governance platform for AI agents — it decides before a tool call runs, makes a named person approve the risky ones, refuses what it must, and produces the proof

> **Revised edition, 27 October 2026.** The product formerly called elan1 is now **Elan1 Govern**, and it now exists as working code. Read the Revision supplement (pages R-1 onward, after the Contents) first: it records what is built, what changed, and which original sections it supersedes.

IN ONE LINE

Every other company in this market watches what an AI agent did. Elan1 Govern decides before the agent acts: before a tool runs it checks a signed rulebook and answers allow, ask a person or refuse, refusing anything not explicitly allowed. On its MCP proxy, where it holds the tool's credentials, the agent cannot go around it. Every decision becomes a signed, hash-chained receipt that the customer's auditor can check offline with one command. It bills for exactly one thing, the governed action, with refusals free.

ENTITY	elan1 Private Limited — Elan1 Govern, its governance layer, and the industry and regulatory packs
PREPARED FOR	Series A investors
OWNER	M K Elango, Founder
STATUS	Revised edition — draft for review
DATE	27 October 2026 (first issued 22 September 2026)
ROUND	₹180.0 crore · US$20.0 million · three tranches against named gates
CURRENCY	Indian rupees. US dollar view at ₹90.00 = US$1.00
PLAN HORIZON	October 2026 to March 2031
TARGET CLOSE	March 2027

How to read this document

Three conventions, carried from the company's own working corpus, because they are part of why the numbers can be trusted rather than decoration on top of them.

Provenance marks. Material figures carry one of three marks where a reader might otherwise assume the wrong thing. PUBLISHED is a price, licence term, standard or public list read from its source, with the date it was read. MEASURED is something the company has actually observed in its own systems. MODELLED is a construction — a plan, a forecast, a unit cost built from list prices. **elan1 is pre-revenue. Nothing in this memorandum is MEASURED unless it says so.** Where a source is secondary and should be re-read before it is quoted in a term sheet, it carries UNVERIFIED.

Designed is not shipped. The company's own decision register bars the word "designed" from scoring as "yes" in any competitive comparison. That rule is applied to elan1 itself throughout. A capability that exists as a frozen specification scores zero in Section 12 and is described in the body as a specification. The competitive matrix contains elan1's own row, and today most of it reads *No*.

The document names what is missing. Appendix E is a register of every open question, unresolved conflict, unanswered counsel request and known gap in the source material, reproduced rather than smoothed. It runs to sixteen live contradictions inside the company's own corpus and eighteen conflicts in the external research. A reader who finds a problem in this memorandum that Appendix E did not already name should treat that as the more serious finding.

The position, stated before anything else

elan1 has no external customer, no signed order, no invoice, no certification, no published standard and no completed third-party verification of an evidence bundle. Revenue in the six months to March 2027 is ₹1.4 lakh, and all of it is an internal transfer from a sister company. The gross margin in that period is negative. Those are the facts, and the plan in Part IV is built on them rather than around them.

What does exist is a body of frozen engineering and commercial specification that is unusual at this stage: a six-call kernel contract that two consumers can build against without touching kernel code; a nine-rung execution path with a closed set of refusal codes; a seven-block ontology in which a regulatory clause compiles down to a runtime gate; a sixteen-field seal specification with sixty-four test vectors and a rule that no seal ships until two independently written implementations produce identical bytes; an evidence bundle format with a zero-dependency offline verifier and six exit codes; a key custody model that discloses its own insider limitation; a pack template with five gates, against which the founder has already rejected eight of his own product ideas by name; and a numbered decision register in which thirteen architectural arguments have been settled and dated so that none of them is re-run.

That corpus is the asset being funded. It is also the reason the plan below can be underwritten against gates rather than against a calendar.

A note on the perimeter

M K Elango's group contains several ventures. **This memorandum concerns one of them.** The entity raising is elan1 Private Limited: the governance kernel and the regulatory packs built on it. rung1 and stack1 are separate ventures under common founder control; they appear here as the kernel's first production consumer and its runtime supplier respectively, at arm's-length prices, and their own funding is not part of this round. Section 2 sets out the perimeter precisely, including the related-party revenue line and how an investor should discount it. Appendix B lists every name in the group and states which side of the line each falls on, because the naming is dense and a reader should not have to guess.

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REVISION SUPPLEMENT · 27 OCTOBER 2026

R1. Revision notice, and how to read this edition

This edition keeps every page of the memorandum of 22 September 2026 exactly as it was issued. It adds this supplement, numbered R-1 onward and placed after the Contents, and a small *Revised — see R-x* stamp in the header of each original page whose content is now out of date. Where the supplement and an original page disagree, the supplement governs.

The rename

On 27 October 2026 the founder renamed the product. What the memorandum calls **elan1**, the governance kernel and its product, is now **Elan1 Govern**. Elan1 Govern is not a sister product beside elan1: it *is* the product, and the working code described in R4 is its current implementation. The legal entity is unchanged, and the founder confirmed this on the same day. The sister brands keep their names: rung1, stack1 and verna1, and the regulatory packs ledger1, invoice1 and collect1.

> **Reading rule for the original pages**
> In the original pages, "elan1" meaning the product or kernel should be read as Elan1 Govern; "elan1 Private Limited" remains the entity.

Marks used in this supplement

The provenance marks of the original (PUBLISHED, MEASURED, MODELLED, and UNVERIFIED for secondary sources) keep their meanings. Working code needs a second scale, because code is neither a forecast nor an observation of a customer. The supplement uses these status marks for code:

Mark	Meaning
BUILT	Present in the repository at commit `22388ad` (27 October 2026) and confirmed by an independent read of the code; the demo was not run in the audit. **Built is not shipped:** it does not mean a customer uses it, that it has run in production, or that anything about it is measured.
PARTIAL	The code exists but differs from the claim in a way that matters. The difference is stated beside the mark.
NEEDS LOGIC	A designed screen or function that the code does not yet support. It is to be built next.
SPECIFIED / DESIGN ONLY	A frozen specification or a screen design, with no code behind it. It scores zero under DR-010, as before.
ABSENT	Neither specified nor built.
PROPOSED	A decision or wording the lead proposes for the founder's signature. **Nothing marked Proposed in this supplement is signed.**

Contents of this supplement

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R2. What changed, and what did not

The position, restated

Elan1 Govern has no external customer, no signed order, no invoice, no certification, no published standard, and no evidence bundle verified by a party outside the company. Zero governed actions have been committed or refused in a customer's production tenant. Every screenshot of the product shows a seeded demonstration organisation, "Demo Traders Pvt Ltd". The connectors to real Gmail and Zoho Books accounts have never been run against real accounts. Revenue to March 2027 is as page 2 states, and the financial plan is unchanged in its base case (R16).

What has changed is what exists. The asset being funded is now the frozen specification, which remains the target and the bar for any Level 2 claim, *and* a working, partial Level 1 implementation (no meter; enforcement only on the MCP route), described in R4 to R9 at exactly the strength the code audit supports.

> **Read before relying on any built claim**
>
> The code was written in 47 commits over about 15.5 hours under one identity. It has had no independent code or security review, has no licence file (so its ownership is an open item), and its database-backed tests were not run in the audit. R9 sets this out.

Changed	Not changed
Name. The product is Elan1 Govern.	**Entity.** elan1 Private Limited raises the round.
Working code. The guard, receipts, checkpoints, offline verifier, console, connectors, SDKs and governance layer are BUILT (R4).	**Customers and revenue.** None external. The internal rung1 transfer line is as modelled.
Signing at Level 1. Receipts are Ed25519-signed from the first receipt (R5). The first edition's sentence "not yet signed" is no longer true of the code (R6).	**No Level 2 claim.** Anchoring, key custody in KMS or HSM, Seal v6, the second independent implementation and verifier profiles are still not built. Tranche Gate A is unchanged.
Scope. Every tool call, reads and writes, from any agent in any industry, not only ERP writes in Indian finance (R10).	**India-first plan and market sizing.** The India figure in §11.7 stands. The wider market is not yet sized.

R3. Supersession register

Every passage of the original that is now outdated, contradicted or incomplete, with the treatment and where the current position lives. **Supersede**: the original no longer applies. **Amend**: still true, but corrected or added to. **Note**: still stands; read with the cited section. Passages changed only by the rename are covered by the reading rule in R1 and are not listed. Page numbers are the printed page numbers of the original.

Page	Section	Original says	Treatment	What now applies
1	Cover	"The governance kernel for agentic AI…"; dated 22 September 2026	Supersede	New cover, 27 October 2026
2	How to read	Provenance marks	Amend	R1: code status marks added; provenance marks unchanged
2	The position	"That corpus is the asset being funded."	Amend	R2: specification plus a partial Level 1 implementation; zeros unchanged
3, 12	Perimeter; §2.1	Inside the perimeter: kernel, seal, verifier, packs, MCP server and SDK	Amend	R14: adds the Elan1 Govern codebase, console, SDKs, CLI, connectors and governance layer; IP assignment open (R9)
7	§1.1–1.2	"this write could not have happened without approval"; "from Level 2 … sealed, externally timestamped"	Amend	R6: true only on the MCP path; R5: signed now, not timestamped
7–8	§1.3	Six calls, nine rungs, Declaration; levels table "Status" column	Supersede	R8 (concept map); R6 (status of each level)
8	§1.4	"A pack is configuration…"; ledger1 first	Amend	R11: industry packs vs regulatory packs
8–9	§1.5–1.6	Market framing; "top-right quadrant is close to empty"	Amend	R10, R12
10	§1.7–1.8	Plan, numbers, tranche gates	Note	R16 (base case unchanged); R13 (plan dates)
11	§1.9	DPDP erasure is the most serious open legal question	Amend	R15: the replay store adds a new personal-data surface
12–13	§2.2–2.3	stack1 supplies the runtime; "rung1 is the product, stack1 the runtime, elan1 the kernel"	Note	R8: the code runs on its own stack; stack1's role is an open item (R15)
14	§2.5	"Zero governed actions committed and zero refused"	Amend	R2: still zero in production; demonstration receipts are not governed actions
15	§3 title	"an agent's write is the only consequential act…"	Note	R10: scope widened to every tool call
18	§3.4	The suppression problem	Amend	R6: the SDK/REST path is exposed to it; the MCP path is not
21	§4.1	L1 scope freeze: "not yet signed"; test C14 fails on "signed"	Supersede	R6: proposed L1 sentence (Proposed, unsigned)
21–26	§4.2–4.5	KernelPort, the Right Path, the ERPNext worked example, the Declaration	Supersede as current state	R8: built equivalents; the specification remains the target
27–28	§4.6–4.7	Enforced and attested advisory; three assurance levels	Amend	R6: mode by surface; no L2 claim
28–29	§4.8	Refusals metered at zero, enforced by the database	Amend	R4: every refusal is a receipt; no meter or billing is built
29–30	§4.9	"L2 does not exist: no signature, … no exportable bundle, no offline verifier"	Supersede	R4, R5: signature, bundle and offline verifier built (not to the L2 specification)
31–37	§5	The pack, the five gates, ledger1, invoice1, collect1	Note	R11: regulatory packs still specified only

Page	Section	Original says	Treatment	What now applies
40–44	§6.1–6.5	Three layers; boundary rules; KernelPort v1; refusal register; conformance	Supersede as current state	R8
44–47	§6.6–6.7	Ontology; Controls, Regulations and the five-link chain	Amend	R11: framework → control → receipt count
49	§6.9	34 MCP tools in three scopes; descriptions pinned by hash	Supersede	R4, R7: tool registry with risk tags; upstream descriptions are not pinned
50	§6.10	Single writer, tenancy, dependency failure	Amend	R7, R6: fail-closed with disclosed gaps; tenancy in application code
53–63	§7.1–7.7	L1 unsigned; Seal v6; two-implementation rule; bundle; verifier; anchoring; key custody	Amend	R5: line-by-line comparison
64–77	§7.8–8.6	Verifier profiles; evidence SKU; Level 3	Note	R5: not built; rule suggestions are the nearest analogue to earned autonomy
78–85	§9	Publishing the Action Receipt format	Note	R5: the built receipt format differs; which format is published is open
86–95	§10	Security baseline; residency; erasure; lawful claims	Amend	R7; R15
98–107	§11	"not a market; a feature queue"; India-only market sizing	Amend	R10: sizing kept; wider scope not sized
108–122	§12	Map, rescored matrix, own row "No — L1 is unsigned by design"	Supersede (own row)	R12: two own rows; governance-layer columns
123, 131	§13.1, §13.9	"the call layer settled, the write layer did not"; evolution plan	Amend	R10, R13
139–148	§14	Four motions; "Production keys never are [self-serve]"; KernelPort kill criterion	Amend	R13
150–153	§15	Team of eleven; key hires; Four Doors; headcount	Amend	R9 (people); R13
159–176	§16	"the kernel is finished"; monthly plan; gate calendar	Amend	R13
188–196	§17	Financial plan	Note	R16
197–205	§18	Risk register; falsification list	Amend	R15: new risks
206–208	§19	Ask, use of funds, terms	Note	R16
216–220	App. B	Brand table; lowercase rule; banned words; perimeter	Amend	R14
222–225	App. C	"None of the thirteen has been superseded."	Amend	R14: DR-014 to DR-018 (Proposed, unsigned)
234–242	App. E	"L2 and L3 do not exist…"; sixteen contradictions; open questions	Amend	R15
256–262	App. G	Glossary	Amend	R15

R4. Elan1 Govern as built

Everything in R4 to R9 is taken from an independent read of the repository `github.com/Hasif-Elan1/elan1-govern` at commit `22388ad` (27 October 2026). The repository holds 400 tracked files and about 33,600 lines (about 31,300 of them TypeScript and Python): TypeScript for a Next.js web console and a Fastify gate service, PostgreSQL 16 through Prisma, pg-boss for background jobs, a Python SDK and a command-line tool. Where the developer's brief to the design team and the code disagree, the code is reported.

How a decision is made

An agent calls its tools through Elan1 Govern by one of three routes: the MCP endpoint, the REST API (`/v1/check`, `/v1/record`, `/v1/approvals/:id`), or the TypeScript or Python SDK. Before anything runs, Elan1 Govern checks, in order:

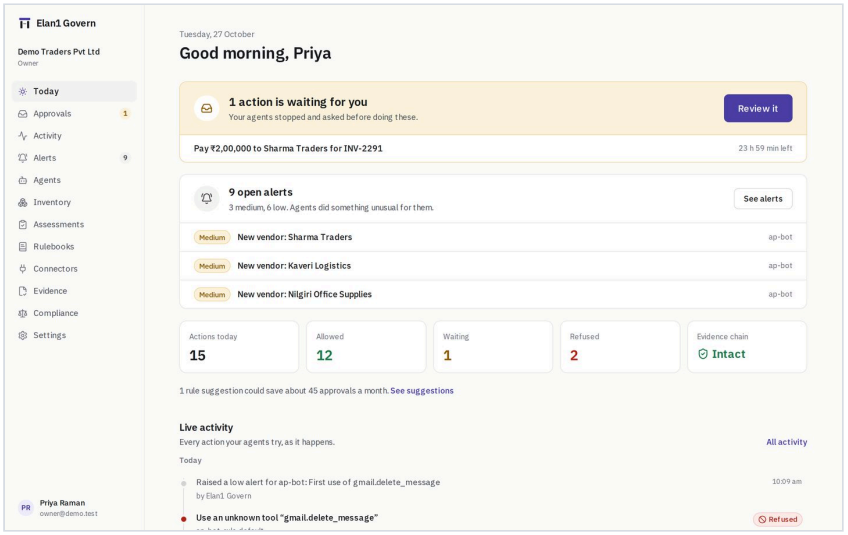
- the agent's key;
- whether the agent is paused (by its owner, by auto-pause or by the emergency stop);
- that a signed rulebook exists and its signature is valid;
- that the tool is known and switched on;
- that the arguments are valid.

It then evaluates the rules. The strictest matching rule wins, quotas can turn an allow into an ask, and a call no rule allows is refused. The answer is one of three: **allow**, **ask a person**, or **refuse**. On the MCP route Elan1 Govern then runs the tool itself; on the REST and SDK routes it only answers, and the agent runs the tool (R6). Every decision, approval and outcome becomes a receipt (R5).

Capabilities

Capability	Status	What the code does, and the qualifications
Default refuse; strictest rule wins	BUILT	A rulebook must declare `default: refuse`. Unknown or switched-off tools are refused before any rule runs.
Fail-closed	PARTIAL	An internal error writes a refusal receipt (`gate-error`). One gap: on the MCP route an allowed action, and an approved held action, runs before its receipt is written. If that write fails, the agent (or approver) is not given a receipt and a health alert is raised (R6).
Rulebooks	BUILT	One per agent, held as YAML and edited in a visual builder that stays in sync with the YAML. Rules match a tool or one of 8 risk tags, with conditions and count or sum quotas. Versions, diff, "Try an action", "Test on past actions", sign and publish. Every published version is signed and is verified on every call.
Approvals	BUILT	Web, signed single-use e-mail and phone links, Slack and WhatsApp. Chat buttons appear only for rules marked approvable in chat, and never for deletes, access changes, production changes, personal data, or uncapped payments. Unanswered approvals expire after 24 hours by default and are refused. A password is asked again only if the last sign-in is more than 10 minutes old; approvals made with a Slack or WhatsApp button skip this check entirely.
Receipts, checkpoints, auditor pack, `govern verify`	BUILT	R5

Capability	Status	What the code does, and the qualifications
Connectors	PARTIAL	Gmail and Zoho Books (India data centre) are built in, with demonstration data by default. Live mode exists but **has never been run against a real account**. "Your MCP servers" puts any MCP server behind Elan1 Govern; its tools start switched off, with suggested risk tags; upstream authentication is a single header.
AI inventory; assessments	BUILT	A register of AI systems (there is no model-name field). Three assessment templates with explained, deterministic scores. A different person must sign off. Risk tier and review date are set only by an approved assessment.
Compliance	BUILT	10 frameworks and 13 controls. Coverage is counted from receipts, which is a count of evidence and not a test that a control works. Everything is labelled "Draft — needs legal review" (R11).
Alerts; auto-pause; emergency stop	PARTIAL	6 statistical detectors. Auto-pause is **off by default** and acts only on high-severity alerts, which 3 of the 6 detectors can raise. The emergency stop (owners and admins, typing STOP) pauses every agent and writes a receipt and an incident report. The stop refuses every new call. It does not cancel approvals already waiting: if a person approves a held MCP action during a stop, the action still runs. Expiring or blocking pending approvals on stop is a build item.
Rule suggestions	BUILT	Nightly, from at least 10 consistent approvals over 30 days. A person opens the suggestion as a draft or dismisses it.
Sign-in, roles, SSO	BUILT	argon2id, TOTP, lockout. Generic OIDC single sign-on with DNS-verified domains. Five roles; auditors switch between client organisations. SAML and SCIM are not built.
Developer surface	BUILT	OpenAPI 3.1 (agent-facing API only), TypeScript and Python SDKs, signed webhooks, the `govern` CLI, and examples for LangChain, the OpenAI Agents SDK, Claude and Cursor.
Onboarding	PARTIAL	Asks for the company, its industry (7 industry packs) and its regions. It does **not** ask for currency or time zone, contrary to the brief.
Meter, billing, invoices	SPECIFIED	No meter, plan or invoice code. "Refusals are free" cannot yet appear on an invoice, because no invoice exists.
Assurance levels, anchoring, verifier profiles, residency, erasure, earned autonomy	SPECIFIED	Not in the code (R5, R8).



The Today screen of the built console, from the repository's screenshot set. **All figures shown are seeded demonstration data** (organisation "Demo Traders Pvt Ltd"); none is a customer's.

Screens

Ashoke's design system has 275 platform screens. An audit mapped each one onto the code. **113 now sit on working code**: 38 map one-to-one to a built route and 75 merge into a built screen. A further 26 are to be built next, 116 are deferred, and 20 merge into

screens not yet built. The code also has 17 built screens with no design yet. The console has 27 page routes and 53 API route handlers.

Area	Built routes	Design screens on code	Not yet on code
1 Sign-in and onboarding	`/login` `/signup` `/invite/[token]` `/onboarding`	18 of 21	Password reset (to build)
2 Today	`/`	3 of 4	Due-dates panel
3 Approvals	`/approvals` `/approvals/[id]` `/approve/[token]`	9 of 11	Backup-approver re-routing
4 Activity	`/activity`	11 of 18	Deferred record views
5 Agents	`/agents` `/agents/new` `/agents/[slug]`	9 of 10	Agent map
6 Rulebooks	`/rulebooks` `/rulebooks/[slug]`	21 of 23	Dual control
7 Connectors	`/connectors`	6 of 6	—
8 Evidence	`/evidence`	8 of 10	Deferred items
9–10 Inventory, assessments	`/inventory` `/inventory/[id]` `/assessments` `/assessments/[id]`	2 of 4	2 assessment screens deferred; 5 built screens have no design yet
11 Compliance	`/compliance` `/compliance/[framework]`	6 of 11	Regime-specific profiles
12 Alerts and emergency stop	`/alerts` `/alerts/[id]`	4 of 6	Incident record page (to build)
13 Settings	`/settings` `/settings/sso` `/settings/notifications`	15 of 18	Sessions, preferences
Developer portal; public site and portals	none	0 of 88	Developer docs and the web verifier to build; most of the public site deferred
Billing; assurance L1–L3	none	0 of 39	Deferred: no meter, no levels

Design screens on code per area are the screen map's Built rows minus the screens that exist only in code. System pages (404 and the error boundary built; 403, maintenance and offline to build) are not shown. Totals: 113 of 275 design screens on code.

R5. Evidence as built, against the Level 2 specification

This is the section of the memorandum the code changes most, and so the one where the claim must be most exact. The facts below are from the audit of commit `22388ad`.

What exists

- **Receipts.** Every decision, approval, outcome and administrative change is a receipt on one chain per organisation. A receipt has 22 top-level fields, most optional. It never stores full arguments: it stores a SHA-256 hash of the tool and its arguments, plus a minimal summary of the values the rules inspected. Calls rejected before the guard runs (an invalid key, a rate limit) produce no receipt.
- **Chain.** Each receipt carries the hash of the one before, starting from a genesis value. Sequence numbers have no gaps, because writes are serialised under a database lock.

- **Signature.** Each receipt's hash is signed with Ed25519, using a per-organisation key, and carries the key's identifier.
- **Checkpoints.** Every hour, if the chain has moved, Elan1 Govern signs the chain head. Checkpoints can also be signed on demand.
- **Key rotation.** A `key.rotated` receipt, signed by the old key, names the new one. Retired keys still verify old receipts and are rejected for anything signed after retirement.
- **Auditor pack.** A zip (`gate-evidence-bundle/1`) containing the receipts, the checkpoints, the public keys, a signed manifest and a README, plus a PDF summary and the compliance map.
- **`govern verify`.** Runs fully offline with no account. It checks schema, sequence, chain links, hashes, every signature against the key named, key retirement, checkpoints, the manifest and the file digests. It exits **0** (intact), **1** (broken or not verified) or **2** (usage error or missing file).

Line by line against the specification

Specified for Level 2 (§7)	In code	Difference
Ed25519 signature on every record	BUILT	Signed from the first receipt, at what the original calls Level 1.
Seal Spec v6: 16 frozen fields, 64 test vectors	SPECIFIED	The receipt is a different format: 22 fields, custom canonical JSON with no RFC 8785 claim, and no test vectors.
Two independent implementations agreeing byte for byte (§7.3)	SPECIFIED	One implementation, in TypeScript. The Python SDK does not verify receipts.
Evidence bundle	PARTIAL	Built, in a different layout, with no declarations, lexicon or anchors.
Offline verifier: zero dependencies, empty lockfile, no code shared with the writer, six exit codes (§7.5)	PARTIAL	Offline and accountless. It shares its core library with the receipt writer, has third-party dependencies, and has three exit codes, not six.
RFC 3161 anchoring at two authorities (§7.6)	SPECIFIED	Checkpoints are signed by the organisation's own key. There is no external timestamp, so a truncated tail is not detectable by a party who distrusts the key-holder.
Key custody in managed KMS per residency domain (§7.7)	SPECIFIED	Keys are wrapped by one master key from the environment, decrypted and used in process. The KMS interface exists; no KMS or HSM provider does.
Verifier profiles (§7.8)	SPECIFIED	The framework library maps controls; there are no regime profiles.

Two limits on "verifiable without trusting us"

First, the auditor pack carries its own public key. Unless the auditor passes `--key`, or compares the printed fingerprint with one obtained independently, a fabricated auditor pack with its own key would also verify. The claim holds only once the organisation's public key is published out of band. Second, the key that signs is held by Elan1 Govern in its own process. Verification proves the receipts are unaltered since signing by that key; it does not prove the key-holder could not have rewritten them before signing.

A conflict with §7.3 that this edition records rather than resolves

§7.3 says no record may be presented to anyone outside the company until two independent implementations agree. The repository README invites an auditor to download an auditor pack and run `govern verify`, which is external verification before that rule is met. **Recommendation (Proposed, unsigned):** hold any external verification claim, in sales material and in conversation with auditors, until the founder decides whether the §7.3 rule applies to the built receipt format or only to Seal v6. Until then, the receipts are described as signed and internally verifiable, and the decision is recorded in R15.

The plan for §9, publishing the Action Receipt format, is unaffected in principle. But there are now two formats: the specified Seal v6, and the built receipt. Which one is published, or how the second converges on the first, is an open decision (R15).

R6. Enforcement, modes and the claim boundary

Which route enforces, and which only advises

The original distinguishes Enforced mode, where the kernel holds the credential and a refusal means the write did not happen, from Attested advisory mode, where the caller writes on its own. The built routes fall on each side of that line, and this supplement names them by what they do: **governed run** (Enforced, in §4.6 terms) and **check and record** (Attested advisory, in §4.6 terms).

Route	Mode	Why
MCP proxy	**Governed run** (Enforced, in §4.6 terms), for the tools behind it	Elan1 Govern runs the tool itself and holds the downstream credentials. For Gmail and Zoho Books these are OAuth tokens; for a proxied MCP server, its authorisation header. All are encrypted. A refused call does not run. *Qualification:* the code cannot stop an agent that also holds its own credentials from calling the system directly. Whether it does depends on the customer's set-up, and no bypass proof (§4.6) has been run.
REST API and SDKs	**Check and record** (Attested advisory, in §4.6 terms)	Elan1 Govern only answers; the agent holds its own credentials and runs the tool. An agent that skips the check is not stopped, and is seen only if it later reports an outcome, which it need not do. This route is exposed to the suppression problem of §3.4.
In-process enforced	Not built	There is no in-process mode.

Wording rule (Proposed, unsigned). "Blocks", "prevents" and "cannot happen without approval" are used only of the governed run on the MCP proxy route, and only for tools whose credentials Elan1 Govern holds. For check and record on the REST and SDK route the permitted sentence is the advisory one in §4.6: *every proposed action was evaluated against a signed rulebook and the decision is recorded*. The repository's own README uses "blocks" without that distinction, and needs the same correction.

The gap between an allowed or approved action and its receipt

On the MCP route an allowed action runs first and its receipt is written after. If the receipt write fails, the agent is told the call was refused although the action has already happened, and a health alert names the action and its connector reference. The original's invariant, "one governed action, one row in the chain", can therefore be broken by a failed write. The same order applies when an approved held call is run on approval: the call

runs, then the approval receipt is written, and a failed write raises only a health alert. The gap is disclosed in the repository and is narrow, but it is a gap: an action can exist with no receipt.

Where the code sits against the three levels

Level	What the original requires	Status in code (replaces the "Status" column on p.8)
L1 Guarded	Enforcement, human approval, single writer, hash-chained log, metering	PARTIAL. Elan1 Govern is the current, partial Level 1 implementation: decision, approval and hash-chained log are built; no meter; enforcement only on the MCP route. Not generally available; no production tenant.
L2 Attested	Seal v6 signature over 16 fields, RFC 3161 at two authorities, bundles, zero-dependency verifier	SPECIFIED. L2 is not claimed; two of its ingredients — Ed25519 signing and an offline verifier — exist in code. Seal v6, anchoring, the second implementation, KMS or HSM custody and verifier profiles do not.
L3 Proven	Cross-organisation verification, selective disclosure, customer-held keys, earned autonomy	SPECIFIED. Entry still gated on an external auditor's acceptance of L2 evidence.

The Level 1 claim sentence

The scope freeze on p.21 says the L1 log "is not yet signed". Conformance test C14 fails any copy containing "signed", and Appendix B bans "signed" at L1. Each of these is now contradicted by the code. The lead proposes a replacement for the founder's signature:

> PROPOSED, UNSIGNED **Replacement for the L1 sentence on p.21 (DR-017 here = P17 in the Technology Memorandum)**
>
> "At L1, Elan1 Govern decides whether a tool call is allowed before it runs. On its MCP route it holds the call for a named person where the rulebook requires it and refuses anything not explicitly allowed; on its SDK and REST routes it advises and records, and the agent acts. It records each decision it makes in a per-organisation hash chain, signed with a key Elan1 Govern holds, with hourly signed checkpoints. The record is tamper-evident. It is not yet anchored to an external time source, and not yet verifiable by a party who does not trust us."

If signed, "signed" leaves C14's list and the Appendix B ban. "Tamper-proof", "immutable", "court-ready" and "independently verifiable" stay banned at L1.

R7. Security as built

The code's security mechanics were read in the audit of commit `22388ad`. Scanner results other than the dependency audit are the repository's own report, not re-run.

Area	What exists
Sign-in	argon2id at library defaults; passwords of at least 12 characters; optional TOTP; lockout doubling from 1 minute to 1 hour; generic OIDC single sign-on with PKCE, state and nonce; DNS-verified domains; optional SSO-only.
Web protections	Content Security Policy with per-request nonce; frame denial; HSTS; double-submit CSRF token with a same-origin check.
Proxied MCP servers	Server-side request forgery guard applied at the socket's DNS lookup, so the address checked is the address connected; private ranges blocked in production; no redirects; timeout and size cap. New upstream tools start switched off.

Area	What exists
Agent keys	Prefixed and stored only as SHA-256 hashes; shown once.
Secrets and signing keys	Organisation signing keys, OAuth tokens and upstream headers are encrypted with AES-256-GCM under one master key from the environment. The web console cannot sign. **No KMS or HSM.**
Tenancy	Organisation scoping is enforced in application code (a database client extension over 26 models, plus a static test designed to fail on raw-client access), **not by database row-level security**. That test was not run in the audit, and CI results could not be seen.
Webhooks	HMAC-signed with a timestamp; up to 8 delivery attempts; private addresses blocked in production.
Dependency audit	"No known vulnerabilities found", run by the audit on 27 October 2026. Semgrep, gitleaks and an OWASP ZAP baseline are configured; their clean results are self-reported and were not re-run. CI status on GitHub could not be seen.

Known limits

The repository discloses these itself:

- Rate limits (in both the gate service and the console) and the tool-registry cache are held per process; running several instances has not been tested.
- Daily limits are checked outside the chain lock, so two concurrent payments can together exceed a limit.
- A webhook event can be lost if the process crashes between commit and enqueue.
- Upstream MCP authentication is a single header.
- Upstream tool descriptions are passed to agents as they are. This contradicts the description pinning of §6.9.

The audit adds one minor finding: the gate service trusts forwarded headers unconditionally, which affects IP-keyed rate limits on unauthenticated routes.

What may be claimed (§10, unchanged in rule)

The company still holds no certification of any kind. The compliance library, coverage figures and assessment templates are product features labelled "Draft — needs legal review". They are not the company's own management system. In particular, the product's impact-assessment template does not close the company's own ISO/IEC 42001 gap ("AI system impact assessment: nothing yet") named on p.92. Data residency is not built. The DPDP erasure question is wider than before (R15).

R8. From specification to build

Target design PROPOSED, UNSIGNED

The built Elan1 Govern is the current, partial Level 1 implementation (no meter; enforcement only on the MCP route). The frozen specification remains the target the product grows into, and the bar for any Level 2 claim: KernelPort, Seal v6 with the two-implementation rule, two-authority anchoring, verifier profiles, and L2 and L3. Where the two diverge, the divergence is recorded in R15 as an open item, not silently resolved. The decisions that would make this binding are listed in R14 as DR-016 and following, unsigned.

Concept map

Original term	Built equivalent	Status	Note
KernelPort: define, assert, seal, verify, scope, refuse	HTTP API (`check` , `record` , approval status) and MCP	PARTIAL	Rough analogues only; there is no single port. The divergence is recorded in R15.
Right Path, nine rungs	The decision pipeline in R4	PARTIAL	Stop, identity, pre-gates, evaluate, act (MCP only) and proof are present. Guardrail is quotas only. Write door, autonomy and meter are absent.
Declaration (seven blocks)	Rulebook (signed YAML, one per agent)	PARTIAL	Same principle, policy as data; a different object.
Write type	Tool plus risk tags (8)	BUILT	Reads are governed too.
Closed refusal register (REF-nn)	Rule id plus reason; 6 fixed system ids	PARTIAL	No closed enumeration.
Proof record; proof log	Receipt; Activity	BUILT	R5
Seal Spec v6; evidence bundle	Receipt format; auditor pack	PARTIAL	R5
Controls and Regulations	Compliance: frameworks and controls	BUILT	R11
Earned autonomy, graduation	Rule suggestions	PARTIAL	A person must publish; no autonomy ladder.
Temporal durable workflows (DR-002)	pg-boss jobs in Postgres	PARTIAL	No workflow engine on the action path. The divergence is recorded in R15.
Single writer holding the only credential (§6.2)	One writer for the receipt chain; Elan1 Govern holds connector credentials on the MCP route	PARTIAL	Nothing enforces that the agent holds no other credential.
Meter, refusals at zero, invoices	—	SPECIFIED	
Four Doors	13 console areas (R4)	BUILT	Screen design remapped by the screen audit.

Architecture as built

The code runs on its own stack: a Next.js console and a Fastify gate service, both on PostgreSQL 16, with pg-boss for scheduled and queued jobs, packaged by a Dockerfile and docker-compose. Only the gate service holds the master key and writes receipts. Agents reach the gate service by MCP or REST. The design of §6.1 is "rung1 is the product, stack1 is the runtime, elan1 is the kernel". The built code is both product and kernel for its own console, and it does not run on stack1. Whether stack1 remains the runtime supplier, and so the cost line in the model, is an open item (R15). The `docker compose up` path is recorded in the repository's guide as not tested, and there is no deployment beyond a developer machine.

R9. How the code was built, and by whom

An investor should weigh the code by how it was made as well as by what it does. The facts below come from the repository's history and the audit's own test run, at commit `22388ad`.

47	≈15.5 h	1	≈33,600
COMMITS (9 MERGES)	FIRST TO LAST COMMIT	COMMITTER IDENTITY	LINES, INCL. SQL, CONFIG, TESTS

Provenance

- **History.** 47 commits, the first at 18:39 IST on 26 October 2026 and the last at 10:10 IST on 27 October 2026. All are under one identity, `elan1 <hello@elan1.ai>`; none comes from a personal developer identity. The product was renamed in the code at 01:49 IST on 27 October.
- **Method.** The repository's own guide is addressed to a chat user and refers to tools on one local machine. It reads as the output of an AI coding-agent session. How the code was produced, and who reviewed it, is a question for the founder (R15).
- **Review.** There has been **no independent code review and no independent security review**. The audit summarised in R4 to R9 is a read of the code against its own claims, not a code review.
- **Ownership.** The repository has **no licence file**, and no package declares a licence. Who owns the code, and whether it is assigned to elan1 Private Limited, is an open item. For an investor in a company whose asset is this code, it is the first diligence request.
- **Data.** Every screenshot and every figure the console shows comes from seeded demonstration organisations. The Gmail and Zoho Books connectors have **never been run against real accounts**.

Tests, as observed on 27 October 2026

Suite	Result	Note
Unit tests (Vitest), as run	397 of 398 passed	The one failure needs a `.env` file and passes with one.
Python SDK (unittest)	40 of 40 passed	
Database-backed test files	19 files could not load	Of 41 test files, 21 passed and 20 failed: 19 could not load because the audit sandbox could not download the database engine (not a code fault, but these tests are unobserved), and 1 ran with the missing-`.env` failure above.
Browser end-to-end (Playwright: 23 tests in 9 specs), coverage, lint, typecheck	Not run	They need a running stack.
"580 automated tests" (repository guide)	UNVERIFIED	Cannot be confirmed without the database. The guide's "23 browser tests" matches the 23 Playwright tests in the repository; they were not run.

None of these results is a production measurement. Latency, cost per governed action and refusal rate remain unmeasured, as the original states.

People

Per the developer's brief of 27 October 2026, **Hasif** is the author of the Elan1 Govern codebase, and **Ashoke** is the designer of the 275-screen design system on which the console's information architecture is being unified. Neither is named in the original memorandum. Their employment status, whether they are inside the headcount of eleven stated on p.151, and the assignment of their work to the company are open items (R15). No titles are given here because none has been confirmed. The concentration risk named on p.150 is not reduced by this: the architecture, the commercial model and the regulatory argument still reside with the founder, and the codebase now adds a second key-person dependency.

R10. Scope and market

The scope, widened

The original's thesis is narrow by design: an agent's *write* into a *system of record*, entering through Indian finance and the MCA audit-trail rule. Elan1 Govern decides **every tool call an agent routes through it**: reads as well as writes, outbound e-mail, refunds, deletions and production changes, from any agent in any industry. The mechanism is the risk tag: a rule written against "moves money" or "deletes" covers every tool that does that kind of thing on every connected server. Onboarding offers seven industries. Only the finance industry pack uses built-in tools (the Gmail and Zoho Books accounts-payable flow); every other industry depends on the customer putting its own MCP server behind Elan1 Govern.

What that does to the market argument

- **§3 and §13.1.** The original's opening was the empty row "agent ↔ system of record, with policy". Elan1 Govern now also sits on the call layer itself, which is where the agent gateways compete (R12). The write-path argument stays the sharpest part of the thesis, because a write is where a receipt is worth the most. But it is no longer the whole product.
- **§11.1.** The original argued that a company "sold as an AI governance platform is selling into a half-billion-dollar global market". The governance layer (R11) is exactly an AI-governance-platform feature set, and the repository describes the product that way. The reconciliation the lead proposes: the governance layer is sold as part of the evidence and control product, priced inside the existing governed-action and platform lines unless the founder switches on the governance-layer revenue line the revised model now carries (R16). It does not move the budget line the company says it is paid from.
- **§11.7. The India-only addressable market stays as stated**: ₹3,600 crore to ₹24,000 crore, central case ₹11,250 crore MODELLED. Its population assumption (Indian companies with a material system of record) is narrower than the new scope. **The wider market is not yet sized**, and this edition does not size it. A wider product with no new customer evidence is not a larger number.
- **The billing unit.** The governed action remains the billing unit: one tool call decided by Elan1 Govern. Whether a governed *read* is billed is an open pricing decision. Because every read also produces a signed receipt, governing reads costs runtime even if reads are never billed. The revised model carries this as switched-off scenarios (R16).

Why the widening is a risk as well as an opportunity

The original's moat argument rests on a narrow object: the consequential business write, with evidence a stranger can check. Governing every tool call puts the product in direct comparison with agent gateways that already ship at scale, and with documentation platforms that already ship inventories and policy packs. The defensible part is still the same: per-decision receipts, signed, chained and checkable offline, across vendors. The widening adds breadth that competitors also have. R12 states the moat at its new width.

R11. Two kinds of pack, and the framework library

The word "pack" now names two different things. The original's meaning is kept for regulatory packs.

	Regulatory pack (§5, Appendix D)	Industry pack (built)
What it is	One declaration, one certified verifier profile, one regime-specific export: an obligation compiled into a gate	A starter rulebook (tag rules and quotas) plus recommended frameworks, chosen at onboarding
Examples	ledger1 (MCA Rule 3(1), 11(g)); invoice1 (GST e-invoicing); collect1 (RBI collections conduct)	Finance and accounting; Healthcare; HR and recruiting; Customer support; Sales and marketing; Engineering and DevOps; General
Admission	Five gates; eight candidates rejected by name	No gate test applied
Status	SPECIFIED: none of the three is built	BUILT: 7 industry packs; each enables ISO/IEC 42001 and NIST AI RMF, plus frameworks for the regions chosen
Name form	Lowercase, ending in 1 (Appendix B.7)	Descriptive label, never a *1 name

Two industry packs, HR and recruiting and Healthcare, cover uses that the EU AI Act and similar laws treat as high-risk. Shipping a starter rulebook for them is not a claim of compliance, and the pack-factory gates of Appendix D were not applied to them. Under the original's own discipline they are starter configurations, and are described only that way.

The framework library

Ten frameworks are coded, each with its requirements listed at article, section, function or pillar level and linked to the official text: the **EU AI Act** (Regulation 2024/1689), **NIST AI RMF** 1.0, **ISO/IEC 42001**:2023, India's **DPDP Act** 2023, the **RBI FREE-AI** report (August 2025), the **GDPR**, **HIPAA**, **SOC 2** (2017 criteria), the **Colorado AI Act** and **NYC Local Law 144**. Thirteen controls connect them to the product's own evidence. Examples: "agents can only do what a rule allows" (counted from default refusals), "a person approves high-impact actions" (approvals), "AI systems are inventoried" (inventory entries) and "risk assessments are approved before go-live".

A framework's **coverage** is the share of its requirements with at least one mapped control that has live evidence on the chain. That is a count of receipts. **It is not a test that the control works**, and the coverage figures shown in the product's screenshots are from

seeded demonstration data. Everything in the library is labelled "Draft — needs legal review", on screen and in every export. One control, "agents never hold credentials", is true only on the MCP route (R6).

This mechanism is simpler than the five-link chain of §6.7 (clause → control → gate → write type → proof). It maps frameworks to controls and controls to receipt counts. It does not compile a clause into a runtime gate. The regulatory packs remain the place where that compilation is specified.

R12. Competition revisited, and the revised own row

The map, redrawn

On the two axes of §12.1, Elan1 Govern now spans two quadrants:

- **Documentation × model-centric**, through its inventory, assessments and framework library. Here it meets Credo AI, Trustible, Holistic AI, Saidot, OneTrust and IBM watsonx.governance, which ship these features to customers today.
- **Enforcement × action-centric, portable**, through the guard and its receipts. Because it now governs every tool call rather than only system-of-record writes, it also meets the agent gateways scored "Partial" on p.112–113: Airia, Kong, Zenity, Microsoft Agent 365, AWS AgentCore and Boomi.

Credo AI's own platform page, read on 27 October 2026, lists an "Agent Governor" feature as a "Research Preview" PUBLISHED. Under DR-010 a research preview is not a capability, but it belongs on the watch list of §12.10.

The scoring rule, unchanged

The matrix rule of §12.2 stands: a cell reads Yes only where the capability runs in a customer's production tenant and is publicly evidenced, and "built but not in production" reads No. To show what the code does without bending that rule, the own row is split in two. The production row is scored by the rule; the code row says what the audited code does and is labelled as such. Neither row is a production claim.

Vendor	Central object	Stops a business write at runtime	Per-action record of the write	Independently checkable evidence	Refusal recorded as evidence
Elan1 Govern — in production (October 2026, DR-010 rule)	the agent tool call	No — no customer tenant	No — no customer tenant	No — no customer tenant; no third-party verification	No — no customer tenant
Elan1 Govern — in code (commit `22388ad`, not in production)	the agent tool call, reads and writes, against a signed rulebook	PARTIAL — governed run on the MCP route enforces where Govern holds the credential; check and record (SDK/REST) is advisory; no bypass proof	YES, IN CODE — every decision, approval and outcome a signed, chained receipt; gaps in R6	PARTIAL — offline verifier, no account; vendor-held key, key travels in the auditor pack, no external timestamp, one implementation	YES, IN CODE — every refusal the guard makes (rule, default, unknown tool, expiry, internal error) is written as a receipt; calls rejected before the guard (invalid key, rate limit) are not, and a refusal whose receipt write fails is recorded only as a health alert

This replaces the row "elan1 (L1, September 2026)" on p.113. That row's cell "No — L1 is unsigned by design" is retired as no longer true of the code. The other competitor rows on p.112–113 are not rescored in this edition.

Governance-layer columns

The original matrix scores only enforcement. Because Elan1 Govern now has a governance layer, four columns are added for it and for the documentation platforms it meets. Competitor cells carry a source or the UNVERIFIED mark.

Vendor	AI inventory	Risk or impact assessment with sign-off	Framework or policy library	Coverage counted from runtime decision records
Elan1 Govern (in code)	BUILT	BUILT — second-person sign-off enforced	BUILT — 10 frameworks, 13 controls, draft	BUILT — receipt counts, not control tests
Credo AI	Yes PUBLISHED — "every model, vendor, and agent … in one system of record"	Yes PUBLISHED — risk scoring; "Governance Workflows & Approvals"	Yes PUBLISHED — policy packs for EU AI Act, NIST AI RMF, ISO 42001 and "20+ standards"	Not stated PUBLISHED
Trustible · Holistic AI · Saidot · OneTrust · IBM watsonx.governance	Yes UNVERIFIED	Yes UNVERIFIED	Yes UNVERIFIED	No UNVERIFIED

Credo AI: credo.ai, "Enterprise AI Governance Platform" page, read 27 October 2026. Other rows rest on the original's §12.1 placement of these vendors in the documentation quadrant (read 20 September 2026) and must be re-read from each vendor's own pages before they are quoted.

What the matrix now says

On the governance layer, Elan1 Govern is behind vendors that ship to customers. Its only distinctive cell is that coverage is counted from the same signed receipts the guard produces, which is a narrow advantage and an unproven one. On enforcement, the code supports the original's thesis further than the specification could: decisions and refusals become signed, chained, offline-checkable receipts. But the strongest version of that claim needs three things not yet true: the organisation's key published out of band, an external timestamp, and the §7.3 rule satisfied. The moat is therefore unchanged in kind. It is **evidence a party who distrusts the vendor can check**, and it is still a moat of intent rather than of production.

R13. Go to market, people and the operating plan

The four motions (§14)

- **Motion one, rung1.** Unchanged in plan. Whether rung1 will consume Elan1 Govern, or the separate L1 implementation p.29 describes, is an open item (R15).
- **Motion two, the CA and audit-firm channel.** It now has something to show: an Auditor role that switches between client organisations, and an auditor pack. The channel falsifier (twenty CA conversations) is unchanged.
- **Motion three, the 90-day pack pilot.** It still needs a regulatory pack, and none is built (R11).

- **Motion four, third parties over MCP.** It is now real in code: an agent gets an MCP address and a key from the Add-agent wizard. Two original rules need restating:
  - "Production keys never are [self-serve]" (p.145). The built product issues agent keys to any owner or admin, with no sandbox and production split.
  - The kill criterion on p.145, "no third party integrated against KernelPort by 30 June 2027", names an interface the product does not expose. The lead proposes it read "*against the Elan1 Govern agent API (MCP or REST)*" PROPOSED, UNSIGNED.

Multi-industry onboarding implies a direct self-serve motion that the plan does not contain. It is not added to the plan in this edition.

People and organisation (§15)

Hasif and Ashoke are named in R9. The ten functions of §15.3 are unchanged. Two notes:

- The "Product and design" function's "Four Doors" is superseded by the console's 13 areas.
- The first hire on p.151, the evidence and cryptography lead, now inherits a built receipt format that must either converge on Seal v6 or replace it (R15).

The headcount plan is unchanged in the base model (R16): the model keeps kernel engineering at 4 to 7 people from October 2026 to March 2027. Cutting that on the strength of code that exists would be a new, unevidenced assumption.

The monthly plan, October 2026 to March 2027 (§16.2), re-based

Month	Original theme	Position at 27 October 2026
Oct 2026	Write the six things that cannot be changed later	Code exists that took a different shape (R8). The six specification items still stand as the L2 target.
Nov 2026	Freeze the sixteen fields	Unchanged as a specification task. The built receipt format must be reconciled with it.
Dec 2026	One governed write, in a real design partner's own books	**Still open.** No real account has been connected.
Jan 2027	The first metered month; the meter reconciles	**At risk.** No meter or billing code exists.
Feb–Mar 2027	Term sheet; tranche 1	Unchanged

The gate calendar of §16.5 and the tranche gates are unchanged. Gate A still requires L2 general availability with two independent seal implementations agreeing on all sixty-four vectors, which the built signing does not meet. One sentence on p.159 is overtaken: "the period in which … the kernel is finished". A partial Level 1 implementation exists before the round. Finishing it now means review, ownership, a live connector, a meter, and the gaps in R5 to R7.

R14. Naming and the decision register

Appendix B addendum

Name	What it is	Status and note
Elan1 Govern	The product formerly called elan1: the governance kernel, its console and its governance layer	Renamed by the founder on 27 October 2026. Written exactly so, capital E. Trademark clearance under the eight steps of Appendix B.7 is **not recorded**.
elan1 Private Limited	The legal entity raising the round	Unchanged; confirmed by the founder
"gate"	The code name inside the repository (packages `@gate/*`, the `gate-signature` webhook header, `gk_` keys)	Internal only; must not appear in customer copy. It is a further name for the same thing, the failure B.5 warns of.
Industry packs	Starter rulebooks by industry	Descriptive labels, not *1 names (R11)

Inside the perimeter of this raise (B.9) now sits the Elan1 Govern codebase: console, gate service, SDKs, CLI, connectors and governance layer. That holds subject to the ownership and IP assignment of the code (R9), which is open.

Conflicts with the naming standard. B.7 says brand names are always lowercase and product lines take the form "<brand> <Line>". "Elan1 Govern" breaks both, and the founder's rename resolves this for the product only. As B.8 required for "rung1 Enterprise", the amendment needs a dated superseding entry (DR-014 below). The repository's copy also uses words B.7 bans at L1: "platform", "signed" and "blocks". "Signed" is addressed by DR-017, and "blocks" by the wording rule in R6. Sister brands keep their names and their lowercase form.

Appendix C addendum: proposed entries

Appendix C says no entry has been superseded. The code now contradicts DR-002, DR-006 and DR-013 in part, and the rename needs an entry. Under the register's own rule, an entry is reopened only by a new numbered entry signed by the founder. The entries below are the lead's proposals. **None is signed.**

#	Proposed decision	Would supersede or amend
DR-014	The product is renamed Elan1 Govern; the entity remains elan1 Private Limited. B.7's lowercase rule is amended for this product name only.	B.7 (naming standard); B.1 row "elan1"
DR-015	Scope: Elan1 Govern decides every tool call, reads and writes, from any agent in any industry. The governed action remains the billing unit; whether reads are metered is decided separately.	§3 and §11 framing; Glossary "Governed action"
DR-016	The built Elan1 Govern is the current, partial Level 1 implementation (no meter; enforcement only on the MCP route). The frozen specification (KernelPort, Seal v6 and the two-implementation rule, two-authority anchoring, verifier profiles, L2 and L3) remains the target and the bar for any L2 claim.	DR-001 read with DR-013; §4.2–4.5
DR-017	Receipts are signed at Level 1. The L1 sentence is replaced (R6); "signed" leaves C14 and the B.7 ban; no L2 claim is made until Gate A is met.	DR-006 ("no cryptographic seal") in part; DR-013; §4.1
DR-018	Mode by route: the MCP proxy is a governed run, enforcing only for tools whose credentials Elan1 Govern holds; the REST and SDK route is check and record (advisory); "blocks" is used only of the former.	§4.6 read with §14.4

Three divergences are deliberately *not* resolved by a proposed entry, and are carried as open items in R15: pg-boss against DR-002 (Temporal); the built API against KernelPort; and the rulebook against the Declaration.

R15. Appendix E and Glossary addenda

E.1 addendum — what is still not built

The following do not exist in the code at commit `22388ad`:

- meter, billing, plans and invoices;
- assurance levels;
- RFC 3161 anchoring;
- KMS or HSM key custody;
- Seal v6 and its test vectors;
- a second independent implementation;
- verifier profiles;
- selective disclosure;
- erasure requests;
- data residency;
- idempotency keys;
- a durable workflow engine on the action path;
- database row-level security;
- SAML and SCIM;
- upstream OAuth;
- an in-process enforced mode;
- a closed refusal-code register;
- multi-instance rate limiting;
- a webhook outbox;
- any certification;
- any production deployment; live Gmail and Zoho runs; a tested `docker compose up`.

E.2 continued — contradictions 17 to 32

#	Contradiction	Where it is dealt with
17	DR-002 says every governed write runs inside a Temporal workflow; the code uses pg-boss jobs and no workflow engine	Open; DR-016 makes the specification the target
18	KernelPort's six frozen calls against the built check, record and approval-status API; the §14.4 kill criterion names KernelPort	Open; kill-criterion wording proposed (R13)
19	The seven-block Declaration against one YAML rulebook per agent	Open
20	L1 "not yet signed", C14, and the B.7 ban, against signed receipts	DR-017 (Proposed)
21	§7.3 forbids external presentation before two implementations agree; the README invites external verification	Hold external claims until the founder decides (R5)
22	§7.5 verifier (zero dependencies, no shared code, six exit codes) against the built verifier (shared core, dependencies, three exit codes)	Open
23	§6.9 pins tool descriptions by hash; the code passes upstream descriptions as they are	Open
24	"Production keys never are [self-serve]" against self-issued agent keys	Open (R13)
25	"One governed action, one row" against an allowed or approved MCP action whose receipt write fails	Disclosed (R6)
26	§11.1 "not an AI governance platform" against the governance layer	Reconciliation proposed (R10)
27	The developer's brief against the code: no currency or time-zone input at onboarding; no inventory model field; password re-asked only after 10 minutes; auto-pause off by default	The code is reported (R4)
28	p.29 says an L1 kernel is implemented "against a single system of record". Its relation to this codebase is not stated anywhere.	Open question 15

#	Contradiction	Where it is dealt with
29	"Measured — financial model" marks model outputs 14 times on pp.103–134, against p.2's definition of Measured. This is pre-existing.	Read those figures as MODELLED
30	B.9 dates L2 to Q3 2027; pp.8 and 10 say April 2028. This is pre-existing.	April 2028 governs
31	E.1 says "no entity is reserved or incorporated"; the cover names elan1 Private Limited. This is pre-existing.	Open question 18
32	Upstream MCP servers authenticate with one header, but GATE-09 "agents never hold credentials" is shown as a control. It holds only on the MCP route.	R11

E.6 continued — questions 12 to 20

#	Question
12	Who owns the Elan1 Govern code, and is it assigned to elan1 Private Limited? There is no licence file.
13	Who wrote and reviewed the code, and how was it produced? When will an independent code review and security review be done?
14	Has any real Gmail, Zoho Books or upstream MCP account been run end to end? Is CI green on GitHub, and does the full suite reach the stated 580 tests?
15	Is this codebase the "L1 kernel against a single system of record" of p.29, or a second implementation? Which does rung1 consume?
16	Will each organisation's public key be published out of band, so that "verifiable without trusting us" holds?
17	Does §7.3 bind the built receipt format? Which format will §9 publish?
18	Is elan1 Private Limited incorporated, and are Hasif and Ashoke employees, contractors or neither?
19	Is stack1 still the runtime supplier for Elan1 Govern?
20	Is "Elan1 Govern" cleared as a mark, and are the two repositories named elan1-govern public?

Risks added to the register of §18.1

Risk	Why it is real	Leading indicator or mitigation
Unreviewed code	47 commits in about 15.5 hours, one identity, no independent review	Independent code and security review before any design-partner data flows
IP ownership	No licence file; the authors' status is unrecorded	Signed assignment to elan1 Private Limited before close
Specification and build diverge	Two receipt formats, two interfaces, two policy objects	Convergence plan dated before Gate A work starts
Key custody	Signing keys in process under one environment master key	A KMS provider behind the existing interface
Read-governance cost	Every governed read writes a signed receipt	Measured cost per read; R16 sensitivity
Scope dilution	Competing with gateways and documentation platforms on breadth	Win rate on evidence-led deals, not breadth-led ones
Replay store and DPDP	Call arguments are kept encrypted for 30 days, switched on by default	Counsel on retention basis; consider off by default

Glossary addendum

Elan1 Govern. The product formerly called elan1 (R1). **Rulebook.** The signed YAML policy for one agent; the built form of the Declaration. **Risk tag.** One of 8 labels on a tool (reads data, writes data, moves money, sends external, personal data, deletes, changes access, changes production); rules can match a tag. **Quota.** A count or sum per time window that can turn an allow into an ask. **Allow · Ask a person · Refuse.** The three decisions. **Receipt.** One signed, hash-chained record of a decision, approval, outcome or administrative change. **Checkpoint.** An hourly signature over the chain head. **Auditor pack.** The exported receipts, checkpoints, keys and signed manifest, with a PDF summary. `govern verify`. The offline verifier; exit codes 0, 1, 2. **Connector.** A built-in integration (Gmail, Zoho Books) or a customer's MCP server behind Elan1 Govern. **Industry pack.** A starter rulebook and framework set by industry; not a regulatory pack. **Framework, control, coverage.** A coded legal or standards text; one of 13 product controls; the share of requirements with live receipt evidence. **AI**

inventory. The register of AI systems. **Assessment.** A scored questionnaire with second-person sign-off. **Rule suggestion.** A drafted rule from consistent approvals, published only by a person. **Test on past actions.** Replay of a draft rulebook over the last 7 or 30 days of calls, from the encrypted **replay store**. **Emergency stop.** Pauses every agent, refuses every new call and writes an incident report; it does not cancel approvals already waiting. **Organisation.** The built term for a tenant. **Governed run · check and record.** The two modes by route: MCP proxy (Enforced, in §4.6 terms) and SDK/REST (Attested advisory) (R6). **Built · Partial · Needs logic · Specified · Design only · Absent · Proposed.** R1. **Governed action** (amended). One tool call decided by Elan1 Govern, still the billing unit; read metering is undecided. **Pack** (amended). Not used on its own: write "regulatory pack" (ledger1, invoice1, collect1) or "industry pack" (R11).

R16. Financial plan and use of funds

The revised workbook, *Elan1 Govern financial model* (revised edition, 27 October 2026), leaves the engine of 22 September 2026 untouched. **The base case and every headline figure in §1.7, §17 and §19, including use of funds, are unchanged**, as is every MODELLED gate threshold quoted: Gate A at 84 tenants, exit ARR ₹15.35 crore and cash ₹14.13 crore; Gate B at 186 tenants, exit ARR ₹48.14 crore, gross margin 62.2% and cash ₹38.59 crore. What the revision adds sits beside the engine, switched off.

₹ crore, unchanged	FY2026-27	FY2027-28	FY2028-29	FY2029-30	FY2030-31
Revenue	0.01	1.89	18.08	81.18	230.32
Gross margin	n/m	11.4%	62.2%	79.6%	86.0%
EBITDA	-4.48	-26.73	-50.73	-46.48	22.58
Closing cash	66.44	38.67	55.23	38.41	30.41
Exit ARR	0.09	5.02	33.68	133.04	334.23

All figures MODELLED; FY2026-27 is six months. Minimum cash is ₹4.45 crore in February 2027. Cumulative EBITDA is -₹105.85 crore. The round is ₹180.0 crore in three tranches (₹63 crore in March 2027; ₹72 crore in October 2028 at Gate A; ₹45 crore in July 2029 at Gate B), plus the ₹8 crore bridge.

Three switches, all off by default

Switch (Assumptions)	What it models	Effect if switched on
Governance-layer revenue (B120)	A per-tenant add-on at ₹90,000 a year, attached to 5% rising to 20% of paying tenants, 15% cost of revenue; no new customers	Small: +₹0.77 crore revenue and +₹0.65 crore EBITDA in FY2030-31; +₹0.83 crore closing cash by March 2031
Reads metered (B130)	Half of allowed reads billed at ₹0.10, at two reads per write; refusals still free	+₹22.12 crore revenue in FY2030-31 (indicative, at financial-year grain)
Reads runtime cost (B134)	Each governed read costs half a governed write	+₹12.96 crore cost of revenue in FY2030-31; FY2028-29 gross margin 54.7%

The top model risk: the cost of governing reads

The audit confirms that every governed call, reads included, goes through one decision path and writes a signed, hash-chained receipt. The engine's cost per governed action covers writes only, and the cost of a governed read has never been measured. The sensitivity on the workbook's Scenarios sheet (A45:G62) gives:

₹ crore	Base	Reads 2× volume, 0.5× cost	Reads 2× volume, 1× cost (stress)	Half of reads billed at ₹0.10; 2× / 0.5× cost
FY2028-29 gross margin (Gate B test ≥ 62.2%)	62.2%	54.7%	47.2%	58.1%

₹ crore	Base	Reads 2× volume, 0.5× cost	Reads 2× volume, 1× cost (stress)	Half of reads billed at ₹0.10; 2× / 0.5× cost
Closing cash, 30 Sep 2028 (Gate A floor 14.13)	14.13	13.24	12.36	14.12
FY2030-31 EBITDA	22.58	9.62	-3.34	31.73
Closing cash, March 2031	30.41	10.85	-8.70	42.04

A 1× volume, 1× cost case equals the 2× / 0.5× case (cost is linear). September 2028 cash figures are approximate.

> **What this means**
>
> **Every reads-cost case breaks the Gate B gross-margin test and takes September 2028 cash below the Gate A floor.** Billing half of reads at ₹0.10 recovers the cost by FY2030-31 but still leaves FY2028-29 gross margin at 58.1%. The base case assumes governing reads costs nothing: the weakest assumption this revision has found. A measured cost per read, and whether reads are billed, are the founder's decisions.

Other model notes

- **No gate date, price or tranche moves.** L1 general availability is a readiness and commercial test, not a code test.
- **Two items depend on metering and billing, which are not built:** the internal rung1 revenue from January 2027, and the 31 January 2027 gate "the meter reconciles". The revenue involved is immaterial (₹0.0144 crore in FY2026-27).
- **Runtime cost** is defined as stack1's internal cost plus 15%; whether Elan1 Govern runs on stack1 is open (R15).
- **New sheets:** *Govern overlay*, *Govern build status* (commit `22388ad`) and *Revision log*.

Part I — The proposition

1. Executive summary

2. The company, the perimeter and the entity

3. The problem: an agent's write is the only consequential act nobody can prove

4. The product: one kernel, six calls, nine rungs, three levels

5. The packs: regulation compiled into a runtime gate

1. Executive summary

1.1 The one-sentence business

elan1 sells the right to say *this write could not have happened without approval, and here is the receipt that proves it*. The right is sold as a metered unit — the governed action — at a platform floor plus a per-action rate, with a second revenue line for the evidence itself and a third for the regulatory packs that turn a specific obligation into a specific runtime gate.

1.2 Why this is a business and not a feature

Enterprises have spent two years buying tools that observe AI. Evaluation harnesses, tracing, red-teaming, model cards, policy registries, guardrail proxies: all of them sit beside the action and describe it. Almost none of them sit *in front of* the action and stop it.

That gap has become measurable. In April 2026 the Cloud Security Alliance and Token found that 65% of enterprises had already experienced an agent-caused incident, that **63% could not enforce purpose limitations on an agent, 60% could not terminate a misbehaving one, and 67% had no audit trail of evidentiary quality**. Those three numbers are not three problems. They are one problem stated three ways: nobody holds the write path. Gartner expects more than 40% of agentic AI projects to be cancelled before the end of 2027, and the reason enterprises give is not model quality.

A second gap sits underneath the first. Every audit trail sold today is produced by the party whose conduct it records. Microsoft's agent governance generates evidence that lives in Microsoft. ServiceNow's lives in ServiceNow. Salesforce announced in April 2026 "a permanent audit trail recording every AI action" — inside Salesforce. None of it is verifiable by a counterparty, an auditor or a supervisor who does not already trust the vendor. Self-attestation is the weakest form of evidence in every other regulated domain, and there is no reason it should be the strongest one here.

elan1 closes both. It is the single writer, so nothing reaches the system of record without passing a gate — which is also the only architecture that closes the *suppression attack*, where an agent simply skips the logging call and leaves no receipt of the act it performed. And from Level 2 it emits a cryptographically sealed, externally timestamped bundle that a third party verifies offline, with a free verifier and no elan1 account.

1.3 What elan1 is

A kernel with six calls — `define`, `assert`, `seal`, `verify`, `scope`, `refuse` — that any product can build against. Behind them, nine rungs execute in a fixed order: identity, write door, pre-gates, evaluate, guardrail, autonomy, act, proof, meter. Policy is held as data in a seven-block Declaration, not as code, which is what makes a regulatory pack possible: a clause in a rule becomes a control, the control becomes a gate, the gate binds to a write type, and the write type binds to a proof.

Three assurance levels, deliberately separated so that each claims only what it can support:

Level	What it does	What it may truthfully claim	Status
L1 Guarded	Enforcement, human approval, single writer, hash-chained log, metering	Control and reconstruction — for a party willing to trust our infrastructure	Building; general availability targeted Q2 CY2027
L2 Attested	Ed25519 seal over sixteen canonical fields, RFC 3161 anchoring at two authorities, evidence bundles, zero-dependency offline verifier	Independent verification of what happened, by a party that does not trust us	Frozen specification; general availability targeted April 2028
L3 Proven	Cross-organisation verification, selective disclosure, customer-held keys, precedent-based earned autonomy	Verification *between* organisations, and autonomy a customer can grant because it was earned	Frozen specification; entry gated on external acceptance of L2 evidence

Two operating modes, priced and claimed differently: **enforced**, where elan1 holds the credential or the target accepts only writes carrying an elan1 token, and **attested advisory**, where the caller asks and then writes on its own. The company's own sales rule forbids describing advisory mode as enforcement. That rule is in the corpus, in writing, before there is a single customer to mislead.

And one structural detail that does more selling than any slide: **refusals meter at quantity zero, and the database enforces it.** A caller cannot forget to pass zero, because the caller does not pass it. An invoice that reads *412 refused, ₹0* tells a buyer more about what they bought than any dashboard could.

1.4 The packs, and why they are the defensible half

A pack is configuration, not code: declarations, policy rules, regulatory bindings, an evaluation set and an approver model that together turn one obligation into one enforced gate with one proof. Every candidate pack must pass five gates — a dated statutory hook, a named auditor who will react to it, a reversible write, evidence that can be sold separately, and elan1 owning the write path. Eight candidate packs have already been rejected by name for failing one of them.

The first pack is **ledger1**, against MCA Rule 3(1) and 11(g) — the Indian audit-trail obligation that has applied to every Companies Act company since 1 April 2023, carries eight-year retention, requires the statutory auditor to affirmatively report that the log was not tampered with, and exposes directors personally. India's binding mandate for elan1 is accounting-records law and banking supervision, not any AI law. **invoice1** follows against GST e-invoicing, then **collect1** against RBI collections conduct — a pack with four obligation layers and fourteen gates. Beyond India, a regime is a pack and a country is a set of packs; that is the international expansion mechanism, and it is cheaper each time.

1.5 The market, honestly framed

Gartner puts AI governance platform spending at about **US$492 million in 2026, exceeding US$1 billion by 2030** (Gartner, 17 February 2026). That category cannot absorb the capital already inside it: the ten most-funded agentic security startups have raised roughly US$3.6 billion between them, and Zenity alone raised US$125 million in August 2026. A memorandum that leads with US$492 million as its addressable market deserves to be killed in twenty minutes, so this one does not.

elan1 is not paid from an AI budget. It is paid from the control-and-assurance budget that already exists: enterprise GRC and compliance automation at roughly **US$72.4 billion in 2025** (Grand View, June 2026) and audit and assurance services at roughly **US$243.9 billion in 2026** (Fortune Business Insights, 7 September 2026). Section 11 builds the number from elan1's own unit — governed actions times price across the addressable population — and states the India-only range the company is prepared to defend in diligence, together with the assumption inside it that is weakest.

India first, and not for sentimental reasons. The MCA audit-trail rule reaches about 1.85 million active companies. The DPDP Act's main obligations land on 13 May 2027. The RBI's draft Model Risk Management guidance of 24 June 2026 requires, across eleven categories of regulated entity, board-approved frameworks, **kill switches, human-in-the-loop, traceability, reproducibility, auditability and ten-year retention** — and the RBI's own FREE-AI survey found that **only 18% of Indian regulated entities maintained audit logs** (13 August 2025). Meanwhile MeitY has declined to legislate a standalone AI Act, which for a tooling vendor is better news than a new statute would be. Every EU-deadline-driven forecast in this category is now sixteen months late after the Digital Omnibus pushed high-risk obligations to 2 December 2027; elan1's plan does not depend on the EU date.

1.6 Competition, and the width of the moat

On the two axes that separate the field — documentation and policy against **runtime enforcement**, and model-centric against **business-action-centric** — the top-right quadrant is close to empty. Across roughly 262 vendors surveyed, the nearest language to elan1's proposition found anywhere is Monitaur's "policy-to-proof workflows with cryptographic audit logs", from a company with about US$13 million raised, in insurance model governance, with no runtime enforcement.

The real threat is absorption by platforms, and it is concrete. Microsoft Agent 365 reached general availability on 1 May 2026 at US$15 per user per month with runtime blocking and "audit-ready evidence generation". ServiceNow AI Control Tower is a Magic Quadrant leader with kill-switch authority, given away free for a year. The documented counter is narrow but real: Microsoft's coverage of non-Microsoft agents is partial, AWS AgentCore stops at the AWS account boundary, and ServiceNow is strongest for what runs through ServiceNow (Kosmoy, 16 August 2026). **None of them governs a write into SAP, Oracle, Temenos, Finacle or Tally, and none produces evidence a party that does not trust the vendor can verify.** Section 12 states the moat at its true width and names precisely what would close it.

The exit record gives an underwriting floor that does not depend on category leadership. CalypsoAI sold to F5 for US$180 million on US$45 million raised; Protect AI to Palo Alto for an estimated US$500–700 million on US$108.5 million; Robust Intelligence to Cisco at roughly US$400 million on US$44 million; Lakera to Check Point at roughly US$300 million on about US$30 million. Seventeen acquisitions closed in the space between October 2024 and May 2026, at four to ten times capital raised.

1.7 The plan and the numbers

Six months of build to March 2027 while the round is raised. L1 general availability in Q2 CY2027 and the first external paying tenant in July 2027. The first pack in production in October 2027. L2 in April 2028, with the upgrade runbook already written. L3 entry only once an external auditor has accepted an L2 bundle in a real engagement, in writing.

₹ crore	FY2026-27*	FY2027-28	FY2028-29	FY2029-30	FY2030-31
Revenue	0.01	1.89	18.08	81.18	230.32
Gross profit	-0.10	0.22	11.24	64.61	198.07
Gross margin	n/m	11.4%	62.2%	79.6%	86.0%
Operating expenses	4.39	26.94	61.98	111.09	175.50
EBITDA	-4.48	-26.73	-50.73	-46.48	**22.58**
Exit ARR	0.09	5.02	33.68	133.04	**334.23**
Closing cash	66.44	38.67	55.23	38.41	30.41
Headcount	27	95	170	243	305
Paying tenants	0	39	148	312	545

* six months, October 2026 to March 2027. All figures MODELLED.

Exit ARR at March 2031 of ₹334.23 crore is US$37.1 million. Cumulative EBITDA across the plan is **-₹105.8 crore**, against ₹188.0 crore of funding — the ₹180 crore round plus an ₹8 crore founder-and-angel bridge — leaving ₹30.41 crore at the end of a year in which the company is profitable. Cost per governed action falls from ₹0.636 in FY2027-28 to ₹0.129 in FY2030-31 MODELLED, against a revenue per governed action of ₹0.924 — and the company has committed to publishing that measured cost weekly, whether or not it flatters.

1.8 The ask

₹180.0 crore (US$20.0 million), in three tranches against named, observable gates.

Tranche	Amount	Date	Released against
1	₹63.0 cr	At close, March 2027	The round itself
2	₹72.0 cr	October 2028	Gate A — L2 generally available with two independent seal implementations agreeing across all sixty-four vectors; the first pack in production with a named statutory auditor; not fewer than 84 paying external tenants; cost per governed action measured under load and published for twenty-six consecutive weeks
3	₹45.0 cr	July 2029	Gate B — an external auditor not paid by elan1 has accepted an L2 evidence bundle in a real engagement, in writing; Action Receipt v1 published with at least two named external implementers; not fewer than 186 paying tenants and ₹48.14 crore exit ARR; one signed sovereign deployment

Section 19 sets out the use of funds, the terms the company will and will not accept, and the governance that comes with the money.

1.9 What would make this wrong

Three things, stated without hedging. **One:** an auditor tests an L2 bundle and declines to rely on it — the entire evidence thesis, the second revenue line and the L3 roadmap rest on an external acceptance that has not yet been sought. **Two:** the measured cost per governed action does not fall as modelled; the marginal cost is modelled at ₹0.20 against a ₹0.40 internal transfer price, and nothing has been measured under a real tenant's load. **Three:** a platform vendor ships genuine cross-system write-path enforcement with externally verifiable evidence, at which point elan1 is competing on price inside someone else's bundle.

A fourth is not a market risk but a legal one, and it is the single most serious unanswered question in this document: whether retaining a proof record with erased identifiers satisfies a DPDP erasure right, given that a hash chain cannot be rewritten. Counsel has not answered. The evidence thesis leans on it. It is named here, in the executive summary, rather than buried in an appendix, and Section 10 sets out the candidate answers and the date by which it must be settled.

2. The company, the perimeter and the entity

2.1 What is being funded

elan1 Private Limited, an Indian company operating from Coimbatore and Chennai, holding the governance kernel, the Declaration ontology, the seal and evidence specifications, the verifier, the pack portfolio and the Action Receipt work. That is the perimeter of this round. It is narrower than the group the founder runs, and the narrowing is deliberate: an investor in a kernel should be underwriting a kernel, not a portfolio.

Inside the perimeter:

- the kernel and its six-call contract, the nine-rung execution path and the refusal code set;
- the Declaration ontology, including the Controls and Regulations families;
- the seal, the evidence bundle, the offline verifier and the verifier profile mechanism;
- the regulatory packs — `ledger1`, `invoice1`, `collect1` and the packs that follow;
- the MCP server and SDK through which third parties call the kernel;
- the Action Receipt specification and the partner and verifier certification programme.

Outside the perimeter, and named so there is no ambiguity: **rung1** (the agentic ERP line built on Frappe, with its own Enterprise, Revenue, Commerce and Voice lines), **stack1** (the open-source runtime contract layer), **verna1** (voice, parked), and the retired names `core1`, `rev1`, `commerce1`, `gtm1`, `fusion1`, `start1`, `run1` and `academy1`. Appendix B lists every one of them with its status. Each is a separate venture under common founder control. rung1 and stack1 are raising their own Series A rounds on the same March 2027 timeline, as separate carve-outs with their own memoranda. **An investor in elan1 is not funding them, does not consolidate them, and takes no exposure to their outcomes beyond the two contractual relationships described below.**

2.2 The two related-party relationships, disclosed

rung1 is the kernel's first production consumer. From 1 January 2027 it pays elan1 ₹0.40 per committed governed action, with refusals at zero, reset quarterly against measured cost. This is intra-group and must be discounted accordingly. What it is worth is not the money — it is ₹0.52 crore in FY2027-28 and never more than 4.9% of revenue by FY2030-31 — but the load. It puts a real write path under a real ERP with real customers eighteen months before an external tenant sees it, and it produces the first `MEASURED` cost per governed action the company will ever have. It also produces a counterparty who will argue about the price, which is the only way to find out whether ₹0.40 is defensible.

An investor should treat the internal transfer line as **engineering validation, not commercial traction**, and the model presents it as its own revenue line throughout so it can be stripped out in one subtraction. External revenue is ₹1.37 crore in FY2027-28 and ₹219.12 crore in FY2030-31.

stack1 supplies the runtime, billed at observed internal cost plus 15%. It appears in elan1's accounts only as cost of revenue — ₹0.65 crore in FY2027-28 rising to ₹24.90

crore in FY2030-31. If stack1's own round does not close, elan1's exposure is a supplier substitution, not a capital call. The runtime is replaceable; the boundary between the layers is written down precisely so that it is.

2.3 The boundary that makes the kernel worth building once

The group operates a written integration contract: **stack1 is the runtime, elan1 is the governance kernel, rung1 is the product.** It states what each layer must never build. rung1 may never build a gates engine, an approval store, a seal, a meter or a verifier. stack1 may never build anything on the governed write path. elan1 may never build an ERP, a CRM or a user-interface shell for someone else's product.

This reads like housekeeping and is in fact the capital-efficiency argument of the whole group. It is what allows one kernel team to serve several consumers; it is why a kernel change request must be product-neutral and carry a decision number; and it is the reason an external consumer can build against the same contract that rung1 uses, with no privileged interface and no special case. Section 6 sets out the boundary in full.

2.4 The founder, and the evidence he has already left

M K Elango has been building toward this for three years, and most of that history is a record of things he stopped.

The first build was an agentic ERP, "Enterprise 1" — ten applications, ten industry packs, a four-door interface grammar, a Declaration ontology and a nine-category execution path. It was scrapped after roughly a hundred days. What survived was the ontology and the execution path, and they are recognisably the two things elan1 sells today. A second pass, informed by Yonyou's BIP and Palantir's AIP, produced the Governed Intelligence Platform and the Governed Action Model, and with them the unit economics the company still uses: the governed action as the thing that is typed, gated, executed, sealed and billed. A 118-screen architecture build followed, then a deep research pass on Boomi, and then the decision that matters most for this memorandum — to stop building an ERP and build only the governance layer underneath one.

He is the author of *Milk, Mountain, Moonshot*, and the portfolio is run on that frame: rung1 is the milk, elan1 is the moonshot. He holds an academic council position at Excel Engineering College.

The governance evidence is unusually concrete for a founder-led company at seed stage. There is a numbered decision register in which thirteen architectural arguments are settled, dated and attributed, with a rule that no argument is re-run. There are fifteen written kill criteria with thresholds and dates, signed. There is a rule that no document may exist unless it ends in a decision someone can act on this month. There is the rule that designed does not count as yes, which is applied to the company's own competitive scoring. And there are eight product ideas rejected by name, in writing, against published gates.

The concentration risk is equally concrete and is not minimised: one person currently holds the architecture, the commercial model and the regulatory argument. Section 15

sets out the key hires that reduce that concentration, in priority order, and what happens if they are late.

2.5 Capital structure and the state of the company today

The company is founder-owned. An ₹8.0 crore founder-and-angel bridge funds operations from October 2026 to the close of this round in March 2027, and is not part of the ₹180 crore. Minimum cash across the entire plan is ₹4.4 crore, in February 2027 — the month before tranche 1 lands. That is the tightest point in the company's life and it is disclosed here rather than discovered in diligence.

At the date of this memorandum: eleven people, no external customer, no signed order, no invoice, no certification held, no published standard, and no evidence bundle yet verified by a party outside the company. Zero governed actions committed and zero refused. Cost per governed action is modelled, not measured. Refusal rate is not yet observable.

Section 16 turns the next six months into a month-by-month plan in which each of those zeros acquires a date.

3. The problem: an agent's write is the only consequential act nobody can prove

3.1 The act, and the gap around it

Every enterprise software category that matters is organised around a moment of consequence. Payments have settlement, identity has authentication, accounting has the posting. In each case an industry grew up around the moment itself — a system that stands in the path, decides, executes and leaves a record that outlives the parties. The moment is not observed from the side. It is intermediated.

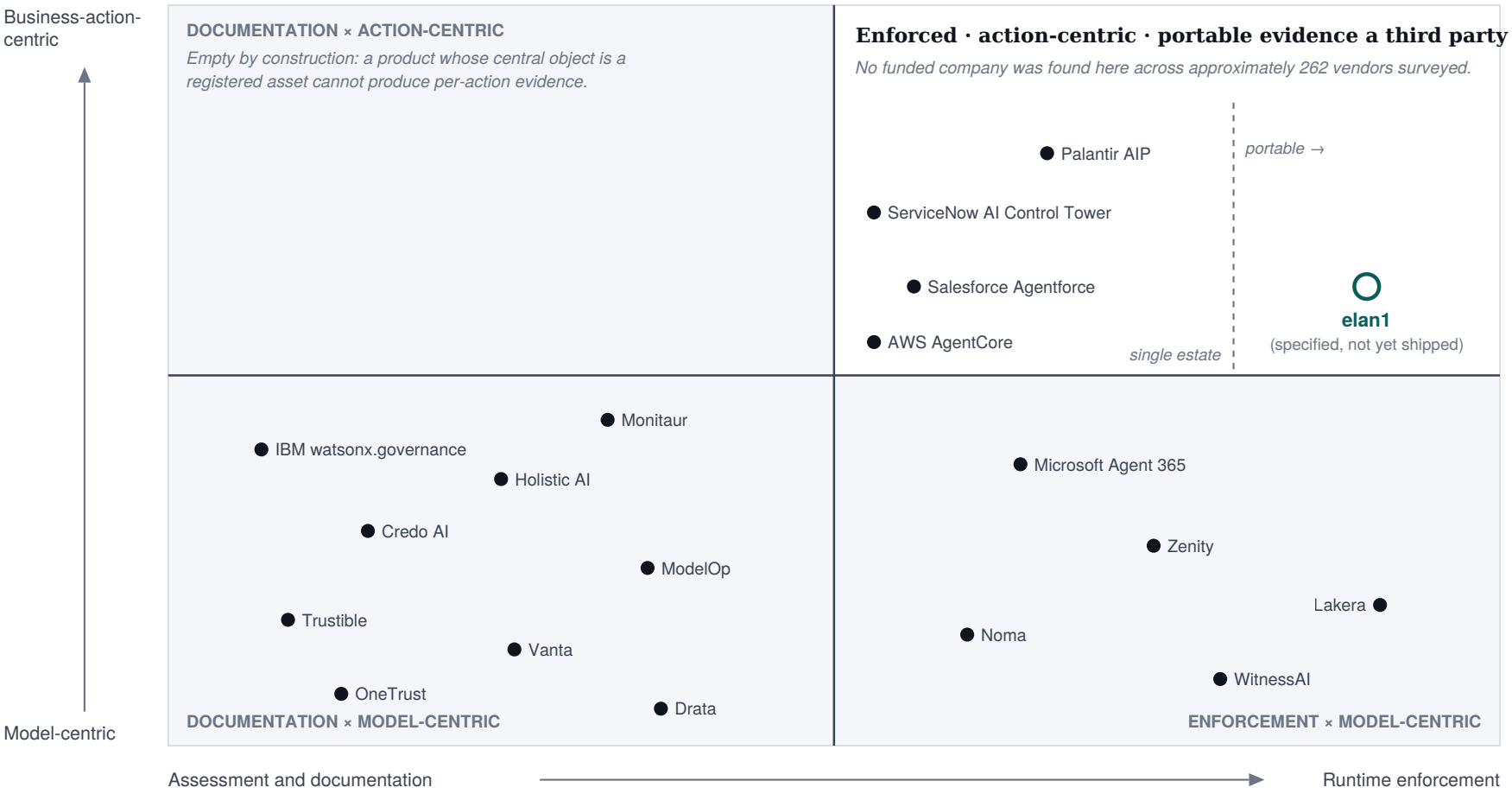
Agentic AI has a moment of consequence too, and it is the write. An agent posts a journal entry, releases a payment, amends a contract term, escalates a collection, alters a credit limit. That write lands in a system of record and has economic effect on a third party who was not in the room. Everything upstream of it is reasoning; everything downstream is consequence.

The tooling industry built around agents in 2025 and 2026 does not stand in that path. It watches it. It scores model outputs, registers agents in an inventory, traces tool calls, filters prompts, blocks categories of behaviour at a gateway, writes application logs and offers a kill switch. Each is a legitimate control and none is positioned at the moment of consequence. The central object in each product is a model, an agent, a use case or a registered asset — never the write. That choice of noun is not cosmetic: a product whose central object is a registered model cannot produce one durable record per business action without being rebuilt around a different noun, and nobody rebuilds around a different noun after Series C.

elan1's own competitive matrix, rescored in September 2026 under a rule that a capability counts only where it runs in a customer's production tenant and is publicly evidenced, puts twenty vendors against four questions: can it stop a business write in a system of record at runtime; does it produce one durable record per business action; can a third party verify that record without the vendor's cooperation; is the refused case recorded as carefully as the allowed one. One vendor — Palantir AIP — scores Yes twice, and only on objects inside Foundry. Nobody scores Yes on independent verifiability. Nobody scores Yes on refusal as evidence. Independent research reaches the same place from outside: no funded company was found selling hash-chained, externally anchored, offline-verifiable evidence of enforced business actions as a product.

The write path is the empty quadrant

Twenty-odd vendors cluster where assessment meets the model. Nobody is enforcing business actions with evidence a third party can check.



elan1 competitive matrix, rescored September 2026; vendor placement is elan1's reading of published product scope. Conceptual — positions are not to scale.

two axes (assessment and documentation versus runtime enforcement; model-centric versus business-action-centric) with the twenty vendors plotted, showing three populated quadrants and the fourth — enforcement, action-centric, portable, third-party checkable — empty

That quadrant is not empty because the problem is invisible. Palantir saw it and built it, single-vendor and single-estate. It is empty because closing it portably requires holding the credential to somebody else's system of record, which is an awkward thing to ask for and the reason elan1's first deployment sits inside a system the group itself hosts.

3.2 The evidence, in the buyers' own words

The Cloud Security Alliance, with Token Security, surveyed enterprise agent incidents and published on 21 April 2026 PUBLISHED. Sixty-five per cent of organisations had at least one security incident in the preceding year caused by an AI agent; of those, 41% involved unintended business process actions and 35% involved financial loss. Three control findings matter most, because they are not worries but missing mechanisms:

Control gap reported by enterprises (CSA / Token Security, April 2026)	Share
Cannot enforce purpose limitations on AI agents	63%
Cannot terminate a misbehaving agent	60%
Lack evidence-quality audit trails	67%

Read those as sentences. Two-thirds of enterprises cannot constrain what an agent does with a given piece of authority. Three-fifths cannot reliably stop one. Two-thirds cannot produce a record that would survive an examination. Those are, in order, a policy gate, a single writer and a receipt — elan1's product described by a third party with elan1 absent from the room.

The commercial consequence shows in the adoption data. McKinsey's *State of AI 2026*, fielded May to June 2026 across 1,719 respondents in 97 nations PUBLISHED, finds 40% of enterprises above US$1 billion of revenue scaling agents, up from 27%; 80% reporting individual productivity gains; and 37% reporting enterprise EBIT impact, flat year on year. A forty-three point gap between personal productivity and company profit that did not narrow in twelve months is usually explained by workflow redesign. The narrower explanation is more useful: productivity stays individual for as long as agents only read and draft. Profit requires agents to write — to post the entry, issue the credit note, release the payment. Enterprises have not made that move at scale because they can neither control it nor evidence it.

The same shape appears wherever it is asked for. Harvard Business Review Analytic Services, surveying 603 leaders in July 2025, found 86% expecting to increase agentic investment, 9% with agents fully deployed, 6% who fully trust agents with core business processes and 12% who call their risk controls adequate PUBLISHED. Deloitte, across 3,235 leaders in 24 countries, puts mature agent governance at 21% against roughly 75% planning material deployment within two years PUBLISHED. Gartner predicted on 25 June 2025 that more than 40% of agentic AI projects would be cancelled by end-2027, naming inadequate risk controls as one of three causes PUBLISHED — a figure that must be read with its second edge visible, since dead agent projects are not customers either.

India supplies the sharpest number. The Reserve Bank of India's FREE-AI committee, reporting 13 August 2025, found that about one-third of surveyed regulated entities main-

tained board-level AI oversight and **18% maintained audit logs** PUBLISHED. Eighteen per cent, in a sector that is examined.

3.3 Self-attestation, and why a log is not evidence

Every incumbent's answer to "show me what the agent did" is an audit trail. Microsoft, ServiceNow, Salesforce, Boomi and the compliance-automation vendors all shipped one in 2026. Each is written by the party whose conduct it describes, held in a store that party controls, and produced on request by that party.

The weakness is structural rather than a matter of vendor quality: the entity producing the log is the entity whose activity is logged, so the actor narrates its own actions. Telemetry answers what the system says it did. Evidence answers what a party who distrusts the system can establish. The second question is the one an auditor, a regulator, a counterparty or an insurer is actually asking.

Two properties sharpen it. The industry has already solved the easier half and stopped: Open Policy Agent signs the policy bundle, not the decision. Every commercial policy decision point examined in elan1's competitive review emits a decision as a return value — not signed, not chained, not bound to the action it authorised. The industry signs what an agent was allowed to do and does not sign what it did. Second, even a hash chain held by its author cannot detect a truncated tail: a chain cut at record 4,000 of 4,200 is internally consistent and reads as complete. That is a known property of hash chains, and it is why an external time anchor is a requirement rather than a refinement — a point elan1 makes about its own Level 1 product, and the reason the word "tamper-proof" is banned from all elan1 material at every level, for ever.

3.4 The suppression problem

One failure mode no receipt format can close on its own, and it is why a governance product must be a chokepoint rather than a schema. The standards literature on agent receipts calls it the suppression attack: a receipt proves a call happened; it cannot prove a call did not. An agent that is compromised, misconfigured or simply routed around emits no receipt for the write it made out of band, and an observer holding a complete, valid, beautifully signed set of receipts sees nothing wrong. Absence of evidence is not evidence of absence — unless the system producing the evidence is the only path to the act.

That is what a single writer buys. If exactly one process may mutate the target for a tenant, holding the only credential and minting a single-use token with a ten-minute life scoped to one write, then every write that landed went through the kernel, and a write in the target with no corresponding record is not a gap in the evidence but a finding. The architecture and the artefact are inseparable: a receipt standard without a chokepoint is a document, and a chokepoint without a portable receipt is lock-in.

3.5 Why the problem gets worse as agents improve

The natural rebuttal is that this is a transition problem — models improve, errors fall, controls become unnecessary. The benchmark data says otherwise, for an arithmetical reason. Computer-use agents now exceed the OSWorld-Verified human baseline of 72.4%, with

leading models at 83–86% as of August 2026 PUBLISHED. It does not help, because reliability compounds. At 98% per-step accuracy a five-step task completes end to end about 90% of the time, a twenty-step task about 67%, and a **fifty-step task about 36%**. Most production workflows run twenty to fifty steps.

Better models make each step more reliable and make trajectories longer, more autonomous and more consequential. Writes per hour rise faster than the per-write error rate falls, and the blast radius of each write rises with the authority an improving agent is given. The mitigation already observed in the field is elan1's architecture in other words: verification checkpoints that catch a wrong action before it commits, human review on high-consequence steps, and full autonomy reserved for short, low-stakes work.

3.6 Three buyers, and a fourth who pays in cash

The problem creates three distinct purchasers, and confusing them is the commonest way to lose a deal at the worst moment.

The operator — a finance controller or head of operations being asked to let an agent touch the books — asks whether they can let this run without it doing something they cannot undo. They buy enforcement, human approval on the writes that need it, an autonomy ladder they can lower in a minute, and a path back. Assurance Level 1 serves them, and serves nobody else honestly.

The auditor's counterparty — the external auditor, a lender's diligence team, a compliance function, a CA firm carrying an audit-trail responsibility for a client — asks whether they can hand a third party something checkable without asking the vendor. They buy signatures, an external time anchor, an exportable bundle and a verifier they did not get from the party being verified. Selling the first product to this buyer loses the account at the audit.

The counterparty or regulator — two governed firms transacting and trusting neither vendor, or an examination team that must check a receipt in ten years — asks whether the artefact survives the vendor. They buy an open format, a second independent implementation, published test vectors including a deliberately tampered bundle, and a signature from a party that is not the vendor.

The fourth party converts this from cost into return, and arrived on **1 January 2026**, when ISO (Insurance Services Office) published three generative-AI exclusion endorsements for standard US Commercial General Liability policies — CG 40 47, CG 40 48 and CG 35 08 PUBLISHED. Specialist carriers moved into the resulting gap through 2026: Klaimee, Testudo, HSB/Munich Re, Mayflower Specialty, Agent Insured, Corgi, and the AIUC-1 certification paired with Lloyd's-backed cover. What those underwriters ask for, in their own words, is trace-level evidence of individual task sequences so exposure can be priced *at the interaction level rather than agent-wide*, together with evidence of meaningful human oversight for consequential actions, functioning kill switches and authority scoping. Priced at the interaction level is, in elan1's language, priced per governed action — the same unit the kernel meters. An insurer differs from a regulator in one commercially decisive respect: an insurer pays, through a premium differential, on a feedback loop measured in quarters.

Underneath all four sits a legal fact that closes the last comfortable answer. *Moffatt v. Air Canada* (February 2024) established that a company remains liable for what its agent asserted PUBLISHED; the defence of record is gone. In India the position is harder and predates the AI debate: Rule 3(1) of the Companies (Accounts) Rules, in force since 1 April 2023, requires accounting software to keep an audit trail recording when a change occurred, who made it and what changed, not disabled, preserved for at least eight years; Rule 11(g) of the Companies (Audit and Auditors) Rules obliges the statutory auditor to report that the trail existed, operated throughout the year and was not tampered with; wilful violation carries director and CFO exposure of Rs 50,000 to Rs 5,00,000 and up to one year's imprisonment PUBLISHED. Roughly 1.85 million active companies are in scope. When an agent begins writing to an Indian company's books it inherits that obligation on the first day, with no classification exercise to complete and no commencement date to wait for.

That is the problem. An agent's write is the only consequential act in the enterprise that nobody stands between, nobody can stop at the moment it matters, and nobody can prove afterwards to a party not already inclined to believe them. It is growing, not shrinking, and the parties who will insist on a fix — auditors, examiners, counterparties and, first, insurers — are already asking for the artefact in close to the words elan1 uses for it.

4. The product: one kernel, six calls, nine rungs, three levels

4.1 One sentence, and the sentence the company will not exceed

elan1 sits on the write path between an AI agent and a customer's system of record. It types the intent, evaluates policy gates held as data, forces a human to approve where the declaration requires it, executes the write through a single writer, records the decision in a hash-chained append-only log, and meters it. The billable unit is the **governed action**: one write that was permitted, executed, recorded and billed. One row in the chain, one meter event, one line on the invoice, one thing an auditor can open. The invoice line and the evidence record are the same object.

What the company may say about the level it is building first is frozen, verbatim, in its own scope freeze:

> "At L1, elan1 decides whether a write is permitted, forces a human to approve the writes that need it, executes it through a single writer, records the decision in a hash-chained append-only log, and meters it. The log is tamper-evident. It is not yet signed, not yet anchored to an external time source, and not yet verifiable by a third party who does not trust us."

That sentence describes operations rather than a category, ends in three explicit negatives, and exists, in the founder's words, "so that nobody on the build side quietly adds a signature and nobody on the sales side quietly promises one." The same document lists what sales may not say — the proof is cryptographic; the record is signed; a third party can verify this without us; this satisfies the MCA audit-trail rule. A string check over a consumer's rendered copy, hunting for "signed", "tamper-proof" and "independently verifiable", runs as conformance test C14 and **fails the build**. The claim boundary is not a guideline here; it is a failing test. Beside it sits the sentence the company leads with, which needs no signature to be true and which none of the twenty matrix vendors can say: **a model may produce a write intent; it may never produce an allow.** No model is reachable from the gate, policy, guardrail, autonomy or proof stages, enforced by an import-graph check in the CI of every consuming repository rather than by review.

4.2 KernelPort: six calls, and why a frozen interface is the commercial asset

KernelPort is the single seam between anything that wants to change a system of record and the thing that decides whether it may — six calls, identical signatures for every consumer, in every product, at every assurance level.

Call	What it does	Who may call it
`define`	Registers a write type at an explicit declaration version, returning a content-addressed digest. Registering a declaration is itself a governed write under dual control	Control-plane token
`assert`	The central call: runs the whole path in order, returning committed, refused or escalated with the proof sequence and digest, synchronously	Tenant token, `act` scope
`seal`	The chain writer — assigns the next sequence, reads the previous digest, appends. At L2 it also signs	The kernel only, never a consumer
`verify`	Recomputes preimage and digest octet for octet, walks the chain, resolves every referenced declaration version; returns PASS or the first failure with sequence, field and reason	Read-only token
`scope`	Resolves blast radius and autonomy for rendering. Advisory — `assert` re-resolves both, because the kernel does not trust its own answer	Read-only token
`refuse`	Emits a typed refusal from a closed register. A refusal is a product surface, designed once and rendered from the declaration	Tenant token, `act` scope

Nothing above the kernel plane may import a kernel type, enforced in CI, and there is no second submission surface, no fast path, no batch variant, no admin mode and no decision cache — a cached allow is an allow at an unknown rule version. Break-glass is not an exception to the path but a declared write type with dual control, recorded in the operator's own chain and visible to the tenant.

Freezing that interface is why elan1 is a kernel with consumers rather than a product. Every consumer — rung1 Enterprise today, a third-party vendor over MCP tomorrow, a regulatory pack thereafter — builds against the same six calls, and the kernel is built once and amortised across all of them. No consumer may claim to run on the elan1 layer until fourteen conformance tests pass in its own CI against a reference tenant; the suite is the claim. A change to the sixteen proof fields or their encoding is **not permitted at version 1** at all.

4.3 The Right Path: nine rungs, in one order, every time

There is one write function and no second write path, including for demonstrations. Every governed write climbs the same checks in the same order, and each leaves a row behind.

Rung	Name	What it does	Model reachable?
0b	STOP	The stop set: tenant kill switch, revocation, blacklist, regulator directive	No
1	IDENTITY	Actor, tenant and token resolved. `actor_kind` is set by the kernel, never by the caller	No
2	WRITE DOOR	Declaration resolved at an explicit integer version, write type selected. There is no generic write	No
3	PRE-GATES	The declared gates run against a supplied `as_of`. No gate reads a clock	No
4	`evaluate()`	Versioned rules over a projection of declared fields. Allow, refuse or escalate — never a score	No model, at any level, ever
5	GUARDRAIL	Allow-lists, then the blast-radius check; catches "update one invoice" arriving as an unbounded filter	No
6	AUTONOMY	The A-level this actor holds for this write type at this moment. A missing grant resolves to A0	No
7	ACT	Snapshot, sandbox apply, gate re-run, identical bytes to live via a single-use credential, gate re-run on live	No
8	PROOF	The sixteen-field record, chained, returned synchronously	No
9	METERED	Exactly one meter event. Refusals meter at quantity zero	No

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The Right Path: nine rungs, one order, every time

Every governed write climbs the same checks and leaves the same row behind. No model is reachable from any rung.

STOP SET (0b)

STOP

- Tenant kill switch
- Revocation
- Blacklist
- Regulator directive

Any rung may branch here. Every stage defaults to refuse: a missing gate result is a failure, never a pass.

43 refusal codes in a closed register — policy 14, gate 19, platform 10. Twenty-eight are active at L1.

There is no warn, and no succeeded with warnings. Escalate is the honest version of warn.

RUNG		WHAT IS WRITTEN TO THE RECORD
1	**IDENTITY** — Actor, tenant and token resolved	actor · actor_kind · tenant
2	**WRITE DOOR** — Declaration at an explicit version	write type · declaration id · declaration version
3	**PRE-GATES** — Nine gates; six never skippable	gate outcomes, bound by declaration version
4	**evaluate()** — Versioned rules. Allow, refuse, escalate	policy version
5	**GUARDRAIL** — Allow-lists, then blast radius	blast radius resolved — no new field
6	**AUTONOMY** — A-level held now. Missing grant = A0	autonomy level
7	**ACT** — Snapshot, sandbox, identical bytes to live	record id · record version · payload digest **THE SINGLE WRITER — one credential, single-use, ten-minute life**
8	**PROOF** — The sixteen fields, chained, returned	sequence · previous digest · lexicon digest · recorded-at **THE SEAL — Ed25519 over the 32-octet digest at L2**
9	**METERED** — Exactly one meter event	meter event — refusals at quantity zero

End-to-end latency target: p50 ≤ 120 ms, p99 ≤ 450 ms [modelled — not measured under a real tenant's load]

OPEN ITEM: the corpus carries two unreconciled kernel budgets — ≈64 ms (proof rung 12 ms) and ≈91 ms (proof rung 40 ms).

elan1 runtime flow book and group integration contract. All latency figures modelled; none measured.

the nine rungs as a vertical ladder above the stop set, showing at each rung what is written to the record, which refusal classes can be raised, and the p50 latency budget, with the sandbox and live applies drawn outside the kernel budget

Nine gates are available at rung 3 — consent, residency, retention, dual control, rate, budget, counterparty, schedule, precondition — and **six are never skippable**. Only rate, budget and schedule may be declared off, because only those three are commercial rather than protective. The six are enforced twice, deliberately: a declaration omitting one fails validation, and the kernel runs them regardless of what the declaration says. When a gate fails, the first failure sets the refusal code and **the remaining gates still run and record**, so an operator sees every problem at once rather than one per resubmission.

The autonomy ladder has six levels and no seventh: A0 Observe (reads only, cannot reach rung 7 by any path), A1 Draft, A2 Propose, A3 Act reversible, A4 Act bounded, A5 Act broad. A missing grant resolves to A0 — not a tenant default, not inherited from a delegation chain, because delegation confers accountability and never autonomy. An irreversible write type can never be auto-approved, and an agent may never approve.

Every stage defaults to refuse: a missing gate result is a failure, not a pass, and an unavailable dependency is a platform-class refusal, never a silent allow. There is no "warn" and no "succeeded with warnings" — escalate is the honest version of warn. The path is deterministic, because no stage reads a clock, takes a random value or performs an undeclared external read; a nightly replay tests that, and a stage that acquires a clock fails that night.

4.4 One governed action, end to end

Rekha, an accounts executive at a mid-sized manufacturer running rung1 Enterprise on hosted ERPNext, holds A4 on `erp.payment_entry.submit`, declared in `erp.ar` at version 7, blast radius one counterparty.

She submits a payment entry. The tenant is not stopped. The kernel sets `actor_kind: human` from her token and never from the payload, because that field answers the security-review question "show me everything your agents did, separately from what people did". The declaration resolves at version 7 explicitly — "latest" would be rejected, not defaulted. Five declared gates run in order and pass — consent, residency (Mumbai), retention, counterparty, and a precondition that an open sales invoice exists for this amount — writing five gate-result rows, each with the inputs it saw. The rules allow at policy version 11, resolved by the kernel. The guardrail confirms the radius; the autonomy rung confirms A4 is sufficient to act alone.

Rung 7 is where the money moves, and it is deliberately the most expensive decision in the design. The kernel snapshots, applies the write in a per-tenant shadow sandbox restored from that snapshot, re-runs the gates there, and only then applies **identical bytes** to the live site through a single-use credential with a ten-minute life scoped to this one write, re-running the gates on live. The write reaches ERPNext through Frappe's own API rather than the ORM, so the target's hooks, validations and permissions run and the adapter returns the inverse operation the thirty-day rollback is built from. The record version and one outbox row commit in a single transaction. Rung 8 appends the sixteen-field record — length-prefixed, SHA-256 over a frozen preimage — returning sequence 4,097 synchronously, and rung 9 emits one meter event. Rekha's screen reads *Payment recorded · proof #4,097*, with a Reverse this control valid for thirty days.

Change one fact. An agent, `ar-agent`, at A3, proposes a sales invoice for ACME Textiles at Rs 4,20,000 (about US$4,700) against a declared credit limit of Rs 3,00,000 (about US$3,300). The precondition gate fails; every other gate still runs and records. A refusal-shaped proof entry is written at sequence 4,098 — the same sixteen fields, record identifier zeroed — with a meter event at quantity zero. The agent receives **HTTP 200** with an outcome of refused, the register code `GATE.PRECONDITION_FAILED`, the rung, the gate, the sequence and the digest. It is not a 4xx, because clients retry 4xx and a retried refusal is an attempt to get a different answer. Rekha's screen says *Not done — credit limit*, with the two numbers that failed the test and two next actions: request a limit change, itself a governed write, or reduce the invoice.

Change it again: the invoice is Rs 2,40,000 and the agent holds A2 Propose. The autonomy rung escalates rather than refusing, creating an obligation with a named human resolver set and a four-hour expiry; rung 7 is never reached. The escalation is sequence 4,099; the approval — itself a governed write recording the approver, a digest of the payload they were actually shown, and the time — is 4,100; the resubmitted write commits at 4,101. Four proof entries for one business decision is the price of having no suspended-and-resumed state inside the kernel, and the company takes that trade every time.

4.5 The Declaration: policy as data

A declaration is one machine-readable object in seven blocks — `identity`, `shape`, `permissions`, `write_types`, `gates`, `proof_binding`, `channels`. In plain terms: this thing, shaped this way, may be changed by these actors through these write types, subject to these gates, proving these fields, over these channels. It is JSON, stays under nine hundred lines, and is never a programming language — if a declaration needs a loop, the design is wrong.

The company uses the word ontology deliberately. Palantir's ontology is constructed by forward-deployed engineers against a data estate; others extract one from documents. Both are made first and reasoned over afterwards. elan1's is a **residue**: it accretes from governed writes that versioned rules typed and a human approved, each entity and constraint carrying the transaction that attested it. The ontology exists because the governed write exists, which is why the system is named after the write. Where elan1 is behind it says so — Palantir's link semantics are richer and its tooling is a decade old.

Eleven semantic rules police the object, three mirrored as database constraints: exactly one of a reversal plan or an explicit `irreversible: true` per write type; irreversible forces a blast radius of at least one counterparty and bars auto-approval; a tenant or cross-boundary radius forces dual control; a cross-boundary radius forces a non-empty proof binding, because a write that crosses an organisational boundary and commits to nothing about its payload is not a governed write. No field may be blank: the permitted dispositions are a value, `out_of_scope` with a numbered decision reference, or `not_measurable` with a reason and a statement of what would change the answer.

Holding policy as data rather than code is what makes a pack possible, and it is the load-bearing commercial claim of the architecture. Because the gates are declared and the kernel runs them, a new regulatory regime needs no new kernel code — it needs a declaration, gate parameters, a verifier profile and an approver model. Because every version is retained verbatim for ever and compilation is deterministic and content-addressed, the

screen an approver saw in 2027 can be rebuilt in 2035. Resolve "latest", garbage-collect an old version or allow a non-deterministic compile, and the guarantee goes with it.

4.6 Enforced and attested-advisory: two modes, two claims, two prices

This is the piece of product design that most repays scrutiny, because it is the company choosing to sell less.

In **Enforced** mode the kernel holds the credential to the target — in custody, minting a single-use ten-minute token at the moment of the write, or through a target configured to accept only kernel-issued tokens. Rung 7 performs the write, and a refusal means the write did not happen. The truthful claim is: *this write could not have occurred without passing the gates.*

In **Attested advisory** mode the consumer holds the credential and performs its own write. The kernel evaluates and records; rung 7 does nothing. A refusal means elan1 evaluated this and said no — and the consumer can proceed anyway, trivially, and the record will not know. The truthful claim is: *every proposed write was evaluated against a versioned policy and the decision is recorded.*

The selling rule is written into the product. In advisory mode the sentence "the write cannot happen without elan1 approving it" is forbidden, because it can; so are "we block", "we prevent" and "nothing gets through without us". The mode is set per write type at declaration time, rendered on the assurance screen, printed in every export, sealed into every subsequent record, and cannot be set by a consumer in a tool call. A customer who thinks they bought Enforced and got Attested advisory has been mis-sold, whatever the contract says.

Promotion between the two is a formal review, run per write type and never per tenant. It requires thirty days of production traffic in advisory mode; a bypass proof in which every known path to the target other than the single writer is shown failing, with the attempts recorded in the chain; confirmation that no long-lived credential exists anywhere a consumer, an agent or a human operator can reach, including the consumer's own CI; and a rollback drill by both the fast and the forward path. If a promoted write type later shows a write to the target with no record, the mode reverts immediately and the boundary date is rendered in both directions.

That discipline costs the easy demonstration, in which a vendor connects over MCP in an afternoon and says the word "enforced". It buys a claim that survives the first adversarial diligence question a serious buyer asks, and it yields the only honest answer to the question every competitor's architecture must dodge: a tool description is a suggestion, and a model that ignores it breaks nothing.

4.7 Three assurance levels, and what each does not claim

A level is a property of the proof and the claim, never of the policy. The same declaration carries across all three, and any design requiring a re-declaration on upgrade is rejected on sight.

	L1 Guarded	L2 Attested	L3 Proven
Enforcement, gates, approval, rollback	Yes	Yes	Yes
Record of every write, refusal, escalation	Hash-chained	Hash-chained	Hash-chained
Signature	None	Ed25519 over the frozen preimage	Plus a second independent implementation
Time anchor	None	RFC 3161, two authorities, one India-based	Plus a non-elan1 counter-signature
Bundle and offline verifier	No	Yes; verifier free, as source, to anyone	Plus published test vectors
Checkable by someone who distrusts elan1	No	Yes, with an out-of-band key fingerprint	Yes, without elan1 existing
Buyer	The operator	The auditor's counterparty	The market
Plan list price, per tenant per year	Rs 1,80,000 (US$2,000)	Rs 6,00,000 (US$6,667)	Rs 24,00,000 (US$26,667)

What each level lets a customer say is the cleanest statement of the ladder. At L1: *our agents cannot write to our books without passing rules we set, a person approves anything material, and we have an unbroken internal record of every attempt including the refusals.* At L2: *…and here is a file you can check yourself, on your own machine, without our vendor's help.* At L3: *…and the format is open, so you can check it in ten years whether or not that vendor exists.*

Three decisions make the ladder credible rather than a pricing device. The sixteen-field layout was frozen at L1 although unsigned, so L1 to L2 is a retrofit rather than a migration — same fields, same encoding, same digest, with a signature member appearing. At L1 that member is **absent, not stubbed** — not null, not an empty string, not thirty-two zero octets, not the word "unsigned" — because a stub is a value, values get copied, and a copied stub is eventually read as a signature by something that does not check. And a chain written at L1 **cannot be retroactively sealed**: signatures start where signing starts, records written before the upgrade stay L1 for ever, and the bundle prints the boundary date and the count on each side. Back-signing a record produced before a key existed would be the exact fraud this product exists to make impossible.

The upgrade was specified as a runbook — seven preconditions verified rather than asserted, a named irreversible instant, a rollback path and a closing record — before any customer needed it, and its own test is stated plainly: the success criterion for the first upgrade is not that it worked, but that it was **boring**. If it turns out to require a new declaration, a data migration or a write freeze, the tier design was decoration, and the company has undertaken to say so and redesign.

4.8 Refusals are free, and the database enforces it

Every metered governance product carries the same conflict of interest, and most resolve it with a sentence in a contract. elan1 resolves it with a constraint. A refusal produces a full record, identical in shape to a success, with the record identifier zeroed, and a meter event of quantity zero. A meter row whose outcome is a refusal and whose quantity is non-

zero **cannot be inserted** — there is a check constraint in the database, and reconciliation runs nightly in both directions. The meter basis for a committed write derives normatively from the declared blast radius and is never configurable per customer, because if the basis were a pricing parameter every negotiation would reopen it and the company would accumulate per-customer metering logic.

Every CFO asks, within about ten minutes, whether the vendor is incentivised to make the system say no. The answer is a constraint rather than a policy, and it costs nothing to give. It survived an internal argument: a prior pricing document proposed billing refusals at 0.3×, reasoning that a free refusal is an incentive to refuse. The founder overruled it in writing, with a stated condition for revisiting — a customer demonstrating refusal-farming — and the decision sits on the register.

The best product demonstration the company has is therefore an invoice. The refusal count appears **on the invoice**, not buried in a portal: *412 refused, Rs 0*, on the same table as the billed lines, with a control that opens the underlying records by write identifier and sequence. An invoice is never issued over an unreconciled period. The plan's price book carries this through: an included allowance of 4,80,000 governed actions a year at L1 rising to 42,00,000 at L3, overage at Rs 1.60, Rs 1.20 and Rs 0.90 per action by level, and Rs 0.40 as the internal transfer price to rung1 MODELLED. Blended revenue per governed action rises across the plan from Rs 0.400 to Rs 0.924 while modelled cost per action falls from Rs 3.039 to Rs 0.129 MODELLED — a fixed-cost business wearing a metered price, where the price exists to make growth visible on the invoice rather than to recover compute.

4.9 What is built today, and what is not

The group's decision register bars "designed" from counting as "yes", and applies the rule to itself before applying it to anyone else.

elan1 is **pre-revenue**: no customer, no signed order, no invoice, and no governed action committed or refused in a production tenant. Every cell in elan1's own row of the twenty-vendor matrix reads No, by the company's own scoring, including the rows describing its strongest ideas, because the capability is not running in a customer's tenant. In the founder's words: *we have the design and nobody's books.*

What exists is a specification corpus of unusual completeness and an implementation of the L1 kernel against a single system of record. The sixteen-field seal format is frozen with sixty-four test vectors, twenty-eight of them negative — written in Phase 2 for a signature that ships in Phase 3, because writing it once the chain held millions of records would be writing it too late. No seal may be shown outside the company until two implementations, written by two people from the specification text alone with no shared code and no shared channel, produce identical bytes on all sixty-four vectors; when they disagree, the text is wrong and the text is fixed first. That has not happened, and the previously published test-vector digest has been retired as computed against a superseded encoding table.

L2 does not exist: no signature, no anchoring, no exportable bundle, no offline verifier, no executing verifier profile. L3 does not exist, and its engineering does not begin on a date — it begins on an event: an auditor who does not work for elan1 and is not paid by elan1

accepting an L2 bundle as evidence in a real engagement and saying so in writing. If that has not happened by the end of the evidence gate, the consequence is recorded in advance — elan1 remains an L2 business with a kernel, a pack and a smaller ambition, and that is a real outcome rather than a failure of nerve.

Latency is modelled, not measured: a kernel budget of roughly 64 ms p50, the sandbox and live applies budgeted separately at no more than 1,200 ms p95, and an end-to-end objective of two seconds p95, every figure marked for measurement on real hardware; a second internal document models the same path at roughly 91 ms and the two are unreconciled. The company holds **no certification of any kind** — no SOC 2, no ISO/IEC 27001, no ISO/IEC 42001, no NIST AI Risk Management Framework assessment — and forbids anyone improving on that answer in a meeting. In the plan, L1 general availability falls in the second quarter of calendar 2027, the first external paying tenant in July 2027, L2 general availability in April 2028 and L3 entry in October 2029 MODELLED. Nothing above that line is claimed as achieved.

5. The packs: regulation compiled into a runtime gate

5.1 What a pack is

A pack is one declaration, one certified verifier profile and one regime-specific export mapping, aimed at one buyer with one auditor under one dated obligation. It is configuration, not new code. The kernel does not know what a pack is and the declaration registry has no pack table: a pack is a composition of things that already exist, plus the two things that do not exist until somebody does the work — **a certified profile and a buyer who can name their auditor.**

Concretely it holds a declaration in the seven blocks; a verifier profile binding each clause of the regime, quoted verbatim, to named write types, named gates and named record fields, with at least one machine-executable check per clause; refusal codes from the closed register; an approver model; and a limits statement, reproduced verbatim in every verification report, saying what a passing result does not establish.

The rule that keeps a pack honest is the binding rule: **a clause binds to a write type, a gate and a field — by name — or it does not bind.** A profile row that says "the system provides adequate audit trails" is prose, not a binding, and it is the failure mode of every compliance mapping in this market. In the company's own words: *packs are the sale; screens are the surface; nobody buys an approvals screen.*

5.2 Five gates, and eight packs rejected by name

Before any build work, a candidate is scored against five admission gates. All five must pass. A gate scored "probably" is scored fail.

Gate	The test	It fails when
G-A · A dated hook	A named regulation, standard or contract with a date on it	The hook is a principle, a direction of travel, or "regulators are increasingly focused on"
G-B · An auditor	Somebody whose job is to ask for the evidence	Nobody is obliged to ask. If nobody is obliged to ask, nobody asks
G-C · Honestly reversible	The write types can declare reversible or irreversible without lying	Everything important is irreversible and everyone pretends otherwise
G-D · Evidence sold separately	A buyer would pay for the bundle on its own line item	Evidence is a nice-to-have attached to something else
G-E · We own the write	elan1 is in the write path, not reading somebody else's log	We observe rather than govern. Observation produces telemetry, and telemetry is not evidence

Admitting a candidate is itself a governed write under dual control, approved by the founder; a candidate admitted by its own proposer is refused with the same-actor code the product uses on any other write. On a failed gate the candidate is **rejected by name** into a portfolio register, with the gate it failed and the sentence explaining it. It is not softened, parked or renamed. If a named auditor later turns out not to exist, the pack returns to the register with that finding, whatever has been built by then.

Six of the eight rejections are named in the corpus, and they are reproduced because a company that writes its noes in this form is one whose yeses are worth reading:

Candidate	Gate failed	The sentence
`agri1`	G-B	Subsidy audits are annual and on paper
`legal1`	G-E	The matter lives in someone else's document system
`energy1`	G-E	The write path belongs to SCADA vendors
`public1`	G-A and G-D	The procurement cycle outlasts the runway
`edu1`	G-D	No buyer for evidence on its own line
`retail1`	G-B	Reversible, low stakes, nobody audits a price change

Two further rejections are held in the portfolio register and are not named in the source corpus; they are disclosed here as a gap rather than reconstructed. G-E kills the most candidates and is the least negotiable: a candidate whose answer to "do we own the write" is "we could integrate with their log" is refused on the spot. That single test removes, in advance, every pack that would have turned elan1 into an observability product with a compliance skin.

5.3 The template and the tests

A pack is written against an eleven-block template, and a pack missing any block is not a pack: `pack_identity`; `obligation` (regime, issuer, date, clause set); `buyer` (the job title that signs, the budget line it comes from, the auditor's job title); `gate_scores`, with the five gates and their evidence retained for ever, including for packs that later fail; `declaration_ref` — because **the pack does not have its own ontology**; `write_types`; `gates`; `profile_binding`; `buyer_promise`, stating in the buyer's words what they receive and, in the same block, what it does not establish; `tests`; and `pilot` — the named customer, the named auditor, the dates and the finding.

Eight acceptance tests gate the ship. The declaration validates with no blank field. The profile is certified by someone who is not its author and passes twelve profile-conformance tests. **Every write type's reversal plan has been executed once, in a drill, and the drill is dated** — a plan nobody has run is a plan that does not exist. There is at least one real refusal per declared gate in the fixture set. A bundle verifies offline on an air-gapped machine, run by someone outside the team, and the published tampered variant fails with an integrity verdict naming the record and the field. A sound but non-conforming bundle fails with a profile verdict and **never** an integrity verdict — reporting the second as the first accuses a customer of tampering, and the first as the second hides a serious incident. And the eighth: **the named auditor reads a report unprompted and can state what it does not prove.** If they cannot, the limits statement is wrong.

5.4 ledger1, and why MCA beat GST on gate E

`ledger1` is the first pack: changes to the books of account, and the evidence that each one passed stated rules. Its obligation is the Ministry of Corporate Affairs audit-trail requirement for accounting software under the Companies (Accounts) Rules — in force since **1**

April 2023, with four clauses the profile binds individually: an audit trail of each and every transaction; an edit log of each change made in the books of account; the date on which each change was made; and that the audit trail shall not be disabled.

Its buyer is the promoter or finance controller of a firm with Rs 5–50 crore of turnover (about US$0.6–5.6 million), usually on their chartered accountant's advice, and the budget line is **audit and compliance, not software**. Its auditor is the statutory auditor, who must report whether the audit-trail feature operated throughout the year — G-B satisfied by a person who can be telephoned rather than by a category, and the same person the group already sells through.

Write type	Blast radius	Reversal	Dual control
`sales_invoice.submit`	one counter-party	Native cancel of invoice and IRN	Above Rs 2 lakh
`sales_invoice.cancel`	one counter-party	Honestly irreversible after the 24-hour IRN window	Always
`purchase_invoice.submit`	one counter-party	Native undo	Above Rs 2 lakh
`payment_entry.submit`	one counter-party	Compensating instrument	Always
`journal_entry.submit`	batch	Compensating instrument	Always
`customer.update` (credit terms, GSTIN)	one record	Native undo	On GSTIN change

Gates run in declared order — consent, residency, retention, counterparty, precondition, dual control, budget. The first six are never skippable and present by construction; budget is declared on for this pack because a runaway journal entry is the failure mode the buyer imagines first. The pack binds profile `in-mca-audit-trail` version 1 at a rule-as-at date of 1 April 2023, requires refusals present in any conforming bundle, requires continuity over the full chain rather than a sampled range, and sets a minimum assurance level of **2**.

That last constraint is the most instructive detail in the pack. Five of the profile's six checks can be answered by a chained record. The sixth — the non-disablement clause — cannot, because a chain cut at the tail is internally consistent and looks complete. The only thing that makes that clause checkable is an external time anchor, which is what L2 adds; on an L1 dry run the check reports *not applicable — assurance level 1* on the face of the report rather than passing quietly. It is the clearest available demonstration of what L2 buys, and it couples the pack's full commercial life to the April 2028 L2 general-availability date even though the plan books first pack revenue from October 2027 MODELLED.

Why MCA and not GST e-invoicing. Both pass gates A, B and D; they separate on E. For GST e-invoicing the decisive artefact is the Invoice Reference Number, issued by a government Invoice Registration Portal. elan1 governs the write that requests it; it does not own the clearance. A pack built there would be reading somebody else's log for exactly the part that matters, which is what G-E exists to prevent. For the MCA rule, the write elan1 governs *is* the change to the books of account, and in hosted mode there is no other path to it. Two supporting reasons follow: the profile already exists, certified, with

four clause bindings, six checks and a limits statement; and the buyer and auditor are the two people the group already talks to.

The pilot is ninety days, one customer and one auditor, and its declared purpose is to find out whether gate D is real. It opens with the auditor's half day, **before anything is shown**, in which the founder asks what they would need to see to rely on a record of this kind — not what would be nice, what would be necessary; anything that statement names and the profile cannot bind becomes a `not_measurable` row, never a quiet omission. The run is normal operation: no special handling, no curated data, no suppressed refusals. At day seventy-six the customer exports the bundle **themselves; if they need help, that is the finding.** At seventy-seven the auditor obtains the verifier from the published release or builds from source, disconnects the machine and runs it with elan1 not in the room, then runs it against the published tampered bundle and watches it refuse. At seventy-eight they run the two-way reconciliation against ERPNext's own audit trail, where a change in the target with no elan1 record is the finding that matters. At eighty they write, in their own words, what the bundle would and would not let them conclude — published internally verbatim, including if unflattering. At eighty-five the founder asks the question the exercise exists for: would you pay for this on its own line, separately from the software? What will not be asked is recorded alongside: no endorsement, no logo, no quotation. A conversation with an auditor is never described as validation.

5.5 invoice1 and collect1

GST e-invoicing is not abandoned; it is second, and it is a different pack. `invoice1` binds a profile over the write that requests an IRN and states plainly, in its limits statement, that the IRN, the portal response and the twenty-four-hour cancellation window are the accounting system's evidence and not elan1's. That is a saleable pack. It is not the first, because a first pack that has to explain what it does not cover teaches the market the wrong lesson. The volume is not in doubt: mandatory e-invoicing has stepped down to a Rs 5 crore turnover threshold, cumulative since FY2017-18, and firms above Rs 10 crore must report to the portal within thirty days with no grace period; an invoice without a valid IRN has no standing under GST and the buyer cannot claim input tax credit `PUBLISHED`. Each of those is a write with a statutory deadline, an irreversibility property and a financial consequence for a third party. `invoice1` enters the plan in April 2028.

`collect1` is the third, in October 2028, and it shows what the template does to a genuinely hard domain. It serves four layers of obligation at once: RBI fair-practice rules on recovery (permitted hours, no harassment, no third-party disclosure, identified caller, grievance route); telecom rules on sender registration, approved templates, preference-register scrubs and attempt limits; data-protection obligations on lawful basis, purpose limitation, retention and erasure; and the lender's own board-approved policy and outsourcing rules. Two of its six write types are honestly irreversible — a dial cannot be un-made, and a borrower's request not to be called is never undone by an agent.

Its gates are the product: fourteen, in three phases. Seven block the dial — lawful basis current at this instant and not cached; a live preference-register scrub, where a stale scrub is a refusal; the permitted window in the borrower's own location; attempt caps and a cooling period, because a retry loop is prohibited conduct; an approved, versioned, hash-pinned script; the authority band, being the amount and settlement latitude this

agent may discuss; and the correct number series from the lender's own allocation. Five run during the call — disclosure that it is an automated call, before anything else; an identity check, with third-party disclosure a hard refusal; read-back of amounts, dates and any promise; a prohibited-language guard; and a human path, where "connect me to a person" always works. Two run after: per-chunk hashed audio, complete and unspliced, and a disposition, because no call closes without one. Autonomy is capped by declaration — the agent may state facts, take a promise inside a declared band and escalate, and may never negotiate a settlement or waive a charge, which is a gate rather than a preference.

The pack states its own limits inside itself: it does not prove the debt is valid, nor that the person who answered is the borrower beyond the identity check performed, nor that the conversation was kind — only that it followed an approved script and contained no prohibited language — and the audio is proved authentic only from the capture point onward. It is priced per governed call, refusals at zero, evidence sold separately per regime — gate D, and what stops it becoming a voice-minutes business competing on the price of a resolved call. Two qualifications travel with it. Its own status is *spec sketch — the rule citations need counsel confirmation before anything ships*, the only document in the corpus carrying that label. And gate E is open: elan1 owns the call record, but the write into the lender's collection system may belong to their core software, and if it does, this pack is Attested advisory on that path, not Enforced — and must say so rather than blur it.

5.6 The pack factory

A pack is a repeatable industrial artefact and the plan treats it as one. The inputs are a regulatory engineer who can read an instrument clause by clause, a declaration owner, a profile author and — named the same day, never the same person — a profile certifier. The outputs are a declaration version, a certified profile version, a fixture set with a real refusal per gate, a dated reversal drill per write type, a tampered bundle, and a limits statement a second reader who did not write it can restate.

The plan staffs this as its second-largest function: pack and regulatory engineering rises from 2 people at March 2027 to 11, 23, 37 and 50 at each subsequent financial year end MODELLED — by March 2031 the largest engineering group in the company, above kernel engineering at 38. That is the shape of a business whose kernel is built once and whose regulatory surface is built continuously. Against it, the regulatory pack revenue line runs Rs 0.06 crore, Rs 0.83 crore, Rs 3.24 crore and Rs 7.63 crore across FY2027-28 to FY2030-31 MODELLED — about US$0.85 million in the final year, at a blended list price of Rs 1,35,000 per tenant per year (about US$1,500), with verifier profiles priced separately at Rs 3,00,000 per regime per year (about US$3,333).

That line is small, and it is not where packs pay for themselves. A pack converts a tenant from L1 to L2, which more than triples both the platform floor and the included action allowance; it makes the evidence SKU saleable at all — a line running to Rs 17.84 crore by FY2030-31 MODELLED, about US$1.98 million, which does not exist without a certified profile to sell against; and it raises governed-action volume, because a buyer whose auditor asks for the bundle routes more write types through the kernel rather than fewer.

The marginal pack gets cheaper for architectural reasons. The kernel does not change — no new rungs, no new gates, no new record fields, and specifically **no seventeenth field,**

at any level, ever. The declaration schema does not change. The verifier does not change, because a profile is data and the verifier reads it. The nine gates already exist; a new regime parameterises them rather than adding to them. What a regime costs is the reading and the binding: enumerating every clause that constrains a write, quoting each verbatim, resolving every name against a certified declaration, writing at least one executable check per clause and ensuring every check serves at least one clause, drafting a limits statement that is neither generic nor copied, dry-running against a known-good and a known-tampered bundle, and obtaining a second named human's certification. That is person-weeks of a regulatory engineer's time, not kernel releases.

The constraint on throughput is not engineering, and the company knows it. Its own open questions ask how many packs can be in review at once with one profile certifier who may not be an author, and whether a partner may author a pack at all and what stops a bad pack carrying elan1's name. Those two decide whether the factory runs at two packs a year or ten, and neither is answered. The plan's cadence is deliberately slow at the start — one pack live in October 2027, a second in April 2028, a third in October 2028 — and the certification bottleneck is the reason.

5.7 A regime is a pack; a country is a set of packs

A verifier profile is jurisdiction-prefixed by construction — `in-mca-audit-trail`, `in-rbi-collections` — and versioned against the date of the regime text it was written for. A pack is one domain and may carry several jurisdictional profiles under the same declaration: `ledger1`'s first shipped binding is India's MCA rule, and the US SEC Rule 17a-4 audit-trail alternative is recorded as a valid second profile under the same pack, not a second product. Entering a new country is therefore not a re-platforming exercise and not a new codebase; it is a set of clause bindings against write types that already exist.

The regimes that would populate such a set are already dated and public. The EU AI Act's Article 12 requires automatic, lifetime, tamper-evident logs for high-risk systems with no prescribed format, with standalone high-risk obligations from 2 December 2027 and obligations in regulated products from 2 August 2028 `PUBLISHED`. Colorado's SB 26-189 takes effect 1 January 2027 `PUBLISHED`. India's stack is densest: the MCA rule already in force; DPDP Rules notified 13 November 2025 with main obligations from 13 May 2027 and penalties to Rs 250 crore; RBI's FREE-AI framework published 13 August 2025 and awaiting circulars; SEBI's AI/ML guidance requiring every significant AI decision to be logged with a timestamp and a version; and an IRDAI working group constituted 18 June 2026 with an explicit mandate to develop pre- and post-deployment AI audit frameworks `PUBLISHED`.

The discipline applied to that list is the part worth underwriting. elan1's own assurance-level document states it: *the regulatory driver is weaker than everyone in this market pretends. Dates slip, circulars stay unconfirmed, and several US states are litigating their own AI statutes. A strategy that assumes a date is a strategy with a fuse in it. Every one of these hooks is a reason the buyer already has; none is a reason the buyer will suddenly acquire on a fixed day.* Two reserved pack names — telecommunications and government — are marked demand-led rather than regulation-led, because the research found no India-specific, agent-directed rule with a firm date in either.

The plan funds expansion modestly: an international line of Rs 0.54 crore, Rs 2.43 crore and Rs 4.92 crore in the three financial years from FY2028-29 MODELLED, against sovereign and on-premises deployments beginning in July 2029 and reaching eleven by March 2031. The expansion is carried by the pack factory and the partner channel rather than by country subsidiaries, which is what makes those figures credible at that size.

The defensibility argument reduces to one asymmetry. A competitor can copy six calls in a quarter and nine rungs in two. What it cannot copy quickly is a library of certified profiles, each binding a named clause to a named gate and a named field, each certified by a second human, each dry-run against a tampered bundle, each carrying a limits statement an auditor has read and restated — and each retained verbatim, for ever, so that a record written in March 2027 is judged by the rule as it stood in March 2027 and never retro-judged under a later one. Retro-judging a record under a later rule is the compliance equivalent of back-signing, and it is refused for the same reason. That library is the asset. The kernel is what makes it executable.

Part II — Technology

6. Architecture: the kernel, the boundary, and what elan1 refuses to build

7. Evidence: the seal, the bundle, and the verifier that does not phone home

8. Level 3: verification between organisations, disclosure without exposure, and autonomy that is earned

9. The Action Receipt: publishing the format, keeping the write path

10. Security, residency, certification and what elan1 can lawfully claim

6. Architecture: the kernel, the boundary, and what elan1 refuses to build

6.1 Three layers and a written line between them

The architecture fits in a sentence the engineering organisation repeats verbatim: **rung1 is the product, stack1 is the runtime, elan1 is the kernel — the governed write path.** stack1 hosts processes, queues, storage and the sandbox pool. Above sit the consumers: rung1 Enterprise today, third-party software vendors from Phase 2, regulatory packs from Phase 3. In the middle, elan1 decides whether a write to a system of record may happen, forces a human to approve the ones that must be approved, executes through a single writer, records the outcome and meters it.

The vertical structure is nine planes read as a cost gradient. Only two are labelled *shut*: residency and tenancy, because a residency and key-custody decision has no migration path, and the kernel, because everything depends on it. The invariant that makes the picture load-bearing is one line — **nothing above the kernel plane imports a kernel type** — enforced by an import-graph check in every consuming repository's continuous integration, because "an instruction in a document is advice and a failing build is a control."

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One kernel, three layers, and a line that is a failing build

Nothing above the kernel plane imports a kernel type. The seam is six calls, and the only arrow into the customer's books starts here.

CONSUMERS

rung1 Enterprise · third-party vendors over MCP · regulatory packs

A consumer builds against the six calls and nothing else. No consumer holds the credential.

enforced seam

KernelPort v1 — the seam, frozen at version 1

define | assert | seal | verify | scope | refuse

elan1 — THE GOVERNANCE KERNEL (plane P3, shut)

Types the intent · evaluates gates held as data · forces human approval where declared

Executes through a single writer · records the sixteen chained fields · meters exactly once

A model may produce a write intent. It may never produce an allow.

the only write →

single-use credential, ten-minute life

THE CUSTOMER'S SYSTEM OF RECORD

ERPNext · SAP · Oracle
Temenos · Finacle · Tally

One credential. One process.

enforced seam

stack1 — THE RUNTIME

Processes, queues, storage, the sandbox pool, deploy topology, observability

Component choices sit behind a fusion.*/v1 contract. stack1 decides nothing the kernel decides.

ENFORCED IN CI, NOT BY REVIEW

· Nothing above the kernel plane imports a kernel type.
· Exactly one write credential exists per environment.
· The control plane has no network route to the record store.

An instruction in a document is advice. A failing build is a control.

WHAT EACH LAYER MUST NEVER BUILD

rung1	a gates engine, an approval store, a seal, a meter or a verifier
stack1	anything on the governed write path
elan1	an ERP, a CRM, or a UI shell for somebody else's product

A product team that ships its own gate has built a second kernel.

elan1 architecture boundary rules; the three CI-enforced rules are quoted as written.

stack1 runtime beneath, the elan1 kernel at plane P3, rung1 and third-party consumers above, with the import-graph check drawn as the enforced seam

6.2 The boundary rules

Brand	May change	May never change
rung1	Its declarations, its ERP adapters, its screens within the Four Doors, its price list	Gate logic, approval logic, the proof record shape, the meter, the autonomy ladder
stack1	Component choices behind a `fusion.*/v1` contract, deploy topology, observability, the sandbox pool	Anything the kernel decides; stack1 may not read a tenant record from the control plane
elan1	The kernel, the declaration schema, the gates, the proof format, KernelPort	It may not add a second write path, and it may not special-case a product

Compressed: rung1 must never build a gates engine, an approval store, a seal, a meter or a verifier; stack1 must never build anything on the governed write path; elan1 must never build an ERP, a CRM, or a user-interface shell for somebody else's product. Three further rules are enforced in CI — nothing above the kernel imports a kernel type, exactly one write credential exists per environment, and the control plane has no network route to the record store.

A written boundary is a capital-efficiency argument, not bureaucracy. A governance company that lets each product team add its own gate ends up with as many policy engines as products: "a product team that ships its own gate has built a second kernel." The boundary turns that into a queue with one owner. A team wanting kernel behaviour changed files a Kernel Change Request; the kernel lead acknowledges within one working day and applies one question — *can this be expressed as a declaration or an adapter?* If yes, the request closes with the expression and no kernel change happens. If no, the kernel lead writes an architecture decision record naming the alternative considered and the defect class prevented, and the founder signs or refuses. On signature the change enters the queue **with a CI invariant added that would fail if the old behaviour returned**. Escalation is kernel lead to founder, with no third step.

The financial consequence is visible in the plan: kernel engineering runs from 7 people in March 2027 to 38 by March 2031, while pack and regulatory engineering — the work that scales with customers and regimes — runs from 2 to 50 [modelled]. One kernel, many packs, is the shape that lets gross margin climb from 11.4% in FY2027-28 to 86.0% in FY2030-31 [modelled], with the marginal governed action costing Rs 0.129 against Rs 0.924 of revenue in the final year.

6.3 KernelPort v1: six calls, one seam

Six calls — **define, assert, seal, verify, scope, refuse** — with identical signatures for every consumer, in every product, at every assurance level. The shapes are frozen for Phase 1; at L2 the contents of `seal` change and its signature does not.

define registers a write type at a declaration version. The version must be exactly `last + 1`; gaps are a rejection. It returns a content-addressed digest, so the same declaration compiles to the same digest for ever. Registration is itself a governed write under dual control, and it must never overwrite a version, resolve "latest", name an absent gate, or apply retroactively.

assert is the central call; everything else supports it. It runs the nine rungs in order — STOP, IDENTITY, WRITE DOOR, PRE-GATES, `evaluate()`, GUARDRAIL, AUTONOMY, ACT, PROOF, METERED — and returns a decision, the sequence number and digest synchronously, and an undo deadline. It is idempotent on the caller's intent identifier: a repeat returns the original decision and does not re-run the rungs or meter again. It must never call a model, read a clock inside a gate, return an allow without a policy version, commit without an outbox row, cache a decision, or acquire an administrative variant. Break-glass is a declared write type under dual control, recorded in the operator's own chain and visible to the tenant.

seal is the chain writer and callable only by the kernel: it consumes the outbox in commit order, assigns the next per-tenant sequence, reads the previous digest, and at L2 signs. A gap in the sequence is a P0, not a warning. **verify** recomputes the preimage and digest octet for octet, walks the chain, resolves every referenced declaration version and lexicon hash, and returns PASS or the first failure naming sequence, field and reason; at L1 the limitation is stated to the customer in these words — "At L1, `verify` requires us." **scope** resolves blast radius and autonomy for rendering, and the kernel does not trust its own answer: `assert` re-resolves both, because a consumer caching a scope result as permission has rebuilt the decision cache the kernel forbids. **refuse** emits a typed refusal; it is a call rather than a return value because a refusal is a product surface, designed once and rendered from the declaration, and it must never accept a code outside the register, accept free text, meter above zero, return a 4xx, or be softened into a warning.

Eight invariants sit underneath. The load-bearing ones: a model may produce a write intent and never an allow, with the gate, policy, guardrail, autonomy and proof rungs unreachable from any model and the unreachability enforced by an import-graph check rather than review; exactly one process mutates the target per tenant, through a single-use credential with a ten-minute life; every stage defaults to refuse, so a missing autonomy grant resolves to A0 and an unavailable dependency is a platform-class refusal, never a silent allow; there is no fast path, batch variant, admin mode, decision cache or second implementation; there is no *warn*, only allow, refuse, escalate; and the same intent at the same declaration version, policy version and `as_of` produces the same decision for ever.

6.4 The refusal register as a closed enumeration

The register holds **43 codes across three classes — policy 14, gate 19, platform 10. Twenty-eight are active at L1**; the rest activate at L2, with six more added at L3 through the register's own procedure rather than as ad hoc strings. Each code maps to exactly one rung, one class and one operator action. Adding a code takes a decision, not a commit: name what it protects, write its contract, register it, implement it as a pure function, and add positive *and* negative fixtures — the corpus notes the negatives matter more.

The ten platform-class codes say *we failed*, are not billable, and each one pages: "a governance layer that reports its own failures as policy refusals is lying to its customer in the most damaging way available: it makes them believe their controls are working when our infrastructure fell over."

	Refusal	Rejection	Platform failure
Trans-port	HTTP 200	4xx	5xx, or 200 with a `PLATFORM.*` code
Meaning	A governed outcome	Malformed; nothing entered the kernel	We failed
Record	Full sixteen-field record	None	Full record, platform class
Meter	Quantity zero, enforced by a database CHECK	None	Not billable
Retry	Never	After fixing the request	Yes, same intent identifier

A refusal is never a 4xx for one reason: clients retry 4xx, and a retried refusal is an attempt to get a different answer. A rate-limit breach is deliberately not a refusal but a transport rejection — 429, no proof entry, no meter event. A *declared* rate or budget gate failure is the opposite: a governed refusal with a proof entry, because the tenant declared that limit and the refusal is evidence the limit worked.

6.5 Conformance: the suite is the claim

No consumer may claim to run on the elan1 layer until fourteen tests pass in its own CI against the reference tenant. They cover the import graph; a bypass attempt showing every known path other than the single writer failing, with the attempts recorded in the chain; 100 sampled intents asserting all nine rungs ran in order; determinism replay; a fail-closed matrix taking registry, rule engine, autonomy table and target unavailable in turn; 1,000 fuzzed cases asserting a missing grant resolves to A0; idempotency; a *real* refusal returning HTTP 200 with a register code, a rung, a full sixteen-field record and a meter event of quantity zero; 10,000 records verified, with a flipped octet, a re-ordered pair, a duplicated sequence and a gap each failing with the correct sequence and field named; meter reconciliation; approval separation; a rollback drill on both paths; and version pinning.

The fourteenth is the one to name to an investor: a string check over the consumer's own rendered user-facing copy, asserting that at L1 it contains no instance of "signed", "tamper-proof" or "independently verifiable". **It is a test, not a guideline, and it fails the build.** A company that turns its own honesty constraint into a build failure has made a structural commitment rather than a cultural one, and structural commitments survive sales pressure.

6.6 The Declaration: why elan1 is an ontology company

A declaration is the elan1 ontology in seven blocks: *this thing, shaped this way, may be changed by these actors through these write types, subject to these gates, proving these fields, over these channels.* It is JSON with no additional properties permitted, stays under 900 lines, and is never a programming language — "if a declaration needs a loop, the design is wrong."

`identity` names the accountable **role** rather than a person, the residency domain, the system of record, and a lexicon reference whose hash is sealed into every record. `shape` holds record types and fields, each carrying a **classification** of public, internal, personal

or financial — which drives consent at L1, redaction at L2 and disclosure at L3 — plus the links that are the ontology's edges; a field absent from `shape` cannot be written, gated on, or bound into the proof. `permissions` grants an actor kind and role a write type at a minimum autonomy level, with an approval flag invalid wherever the actor kind is agent. `write_types` names each write, its blast radius from the five-value set (`one_record`, `one_counterparty`, `batch`, `tenant`, `cross_boundary`), whether dual control applies, its ordered gate list, and **exactly one of a reversal plan or an explicit** `irreversible: true`. `gates` declares which of the nine pre-gates run; only rate, budget and schedule may be disabled, and only with an architecture decision record. `proof_binding` names the payload fields entering the payload digest. `channels` names each surface — web, mobile, messaging, api, mcp, voice — the write types it carries, whether it may approve, and its enforcement mode. A channel adapts; it never decides.

Three dispositions exist for any field, and never a blank: a value; `out_of_scope` with an ADR reference; or `not_measurable` with a reason and a `would_change_if`, each at least twelve characters. "A declaration full of `not_measurable` fields is a declaration telling the truth about an immature process, which is more useful than one full of invented values."

Eleven semantic rules run at validation, in CI, with no platform present — among them that exactly one of reversal plan or irreversible exists per write type, mirrored as a database CHECK; that irreversible forces a blast radius of at least one counterparty; that tenant or cross-boundary forces dual control; that cross-boundary forces a non-empty proof binding; that every write type appears on at least one channel, because an unreachable write type is a defect rather than a draft; and that agents never hold approval rights. Seven lint rules warn rather than fail.

The lifecycle has six stages that cannot be skipped — author, validate, simulate against the reference tenant with a stub writer, certify (a named human signs; certification is itself a governed write under dual control), compile (deterministic and content-addressed), resolve against an explicit integer version. A compile producing two digests from two runs fails the build as a P0, because of the guarantee the lifecycle exists to buy: **the screen an approver saw in 2027 can be rebuilt in 2035.** Resolve "latest", garbage-collect an old version or allow a non-deterministic compile, and the guarantee goes with it. Every version is retained verbatim for ever; correcting a typo in a description is still a new version, because "there is no such thing as a small change to a governed declaration."

6.7 Controls, Regulations, and the five-link chain

Two families complete the ontology and are specified for Phase 4: **Controls** and **Regulations**. Their delta to the seven blocks is one new canonicalisation value and one new salt scope — deliberately tiny, "because a family that required the seven blocks to change would prove the seven blocks were wrong."

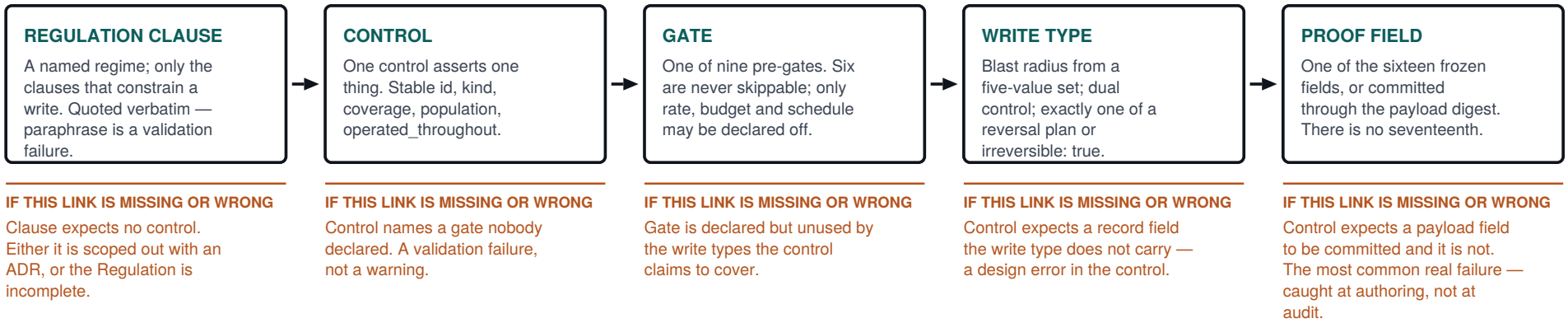
A Control is a named control, the write types it covers, what it expects of the evidence, and its test. One control asserts one thing; a control asserting two things is two controls. It carries a stable identifier such as `C-AT-01`, a version, an accountable role, a kind (preventive, detective, corrective), coverage with a note on what is deliberately outside it, an evidence expectation naming which record fields must be present and which payload fields must be committed, a test written so a second implementer can write it without ask-

ing, an explicitly stated **population** — the denominator — and an `operated_throughout` boolean. That last field is the point: "control C7 operated throughout the period" is the sentence an assurance engagement needs, and here it is a query over an unbroken chain rather than a folder of screenshots.

A Regulation is a named regime, the clauses that constrain a write (not every clause in the instrument), the controls it expects, and the verifier profile a bundle must claim. Clause text is quoted verbatim; paraphrase is a validation failure. Each clause carries an obligation kind from a closed set of six, a disposition from the same three as everywhere else, and a severity — and a blocking clause may not carry `not_measurable`, because "a blocking obligation we cannot measure is a pack we should not sell."

The five-link chain: a clause becomes an enforced gate

Every link resolves by name and version, at authoring time, in CI. Where a link breaks, the failure has a name.



WORKED EXAMPLE — the MCA audit-trail rule compiling down to an enforced gate on an accounting write

Companies (Accounts) Rules, Rule 3(1), in force 1 April 2023: an audit trail recording when a change occurred, who made it and what changed; not disabled; eight years.

→ C-AT-01 — preventive. Every change to the books of account is recorded with actor, time and before/after. Population stated. operated_throughout over the full chain, not a sample.

→ dual control + precondition + retention, declared in order under profile in-mca-audit-trail v1, at a rule-as-at date of 1 April 2023.

→ journal_entry.submit — blast radius batch, dual control required, reversal by compensating instrument. Minimum assurance level 2.

→ declaration id and version, actor, actor_kind, recorded-at; the amounts and accounts committed through the payload digest.

The sixth check in the profile — the non-disablement clause — cannot be answered by a chain alone. On an L1 dry run it reports not applicable — assurance level 1, on the face of the report.

elan1 ontology: Controls and Regulations (Phase 4 specification); ledger1 pack, profile in-mca-audit-trail v1.

regulation clause to control to gate to write type to proof field, with the failure mode named at each link

Every link resolves by name and version, at authoring time, in CI. Clause to control fails when the clause expects no control — it is then scoped out with an ADR, or the Regulation is incomplete. Control to gate fails when the control names a gate nobody declared, and that is a validation failure rather than a warning. Gate to write type fails when the gate is declared but unused by the write types the control claims to cover. Write type to record fields never fails structurally; it fails when the control expects a field the record does not carry, which is a design error in the control. Write type to proof-binding field fails when the control expects a payload field to be committed and it is not — **the most common real failure, caught at authoring rather than at audit.** Where an author cannot name the gate, the honest disposition is `not_measurable` with a reason and a `would_change_if`.

The commercial argument is one sentence. Without this, "we comply with the MCA audit-trail rule" is a claim in a deck; with it, the claim is a query — resolve every clause, follow it to its checks, run the checks over the bundle, and print the ones that are not bound. The **lexicon** is the companion piece: every declaration references a term set by hash, sealed into every record, so that "credit limit" means in 2033 what it meant on the day.

6.8 Palantir: the same noun, a different object

Earlier corpus material buried the word "ontology", reasoning that it is Palantir's noun and that entering a category the incumbent named is a permanent tax. Version 3.0 reverses that while keeping the caution: in 2026 "ontology" is the word CIOs, analysts and investors use to sort serious enterprise AI from chatbots, and a buyer who has just read about Palantir and sees no layer labelled ontology will conclude there is not one.

Palantir concept	elan1 equivalent	Honest reading
Object types, link types	`shape` and its links	Palantir's link semantics are richer and its tooling a decade old. We are behind here and do not pretend otherwise
Action types	`write_types`	Palantir models the action; it does not force the author to state how the world is put back
Submission criteria	`gates`	Submission criteria are validation; gates are a control surface — ordered, versioned, clock-free, six never skippable
Action log	The hash-chained record	An action log is a log; a record is evidence
Functions	Rung 4 `evaluate()`	Palantir's functions may call a model. This is the whole difference
No equivalent	A0–A5 autonomy, `channels`, `proof_binding`, the meter basis, Controls, Regulations, five-link resolution, three dispositions	A control here is a versioned object with a population and a certifier who is not its author. In an ontology without this, "the control operated" is a report somebody writes about the system

The difference that matters is provenance. Palantir's ontology is constructed by forward-deployed engineers against a customer's data estate; Yonyou's is extracted from documents. Both are made first and reasoned over afterwards. elan1's is a **residue**: it accretes from governed writes that versioned rules typed and a human approved, each entity, relation and constraint carrying the transaction that attested it. Compressed for a generalist partner: **Palantir models the world; elan1 models the permission to change it.** Palantir's is bigger, older, better tooled, runs on data estates elan1 will not see for years —

and it is Foundry-only. The competitive matrix scores Palantir AIP as the only vendor with two *Yes* cells, and treats that as the row proving the design is right rather than the row proving it is elan1's.

6.9 Surfaces: the MCP server and the SDK

There is one submission surface and two ways to reach it: in-process consumers link the kernel library behind KernelPort; out-of-process consumers reach it over MCP or HTTPS. Both land on the first rung, and no interface can set actor kind, sequence number, policy version or the proof timestamp.

The MCP catalogue is organised by scope, with fixed Phase 1 counts: **18 read-only tools** (unable to reach the act rung by any path), **10 staging tools** (producing a request object with no side effects) and **6 act tools** — 34 in total. The staging scope exists so an agent at A1 or A2 can do useful work without producing a stream of refusals: same tools, same descriptions, and the difference is entirely in the autonomy rung, because autonomy is a kernel concern rather than a tool-catalogue concern. Seven tools carry nearly all Phase 1 traffic: reads of records, evidence, declarations and the meter, plus staging a write, acting on a write, and resolving an escalation. HTTP endpoints are grouped into eight families, and the control-class paths have no read path to any record store — not a restricted one, none — enforced at the network layer.

One design choice answers a known weakness in the surrounding protocol. **Tool descriptions are pinned by hash in the declaration**, so changing one changes the hash, which is a new declaration version requiring certification by a named human. The MCP specification revision of 28 July 2026 has no description pinning and no re-consent requirement, so an agent can be shown one description on Monday and another on Tuesday with nothing recording the difference; elan1 pays a certification for a typo fix and considers that the correct price. The published security literature supports the caution: independent 2025–26 research reports 82% of 2,614 surveyed MCP implementations vulnerable to path traversal and 8.5% using OAuth against 53% on static API keys, and an independent census of the official registry on 14 September 2026 counted 31,309 unique servers of which 22.6% carry no source repository at all [published]. An enterprise cannot inspect its way to safety across a population growing by thousands of servers a month; it can only control what those servers are permitted to *do* — the argument for a kernel on the write path rather than a scanner on the supply chain.

Three token classes and no fourth: a tenant token carrying one tenant, one actor and one autonomy level, the only class that can reach the write endpoints; a control token that cannot reach a record store; and a read-only operations token that sees no tenant data. Tenancy comes from the token and is never a call argument — a token carrying another tenant's identifier in the body is a rejection and an alert, not a refusal — and a token that could assert its own autonomy level would make the autonomy rung decorative, so it cannot. One meter event is emitted per governed write, with the basis mapped normatively from the declared blast radius: per record, per counterparty, per batch, per tenant, per crossing. The basis is not a pricing parameter — if it were, every negotiation would reopen it and the company would accumulate "a per-customer kernel arriving through the finance department." Refusals are metered at quantity zero and the database enforces it. When a chief financial officer asks whether the vendor is incentivised to make the system

say no — and the corpus notes they ask within ten minutes — the answer is a constraint rather than a policy.

The sandbox key and the production key. The *shadow sandbox* is a kernel mechanism inside every governed write, production included: snapshot, sandbox apply, gate re-run, then identical bytes to live and a second gate run on live. The *sandbox key* is something else — a credential to an isolated tenant with synthetic fixtures, its own chain marked sandbox in every entry, meter events at quantity zero and never billed, and a limit of 10 writes a minute with 2 concurrent. It is self-serve on e-mail verification, with the tenant provisioned in under 60 seconds and the p95 published. The production key is never self-serve.

That asymmetry is the product. **"Sandbox keys are self-serve from general availability; production keys never are, and the gap between the two is the entire product."** A production key is a credential to somebody's books, and there is no honest way to issue one without a human reading what the applicant declared. What that human reads is narrow and fixed: the applicant attaches a conformance result file, a declaration version, the target system, the residency domain and **a named production owner** — a person, not a distribution list — and the reviewer checks four things and only four. That the enforcement mode is stated in writing and matches the declaration's channels. That every write type has a reversal plan or an explicit irreversible flag. That all three outcomes were proved in sandbox, including a real refusal and a real escalation resolved by a real human. And that a named human certified the declaration. Two working days — a promise the corpus flags as having no staffing behind it yet, with an open question asking who the reviewer is at twenty requests a week.

Enforcement mode makes the claim boundary mechanical. In *Enforced* mode the kernel holds the target credential, or the target accepts only kernel-issued tokens, and the permitted sentence is "this write could not have occurred without passing the gates." In *Attested advisory* mode the consumer holds the credential; the permitted sentence is "every attempt is evaluated and recorded, including the ones we refused", and "we block", "we prevent" and "nothing gets through without us" are forbidden. The mode is set per write type at declaration time, sealed into every subsequent record, and printed in any export — and a consumer cannot set it in a tool call. Promotion from advisory to enforced is reviewed per write type, never per tenant, needs at least 30 days of production traffic and a bypass proof against the real target, and records written before promotion keep the mode they were written under, for ever.

6.10 Latency, the single writer, tenancy, and dependency failure

Every latency figure is a design target, not a measurement, and is marked unverified in the source until measured on real hardware: 4 ms for stop, identity and write door; 8 ms for the pre-gates; 12 ms for policy evaluation; 8 ms for guardrail and autonomy; 18 ms for the kernel transaction at the act rung; 12 ms for the unsigned proof; 2 ms for metering — **≈ 64 ms p50 in total** [modelled]. Two honest notes belong beside it. The sandbox apply, gate re-run, live apply and live re-run sit *outside* the 18 ms figure; for rung1's hosted ERPNext they are budgeted separately at ≤ 1,200 ms p95, giving an end-to-end objective of ≤ 2 s p95 — sandbox-first is the most expensive decision in the Phase 1 design and the one that makes the 30-day rollback real. And **the corpus contradicts itself here**

without resolving it: the runtime flow book sets ≈64 ms with the proof rung at 12 ms, while the pricing model's cost side assumes ~91 ms of which ~40 ms is the proof rung. Both are modelled, neither measured, and a diligence engineer should treat latency as an open item. The group integration contract sets the end-to-end target at p50 ≤ 120 ms and p99 ≤ 450 ms, every row marked "measure this", with the standing rule that none appears in a customer document until measured under a real tenant's load.

The single writer is an invariant, not a deployment choice: exactly one process mutates the target per tenant, through a single-use credential with a ten-minute life scoped to one write, so no long-lived key to a customer's books exists anywhere a consumer, an agent or a human operator can reach. In Phase 1 the live apply goes through Frappe's own API rather than the ORM, so the target's hooks, validations and permissions all run, and the adapter returns the inverse operation the rollback is built from.

Multi-tenancy is enforced below the kernel and tested above it: row-level security on every tenant table, a migration disabling it fails CI, and the cross-tenant read test runs in CI, tries to read another tenant's row and expects a failure. Caches, search indexes and vector stores are partitioned by tenant rather than filtered at query time, and a call that cannot be attributed to a tenant is rejected rather than defaulted.

When a dependency is down the system fails closed, and the codes say so. Registry unavailable refuses at the write door; policy service unavailable refuses at the evaluation rung and pages, never falling back to a default allow; target unreachable refuses after the sandbox apply, with nothing reaching live and the retry safe; a lost writer lock restores the snapshot and pages. If the chain append fails, the act transaction has already committed, the outbox row survives, and the chain writer retries in order — no lost write and no gap in the sequence. At L2 an unavailable key custody module stops the domain signing entirely: **a platform that stops sealing is recoverable; a platform that seals badly is not.**

6.11 Version and compatibility policy

Once somebody outside the building depends on an interface, breaking it is a contractual act. An external consumer is never broken without a written, dated notice addressed to a named human, sent before the window starts and recorded — "if we cannot say who was told and when, the change does not ship." **The breaking test** is deliberately asymmetric: a change is breaking if an existing, conforming consumer could notice it, and if publisher and consumer disagree it is breaking, because "the consumer holds the casting vote: they are the one who finds out at 2 a.m."

Change class	Internal notice	External notice
Additive	None; release note only	None; release note only
New refusal code	30 days, operator action published first	60 days, operator action published first
New KernelPort major	90 days, two releases in parallel	12 months from the dated notice, headers throughout
Change to a rung's order or presence	180 days, plus a written argument	12 months, argument published rather than filed
Withdrawal of a surface	Two quarters	12 months, a named migration path, a named human on our side
Emergency security change	At deploy; notified within 30 minutes, written note within 24 hours	Same

Two things are not versions at all. **The sixteen-field proof record is frozen**, because changing it invalidates every digest written under the old shape, and a change to the fields or their encoding is not permitted at v1. And a declaration version never expires: a governed action written under version 4 resolves against version 4 for ever. Nothing resolves to "latest"; "latest" exists in sandbox and is a rejection in production.

The anti-degradation clause is unusual enough to name: "a deprecated version keeps answering, unchanged, for the whole window: never slower, never rate-limited into uselessness, never quietly mapped onto its successor, never given a worse error message to encourage movement. Degrading an old major to force migration is how vendors break this policy while technically honouring it, and it is prohibited here by name." The publisher carries the migration — a named engineer owns it with time budgeted in the publishing team rather than the consumer's, a mechanical diff ships with the notice, the publisher runs the consumer's own conformance suite against the new major *before* the notice goes out, and nothing is deprecated without a successor that does the same job. At sunset the old major stops answering only for consumers with both notices recorded; a consumer with no recorded notice keeps the old major and appears on an exception list, and "that list is the audit of this policy working."

Kernel changes are product-neutral by construction: elan1 may not special-case a product, a kernel change needs an architecture decision record signed by the founder, and the ADR number is the artefact an auditor asks for. The same rule holds inside a declaration — loosening a gate requires a new version *plus* an ADR.

7. Evidence: the seal, the bundle, and the verifier that does not phone home

7.1 What Level 1 proves, and what it does not

The commercial core of L2 is best approached by being precise about L1, because the gap between them is the entire second SKU. At L1, elan1 decides whether a write is permitted, forces a human to approve the writes that need it, executes through a single writer, records the decision in a hash-chained append-only log, and meters it. The log is tamper-evident. It is not signed, not anchored to an external time source, and not verifiable by a third party who does not trust the company — a sentence frozen in the corpus so nobody on the build side quietly adds a signature and nobody on the sales side quietly promises one.

The auditor-facing note puts the limitation in one line that should be read as written: an elan1 record shows that a change to a system of record passed stated rules, with a named actor and a named approver, in an order that can be checked — **"and at Level 1 it shows that only to someone who is willing to trust our infrastructure."** Four further limitations sit in that same external document, whose decision register forbids shortening them or moving them to an appendix. A well-recorded bad rule produces a clean chain, so the record does not establish that the rules were the right ones. It does not establish that the transaction was genuine. It does not establish the current state of the target system — if somebody with database access altered the target directly afterwards, the chain is unaffected and still reads clean, and the note calls this the most important limitation in it. And a hash chain is arithmetic over data held by the party that wrote it, so whoever controls the store could in principle recompute the whole chain.

The fifth is a property rather than a defect, and it is what justifies anchoring: **a hash chain cannot detect a truncated tail.** A chain cut at record 4,000 of 4,200 is internally consistent and looks complete; every digest verifies, every link matches, and the two hundred records that would have embarrassed someone are simply not there. At L1 the only test is reconciliation against the target system, and the note is explicit that this reconciliation — not chain verification — does the real work at Level 1, because it is the only test that does not depend on trusting elan1's store. "Tamper-evident" is the only permitted word at every level; "tamper-proof" is banned permanently, because a hash chain tells you something was altered and a signature tells a stranger who wrote it.

7.2 Seal Spec v6: sixteen fields, frozen

`elan1.proof.seal.v6` is the one hard freeze in the platform. Once a single record exists outside the building the field set cannot change without invalidating it. **There is no v6.1**; a change would be a new domain string and a new verifier, and old records would keep verifying under the old one. It was written in Phase 2 for a signature shipping in Phase 3, because "writing it after the chain had millions of records in it would be writing it too late."

The sixteen fields, with encoded lengths in octets: tenant (16), sequence (8), previous digest (32), write identifier (16), write type (5–64), declaration identifier (16), declaration

version (4), policy version (4), actor (16), actor kind (5 or 6), autonomy level (1), record identifier (16), record version (4), payload digest (32), lexicon digest (32), recorded-at (20). There are no optional fields — every record carries exactly sixteen, and a refusal carries zeroes rather than omissions. Encodings are normative to the octet: a UUID is 16 binary octets big-endian and never the 36-character text form; a string is UTF-8, NFC-normalised, with no byte-order mark, terminator or padding; a timestamp is ASCII RFC 3339, UTC, second precision, `Z` suffix, exactly 20 octets, with no offset form and no fractional seconds.

Everything is length-prefixed. With `LP(x) = uint32_BE(octet_length(x)) ‖ x`, the preimage is `LP(DOMAIN) ‖ LP(enc(F01)) ‖ … ‖ LP(enc(F16))` and the digest is SHA-256 of it. The domain string is the ASCII text `elan1.proof.seal.v6`, 19 octets. **Seventeen length-prefixed groups, always, in that order.** The canonical genesis vector is 261 content octets plus 68 octets of prefixes — a preimage of exactly 329 octets — which the corpus calls the cheapest possible conformance check.

Six choices each defend against a named failure, and the first two carry most of the weight. **No JSON anywhere in the digest path**, because JSON canonicalisation has edge cases — number representation, key ordering, Unicode normalisation, escape forms — and each is a place where two implementations disagree and "a customer's proof fails for a reason no lawyer can follow." Length prefixes rather than delimiters, because two adjacent fields separated by a delimiter can be made to collide by choosing content. The others: no optional fields; a domain string in the first group, so a digest computed under one suite can never be mistaken for one computed under another; the platform clock for the timestamp, because "a caller-supplied timestamp is a caller-supplied lie waiting to happen"; and second precision.

The exclusions are equally load-bearing. The payload itself is not in the preimage — a record containing payloads could not survive an erasure request, whereas destroying a per-record salt makes the payload unrecoverable, including to elan1, while every digest, signature and anchor stays valid. Gate results are excluded because they vary in shape, and a variable-shape member in a frozen preimage is a future incompatibility; they are bound by declaration version instead. The approver's identity is excluded because an approval is itself a governed write with its own record and sequence number, and binding it twice would let the two copies disagree. And **a seventeenth field does not exist** — a vertical needing to commit to more commits it through the payload digest, or it does not ship.

At L2 the signature is **pure Ed25519 over the 32-octet digest — RFC 8032, not `ph`, not `ctx`.** Those variants produce different signatures over the same message and are mutually incompatible, so the corpus says *pure* in the specification, in the code and in the vector; a pinned verification profile is part of the specification rather than an implementation detail, because Ed25519 strictness varies by library. At L1 the signature member is **absent, not stubbed. Not null, not an empty string, not thirty-two zero octets, not the word `unsigned`.** A stub is a value, values get copied, and a copied stub eventually gets read as a signature by something that does not check. A verifier finding a signature member on an L1 record fails that record; a verifier reading a well-formed L1 record reports `UNSIGNED — assurance level 1` and exits PASS, because unsigned is what L1 is, and a verifier that fails it has confused "absent" with "wrong".

7.3 The two-implementation rule

Two implementations, written by two different people from the specification text alone, with no shared code and no shared channel, must produce identical bytes for every vector in the set. Until that has happened the specification is a draft, and no record produced under it may be presented to anyone outside the company. When the two disagree, the text is wrong and the text is fixed first: making one implementation match the other is always the wrong repair, because the disagreement is evidence of an ambiguity that will resurface in somebody else's implementation during an audit two years later.

There are sixty-four vectors, published with the specification text and the verifier source — twelve of positive structure, twelve of positive chains, twelve of Merkle and anchor construction, and **twenty-eight negatives a conforming implementation must reject**, each naming the record and field. NV-13 is an odd final Merkle node duplicated rather than promoted; NV-14 is a signature made with the prehash variant. Those are the two places where two competent engineers reading "RFC 6962 Merkle" and "Ed25519" most often build something self-consistent and mutually incompatible. "An implementation that passes all the positives and fails to reject the negatives is not an implementation."

The validation run publishes the text and vector inputs to both teams **without the expected digests, because a team given the answer is a team checking its arithmetic against ours rather than checking the text**. The lead diffs octet for octet, and a match on all sixty-four is the only pass. A third party, preferably neither team, writes the verifier from the same text, sharing no code with the chain writer, importing nothing, reading no network, and shipping with an empty lockfile — CI fails if the lockfile is not empty. Only then are text, vectors, agreed digests and verifier source published together, and **"step 8 does not move for a commercial deadline."** The most valuable artefact is not the code but the disagreement log — every place the text was unclear, the sentence that caused it and the amendment that fixed it — kept with the specification permanently, because it is what a third-party implementer reads first.

Why this is a quality signal, for a non-cryptographer. The promise of L2 is that a stranger can check a record without trusting elan1. That promise fails not when the mathematics is wrong — SHA-256 and Ed25519 are not the risk — but when two honest programs reading the same document build slightly different things and one of them says a genuine record is fake. Requiring two independent teams to agree on every byte of sixty-four cases, and requiring the *text* to be fixed rather than the code whenever they differ, is the only known way to find that class of defect before a customer's auditor finds it in an engagement. The discipline is already visible in one self-correction: earlier documents published the genesis vector at 311 octets with a specific digest under a superseded encoding table; under the current table it is 329 octets, the old figure and digest are formally retired, neither may be quoted, and **the new digest is not written into any document until both implementations have produced it independently and agreed.**

7.4 The evidence bundle

A bundle is a directory that needs nothing from elan1. It is **self-contained** (every declaration version, lexicon and anchor token a record references is inside it), **inert** (no execut-

able content, no URL a verifier is expected to fetch) and **claim-bearing** (the manifest states the profile version claimed, so a verification has something to be true or false against).

The evidence bundle: eight members, one manifest, nothing to fetch

Self-contained, inert and claim-bearing. The verifier and the key fingerprint arrive from somewhere else, on purpose.

THE BUNDLE — a directory that needs nothing from elan1

manifest.json — binds every other member

range · counts · digest of every member · profile claimed · export timestamp

unanchored_head — records not yet covered by an anchor. Zero is a value, not an absence.

seals.jsonl — always

One record per line in sequence order: sixteen fields, digest, level, signature at L2

chain.json — always

Genesis and head digests, the range, and the boundary rows where level or key changes

anchors/ — L2

Per closed batch: RFC 3161 token, Merkle root, leaf count, inclusion paths, certification path

keys.json — L2

Key id, validity window, status, successor, public key fingerprint — never the key

declarations/ — always

Every referenced declaration version, verbatim

lexicon/ — always

Every term set referenced by the lexicon digest, verbatim

VERIFY.txt — always

How to check this without us, what each failure looks like, and what a PASS does not prove

Never in a bundle: payloads, and key material.

The manifest is deliberately not signed as a whole — a manifest signature would be a second trust root.

ARRIVES SEPARATELY

The offline verifier

Zero dependencies, empty lockfile enforced in CI, reproducible build, shares no code with the chain writer. Free source to anyone, including non-customers.

The key fingerprint

Supplied by the reviewer from their own source. A receipt that ships its own verification key is strictly worse than no signature at all.

SIX VERIFIER EXIT CODES

0	PASS
0	PASS — payload unbound
0	PASS — unsigned, assurance level 1
1	FAIL_INTEGRITY
2	FAIL_PROFILE
3	INCOMPLETE
4	UNSUPPORTED
5	USAGE

Altered is not unmet requirement is not missing piece. A verifier never collapses them.

SIZE [modelled]

≈640 bytes per record at L2 · one anchor file ≈6 KB plus ≈1 KB per covered record · ≈150 MB for a hundred-thousand-record year

elan1 Seal Spec v6 and the bundle specification. Size figures modelled; the evidence team's own open question, dated 31 August 2027, asks whether 640 bytes survives once inclusion paths are real.

the eight members, the manifest that binds them, and the two things that arrive separately: the verifier and the key fingerprint

Member	Contents	Required
`manifest.json`	The range, the counts, digests of every other member, the profile claimed	always
`seals.jsonl`	One record per line in sequence order — sixteen fields, digest, assurance level, and at L2 the signature and key identifier	always
`chain.json`	Genesis and head digests, the range, and the boundary rows where assurance level or signing key changes	always
`anchors/`	Per closed batch: the RFC 3161 token, the Merkle root, the leaf count, each record's inclusion path, the certification path and revocation data captured at anchor time	L2
`keys.json`	Key identifier, validity window, status, successor, public key fingerprint — never the key	L2
`declarations/`	Every referenced declaration version, verbatim	always
`lexicon/`	Every term set referenced by the lexicon digest, verbatim	always
`VERIFY.txt`	How to check this without us, what each failure looks like, and what a PASS does not prove	always

`VERIFY.txt` is plain text written for someone who has never heard of the company, and the corpus calls it the member most likely to decide whether the bundle is trusted. The manifest carries a format string, the tenant, the inclusive range, a record count that **must** equal the range width, the refusal count, the assurance levels appearing with a count and range for each, the continuity scope, the claimed profile, every member's digest, the export timestamp, the verifier release tested against, and `unanchored_head` — the records not yet covered by an anchor at export time, where **zero is a value, not an absence**. The manifest is deliberately **not signed as a whole**: each record carries its own signature and the member digests bind the rest, whereas a manifest signature would create a second trust root that could pass while the records failed. Two things are never in a bundle — payloads, and key material, because **"a receipt that ships its own verification key is strictly worse than no signature at all: the party who produced the receipt also supplied the means of checking it."**

Size figures are modelled: one record in the seals file runs **~640 bytes at L2**; one anchor file runs ~6 KB plus roughly 1 KB per covered record's inclusion path; **a hundred-thousand-record year is ~150 MB**, dominated by inclusion paths and declaration copies rather than by the records. The evidence team's own open question, dated 31 August 2027, asks whether 640 bytes survives once inclusion paths are real — the right way to hold a modelled figure.

Export, operationally. Exporting is itself a governed write climbing the nine rungs. The requester picks a range and a profile, and the screen shows record count, refusal count and unanchored head **before anything is generated**. Every referenced declaration version and lexicon is resolved, and an unresolvable one stops the export by name. The residency gate refuses generation outside the tenant's domain; the precondition gate requires the range to be covered by a completed nightly integrity run, offering "export the clean range instead" if it is not. The eight members are assembled, each digest computed, the manifest written last, and the export's own record appended to the tenant's chain. The requester sees "Export ready — 12,480 records, 611 refusals, 22 unanchored, profile `in-mca-audit-trail` v1", and the screen then says: **"Verify it yourself first. If it does not**

pass for you it will not pass for them." An oversized export is refused with a suggested split, never silently truncated; a re-export over the same range is byte-identical except for the timestamp. Chains and anchors are retained indefinitely; bundles are not retained at all — elan1 keeps the manifest digest and the export record, so "who exported what, when" is answerable, and keeps nothing else.

7.5 The offline verifier

The verifier has zero dependencies, an empty lockfile enforced in CI, a reproducible build, and shares no code with the chain writer. It reads exactly four things: the bundle; the profile document (the profile is data, not code); the key fingerprint the reviewer supplies from their own source; and the local clock, used only to check that an anchor time precedes now. **It reads no network, calls no API, writes nothing but its report, and records nothing.** A verifier that phoned home would not be offline and would not be a verifier.

Code	Name	Means	Reader's next move
0	PASS	Every integrity and profile check passed	Rely on it, within the limits statement
0	PASS — payload unbound	Salts destroyed under an erasure obligation; chain intact, payload unbound	Note it. Never printed as a failure
0	PASS — unsigned, assurance level 1	Structure and chain verified; signature, key-window and anchor checks not applicable	Internal control evidence only
1	FAIL_INTEGRITY	A digest, chain link, signature, inclusion path or anchor did not verify	Stop. This is forensic, not compliance
2	FAIL_PROFILE	Integrity sound; a profile requirement unmet	The records are trustworthy and the bundle does not meet this regime's requirements
3	INCOMPLETE	A referenced declaration, lexicon or anchor member is missing	Ask for a complete bundle
4	UNSUPPORTED	Unknown profile version or domain string	Obtain the matching verifier. Never interpret
5	USAGE	Bad arguments, unreadable file	Operator error

Three failures must never be confused, and every check in a profile declares its failure class explicitly for this reason. An integrity failure means data was altered and whoever held the records has a problem; reporting a profile failure as one **accuses a customer of tampering**. A profile failure means the data is sound and the regime's requirements are not met; reporting an integrity failure as one **hides a P0**. Incomplete means the bundle is missing a piece; reporting it as either **turns a packaging bug into an accusation**.

How a spliced or omitted record is detected. A record altered in place fails at the digest: the verifier recomputes the preimage from the sixteen fields under the frozen encoding table, takes SHA-256 and compares. A re-ordered pair, a duplicated sequence or a gap fails on the walk, because the sequence must increment by exactly one and each previous-digest must equal the preceding line's digest; a record removed from the middle breaks the linkage the same way. A record removed from the **tail** cannot be caught by the chain at all — which is exactly what the anchors and the unanchored-head field exist for. Each anchor file carries the batch's leaf count and every covered record's inclusion path, so a record that should have been in an anchored batch and is not becomes visible: **the anchor is the only member that can testify about records the exporter chose not to**

include. And a partial export cannot masquerade as a whole one, because the chain file carries genesis and head digests.

The verifier builds from a tagged commit, standard library only, **twice on two different machines** with a pinned toolchain digest and a fixed build epoch; the outputs must be byte-identical, and a non-reproducible build is not released. Publishing a release is a governed write under dual control, and it goes to at least two independent locations so a reader who distrusts one has somewhere else to look. Every release publishes binaries, source, checksums, the signature, build instructions, the vector set **and a deliberately tampered bundle**, so a reader can watch the verifier refuse; a defective release is superseded with a dated note, never withdrawn silently, because a reviewer who ran it needs to know what their run was worth. Four routes let a sceptic check the verifier, and all four must work: compare the binary's digest against the published checksums and release signature; rebuild from source and compare; read the source, which is small enough to read in a day; or **ignore all of that and write your own verifier from the specification and vectors, then run it on the bundle**. Route four is the one that matters: a verifier the vendor supplies is a convenience, and **the format is the product**.

The commercial point: the verifier is free and the evidence is paid. It ships as source, to anyone, including non-customers, at every level, and is never priced — "a verifier you have to buy from the vendor whose records it checks is not a verifier." What is priced is the capability to produce conforming bundles for a named regime.

7.6 Timestamp anchoring

An anchor proves one thing: **this digest existed, in this form, no later than this instant, according to a party who has no interest in the matter. Nothing more.** Four things it does not prove, each claimed by somebody selling something adjacent: not that the record was *created* at that time, only that it existed by then; not that the record set is complete, since an anchor covers what was submitted and detects a record removed *after* submission; not that the vendor is honest — **"if we anchor fabricated records faithfully, the anchors are faithful evidence of fabricated records"**; and not a legal effect, since a token from a licensed Indian certifying authority has whatever standing Indian law gives it, and that is not elan1's determination.

Mechanically, elan1 computes a Merkle root over a batch of record digests and sends the authority a request containing only that hash and a random nonce. **The authority never sees a record, a payload, a tenant name or anything else** — worth saying to a customer who assumes anchoring means sending data somewhere. The authority attaches its own clock reading, signs the pair and returns a token anyone can check offline, in a bundle, in ten years. Batching is one token per tenant per interval: the service closes the batch, records the leaf count and range — the count is itself evidence, because it makes a missing leaf visible — and builds a Merkle tree per RFC 6962 with **an odd final node promoted, not duplicated**. It stores each record's inclusion path, so any single record proves alone: a path is $\log_2(n)$ digests, ten digests or 320 octets for a 1,024-record batch. That is why a bundle can cover one record without exposing a thousand others, and why a redacted export still anchors.

The two-authority rule. Every batch is anchored by two independent authorities, at least one India-based. Both tokens go into the bundle; a bundle verifies if either verifies, and a bundle where the two disagree about the root is an integrity failure and a P0. Six selection criteria are mandatory and the first three disqualifying: RFC 3161 compliance with a published practice statement; a traceable time source, stated ("an authority that will not say where its time comes from is not an authority"); a service level agreement with an availability number and a response-time number; long certificate validity with an archival policy; a price quotable in writing; and **independence from the other authority** — different operator, different trust root, different country of incorporation, because "two authorities that fail together are one authority". The named pair is **eMudhra** as the India-based authority alongside one global commercial authority from DigiCert, Sectigo, GlobalSign or Entrust. Free public authorities are permitted in development only, never in a production bundle.

The India requirement is about residency and audience rather than cryptography, and it has dated backing: the Controller of Certifying Authorities publishes *Time Stamping Services Guidelines for Certifying Authorities* version 2.0, requiring tokens to comply with RFC 3161 and time values to synchronise to Indian Standard Time within ±1 second, governed by the Information Technology Act 2000 [published]. That is a materially different evidentiary posture in an Indian proceeding from a European commercial token. The corpus records its own scepticism beside the asset: an open question dated 31 March 2027 asks two chartered accountants whether any Indian auditor actually cares, with the instruction "ask before paying for it."

Cadence and failover. The published interval is **≤ 15 minutes, per tier, as a service level objective rather than a tuning knob**, because an auditor's question is not "is it anchored?" but "how long could a record have sat unanchored?" It is never a per-customer negotiation: the moment an interval is negotiable, the anchor stops being a property of the platform and becomes a property of the contract. **Anchoring can never refuse a write** — coupling it to the write path would mean an authority's outage stopped a customer's business. When one authority is unreachable the batch is anchored by the other and marked `single_anchor`, a degraded state rather than a failure. **Batches are never held open waiting for an authority**, because holding them turns one outage into a growing unanchored head hidden inside a single large batch later. Two consecutive intervals with the same authority failing pages the site reliability team; four with both failing changes the display from a count to a banner: "Anchoring degraded since 09:14 — 88 records unanchored." When an authority returns, outstanding batches are anchored oldest first, each keeping its own root, never merged, because merging would lose the interval boundaries an auditor is entitled to read; a batch anchored late carries its true token time, and the gap is visible and never closed by adjusting anything. An authority returning tokens that fail elan1's own verification is removed from the pair.

Cost. The anchor is the one genuinely unpriced line in the model: pricing at 10^8 records a year is not publicly quoted UNVERIFIED, and at that volume "it is either trivial or fatal". The shape of the exposure is known. A tenant writing continuously at a 15-minute interval generates roughly 2,880 tokens a month per authority, about 5,760 for the pair; a tenant writing 300 governed actions a month generates roughly 300 tokens for the pair, because an idle interval produces no batch and no token. The plan carries anchoring as a named

cost of revenue line at two authorities: **Rs 0.07 crore in FY2028-29, Rs 0.15 crore in FY2029-30 and Rs 0.29 crore in FY2030-31** [modelled] — against 2,491 million governed actions in the final year, under two-tenths of a paisa each. That is the arithmetic the plan assumes, not a quotation received. Anchoring never appears on the meter as a unit: it is a fixed cost inside the L2 attestation add-on, because it is not proportional to governed actions, because **a per-anchor line would give the vendor an incentive to lengthen the interval**, and because a customer should never be able to buy a cheaper interval.

This is not a blockchain, and the corpus says so without hedging: "the property wanted here is a timestamp from a party with no interest in the matter, which RFC 3161 provides for a fee, with a practice statement, a service level agreement and a legal entity to complain to." Publishing to a transparency log per RFC 9943 — the SCITT architecture, an IETF Proposed Standard since 30 June 2026, with COSE Receipts as RFC 9942 underneath it [published] — is an optional extra publish step, and offline verification never depends on it. Long-term validity is handled by capturing the full certification path and revocation data **at anchor time**, so validity is assessed as at the token's own generation time: an expired certificate does not change the arithmetic, a later revocation does not retroactively unsign anything, an authority ceasing to exist leaves the token unaffected, and an authority's root being distrusted is the scenario in which the second authority earns its cost. Re-anchoring an old root proves *less* than it looks — it establishes only that the root existed no later than today.

7.7 Key management and custody

The design principle is unusual enough that a security reviewer will notice it: **"a key is not a secret we protect, it is a capability we account for."** Protecting it is table stakes; being able to say afterwards exactly what it signed and what could have asked it to is the product.

Class	Purpose	Where it lives	Who may invoke it	Rotation
Domain signing key	Signs the 32-octet record digest at the proof rung	Managed KMS, Ed25519, in the residency domain's region	The chain writer process, and nothing else	12 months, or on compromise
Anchor client key	Authenticates elan1 to a timestamp authority; signs nothing a reader verifies	KMS in the same domain	The anchor service	At least annually
Release key	Signs verifier binaries, source and published vectors	Offline hardware token held by two named humans, not in any cloud	Release approver, at a release	24 months
Transport keys	TLS and the per-write single-use credential	Ordinary platform secret management	The single writer	Per platform policy

Only the first two are in the evidence path. The custody rule is absolute: key material is generated inside the custody module, never leaves it, and is never exported, backed up, printed, escrowed or copied between residency domains. **"If a procedure in this document ever appears to require the private key in a file, the procedure is wrong."** The named Phase 3 implementation is AWS KMS with the Edwards-curve key spec, pure Ed25519 and never the prehash variant, with a policy permitting signing to exactly one

IAM principal; Google Cloud KMS at hardware security module protection level is the named alternative. There is no root key and no certificate hierarchy, because a chain adds a second thing a verifier must resolve and a second place trust can be misplaced.

One signing key per residency domain, not per tenant — and the corpus insists this be volunteered rather than discovered. Ten thousand tenants on the India domain share a signing key and therefore share the fingerprint a reader pins. Isolated per tenant: the chain, the salt store rows, the anchor batch, the registry scope, the export. The consequence, stated: a tenant cannot prove its records were signed by a key no other tenant's records used. A tenant needing that takes a dedicated residency domain, or waits for customer-held keys at L3. The reasoning is honest — a key per tenant multiplies rotation ceremonies, window bookkeeping and fingerprint distribution by the tenant count, and **"the isolation it buys is mostly imaginary while we hold every key in the same account."**

Windows abut and never overlap. The register carries an identifier of the form `k_in_20270401_9c3a`, a validity window at second precision, a successor registered before the predecessor closes, and a status of active, retired or revoked. The successor's start is the instant the predecessor's end is set to: "one second of overlap makes 'which key could have signed this record' unanswerable, and unanswerable is the state this entire platform exists to prevent." Rotation is annual, with the successor generated and registered thirty days ahead, deliberately dull and deliberately practised — **"an organisation that has never rotated a key in production will not rotate one well during an incident"** — and a rotation performed in production at least once is a hard precondition for any tenant's upgrade to L2. Registering a key is a governed write under dual control approved by someone who is never the requester, and the record is appended to the operator chain *and* to each affected tenant's chain. The custodian then publishes the new fingerprint through the out-of-band channel every pinning reader was given at onboarding, **and records that they did**.

The compromise flow turns on one number. On any of four triggers — an audit log showing a signing call the platform cannot account for, an exposed credential carrying signing permission, an insider event, or a vendor advisory — the incident commander declares a P0, with **no precondition: suspicion is enough to start**. The commander records `T_suspect`, the earliest time the key may have been usable by somebody else: "this is the number everything else hangs off, and it is always the earliest defensible time, never the most convenient one." Signing stops in the affected domain and the chain writer **continues to write and chain records unsigned, marked assurance level 1** — writes keep working, proof degrades, and the product says so in those words. A successor is registered under dual control, and the predecessor is **revoked rather than retired**, with its window closing at `T_suspect` rather than at the successor's start, leaving **a declared unsigned interval rather than a fictitious continuous one**. Every affected tenant is notified in writing within 24 hours, with template wording fixed in advance so it is not drafted under pressure.

Three statements about records signed by a revoked key are true at once, and the notice must contain all three. **They still verify** — the signature is arithmetically valid and the verifier reports PASS; revocation is not a verification failure and is never reported as one. **They are no longer exclusive** — after `T_suspect`, "only the kernel could have produced

this signature" is no longer defensible; before it, it is. **They are still anchored** — a record covered by an anchor issued before `T_suspect` has an independent witness to its existence and content at that time. Revocation limits what may be signed after the revocation instant and never invalidates what was signed before; a request to re-sign the revoked range is refused by the kernel, not by a policy document. If the successor cannot be generated because of a regional outage, the domain stays unsigned and keeps writing: **there is no fallback key and no spare in a drawer, because a spare key in a drawer is the thing being protected against.**

Dual control applies to five operations — generating a key, registering a window, rotating, revoking, and publishing a verifier release — and none has an emergency variant. No single human can cause a signature: the custodian can register a key, only the chain writer can invoke it, and only for a record produced by the act rung; there is no administrative "sign this" surface, and building one "would be the shortest available route to destroying the product." Key use is recorded in three places that would have to be corrupted together: the cloud provider's audit log, written to a separate account with a retention lock; the elan1 chain, append-only, carrying the key identifier on every record; and the anchors, produced by two external authorities. **The nightly reconciliation compares the first two in both directions**: every signing call must correspond to exactly one record, and every signed record to exactly one signing call. A signing call with no record is the most serious alert the platform can raise, and it pages immediately and stops the domain. When an auditor asks "how do I know your engineers cannot sign whatever they like?", the answer is a procedure they run themselves: read the key policy verbatim and see that signing is granted to exactly one role assumable only by the chain writer's compute identity, with no human principal listed; read the provider's own configuration history, which elan1 does not write to; count signing calls and signed records for a period; reconcile. **Equality is the finding.**

The limitation the company discloses about itself, unprompted, by founder decision: at Phase 3 the signing key is held in elan1's own cloud account under a managed KMS, and **a sufficiently privileged insider in that account could alter the key policy.** They could not do so without the provider's configuration history recording it, without the dual-control record being absent, and without the reconciliation showing an excess — **but they could do it.** The custody model that removes this is customer-held keys, which is L3. A vendor that writes that sentence into its own key-management specification, and instructs its people to give it unprompted to any reviewer who asks about key control, has made the strongest available argument that the rest of the document is true.

7.8 Verifier profiles

A profile is a checkable claim — *this bundle is conforming for this regime under this profile version* — and the only way to make that sentence true is to bind every clause to a write type, a gate and a field, by name. It is not a legal opinion, not a certification, and not a claim that a regulator has accepted anything, and that distinction goes into the report, in the report's own words, every time.

Eight blocks. The identity block carries a jurisdiction-prefixed identifier such as `in-mca-audit-trail`, a version, the regime, issuer, jurisdiction, author, **a certifier who is never**

the author, and a status. The regime-binding block is load-bearing: one row per clause, carrying the citation, the clause text **quoted rather than paraphrased**, an obligation kind from a closed set of six, the write types, gates and record fields it binds, the checks serving it, and a disposition. The bundle-requirements block names required members, a minimum assurance level — **2 for any profile asserting non-repudiation** — and a continuity scope, where anything other than the full chain must be printed in the report. The checks block gives each check a kind, a statement, a pass condition written so a second implementer can write it, and an explicit failure class. The rest are report vocabulary, the limits statement, versioning and conformance. The governing rule: **a clause binds to a write type, a gate and a field — by name — or it does not bind.** A row saying "the system provides adequate audit trails" is prose, "and it is the failure mode every compliance mapping in this market has."

Who authors and who signs. An author enumerates every clause that constrains a write, quotes each verbatim, and resolves every name against certified declarations — a profile binding to a gate nobody declared binds to nothing. Every clause must have at least one check and every check must serve at least one clause. The limits statement is rejected if it is shorter than 200 characters or textually identical to another profile's, because a copied limits statement has not been thought about. The profile is dry-run against a known-good and a known-tampered bundle and must pass the first and fail the second, naming the tampered record and field. **Certification is a governed write under dual control, approved by a second named human who is never the author.** Twelve conformance tests run against the profile itself; two fail most first drafts — the one requiring a sound bundle with a missing member to exit `2 FAIL_PROFILE` and never `1`, and the one requiring a person who did not author the profile to read a report and state, unprompted, what it does not prove.

The worked profile binds four clauses of the Ministry of Corporate Affairs audit-trail requirement for accounting software — in force since 1 April 2023 — through six checks. Its most instructive row checks the non-disablement clause: every record must be covered by an anchor whose token time precedes now, with the unanchored head printed in the notes, and failure classed as integrity. That clause is the one an audit-trail export cannot answer, because a chain cut at the tail is internally consistent and looks complete; the check makes it checkable at all, and is why the minimum assurance level is 2. On an L1 dry run it reads `not_applicable — assurance level 1` and the report says so on its face rather than passing quietly. **That single row is the clearest available demonstration of what L2 buys.**

Versioning when the rule changes. A clarification with no new obligation gets a new profile version with the rule date advanced and checks unchanged, the old staying certified. A new or altered obligation gets a new version with new bindings and checks, the old becoming superseded and continuing to verify. A withdrawn regime or a profile found wrong becomes withdrawn, and a bundle claiming it exits `4 UNSUPPORTED` with the withdrawal date printed. A change to the record format is not possible; the sixteen fields are frozen. The governing rule is the one an auditor cares about most: **a bundle is judged under the profile version it claims, not the current one.** A record written in March 2027 is judged by the rule as it stood in March 2027, because "retro-judging a record under a later rule is the compliance equivalent of back-signing, and we refuse it for the same

reason." A verifier asked to judge a range spanning a commencement boundary refuses the single-profile run and offers the two sub-ranges with their profile versions.

7.9 The evidence SKU

Evidence is the second revenue line, and it is a hypothesis with a specification register attached until somebody signs a contract with it on its own line.

Item	Price
Verifier profile, per regime per year	Rs 3,00,000 (US$3,333)
Counterparty verification seat, per year	Rs 45,000 (US$500)
Evidence bundle beyond the included allowance, each	Rs 2,500 (US$28)
The offline verifier	Rs 0, source, to anyone, including non-customers

Modelled evidence revenue runs **Rs 1.09 crore in FY2028-29, Rs 6.32 crore in FY2029-30 and Rs 17.84 crore (US$1.98 million) in FY2030-31** [modelled] — 7.7% of total revenue in the final year. One tension is worth naming rather than glossing: the specification says export is unlimited and free, on the reasoning that rationing it teaches the customer not to use it, while the price book carries a per-bundle charge beyond an allowance. The price book is what the financial model runs on; the specification is what the product does; reconciling the two is an open commercial item rather than a modelled number. The verifier is never priced, at any level, to anyone.

The honest commercial position is written into the scope freeze. There is still no customer. L2 rests on the hypothesis that evidence has a separate buyer with a separate budget, and the test is dated: **Gate 3, end of Q4 2028, is the day somebody signs a contract with evidence on its own line.** If it fails, evidence is a feature of the platform licence and elan1 is a smaller, real business rather than a category. The fallback is written so it cannot be argued away later: the relevant definition-of-done item is satisfied by a signed contract with evidence on its own line **"or an honest statement that it did not happen."**

8. Level 3: verification between organisations, disclosure without exposure, and autonomy that is earned

8.1 The entry condition, which is also a tranche gate

L3 engineering does not begin on a date. **It begins on an event.** No L3 capability is designed, staffed or promised — "including design work, including a slide" — until an auditor who does not work for elan1 and is not paid by elan1 has accepted an L2 evidence bundle as evidence in a real engagement, and has said so in writing the company may keep. "Accepted" is measured rather than felt, and all four tests must hold: the auditor **ran the offline verifier themselves, on their own machine**, evidenced by their run and their exit code, dated; they **relied on the bundle for a working paper or a finding** rather than merely looking at it; they can **state, unprompted, what a PASS does not establish**; and they **would ask for one again**, in writing.

The consequence of failure is written down in advance so it cannot be re-argued: **"if no outside auditor will take the bundle, an open standard for the bundle is a solution to a problem nobody has"**, and elan1 remains an L2 business with a kernel, a pack and a smaller ambition. "That is a real outcome and not a failure of nerve."

The financial plan carries the same logic as capital discipline. The round is **Rs 180.0 crore (US$20.0 million) in three tranches against gates** — Rs 63.0 crore at close in March 2027, Rs 72.0 crore at the Gate A tranche in October 2028, and **Rs 45.0 crore at the Gate B tranche in July 2029**. L2 general availability is April 2028; the evidence-contract gate falls at the end of Q4 2028, between the two later tranches; **L3 entry is October 2029, three months after the third tranche is released.** An investor's exposure to the L3 thesis is therefore the third tranche rather than the round, and what unlocks the spending is an outside auditor's written statement rather than an internal milestone.

8.2 Cross-organisation verification

The corpus draws a line its own earlier documents blurred. **Third-party verification** is a bundle handed over and checked by its recipient: it works at L2 and needs no protocol. **Cross-organisation verification** is a protocol between two organisations — counterparty identity, key discovery, trust anchors neither party owns, a receipt exchanged in the course of business, and one chain's record bound to another's. That is L3. "The difference is not cryptographic. It is that in the first case a human carries the artefact and supplies the trust root by hand, and in the second a system does it repeatedly, at transaction speed, between parties who have never spoken to our sales team."

What crosses is a **receipt**: one record, one signature, one anchor inclusion path, one issuer identity, and where selective disclosure applies the disclosures the issuer chose. Explicitly not in scope: a shared ledger, a consortium chain, a network elan1 operates, or any construct in which two organisations' records live in one place. **Every organisation keeps its own chain. Nothing is replicated. If the design ever requires a party to write into another party's chain, it is wrong.**

Identity is DNS-anchored — `org_id` takes the form `ar-org:<domain>`, for example `ar-org:acmetextiles.example`. Three reasons: domains are already how organisations are identified commercially; the resolution mechanism exists everywhere; and revocation has a natural home, because an organisation that loses its domain has a bigger problem than a receipt.

Discovery route	Mechanism	Trust
1	Out-of-band fingerprint, pinned by the receiver from a person, a contract or an existing relationship	Highest. This is the L2 model and it remains the strongest
2	Issuer-published key document at `https://<domain>/.well-known/action-receipt-keys`	Moderate. It proves control of the domain at fetch time, nothing more
3	Trust anchor attestation — a third party publishes a signed, timestamped statement binding the organisation to fingerprints	Highest available at scale, and only as good as the anchor
4	In-receipt hint naming the issuer and key identifier	**None.** A hint is used to look up, never to trust

Routes are tried in strict order, first success winning. A receipt never carries its own verification key — sharper here than for bundles, because a receipt travels between parties with a commercial interest in each other. **The verifier must be incapable of treating route 4 as a key**, and when a key document is unreachable the check does not fall back to the hint at any timeout: it reports `POLICY.TRUST_ANCHOR_UNKNOWN` and stops. There is no degraded mode. Which route resolved is recorded per receipt and rendered in the counterparty register, because "accepted on a pinned fingerprint since March 2028" reads differently from "accepted on a key document fetched four minutes ago", and the difference belongs on the screen.

The trust anchor is the least-solved part of the design, and the corpus says so. Four candidates were assessed. elan1 publishing the register of its own customers' keys was **rejected** — "a vendor-operated trust root is exactly what L3 exists to remove", and it would make elan1 a single point of failure for transactions it is not party to. A transparency log operated by somebody else is the strongest technical fit and the closest neighbour to what SCITT is designing, but depends on a log existing that is not elan1's. An existing public-key infrastructure or sectoral registry is realistic in a single jurisdiction and sector, but "every one is a negotiation, not a design decision". Bilateral pinning alone "works, scales badly, and is the honest starting state". The decision: **Phase 4 ships routes 1 and 2, specifies route 3 so an anchor can be added without a format change, and elan1 does not operate a trust anchor, does not launch a registry, and does not gate the protocol on one existing.**

That elan1 rejected *itself* as the anchor is the single strongest signal in the L3 specification that the company understands what it is selling. A vendor making itself the trust root would have rebuilt, one layer up, the dependency the whole product exists to remove, and would have converted an evidence business into an infrastructure business carrying counterparty risk it cannot price. The published standards environment supports the choice: SCITT's transparency service, RFC 9943 as of 30 June 2026 [published], is precisely the kind of anchor elan1 declines to operate, and the natural interoperation is to register a receipt's digest in a conformant transparency service and carry its inclusion receipt as an

anchor suite. The corpus adds, carefully, that no liaison work has been done and this is a reading of published material rather than a relationship UNVERIFIED.

Issuing is a separate governed write after the fact, never a rung. It climbs the nine rungs itself: counterparty registered and not sanctioned; consent where a disclosed field is classified personal; residency, because a receipt may not be assembled outside the tenant's domain; and precondition, because the source record must exist, be signed, and not be inside an open erasure request. The receipt carries the sixteen fields, digest, signature, key identifier, the anchor inclusion path where the batch has closed, and **three envelope fields — audience, a 128-bit nonce, and an expiry**. The issuance is appended to the issuer's own chain, committing to the receipt digest and the audience through the payload digest, metered at the source write type's basis at quantity one, and idempotent on a reissue to the same audience. An unanchored source record does not refuse: it issues with the anchor path absent and states `unanchored`, "because hiding that would be worse than printing it". Delivery is not elan1's problem — a receipt is a file, and travels by whatever channel the invoice took.

Receiving follows a normative order in which the cheap, non-cryptographic refusals come first. The verifier echoes the claim before checking anything. It checks **audience against the receiver's own identifier before it touches a key** — a mismatch is a hard failure, because a receipt addressed to somebody else is evidence about somebody else's transaction. It checks expiry and freshness. It resolves the issuer's key by a configured route and prints which one. It recomputes the preimage from the sixteen fields, compares the digest, and verifies the pure Ed25519 signature against the resolved fingerprint with the key's window covering the recorded time. It checks the anchor inclusion path where present, and where absent reports `UNANCHORED` and continues, because unanchored is a stated property rather than a failure. It checks disclosures against their per-field commitments, and replay on issuer, source sequence and digest — **a repeat is reported, not silently deduplicated**. And it prints a limits line: "this establishes that the issuer's governed write path produced this record under these rules at this time. It does not establish that the underlying transaction occurred."

Binding is a write intent of type `receipt.accept` climbing the nine rungs like any other. It declares a cross-boundary blast radius, which by the declaration schema's own semantic rules forces dual control and a non-empty proof binding — both the right defaults and neither configurable. The verification result is an input to the precondition gate rather than a claim in the payload. At the proof rung the receiver's record commits, through the payload digest, to the issuer's receipt digest, the issuer's organisation identifier, the key identifier used, the discovery route and the disclosure list. **This is how one chain binds to another with no seventeenth field**: those values are payload fields entering the payload digest like any other committed value, so the receiver's chain commits to the exact bytes of the issuer's record without either chain changing shape, without a shared ledger, and without the sixteen fields gaining a member. The seal freeze holds at L3 because this is the design that makes it hold. Nothing is recorded in the issuer's chain on acceptance and there is no callback — **"a protocol in which acceptance phones the issuer would make every receipt a tracking beacon."**

Revocation and key history. A key rotated between issuance and verification simply passes, because a retired key's records still verify and the abutting windows make "which

key could have signed this" answerable. A key revoked after compromise is reported as **REVOKED with the revocation time**, and the verifier **does not decide** whether a record signed before it is trustworthy — that is the receiver's judgement. An issuer that stops existing leaves pinned fingerprints still verifying, which is the L3 promise: the receipt outlives the issuer as well as the vendor. elan1 ceasing to exist changes nothing, because nothing in the flow calls elan1, deliberately.

Six new refusal codes are registered through the existing procedure rather than as ad hoc strings: `POLICY.RECEIPT_AUDIENCE_MISMATCH` ("return it; do not act on it"), `POLICY.RECEIPT_EXPIRED`, `POLICY.TRUST_ANCHOR_UNKNOWN`, `POLICY.RECEIPT_UNVERIFIED` ("stop; this is forensic, not commercial — do not negotiate it over email"), `GATE.RECEIPT_REPLAYED` and `GATE.COUNTERPARTY_UNKNOWN`.

Disputes. The disputing party captures the exact bytes they received — not a re-export, not a screenshot, not a copy from a mail client that may have altered encoding. Both parties run the same published verifier version against those bytes independently. **If the two runs disagree, the verifier build is at fault and the disagreement is a P0 for elan1, whoever raised it.** If both fail identically, the failure class answers which of four things happened: a digest mismatch means the bytes were altered after signing; an invalid signature against a resolved key means a wrong key or a forgery, with a route-2 resolution the first suspect; an invalid inclusion path means the anchor does not cover this record; audience or expiry failures are procedural rather than forensic. The issuer then produces the source record from their own chain, and the chain either contains that record at that sequence number or it does not, "and that is the answer". **elan1 does not adjudicate, and any request to declare a counterparty wrong is declined in writing.**

The disclosed leak. A counterparty holding many receipts learns things the design cannot hide, and the corpus refuses to pretend otherwise. The tenant identifier is constant, so all receipts from one tenant are linkable — unavoidable, because it is what makes the chain a chain. Write type, actor kind and autonomy level disclose that an agent acted and at what level; deliberate, and the transparency the EU AI Act's Article 50 hook is about, but still disclosure. Timing patterns disclose working hours and batch schedules. And the sharp one: **the sequence number is monotonic per tenant, so two receipts a month apart disclose the issuer's governed-write volume between them.** "A receiver who gets receipt 41,288 in March and 58,100 in April knows the issuer made roughly 16,800 governed writes in between. This is a real leak and there is no mitigation that keeps the chain verifiable." Receipt unlinkability is not claimed and will not be, because a design that hid the shape would either break verification or require pairing-based cryptography already rejected for the verifier. **An issuer who cannot accept volume disclosure should not issue receipts to that counterparty, and the issuance screen says so in those words before the first receipt to a new audience.**

8.3 Selective disclosure

Two situations drive the capability. One record, two recipients: the statutory auditor needs the invoice amount and the tax identifier, the lender needs the amount and the counterparty, neither needs what the other got. And a fact without a file: "this write was under

the declared credit limit", where the recipient needs the fact established, not the limit, not the exposure and not the customer's balance.

The record does not change. Sixteen fields, the same encoding, digest and signature, at L1, L2 and L3. Everything happens inside the payload digest and in a ninth bundle member, and "a design requiring a seventeenth field was considered and rejected in one line."

The construction. At L3 the canonicalisation gains one value, `elan1_lp_sd_v1`, under which the payload digest is computed in two stages: per field, `field_digest(i) = SHA-256( LP("elan1.sd.field.v1") ‖ LP(field_salt(i)) ‖ LP(field_name(i)) ‖ LP(field_value(i)) )`; per record, `F14 = SHA-256( LP("elan1.sd.root.v1") ‖ LP(field_digest(1)) ‖ … ‖ LP(field_digest(n)) )`. Field order is the order of the proof-binding list in the declaration version the record names, which is immutable, versioned and inside every bundle, so order is never ambiguous. Four properties follow. The payload digest is still one 32-octet value, so the preimage, signature, chain and anchor are untouched and **a verifier written against Seal Spec v6 verifies an L3 record without modification**. A field is revealed by publishing its name, value and salt, and anyone can recompute that field's digest and, with the others, recompute the root and compare. Revealing one field reveals nothing about another, because each carries an independent salt. And destroying the per-record secret still unbinds everything, so erasure works exactly as at L2.

Salts are derived, not stored: `field_salt(i) = HMAC-SHA256( record_salt, "elan1.sd.salt.v1" ‖ LP(field_name(i)) )`, truncated to 32 octets. One secret per record keeps the erasure story identical to L2 — destroy the record salt and every field commitment becomes unopenable, including to elan1. The derivation is keyed by field *name* rather than position, because keying by position would silently change meaning if a future version reordered. HMAC rather than a plain hash, because the record salt is a secret and a plain hash of a secret and a known string "invites length-extension arguments nobody should have to have". Thirty-two octets, because that makes a guessing attack on a low-entropy value infeasible.

SD-JWT's construction, not its container. The mechanism above is SD-JWT's disclosure construction — salted per-claim commitments carried separately from the signed object — adopted deliberately as the most reviewed design for the problem. The container is rejected, because JSON canonicalisation is banned from the digest path: adopting one "would reintroduce, at L3, the exact class of defect the length-prefixed preimage was designed to remove". **BBS+ was rejected while being described as genuinely better** — unlinkable, multi-show, selective disclosure native — because it requires pairing-friendly curve arithmetic in the verifier, "which ends the zero-dependency, empty-lockfile, readable-in-a-day verifier that is the reason anyone believes us", and because it would replace Ed25519 and break the seal freeze. A Merkle tree over fields was rejected on size: at the field counts a declaration actually has, typically under twenty, the flat construction is smaller and has no tree-shape ambiguity to specify. Zero-knowledge predicate proofs were rejected for Phase 4 as "the right answer to the predicate problem and the wrong answer to every other question: proving-system dependency, trusted-setup arguments, and a verifier nobody outside cryptography can read". SD-JWT was published as RFC 9901 [published]; the corpus marks its own citation UNVERIFIED pending confirmation, and the position is to **cite SD-JWT as prior art and not claim to implement it**.

What may never be redacted. The sixteen record fields are always fully disclosed, because they *are* the record and hiding one would break the preimage, the digest and the chain. Payload fields not named in the proof binding cannot be disclosed at all, because they were never committed — "a disclosure of an uncommitted field is an assertion, not a proof". The per-record salt is never disclosed, because disclosing it unbinds every field at once and destroys the erasure property. Gate results are disclosed as a set or not at all. Signing key material is never disclosed, at any level, in any artefact. And a derived fact without its value is not in scope, because that is a predicate proof; the supported answer is careful declaration design — have the declaration commit the predicate's outcome as its own field, `credit_limit_satisfied: true`, computed by versioned rules and committed like any other value, so that disclosing the field discloses exactly the fact while the number stays hidden. "It is not zero-knowledge; it is careful declaration design, and it covers most of what is actually asked for."

The eight limits the specification states about itself belong in a diligence file rather than a footnote. (1) Disclosure hides values, not shape — a recipient learns that an agent at A3 submitted a sales invoice on a Tuesday even if they learn no field of it. (2) A low-entropy field is guessable: a 32-octet salt stops a dictionary attack on the salt but not a recipient who knows the field has four possible values from testing all four. **Commitment is not encryption.** (3) Undisclosed does not mean unknowable, and the mitigation is declaration design rather than cryptography. (4) No predicate proofs. (5) No unlinkability. (6) Records written under the earlier canonicalisation are never selectively disclosable, permanently. (7) **elan1 still holds the salts** unless the tenant holds their own keys and their own salt store, which is a deployment option rather than a product default — and until then, "we cannot see your data" remains a sentence the company may not say. (8) A disclosure is irrevocable: once a field's salt and value are handed over they are known, there is no recall, and the export record exists so that at least the fact of the disclosure is not deniable.

Operationally the export screen prints both lists before anything is generated — **"you are revealing 3 of 11 committed fields"** is the sentence that prevents the mistake the feature exists to prevent. The bundle gains a ninth member and a new format string; a verifier built for the earlier format exits `4 UNSUPPORTED` rather than verifying the parts it recognises. A profile requiring an undisclosed field exits `2 FAIL_PROFILE` — a conversation about scope, never about tampering. A disclosed field whose digest does not match exits `1 FAIL_INTEGRITY`, naming record and field. **Withheld is not missing, and missing is not altered.** Because integrity and profile checks were already separated two documents earlier, for a different reason, selective disclosure required no new failure class — which is why it is a ninth bundle member rather than a redesign.

8.4 Precedent and earned autonomy

This is the "intelligence" in Governed Intelligence, and the specification opens with three rules before it describes a single number, because the capability that would sell itself is also the capability that would put a statistical model near a decision.

Rule 1 — nothing crosses a tenant boundary. Precedent is computed over one tenant's own chain, for that tenant, and is visible only inside it. There is no cross-tenant bench-

mark, no industry baseline, no "firms like yours" comparison: **"a benchmark built from customers' records is a product our customers did not agree to be an input to." Rule 2 — no model in the decision path, and no model in the graduation decision.** The policy rung is versioned rules; the precedent score is a versioned deterministic function over counts, replayable from the chain alone. A learned model may rank, summarise or explain in the console, for a human reader, and may never be an input to a score, a grant, a gate or an allow, with the import-graph check in CI covering the score function as it covers the gate and proof rungs. **Rule 3 — autonomy is earned and always revocable**, raised only by a dual-control governed write against stated evidence, and **never by a support action, an admin toggle, a contract clause, a pricing tier or a salesperson. There is no API that sets an autonomy level.**

Data	Crosses a tenant boundary?
Records, payloads, salts, gate results, refusals, approvals	Never — row-level security on every tenant table, cross-tenant read test in CI
Precedent counts and scores	Never — derived from records, they inherit the records' boundary
An action class's graduation history	Never — it is a fact about that tenant's agents
Aggregated benchmarks across tenants	**Not built.** Not opt-in, not anonymised, not k-anonymous. Not built
Declaration and profile templates elan1 authors	Out and in freely — they are ours, not derived from anyone's records
A defect learned from one tenant's chain	As a fix, never as data. The kernel, pack or template changes; the finding's content does not travel

A future cross-tenant statistic would need all of: an explicit per-tenant opt-in that is itself a governed write, a k-anonymity floor, counts only with no payload-derived values, and a published methodology. None of that is in Phase 4, "and this row exists so that a later document has to argue for it rather than assume it."

The unit is the action class, the tuple `(tenant_id, write_type, actor_kind, blast_radius)` — not the agent and not the actor, because autonomy attaches to what may be done and to whom it is granted, and a class survives an agent being replaced. **Eleven counters** are computed as a projection over the chain: `submitted` (every attempt, including refusals); refusals by gate code; refusals by policy rule; `escalated`; **`approved_unamended`** — approvals where the applied payload equals the proposed payload, the load-bearing counter, because a human looked and changed nothing; `approved_amended`, which is evidence against graduation; `declined`; `expired`, which is neither evidence for nor against; `reversed_in_window`; `corrected_after_window`, "the worst signal in the set"; and `sandbox_diverged`. Counters run over a rolling 180-day window with a 90-day minimum of history and are **always replayable**: given the chain and the function version, anyone — including a regulator holding a bundle — recomputes the same numbers. "A score that cannot be recomputed from the bundle is not evidence, and this system does not produce values that are not evidence."

`score_v1(counters) → {value, inputs, version}` returns a value in 0–100. Its shape is specified; its constants live in the function version and change by a new version, never in place.

Component	Direction
Volume of `submitted`	Raises, with a floor and a ceiling
`approved_unamended` ratio	Raises — the closest thing to evidence that approval is ceremonial
`declined` rate	Lowers, steeply — a human saying no is the strongest single signal against
`approved_amended` rate	Lowers — a human corrected the agent, even though the write succeeded
`reversed_in_window` rate	Lowers, steeply
`corrected_after_window`	**Hard bar** — any occurrence in the window disqualifies the class outright, regardless of score
`sandbox_diverged`	**Hard bar** — the write path disagreed with itself
Gate refusal rate	**Neutral**
Days since the last decline or reversal	Raises slowly — recency matters more than totals

The neutral row reveals the design. **A high refusal rate means the gates are doing their job and does not lower the score.** What lowers it is a human intervening on a write that passed. "A score that penalised refusals would teach tenants to loosen gates to earn autonomy, which is the worst incentive this platform could create."

Only A2 → A3 graduates. A0 to A1 and A1 to A2 are grants by declaration and do not reach the act rung alone. A3 to A4 and A4 to A5 are not in Phase 4 and remain declaration decisions with an ADR. No transition is permitted on a write type flagged irreversible — A3 *is* "act reversible", so an irreversible write type has no A3 to reach — nor where the blast radius is tenant or cross-boundary, because those force dual control and dual control is the point. Humans are granted, not graduated.

Eight eligibility conditions, each checked rather than asserted. At least 90 days of continuous chain history for the class, verified over the window and not sampled. At least 200 records in the class, of which at least 100 are approvals. An `approved_unamended` ratio at or above the current threshold. **Zero `corrected_after_window` and zero `sandbox_diverged` in the window.** A reversal plan executed once in a dated drill. No declaration version change and no policy version change affecting the class in the last 30 days. A tenant that is not stopped and has no open P0. And a score at or above the graduation threshold, computed within the last 24 hours. Conditions four and five are hard bars: no score clears them.

Graduation is a governed write of type `autonomy.graduate`, declared with dual control and a tenant blast radius; the proposer may never approve it. The proposal shows the class, current and proposed level, the evidence — counters, score, function version, sequence range — the reversal plan and its drill date, and **a justification the owner writes in their own words**, required and never pre-filled by elan1. What the second approver sees is the numbers, not a recommendation: there is no "we suggest approving". On approval the grant changes effective at the next write, never retroactively, and appends its own record. The class then enters **a 30-day supervised period at one-in-ten sampling**: it acts at A3, and a sampled one in ten writes is still routed to a human, **chosen by the record's own digest so the sample cannot be steered**. At the end of the period the

score is recomputed, and a class below the maintenance threshold auto-reverts to A2 with the owner told why.

Revocation is deliberately asymmetric. Raising autonomy needs two named humans, stated evidence and a supervised period. Lowering it needs one person and one press, takes effect at the next write, and needs no justification at the time: **"any design that makes revocation as hard as graduation is rejected."** In-flight writes complete under the autonomy resolution they already had. Revocation cannot be refused, blocked, delayed or appealed through the product, and if it cannot be applied because the grant store is unavailable, the autonomy rung treats the class as A2 until it can be — failing closed, the only acceptable direction. A revoked class may be proposed again only after a fresh 30-day window of evidence under A2, and a class revoked twice needs an ADR before a third proposal. **Eight automatic triggers, each mandatory**: any `corrected_after_window`; any `reversed_in_window` above the maintenance rate, because "the reversal plan is being used as an operating procedure"; any sandbox divergence; a declaration version change affecting the class, because "the rules changed and the evidence was earned under the old ones"; a policy version change affecting the class; the tenant entering a stopped state; **90 days with no recomputation possible because of a continuity gap** — "we cannot see the evidence, so the permission is not held"; and **the 180-day review falling due without a review** — "autonomy expires by default. It is not renewed by silence."

Three artefacts answer every question an auditor asks about an agent acting alone, and a bundle covering a period carries the autonomy history inside it with no extra member. *At what autonomy did this agent act?* — the autonomy field, sealed on the record itself, not a lookup and not a join. *Who let it act at that level?* — the graduation record, with two named humans, the justification and its own sequence number. *On what evidence?* — the counters and score in that record, recomputable from the chain by anyone holding the bundle. *Was it ever taken back?* — revocation records, as permanent as grants. *Did it act at a level it had not earned?* — **impossible by construction**: the autonomy rung resolves the grant at the moment of the write and the sealed field records what it resolved.

The commercial argument. Every approval and every refusal on the write path is a labelled training example about a specific, consequential business action: an agent proposed this exact change, these gates ran, and a named human either approved it unchanged, amended it, declined it or let it lapse — and, later, either left it alone or reversed it. That label can only be collected by the party sitting on the write path, at the moment of the write, with the human in the loop. A model-observability vendor sees traces; an identity vendor sees authorisations; an agent gateway sees requests. None sees whether a person looked at a proposed change and left it unchanged, which is the one signal distinguishing an agent ready for autonomy from an agent that merely has not broken anything yet.

The compounding asset is the customer's willingness to grant autonomy, not the data. A tenant that has graduated one action class has written a dual-control record into its own chain saying two named people looked at an evidence set and decided to let software act alone; the second graduation is easier because the first is auditable and revocable in a minute. Volume follows: governed actions rise from 26.32 million in FY2027-28 to 2,491.46 million in FY2030-31, of which external actions grow from 13.28 million to 2,211.46 million [modelled]. **L3 adds no new meter** — earned autonomy raises gov-

erned-write volume, which raises the platform licence and the metered action revenue underneath it. The counter-statement is in the specification too, and is not buried: **"precedent is not prediction and earned autonomy is not a safety argument. It is a graduated permission with an evidence trail and a revocation path."** The thresholds inside the score function do not yet exist, and the open question says why: they "must be set against a real tenant's data, not invented here."

8.5 Sovereign deployment

Sovereign deployment is a deployment model, not a proof capability, and the corpus treats it accordingly: the specification is deferred within Phase 4, and whether it is built at all is an open question dated Q3 2028 — "or is it declined on the grounds that we cannot support deployments we do not operate?" What follows is the shape the corpus fixes, not a shipped specification. Three topologies sit on one axis: who holds the signing key, and who operates the plane.

One — a dedicated residency domain, operated by elan1. This exists today as the Enterprise shape. The tenant gets a residency domain nothing else runs in and therefore **a signing key nothing else's records used**, which is the isolation the shared-domain model honestly cannot offer. Custody stays with elan1 in a managed KMS in the domain's region. The limits: elan1 runs everything, the insider limitation of cloud custody still applies and is still disclosed, and the fixed cost of a residency domain is carried by one tenant.

Two — customer-held keys inside an elan1-operated deployment. The customer's own hardware security module — CloudHSM, or the customer's own Thales or Entrust device — signs their own records, so that **elan1 cannot have signed anything they did not**. The L3 definition of done requires one tenant signing with a key elan1 has never held, demonstrated by a key ceremony record *and* elan1's own key register showing no entry. This removes the disclosed insider limitation, and it arrives "when a customer asks for it with a contract attached, not before", because it changes the custody model, the compromise procedure and the availability story at once. The unresolved liability is named: if customer-held keys mean elan1 cannot re-sign after a customer loses a key, what does the company owe that customer, and is it insurable? Founder with counsel, Q2 2028.

Three — the whole kernel and evidence plane inside the customer's or a government's own boundary, operated by them. Key custody, salts, chain, anchors and registry all sit inside the customer's perimeter. This is what a sovereign buyer asks for, and the one the corpus flags hardest: **"sovereign deployment multiplies every operational surface. A defect must be fixed in every deployment by people we do not employ. This is the capability most likely to be sold before it is ready."** The gating rule is correspondingly blunt — no sovereign deployment is sold before the defect-propagation process exists: how a fix reaches a deployment elan1 does not operate, and how elan1 knows it arrived.

There is a genuine market reason to hold the option. India's sovereignty anxiety is unresolved at the compute layer and therefore displaced onto the layers where it can be resolved — data residency and evidence custody. Sovereign *evidence* is achievable today

through a CCA-licensed Indian RFC 3161 anchor and an India-resident evidence plane, even where sovereign compute is not.

The price implication. Sovereign deployment is priced as a deployment rather than a subscription tier: **Rs 1.20 crore (US$133,333) per deployment per year**, with governed actions at **Rs 0.55** — the lowest per-action rate in the book against Rs 1.60 at L1, Rs 1.20 at L2 and Rs 0.90 at L3, because the customer carries operational cost the platform would otherwise carry. The plan models the **first sovereign deployment in July 2029**, three months before L3 entry, consistent with sovereign being a deployment model rather than a proof capability. It reaches **4 deployments by March 2030 and 11 by March 2031**, producing **Rs 2.46 crore in FY2029-30 and Rs 9.46 crore in FY2030-31** [modelled] — 4.1% of final-year revenue. Declining the topology outright, as the open question contemplates, would cost the plan under five per cent of final-year revenue and remove the operational surface the corpus is most worried about. That is a reversible commercial decision, which is how it should be held.

8.6 What is still not true at L3

The scope freeze ends with seven sentences "an honest engineer should say in a meeting", and they belong here unedited. elan1 is still the only writer: a receipt proves what went through the write path, anything that did not is invisible to it, and reconciliation between the chain and the target system's own audit trail is the customer's job. An anchor is an upper bound on time and nothing else; L3 does not improve it. A counter-signature by a non-elan1 party proves that party saw a digest — "if we present fabricated records faithfully, the counter-signature is faithful evidence of fabricated records." Selective disclosure hides values, not shape. Precedent is not prediction. **An open specification is not adoption** — "if nobody implements it, we have published a document and paid for it with founder time" — and the word stays *published* rather than *open* until an implementation by an organisation that is not elan1 passes the conformance suite. And sovereign deployment multiplies every operational surface.

"Tamper-proof" remains banned at every level, for ever, and so do "court-ready", "legally admissible", "immutable", "certified", "approved by a regulator" and "your books are verified". The sentence that opened the product at L1 is unchanged at L3, and is load-bearing here in a new way, because precedent intelligence is the capability that would break it if built carelessly: **a model may produce a write intent; it may never produce an allow.**

9. The Action Receipt: publishing the format, keeping the write path

The plan

elan1 intends to publish the proof format — not describe it, not document it for customers under agreement, but publish it as a specification any stranger may implement from the document alone, with a free reference verifier, named licences, a public comment process, and a written condition under which elan1 stops being its editor.

The licences are settled even though the artefact is not built. Specification text under **CC BY 4.0**, because a specification nobody may copy is not a standard. Reference verifier under **Apache-2.0** — permissive, with an explicit patent grant, because a copyleft verifier would be excluded from proprietary audit tooling, which is the tooling elan1 most wants it inside. Test vectors and a deliberately tampered bundle under **CC0**, so they carry no attribution friction, including for a competitor proving elan1's implementation wrong. The name elan1 and the company's marks are **not licensed**: anyone may implement the standard; nobody may imply elan1 endorsed their implementation.

A version ships only after a **sixty-day public comment period in which every comment is answered in writing, including the ones declined, with the reason**, and only after **two independent implementations have built against the draft and published their vector runs, including disagreements**. A version with an unanswered comment is refused; so is a version with only elan1's own implementation behind it. If a second implementer cannot be found, the version does not ship and the reason is published — "we could not find a second implementer" is a true and useful sentence about a standard's health.

The condition on which control leaves the company is written down rather than promised: **when three independent implementations exist from at least two organisations that are not elan1, editorship moves out of this company within twelve months.** Until that day the honest word is **published**, not open. Three destinations have been assessed and none chosen — an IETF working group (best fit, SCITT's natural neighbour, slow and costly in participation), a W3C or OASIS community group (lighter, weaker signal, and needing the same three organisations as the transfer itself), or a small foundation (fastest, and reading as a vendor foundation unless others genuinely join). Choosing a destination before anyone else has implemented is a way of looking like a standards body while being one company.

Timing follows the assurance ladder rather than leading it. L2 Attested reaches general availability in April 2028 and L3 Proven opens in October 2029 MODELLED. Publication belongs to Phase 4, after an outside auditor has attached value to the artefact.

Why give away the format

A proof nobody else can read is not a proof. Every other argument here is a consequence of that sentence.

The L2 and L3 buyer asks one question that decides the deal: *what happens to my evidence if you are gone?* Every answer that is not a published format and a re-implementable

verifier is a promise. A published format is a fact the buyer can check in ten minutes. The specification's own first line states the goal: one record, one signature, one anchor, one procedure a stranger can implement from the document alone, **published so that a receipt remains checkable after this company stops existing**.

The format is not the moat, and pretending otherwise costs elan1 the trust that honesty would buy. A sixteen-field preimage, a digest, an Ed25519 signature and a Merkle inclusion path are a weekend's reading for a competent engineer. What takes years is the write path, the packs, the certified verifier profiles and the Regulation objects that bind a clause to a gate. There is a competitive consequence too: if ServiceNow or Microsoft emits Action Receipts, the buyer's question changes from *which vendor do you trust* to *which receipt do you produce*, and that comparison moves onto ground where elan1 is strongest. And cross-organisation verification is impossible without publication, because two companies cannot check each other's receipts against a proprietary format without one adopting the other's vendor.

The argument that matters most is the one a well-funded competitor cannot copy. In May 2026 the *Notarized Agents* paper (arXiv 2606.04193) named three unsolved problems for receipt protocols. Two — service collusion and the adoption-incentive problem — are shared by everyone in the field. The third is the **suppression attack**, and it is decisive. A receipt can only attest to a call that was made. An agent that skips the call, or an integration that writes around the governed path, leaves no receipt at all, and in a receiver-attested design absence of a receipt is indistinguishable from absence of activity. No format solves this. No signature solves it. No transparency log solves it.

A single writer solves it by construction. If every consequential change to the system of record passes through one enforcement point, absence of a receipt is itself evidence: either nothing happened, or something bypassed a control — and the second is a detectable, alertable, investigable condition rather than silence. This is why elan1 can publish the format without publishing the product. **The artefact is checkable by anyone; the guarantee that the artefact is complete is a property of the architecture, and the architecture is the chokepoint.** Architecture and artefact are inseparable, and this is the strongest single argument in this memorandum.

Where the standards actually stand, September 2026

Two facts must be stated before any claim to standards leadership, and both run against the company.

The first removes a promise. SCITT — the IETF's architecture for signed statement transparency — was published as **RFC 9943 on 30 June 2026** on the Internet Standards Track, with **COSE Receipts as RFC 9942** beneath it and **SD-JWT selective disclosure as RFC 9901** PUBLISHED. When elan1 was conceived, "we will align to an IETF standard" meant aligning to a moving draft, and an investor could reasonably have discounted it. It is now an engineering task against published normative references, and should be described as such.

The second is that elan1 is not first to the idea and not first to the IETF. `draft-marques-asqav-compliance-receipts-08`, "Compliance Profile of Signed Action Receipts for AI Agents", was published on **31 August 2026** and runs to 4 March 2027 PUBLISHED. It is an

individual draft with no working-group adoption and no IETF endorsement, but it is the most complete public articulation of what elan1 proposes: hash-chain linkage between sequential receipts, RFC 3161 or OpenTimestamps anchoring, retention floors tied to named regulatory articles, counterparty binding, and field-level mapping to EU AI Act Articles 12 and 26, DORA Article 17, NIST AI RMF and others. A published survey counts **eight competing receipt protocols**, commercial efforts run at agentreceipts.ai, RCPT Protocol, PipeLab and Provenant, and open feature requests for cryptographic action receipts sit against LangGraph, Microsoft AutoGen and ByteDance deer-flow — demand arriving bottom-up at the orchestration frameworks, not only top-down from compliance.

Saying this plainly costs nothing and buys the rest of the section. Being late to a draft is survivable; being late to adoption is not. The conclusion is not to race a ninth format to the IETF: **being the ninth format is worse than being the second implementer of the first one**, and the differentiator was never the schema.

This memorandum therefore makes a recommendation in its own voice: **Action Receipt v1 should be specified as a SCITT profile on COSE, with selective disclosure registered as a suite in v1 rather than added in v2.** The Asqav draft notably does not state a SCITT dependency, which leaves the profile position open and is the cheapest available differentiation from it. SCITT's transparency service is precisely the trust anchor elan1 has decided it will not operate, so registering a receipt's digest in a third-party service and carrying the inclusion receipt as an anchor suite is a fit rather than a concession. And selective disclosure is a breaking change if retrofitted: a format designed for others to adopt cannot acquire redaction later without invalidating every implementation built against it. elan1's own construction already reuses SD-JWT's salted per-claim hashing while rejecting its container, so the design work exists; what is recommended is that it ship in v1 and be claimable from day one.

The suite registry makes that recommendation cheap. Cryptographic choices live in named suites, never in the body of the specification: a **seal suite** defines the field set, encodings, preimage, digest and signature algorithms; an **anchor suite** defines how an inclusion path and a time token are constructed and checked; a **disclosure suite** defines per-field commitment and opening. elan1's entries — `elan1-seal-v6`, `rfc3161-6962`, `elan1-sd-v1` — are the first entries and carry the company's name honestly: they are elan1's, published, not neutral by pretence. A verifier that does not know a suite exits `UNSUPPORTED` and never interprets. Registering a COSE-profiled seal suite beside the existing one is a registry entry, not a redesign, and records under a superseded suite remain verifiable for ever.

One honest note on liaison: **elan1 has done no liaison work with SCITT, C2PA or any other body.** The alignment described above is a reading of published material, not a relationship.

What the standard specifies, and what it refuses to

The Action Receipt is defined as *a portable, self-describing statement that a specific consequential change was made through a governed write path, under named rules, by a named kind of actor, at a bounded time — and that a party who does not trust the issuer*

can check that statement offline. The specification covers four things: receipt structure, the verification procedure, the conformance levels, and the suite registry.

Six things are out of scope, and each refusal is load-bearing. **How a write is decided** is elan1's design, not the standard's — a conforming producer may govern writes however it likes, and the receipt says what was recorded, not how it was decided. **Transport** is untouched: a receipt is a file. **Identity and trust anchors** are named and discoverable, but the standard operates no registry and appoints none. **Legal effect** gets no opinion in any jurisdiction. **Payload semantics** are committed to but not defined — the standard does not define what an invoice is. **Certification of conformance** is absent: there is no certification mark in v0.

What a receipt establishes is worth more to a diligence reader than any feature list: a producer's write path recorded this event, in this form, under these named rules, with this actor kind, no later than this instant, and the record has not been altered since. **Nothing more.** *A producer that records fabricated events faithfully produces faithful receipts of fabricated events.*

Thirteen members make up a receipt. `format`, `seal_suite`, `sealed_fields`, `digest`, `issuer` and `limits` are always required; `signature` and `key_id` from conformance level 2; `anchor` from level 3; `audience`, `nonce` and `expires_at` from level 4; `disclosure_suite` and `disclosures` where a disclosure suite is in use. The `limits` member is the producer's own limits statement, carried inside the receipt and reproduced verbatim in every verification report — the discipline of section 10 made structural rather than editorial.

Four rules shape that structure, each defending a named failure. **A receipt never carries a verification key**, because a receipt supplying its own key would let the issuer of a false receipt supply the means of validating it. **No optional field sits inside the sealed set**, because optionality in a digest specification is how two implementations produce different preimages for the same event; a refusal carries zeroes, not omissions. **A domain string sits in the suite's preimage**, so a digest under one suite cannot be mistaken for one under another. And **the envelope is not in the digest**: audience, nonce and expiry are signed separately, which keeps the record's digest identical whether or not it was ever placed in a receipt, and is what lets one record be issued to two audiences without two records existing.

Verification, and the conformance levels

Verification is thirteen steps and **the order is normative**: the cheap, non-cryptographic refusals come first, so a misaddressed or expired receipt never reaches key resolution. Parse the format and resolve the suites, exiting `UNSUPPORTED` on either; check audience and expiry; reconstruct the preimage and compare the digest, naming the field on failure; resolve the issuer's key by a configured route and never from the receipt; check the key's validity window against the recorded time; verify the record signature, then the envelope signature; verify the anchor, where an absent anchor is reported `UNANCHORED` and not failed; recompute each disclosed field's commitment; check the nonce against a seen-set; and emit a report carrying the verdict, the discovery route used, the disclosed and withheld counts, and the limits statement verbatim.

Three rules bind any conforming verifier. It makes **no network call during verification** — key discovery may need one and is a separate, configured, reported step. It **shares no code with any producer**, because recomputing a digest with the function that computed it proves nothing. And it **never collapses failure classes**: altered is not unmet requirement is not missing piece, and accusing a producer of tampering when a member is merely absent is the most damaging defect a verifier can have.

Conformance is claimed separately by producers and consumers, and is deliberately **not** merged with elan1's assurance levels — which matters commercially, because a buyer cannot then be sold an assurance level on the strength of a conformance claim.

Level	A producer at this level	A consumer at this level
CL-1 Structural	Well-formed receipt, sealed field set, digest, limits statement; no signature required	Parses and recomputes the digest; refuses to treat an unsigned receipt as attested
CL-2 Attested	Signs the digest; publishes key identifiers with validity windows; never ships a key in a receipt	Resolves keys by a route other than the receipt; enforces key windows
CL-3 Anchored	Anchors digests to an independent time source; carries inclusion paths	Verifies inclusion and token time; reports `UNANCHORED` without failing
CL-4 Addressed	Adds audience, nonce and expiry with an envelope signature	Checks audience before keys; enforces expiry; keeps a nonce seen-set
CL-D Disclosing	Supports a disclosure suite	Verifies openings; reports withheld fields as withheld, never as missing

L1 Guarded maps to a CL-1 producer — structure only, no signature, and nothing above may be claimed. L2 Attested maps to CL-2 and CL-3. L3 Proven maps to CL-2, CL-3 and CL-4, with CL-D where a disclosure suite is in use.

A conformance claim is **self-asserted and evidenced**: the claimant publishes their result against the vector set, and a claim without a published vector run is not a claim. There is no certification body in v0 — which sits in tension with the clearest precedent available, since C2PA launched a conformance programme in 2025 and a specification without one tends to remain a PDF. It is resolved for now by the published vectors and the tampered bundle rather than by a mark, and a mark belongs to whoever holds editorship, which is what the transfer condition decides.

Conformance levels are not assurance levels

Kept deliberately separate, so a buyer cannot be sold an assurance level on the strength of a conformance claim.

ACTION RECEIPT CONFORMANCE LEVEL	L1 Guarded GA Q2 CY2027	L2 Attested GA Apr 2028	L3 Proven entry Oct 2029
CL-1 Structural Well-formed receipt, sealed field set, digest, limits statement.	reachable	reachable	reachable
CL-2 Attested Signs the digest; publishes key ids with validity windows.	—	reachable	reachable
CL-3 Anchored Anchors digests to an independent time source; carries inclusion paths.	—	reachable	reachable
CL-4 Addressed Adds audience, nonce and expiry with an envelope signature.	—	—	reachable
CL-D Disclosing Supports a disclosure suite; withheld is reported withheld.	—	—	where a suite is used

elan1 ASSURANCE LEVEL

A conformance claim is self-asserted and evidenced: a claim without a published vector run is not a claim.

At L1 nothing above CL-1 may be claimed — a string check over the consumer's own rendered copy fails the build.

VERIFICATION ORDER — THE ORDER IS NORMATIVE

Cheap, non-cryptographic refusals come first, so a misaddressed or expired receipt never reaches key resolution.

1. Parse format, resolve suites — UNSUPPORTED
2. Check audience — FAIL — wrong audience
3. Check expiry — FAIL — expired
4. Reconstruct preimage, compare digest — FAIL_INTEGRITY, field named
5. Resolve issuer key — never from the receipt — INCOMPLETE
6. Check key window against recorded time — FAIL_INTEGRITY
7. Verify the record signature — FAIL_INTEGRITY
8. Verify the envelope signature — FAIL_INTEGRITY
9. Verify the anchor — UNANCHORED — reported, not failed
10. Recompute each disclosed commitment — FAIL_INTEGRITY
11. Check the nonce against a seen-set — FAIL — replay
12. Check profile requirements — FAIL_PROFILE
13. Emit the report, limits statement verbatim — PASS

Action Receipt v0 specification: conformance levels and the thirteen-step verification procedure. elan1 assurance-level dates are modelled.

the five conformance levels against elan1's three assurance levels, with the thirteen-step verification order as a refusal ladder from `UNSUPPORTED` to `FAIL_INTEGRITY`

Who is invited first, and what each gets

Auditors and the CA institutes get the ability to check a client's evidence without buying anything from the client's vendor, which is the only form of assurance an auditor can sign against. What elan1 asks in return is a correction: every verifier profile quotes a clause verbatim and binds it to named gates, write types and record fields, and a binding that misreads the obligation is a defect elan1 wants reported and will publish the correction for. This is the channel rung1 already sells through, and the same people carry the MCA audit-trail obligation.

Systems integrators and partner firms get a conformance claim they can make without elan1's permission, review or mark. The flow is deliberately gatekeeper-free: run the vector set, run against the published tampered bundle and watch it refuse, publish the result naming the version, the suites and the levels claimed — and do not contact elan1, because *the specification is defective if they must*. Where an implementation disagrees with elan1's on any vector, the disagreement is published and investigated as a P0 defect in the specification until it says which is right. The plan carries 6 certified partner firms at March 2028 rising to 140 by March 2031, at Rs 1,50,000 per firm per year MODELLED.

Partner platforms and orchestration frameworks get a format that composes with what they already emit. Carrying OpenTelemetry GenAI trace and span identifiers as first-class receipt fields makes adoption a configuration change rather than a re-instrumentation project: the trace stays the debugging detail, the receipt becomes the signed, retained, selectively disclosable anchor over it.

Defect reports come from anyone, with no account, contract or NDA, and are acknowledged within five working days and classified editorial, substantive or structural. A substantive or structural defect gets a published erratum immediately, ahead of any new version, because a reader implementing today needs the erratum today. A report is never declined for being commercially inconvenient, and one from a competitor is handled identically. **A defective version is superseded, never withdrawn** — a party who implemented it needs to know what their implementation was worth.

The line: what is given away, what is sold

Given away, permanently	Sold
The specification text (CC BY 4.0)	The kernel: policy gates as data, forced approval, the single writer
The reference verifier, source and binaries (Apache-2.0)	Regulatory packs and certified verifier profiles binding clauses to gates
Test vectors and the tampered bundle (CC0)	The metered governed action, and the assurance levels
The verification procedure and the suite registry	Residency, key custody, anchoring, retention and the evidence SKU
Errata, disagreements and defect resolutions	Cross-organisation verification and counterparty seats

One rule governs the left column, repeated in the specification so that it is a public commitment rather than an internal one: **the verifier is never priced, at any level, to anyone, including non-customers. A verifier you must buy from the vendor whose re-**

cords it checks is not a verifier. Its engineering properties become part of the standard's credibility rather than elan1's alone — zero dependencies, empty lockfile, reproducible build, published digests, standard library only, no network call, no shared code with a producer, and a tampered bundle beside it so a reader can watch it refuse.

The one genuinely open question on the line is whether the Regulation objects and verifier profiles go out under the same licences or stay closed. It is scheduled for Q4 2028, and it is the question on which the moat argument ultimately rests, because those objects are the domain work.

The counter-argument, at full strength

A decision argued against a weak version of the opposition is not a decision. The case against publishing, as the corpus states it:

We are a pre-revenue company with no customer. Publishing the format commoditises the only artefact we can currently show a buyer, and hands a well-resourced competitor a specification they can implement and bundle into a product with a distribution channel we will never have. Standards work consumes founder time in comment periods and liaison calls that produce no revenue for years. A standard nobody adopts is a public record of a small company's ambition, and a standard somebody else adopts and extends leaves us maintaining a format we no longer control. Meanwhile the moat argument assumes the packs and profiles are genuinely hard, which is a hypothesis we have not tested against a competitor who wants them.

Every clause of that is true today. The answer is four points and a falsification condition.

Publication is gated on valuation, not enthusiasm. The entry condition is that an outside auditor has already attached value to the artefact, so what is opened is not a hypothesis. **The artefact being commoditised was never defensible.** The competitor who wants the format can have it in a weekend whether or not elan1 publishes; publication only changes whether elan1 gets credit for handing it over — and that competitor, implementing elan1's format, has moved the buyer's question to write-path enforcement. **The founder-time objection is budgeted rather than waved away.** The plan funds a standards, policy and regulator affairs function of 1 person at March 2027 rising to 13 by March 2031, and spend rising from Rs 7 lakh in FY2026-27 to Rs 1.14 crore in FY2030-31 — Rs 2.95 crore, about US$0.33 million, across the plan MODELLED. Standards work is resourced as a specialist function, not as an unbudgeted claim on the founder. **And loss of control is chosen on a stated condition rather than suffered.** The transfer condition is not generosity; it is the only way the format becomes infrastructure rather than a vendor artefact, and it carries a trigger and a clock so it can be checked.

The condition under which the counter-argument wins is written so it can be measured rather than argued: **if, by the end of Phase 4, three or more competitors are emitting Action Receipts and none of them needed elan1's domain work, then the packs and profiles proved easy to copy, the format proved hard to give away, and publication was the wrong call.** That is a measurable outcome, recorded here so a future board can check it.

10. Security, residency, certification and what elan1 can lawfully claim

One baseline, inherited by every consumer

There is one security and data-handling standard across the group, written once and inherited by every brand, for a stated reason: *writing it three times produces three baselines, and the weakest one is the real one.* It runs to eight sections — residency, tenant isolation, secrets and key handling, access control, logging and retention, backups and restore drills, DPDP roles and consent, and sub-processor discipline — under one governing rule: **fail closed. Every control is written so that when it is unavailable, the write does not happen. A control that degrades to "allow" is not a control.** A box that cannot be evidenced is not ticked.

The controls that matter to a diligence reader are the ones enforced by the build. A CI check fails the build if a resource is declared outside the region allow-list. Row-level security is on every tenant table, a migration that disables it fails CI, and the cross-tenant read test runs in CI and expects a failure. A call that cannot be attributed to a tenant is rejected, not defaulted. Caches, search indexes and vector stores are partitioned by tenant, not filtered at query time. Target-system credentials are minted per call and expire in ten minutes, because a long-lived credential will end up in a log. Signing keys live in a managed KMS with the service holding a handle and never key material — Ed25519, ninety-day rotation, JWKS published so a verifier can resolve a historical key, and a register recording ACTIVE, RETIRED or REVOKED with dates, because a key with no expiry is a credential nobody will ever rotate. Retention is fixed by class: proof records seven years and evidence bundles twenty-four months, both WORM in India; security and access logs at least a year with a 180-day India minimum; application logs 180 days; database snapshots thirty days.

One isolation limit is stated unprompted, because it will otherwise be discovered: **one signing key per residency domain, not per tenant.** Ten thousand tenants on the India domain share a signing key and therefore the fingerprint a reader pins. A tenant cannot prove its records were signed by a key no other tenant's records used. A tenant who needs that buys a dedicated residency domain, or customer-held keys at L3.

Residency, and what may not leave

The primary region is **ap-south-1 (Mumbai), three availability zones, with no exceptions**: Postgres primary with a synchronous standby in a second zone, and object store, queues, backups, evidence store and logs all in the same region. **No second region is configured, including for disaster recovery**, until a residency decision is written down and confirmed by counsel. Self-hosted open-weight inference runs on vLLM in Mumbai; any hosted model provider is named in the sub-processor list with its processing region, and a component that cannot be named on that list does not enter the build. Residency and key custody sit at the lowest architectural plane, which has no migration path — every choice there is permanent and treated as permanent.

What may leave is narrow by design. A receipt may cross a boundary; a payload may not. Payloads are absent from bundles, and what travels is a salted per-field commitment — which is what makes an auditor's copy safe to hand over, and is the mechanism section 9 recommends registering in v1.

The bar for letting any outsider log in is thirteen rows and is a gate rather than a checklist: **no brand lets a person outside the company log in until every row in its column is ticked and evidenced.** Mumbai three-zone with no data outside India; RLS with the cross-tenant read test green in CI; credentials minted per call with ten-minute life; signing keys in a managed KMS, per-tenant, registered with expiry; 180-day logs in India with clocks synchronised to NPL or NIC; a proof record for every governed write, verified on a sample; one successful restore drill on record; a signed DPA, published privacy notice and live consent ledger; a published sub-processor list; a named CERT-In responder with the six-hour path tested once; the erasure path tested end to end on a fixture tenant; every CONDITIONAL row in the licence register confirmed by counsel; and break-glass tested and alerting. Signing keys are required of elan1 and stack1 but not rung1; proof records of rung1 and elan1 but not stack1. Every other row binds all three.

The India obligations, with dates

Instrument	Status and date	What it requires
MCA Rule 3(1), Companies (Accounts) Rules	In force **1 April 2023**	Accounting software records when, who and what changed; trail not disabled; **preserved 8 years**
MCA Rule 11(g), Companies (Audit and Auditors) Rules	In force **1 April 2023**	The statutory auditor must **report** that the trail existed, operated all year, was **not tampered with**, and was preserved
CERT-In Directions 2022	In force	**Six-hour** incident reporting; **180-day logs retained in India**; clocks synchronised to NPL or NIC
DPDP Act 2023 and DPDP Rules	Rules notified **13 November 2025**; main obligations **13 May 2027**	Consent, purpose limitation, retention and erasure; SDF audit and DPIA duties; penalties to **Rs 250 crore**
RBI Draft Guidance on Model Risk Management	Released **24 June 2026**, comments closed 24 July 2026 — still a **draft**	Kill switches, human-in-the-loop, traceability, reproducibility, auditability; **10-year retention**; RE accountable for third-party models
RBI FREE-AI	Committee report **13 August 2025**; not binding	Board-approved AI policy; assurance and independent audit; deploying-entity accountability regardless of autonomy

PUBLISHED for all six rows. Sources differ on whether the DPDP Rules were notified on 13 or 14 November 2025; the earlier date is used here and the difference is immaterial to the May 2027 obligation.

The argument that follows runs against the grain of how this category is usually sold. **India's binding mandate for elan1 is accounting-records law and banking supervision. It is not any AI law, and there is no AI law coming.** MeitY released the India AI Governance Guidelines in November 2025 and India has deliberately declined to enact a standalone AI Act, governing instead through the DPDP Act, the IT Act 2000, consumer protection law and the sector regulators, with an explicitly techno-legal approach preferring voluntary compliance, self-certification and sandboxes.

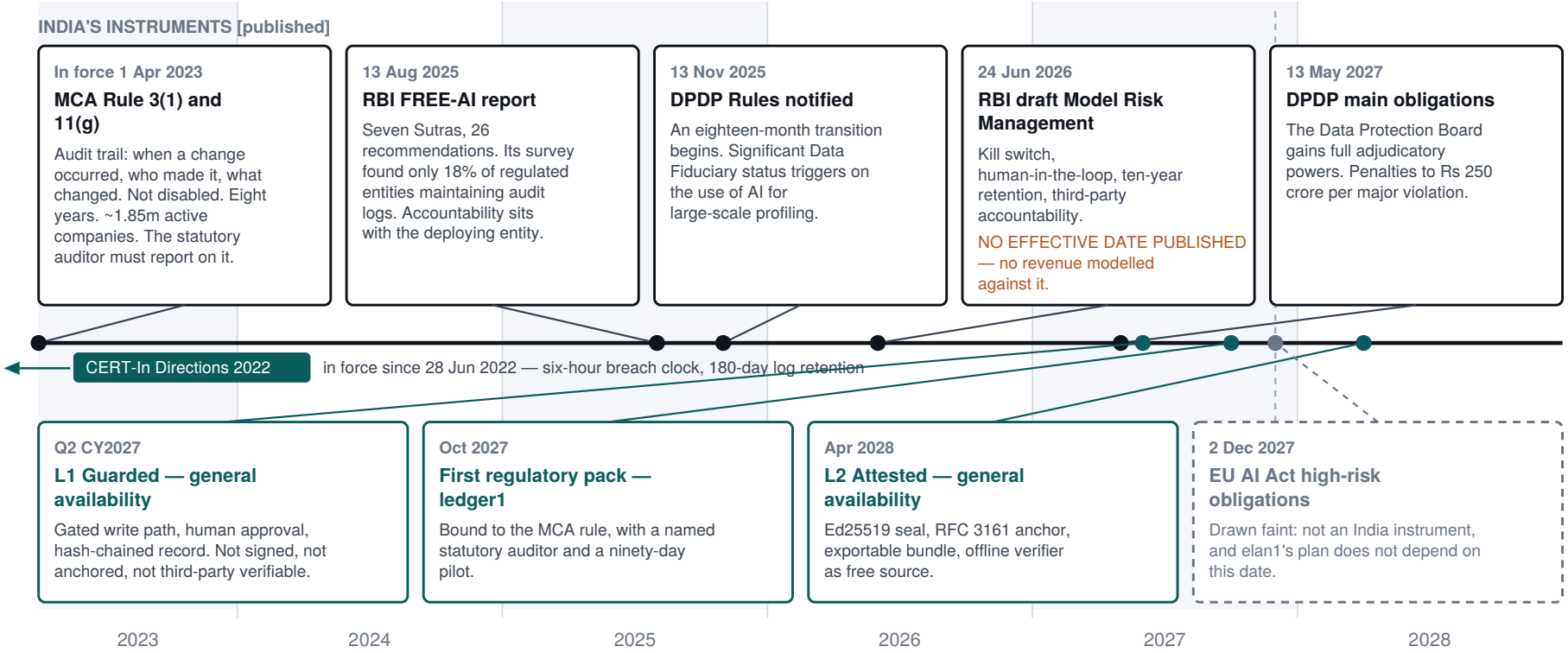
That decision is **favourable** to a tooling vendor. A prescriptive regime with a government-run register buys consultants. A self-certification regime buys tooling, because self-certification requires evidence you generated yourself and can defend. MeitY's own recommended enterprise action plan names adopting ISO/IEC 42001 as step three of four — a management-system standard whose bottleneck is evidence collection.

Meanwhile the obligation that already binds needs no AI classification exercise, no high-risk determination and no future date. Every company registered under the Companies Act — around 1.85 million active private and public companies at 31 March 2025 — must keep a tamper-evident edit log of changes to accounting records for eight years, and its auditor must affirmatively report on it, with company and director penalties of Rs 50,000 to Rs 5,00,000 and up to one year's imprisonment for wilful violation. When an agent starts writing to an Indian company's system of record, it inherits that obligation on day one. In Indian statutory language, elan1's product is a Rule 3(1)-compliant audit trail for writes made by non-human actors, with Rule 11(g)-grade tamper evidence.

The RBI draft guidance of 24 June 2026 does the same work for banking. It reaches all eleven categories of regulated entity and all models, internally built or third-party sourced, whether or not the entity recognises them as models, and it mandates kill switches, human-in-the-loop oversight by staff competent to challenge outputs, documentation enabling traceability, reproducibility and auditability, ten-year retention of decommissioned models, and full accountability for third-party outcomes with independent validation **regardless of vendor certifications**. That last clause is a warning as much as an opportunity: no certificate elan1 holds will ever discharge a bank's own validation duty. And it remains a draft with no stated effective date.

India legislated the artefact before the technology arrived

The obligation is already in force. Nothing in the plan depends on a regulator acting on a particular date.



Instrument dates published; sources named in section 11.5. elan1 plan dates modelled. Timeline April 2023 to December 2028.

the six India instruments on one timeline from April 2023 to May 2027, against L1 general availability (Q2 2027), the first regulatory pack (October 2027) and L2 (April 2028)

The DPDP erasure problem, stated not hidden

The security baseline asserts that proof records are retained with the subject's identifiers erased, the chain stays intact and verifiable, and the person is no longer in it. The same document then asks, in its fourth open question, whether that satisfies a DPDP erasure right given that a hash chain cannot be rewritten. **Counsel has not answered.** The question carries a target date of 30 November 2026 and is the sharpest unresolved legal tension in the corpus. The evidence thesis leans on it, and a memorandum that omitted it would be concealing the most consequential open item in this section.

The mechanics, so the question is legible. Erasure is itself a governed write type marked irreversible, which forces a blast radius of at least one counterparty and therefore dual control: two named approvers, on a 72-hour clock. The system resolves every location the subject's data exists — record, derived indexes, embeddings, caches — and produces an erasure plan the operator sees before anything is deleted. On approval, records are erased, derived artefacts rebuilt or purged, and **the subject's salt is destroyed in the erasure side store**. A failed job raises an alert and the case stays open; it is never closed by a partial success, because dropping an index is not erasure and a rebuild that reintroduces the data is a defect.

Three candidate answers exist and none has been blessed. **Salted commitments with per-field disclosure**: the payload never travels, what is committed is a per-field salted digest with salts derived from one per-record secret, and destroying that secret makes every commitment unopenable — including to elan1 — so the argument is that a commitment to a destroyed value can no longer identify anyone, even by the controller. **Erasure of payload with retention of commitment**: the identifiers go, the 32-octet digest stays because removing it breaks the preimage, the signature and the chain, and what remains is a record of a *process* held under a statutory retention floor — eight years under MCA, ten under the RBI draft — which is the reasoning the baseline already uses when it refuses a request in writing with the obligation named and the date it expires. **Tenant-held keys and salts**: if the customer holds them, elan1 cannot open the commitments at all and the decision sits with the data fiduciary rather than the processor, which is where DPDP puts it — real, but narrow, because it is a fact about one deployment rather than a product claim, and customer-held keys are deferred until a customer asks with a contract attached.

This must be settled before the first paying tenant, and in no case later than 13 May 2027. Counsel's answer belongs in the register with a date on it, and if the 30 November 2026 target slips it should be reported as slipped rather than re-dated.

If the answer is unfavourable — if a Data Protection Board reading holds that a retained commitment derived from a person's data is itself retained personal data that erasure must reach — the consequence is bounded but real. The chain would have to be segmented so a per-subject sub-chain can be truncated without invalidating the parent: engineering work of a quarter or two and a new suite identifier under the rules of section 9, not a rewrite. The evidence SKU, which carries no revenue until FY2028-29 and Rs 1.09 crore in that year MODELLED, would slip. What would not survive is any claim that erasure is solved today, which is why no such claim is made.

The EU position

The AI Act's high-risk obligations were delayed by the Digital Omnibus: political agreement on **6 May 2026**, confirmed by Member States on **13 May 2026**, moving **Annex III stand-alone high-risk systems from 2 August 2026 to 2 December 2027** and **Annex I high-risk AI in regulated products from August 2027 to 2 August 2028** PUBLISHED. Article 50 transparency took effect on 2 August 2026 on schedule and is live; prohibited practices and GPAI model obligations are unchanged and in force.

What the Act requires by way of logging is unchanged by the delay and is close to a specification of elan1's output. **Article 12** requires that high-risk systems technically allow the *automatic* recording of events over the lifetime of the system, for risk identification, post-market monitoring and deployer operational monitoring — and prescribes no format or fields. **Article 13** obliges providers to document how deployers collect and interpret logs, a technical integration duty rather than paperwork. **Article 14** requires design that lets natural persons effectively oversee the system. **Articles 19 and 26** set a six-month minimum log retention and govern deployer obligations. Published analysis in April 2026 made the operational point: ordinary application logging does not meet this, because logs can be silently modified, and cryptographic signing with external key management is the viable approach.

The candid part: **every EU-deadline-driven sales forecast in this category is now sixteen months late.** Two causes were stated for the delay — unfinished harmonised technical standards and industry lobbying — and the second succeeded once, which is the best evidence available that it can succeed again. elan1's plan does not depend on the EU date. The EU is the fourth market in the entry order, opening in FY2028-29, entered through an EU customer or their notified body and never directly; international expansion carries no spend until that year, at Rs 0.54 crore, rising to Rs 4.92 crore in FY2030-31 MODELLED. If 2 December 2027 slips again, what moves is optionality rather than plan.

Certification: where elan1 stands, and what it will cost

elan1 holds no certification of any kind. No SOC 2, no ISO/IEC 27001, no ISO/IEC 42001, no assessment against NIST AI RMF. That answer is given plainly and nobody is permitted to improve on it in a meeting. The competitive pressure is dated and acknowledged: Crator has held SOC 2 since April 2026 [unverified — from their public material], and a competitor with a certificate and a live product is a fact in every procurement conversation elan1 will have.

Against ISO/IEC 42001 the picture is asymmetric in an unusual direction. Roles and competence, risk assessment and treatment, data provenance, logging and traceability, supplier management, change management and incident response are all areas where elan1 already produces the artefact an auditor would ask for: a named author and certifier on every declaration, profile, control and pack; a refusal register with class, rung and operator action; immutable, append-only, dual-control-certified versions of everything; a hash-chained record signed at L2; an offline verifier a third party can run. Human oversight is the strongest area by a distance — the approval rung, the obligations, dual control, and the approver fields sealed into every record.

Three gaps are real and are named as gaps: AI system impact assessment, an internal audit programme, and management review. In each case the honest entry is "nothing yet". The reading follows: *elan1's evidence is unusually strong and its management system barely exists — and ISO 42001 certifies the second.* Those three gaps are process work a small company can do in a quarter with help, and they are the entire distance to an auditable AI management system.

SOC 2 Type II fits better than it fits most early companies, because the evidence is generated by the system rather than collected about it. Processing integrity, the elective criterion most vendors skip, is the criterion elan1's product is made of. The gap there is organisational maturity and money, not evidence.

The sequencing rule is a pre-commitment rather than a preference. **elan1 certifies to the standard the first paying evidence customer's auditor names, and not before.** If that customer is Indian or European and the conversation is about AI governance, ISO/IEC 42001 goes first. If it is a US software buyer running a security review, SOC 2 Type I goes first with a Type II window opened immediately behind it. The two are not pursued in parallel on a pre-revenue balance sheet, and neither is started speculatively — *a certificate purchased before a customer asked for it is a purchase made to feel credible rather than to be credible.* Auditor selection follows the same rule: three quotes per standard, obtained before budgeting, owned by the founder against a Q1 2028 date. Every cost figure inside the corpus is marked unverified; the numbers pack is the only authoritative source.

The plan carries certification and audit as its own expense line: **nil in FY2026-27, Rs 0.66 crore in FY2027-28 (US$73,000), Rs 1.44 crore in FY2028-29 (US$160,000), Rs 1.82 crore in FY2029-30 (US$202,000) and Rs 2.38 crore in FY2030-31 (US$264,000) — Rs 6.30 crore, about US$0.70 million, across the plan** MODELLED, supported by a security, compliance and certification function of 2 people at March 2027 rising to 21 by March 2031.

Against the external benchmark that spend is disciplined rather than generous. Published 2026 data puts total ISO/IEC 42001 certification at **US$85,000–150,000 for a 50–200 person organisation, US$180,000–320,000 at 200–500 and US$350,000–650,000 above 500**, with elapsed time of four to twelve months and annual surveillance at 30–40% of the original audit fee PUBLISHED. elan1 ends FY2027-28 at 95 people, squarely in the lowest band, and spends US$73,000 that year — **below the published floor for a single certification**. Two things reconcile that. The sequencing rule buys one certification in that year, not two; and a material part of readiness is done inside the security, compliance and certification function the headcount plan already funds, rather than bought from a consultancy, which is the right trade for a company whose gaps are process gaps rather than evidence gaps. From FY2028-29 the line runs at US$160,000 and above, covering the second standard, the surveillance cycle and a growing headcount band. The risk is that year one is thin; the mitigation is that the spend is gated on a customer asking.

One further pre-commitment closes the subject: **a certificate changes no product claim.** When one exists, elan1 may say "we hold X, covering Y, issued on Z", and nothing else. A deck that places a certification logo beside an assurance-level claim is wrong.

What elan1 may lawfully and truthfully claim

One rule governs everything a regulator or certification body hears: **nothing is claimed that a verifier cannot demonstrate.** Every sentence in any pack handed over maps to a verifier exit code, a named artefact or a dated document. A sentence that maps to none of those is cut before the meeting, not defended in it.

The whole claim is three sentences, and every other sentence in any regulator-facing material is support for one of them.

1. *Consequential changes made by an AI agent to a system of record pass through a single governed write path, where versioned rules and declared gates decide, a human approves what must be approved, and the refusals are recorded as carefully as the successes.*
2. *Every such decision produces a record in an append-only, hash-chained log; at Assurance Level 2 the record is signed with a key held in the customer's residency domain and anchored to independent timestamp authorities.*
3. *A reviewer can verify those records themselves, offline, on their own machine, using software they did not get from us — and from Phase 4, against a published specification anyone may implement.*

The limits are handed over in the same document, unprompted, in this form.

elan1 does not claim	Because
That a transaction was genuine	A receipt proves a governed write happened under stated rules; commercial reality is outside it
That the rules were adequate	elan1 enforces the customer's declared rules; whether they are the right rules is the customer's judgement
That the customer's books are verified	Direct changes in the accounting system are that system's trail, and the two must be reconciled
That elan1 is certified, accredited or approved	Until a certificate exists with a date on it, and then only for what it covers
That any regulator has accepted this	No regulator has reviewed a verifier profile; a profile is elan1's reading of an obligation and says so
That the record is tamper-proof, immutable, court-ready or admissible	The correct term is **tamper-evident**; admissibility is a matter for a court
That an anchor proves when something happened	An anchor is an upper bound on time: existence, form, and no later than
That elan1 cannot see customer data	True only for a customer holding their own keys and salts, and then only of that deployment
That an agent is safe because it earned autonomy	Precedent is a record of what happened, not a prediction

From those nine rows and three standing prohibitions come **seven sentences that may never be said**, at any assurance level, permanently: *the record is tamper-proof*; *the record is immutable*; *the record is court-ready*; *the record is legally admissible*; *we are certified, accredited or approved* (before a dated certificate exists, and then only for its scope); *we cannot see customer data*; and any form of *regulator X has accepted, approved, endorsed or reviewed this* — including the softened variant *we are in conversation with regulator X*, and not in a deck, a footnote or a verbal aside.

A reviewer can check all of this without elan1's help, by six routes: obtain the verifier and check its digest against the published checksums and release signature; rebuild it from source and compare digests; read the source, which is standard library only, has an empty lockfile and is small enough to read in a day; run it air-gapped against a bundle with a key fingerprint obtained from a source other than elan1; run it against the published tampered bundle and watch it exit `FAIL_INTEGRITY`, naming the altered record and field, because a verifier nobody has watched refuse is not a verifier; or write their own verifier from the published specification and vectors and run it on elan1's bundle. **Route six is the one that matters**, and elan1 will say so in the room: the strongest thing you can do with this is not use our software.

This discipline is a governance asset rather than a constraint. A company selling proof that will not let its own marketing outrun its verifier is making the same claim commercially that it makes technically, and the standing published invitation to catch elan1 exaggerating is worth more to its positioning than any feature.

The regulator engagement plan

Seven audiences, sequenced by what is dated, what is real, and where there is a customer. **Public consultations** — SEBI, MeitY, RBI, EU calls for evidence — come first whenever one is open, because a written published response is the cheapest and most honest route and needs no relationship. **A customer's own supervisor conversation** is second: the customer is the regulated party, elan1 attends only if asked, as their supplier, and answers technical questions only. **Industry bodies and the CA institutes** are third, from Phase 4, as a working session on the MCA audit-trail reading that asks for corrections. **The RBI**, against FREE-AI, is fourth and only with a real NBFC or bank customer, through that customer or a published response, never cold. **SEBI** is fifth, consultation response first, with actor-kind separation — everything an agent did, separately from everything a person did. **EU authorities and notified bodies** are sixth and only with an EU customer, bringing Article 12 and Article 14 evidence. **The Data Protection Board** is seventh, from 2027, bringing consent and residency as never-skippable gates and erasure through salt destruction with the chain intact — which is precisely the question counsel has not answered, and will be presented as a question rather than an answer.

Four asks, none of them approval: tell us where a clause binding is wrong, and we will publish the correction; tell us what a supervisory reader wants in a report, because our report vocabulary is our guess; tell us whether an open receipt format is useful to supervisory tooling, because if it is not we would rather know before Phase 4 is spent on it; and give us a named contact for defect reports, in whichever direction they run. Never asked for: an endorsement, a no-objection letter, a listing, a pilot the regulator must justify, a waiver, or any statement quotable in a sales document. *A regulator's time is not a marketing asset, and a company that treats it as one gets exactly one meeting.*

Only the founder speaks, always, with the elan1 lead for technical detail — not sales, not a partner, not a systems integrator, not an investor. In a customer's examination the customer leads, and turning the room into a sales conversation is a breach. A defect report from a regulator is acknowledged within five working days and owned by the founder, and nobody closes one quietly. Every interaction — who, when, what was asked, what was

said, what was promised — is recorded as a governed write in elan1's own operator chain: *if we cannot run our own engagement log through our own product, we should not be selling it.*

The rule that governs the plan is the one an investor should weigh most heavily. **The dates are a reason the buyer already has, not a reason they will suddenly acquire.** Every line is opportunistic, none of it is a launch, and nothing in the business plan depends on a regulator acting by a particular date. Dates slip, circulars stay unconfirmed, and a strategy that assumes a date has a fuse in it.

Part III — Market

11. The market: why the obvious number is the wrong number

12. Competition: where elan1 wins, where it does not, and what would end it

13. AI trends to 2031, and how elan1 must evolve to meet them

11. The market: why the obvious number is the wrong number

Convention used in these three sections: a claim carrying a source and a date in the text is published and is not otherwise marked. Anything that is not — a figure we built, a figure we measured against our own model, or a figure we read but could not confirm — is marked MODELLED, MEASURED *or* UNVERIFIED *at the point it is used.*

11.1 The category number, and why we will not build on it

The number a partner will expect on this page is Gartner's. Gartner puts worldwide spending on AI governance platforms at approximately **US$492 million in 2026**, exceeding **US$1 billion by 2030**, driven by its own forecast that fragmented AI regulation will extend to 75% of the world's economies by 2030 (Gartner, 17 February 2026). That is a compound rate of roughly 19–20% on a base smaller than the annual revenue of a single mid-market software company.

We dispose of it rather than lean on it, for three reasons a competent diligence team will find without our help.

First, Gartner does not agree with Gartner. The inaugural Magic Quadrant for AI Governance Platforms, published June 2026, implies a materially different trajectory for the same category: US$65 million in 2024 rising to US$1.4 billion in 2030, a compound rate near 67% (Gartner Magic Quadrant, June 2026, as analysed by Sanjeev Mohan, June 2026). Two trajectories published four months apart, one implying 20% growth and the other 67%, describe a category the analyst community has not yet learned to measure. We cite the press-release figure because it sits on Gartner's own domain, and we state the discrepancy rather than choosing the flattering half.

Second, the category cannot absorb the capital already inside it. The ten most-funded agentic-AI-security startups have raised approximately **US$3.6 billion between them** (Software Strategies Blog, 28 March 2026), and Zenity alone raised **US$125 million in a Series C on 3 August 2026** (Zenity; SecurityWeek, 3 August 2026) — one round equal to a quarter of the category's entire forecast 2026 revenue. Meanwhile the narrow pure-governance screen records just **16 disclosed rounds across 15 companies totalling approximately US$228.6 million over the 25 months to September 2026**, at a median of US$10 million (New Market Pitch, updated 8 September 2026). The capital is pouring into enforcement and avoiding governance-as-documentation, and even so it exceeds what the labelled category will bill for years. A company sold as an AI governance platform is selling into a half-billion-dollar global market whose inaugural Leaders are IBM and ServiceNow. That is not a market; that is a feature queue at two incumbents.

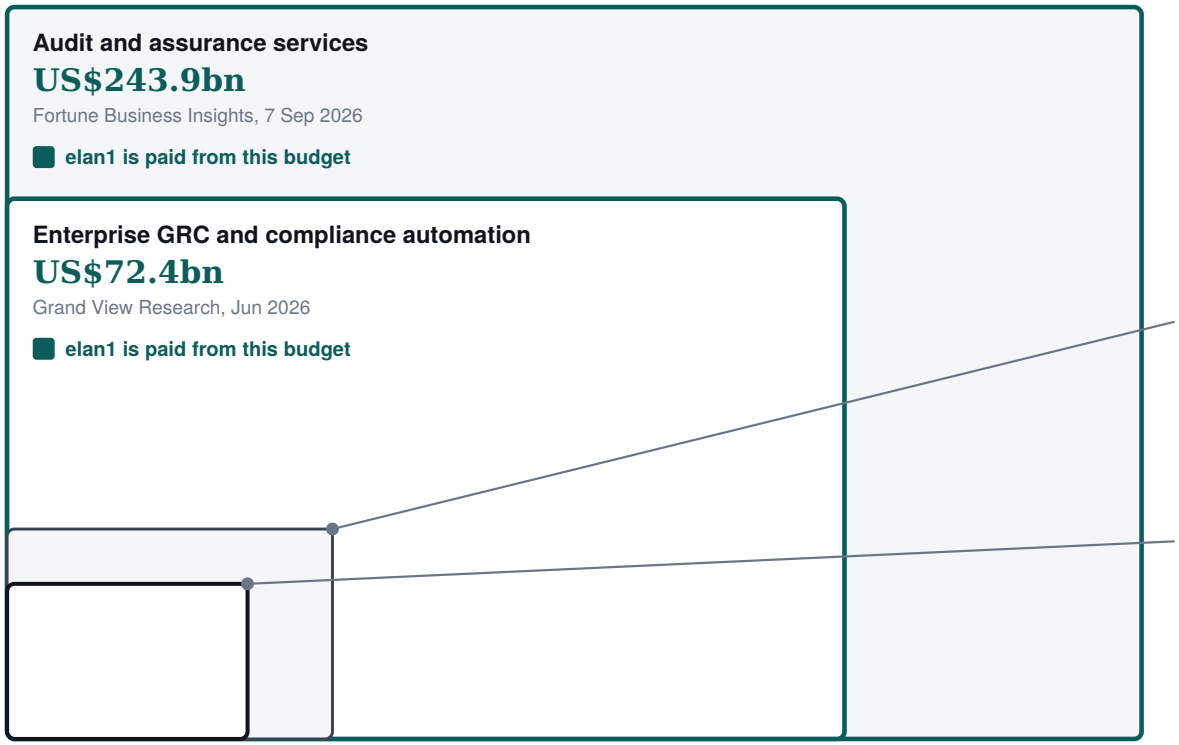
Third, the forcing function everybody sold against moved right. The EU's Digital Omnibus, agreed politically on 6 May 2026 and confirmed by Member States on 13 May 2026, deferred the AI Act's Annex III high-risk obligations from 2 August 2026 to **2 December 2027** and Annex I obligations from August 2027 to **2 August 2028** (Gibson Dunn, 2026; corroborated by Travers Smith and DLA Piper). Article 50 transparency took effect on schedule on 2 August 2026. Every EU-deadline slide written before May 2026 — including the analysis that justified F5's valuation of CalypsoAI — is now sixteen months

wrong. We disclose it at the front because an investor who finds it themselves will discount everything after it.

The AI-governance SKU is therefore small, contested by two incumbents, mismeasured by its own analyst, and has just lost its principal regulatory catalyst in its largest regulated market. We do not build a market from it.

Four nested claims of decreasing confidence and increasing size

They are not additive and we do not add them. elan1 is paid from the two largest, not from the category it would be filed under.



AREA IS PROPORTIONAL ON A SQUARE-ROOT SCALE

so that the smallest claim stays legible. On a linear-area scale the AI governance category would be about 1/500th of the outer rectangle.

The ten most-funded agentic-AI-security startups have raised about US$3.6bn between them. Zenity alone raised US$125m on 3 August 2026 — one round equal to a quarter of the AI governance category's whole forecast 2026 revenue.

Agentic AI security

US$1.65bn

MarketsandMarkets, 4 May 2026

Overlap at the enforcement layer only. elan1 does not compete on prompt-injection defence.

AI governance platforms

US$0.492bn

Gartner, 17 Feb 2026

Smaller than the capital already raised against it.

Sizes as published by the named source on the named date; the four are nested claims, never summed.

four nested market claims, from the AI governance category (US$492m) through agentic AI security (US$1.65bn) to eGRC (US$72.4bn) and audit and assurance services (US$243.9bn), with elan1's position marked on the third and fourth

11.2 Three budgets that already exist

The market we are actually addressing is built from three lines that are funded today and will be funded whether or not a single additional agent is deployed.

Budget line	Size and date	Source	Why elan1 is paid from it
Enterprise GRC (eGRC)	**US$72.4bn (2025) → US$203.7bn (2033)**, 13.7% CAGR	Grand View Research, June 2026	A governed action substitutes for controls-testing labour, not for an AI budget
Audit and assurance services	**US$243.9bn (2026) → US$338.3bn (2034)**, 4.2% CAGR	Fortune Business Insights, 7 September 2026	Verifiable per-action evidence converts sampling-based assurance to population-based assurance
Agentic AI security	**US$1.65bn (2026) → US$13.52bn (2032)**, 42.0% CAGR	MarketsandMarkets, 4 May 2026	We overlap at the enforcement layer only, and do not compete on prompt-injection defence

These are not additive and we do not add them. They are nested claims of decreasing confidence and increasing size. The agentic-security market is 3.4 times larger than the AI-governance category in 2026 and roughly thirteen times larger by 2032, and it grows at double the rate — but it is dominated by network-layer and identity-layer incumbents whose unit is a prompt or a session, not a ledger write. The eGRC and assurance-services lines are two orders of magnitude larger than the governance category and are the budgets a governed action displaces.

One supporting datum cuts both ways and belongs here rather than in a footnote. Gartner forecasts that large enterprises will run an **average of ten GRC solutions by 2028, up from eight in 2025** (Gartner, 17 February 2026). Read pessimistically that is tool sprawl and a consolidation risk. Read for what it proves, it is the strongest available evidence that enterprises buy discrete governance tools rather than accepting platform features, and it is the direct answer to the objection in §12.6.

11.3 Which budget line we are paid from, and why

elan1 is paid from the control-and-assurance budget, not the AI budget. The distinction is not rhetorical; it determines who signs.

The revealed preference of the market is unambiguous and unflattering to anyone selling an AI budget line. Enterprises spent **US$49 billion in 2025 using AI to defend themselves, against US$2.8 billion securing AI itself — a seventeen-fold asymmetry** — while approximately **6% of organisations report an advanced AI security strategy** and Gartner forecasts 40% of enterprise applications will embed task-specific agents by end-2026 (Gartner data via Software Strategies Blog, 24 March 2026). A company that needs a new AI-control budget line to be created is underwriting a behaviour that has not yet happened at scale.

A company that bills against an obligation already carried by a named officer is not. In India, the statutory auditor of every company registered under the Companies Act must report, under Rule 11(g) of the Companies (Audit and Auditors) Rules, whether the accounting software maintained an audit trail throughout the year, whether it was protected from

tampering, and whether the records were preserved. The company's directors and CFO carry penalties of Rs 50,000 to Rs 5,00,000 and, in wilful cases, imprisonment of up to one year (India Briefing, 16 October 2024; MBG Corp on Rule 11(g); ICAI EIRC Implementation Guide, 2024). The budget owner is the person who signs that representation. Our entry point is the financial controller and the head of internal audit, our economic buyer is the CFO, and our recurring purchase is validated annually by an external auditor who has a professional liability if the representation is wrong.

The proof that this budget is payable does not rest on our assertion. Vanta reached **US$300 million ARR and 16,000-plus customers by April 2026** selling nothing but "prove you are compliant" (Sacra, April 2026). Sprinto reached approximately **US$20 million ARR from Bengaluru** on US$31.5 million raised, selling automated evidence collection to Indian and global mid-market buyers (Value for Startups; Entrackr, April 2024). Neither enforces anything. Both are paid well for producing evidence about controls. We produce evidence of enforcement, per action, verifiable by a party who does not trust us.

11.4 The bottom-up number

The top-down construction establishes that a large budget exists. It does not establish that we can address it. For that we build from our own unit.

The unit is the **governed action**: one write to a system of record that was typed, gated against policy held as data, approved by a human where the policy required it, executed through the single writer, recorded in the chain and metered. One row in the chain, one meter event, one line on the invoice, one thing an auditor can open. Refusals are metered at quantity zero and are never billed — a constraint enforced in the database rather than a policy, which is the first thing a CFO asks about and the cheapest question we will ever answer.

The price book the plan runs on:

Item	Platform floor per year (Rs)	Included governed actions per year	Beyond allowance (Rs per action)
L1 Guarded	1,80,000	480,000	1.60
L2 Attested	6,00,000	1,500,000	1.20
L3 Proven	24,00,000	4,200,000	0.90
Sovereign / on-premises	1,20,00,000	—	0.55

Alongside these: a regulatory pack at Rs 1,35,000 per tenant per year blended; a verifier profile at Rs 3,00,000 per regime per year; counterparty verification seats at Rs 45,000 each per year; evidence bundles beyond allowance at Rs 2,500 each; partner certification at Rs 1,50,000 per firm per year. List prices are flat to March 2029 and escalate 4% per annum thereafter. Partners retain 18% of list on partner-sourced revenue, shown as a contra-revenue line.

Those prices produce the following deal sizes MODELLED:

- **Entry, L1 with one pack:** Rs 3,15,000 per year (US$3,500).

- **Mid-market L2 at three million governed actions, one pack, one verifier profile:** Rs 28,35,000 (US$31,500).
- **Large regulated L3 at ten million actions, two packs, two verifier profiles, twenty counterparty seats:** Rs 93,90,000 (US$1.04 million).
- **Sovereign or on-premises deployment:** Rs 1.20 crore (US$133,000) before any metered volume.

The plan's own blended external revenue per paying tenant at March 2031 is **Rs 40.2 lakh (US$44,700)** across 545 tenants — consistent with the mid-market example above, and a useful check that the price book and the model agree MEASURED — AGAINST THE FINANCIAL MODEL.

Now the population. India has **2,852,449 registered companies, of which 1,850,932 are active private and public companies** as at 31 March 2025 (MCA Monthly Information Bulletin, March 2025). Every one of them is inside Rule 11(g). Very few of them run an ERP estate material enough to justify a governed write path. Our research places the enterprise-grade segment at "the few tens of thousands with material ERP estates"; we convert that to a modelled band of **30,000 to 60,000 companies** and mark it as what it is MODELLED.

Band	Addressable companies (India)	Average contract value	India addressable market
Conservative — L1-weighted	30,000	Rs 12 lakh	**Rs 3,600 crore (US$400m)**
Central	45,000	Rs 25 lakh	**Rs 11,250 crore (US$1.25bn)**
Upper — at the plan's own blend	60,000	Rs 40 lakh	**Rs 24,000 crore (US$2.67bn)**

All three rows are MODELLED. The population assumption is the weak one and we say so.

The same construction runs on volume rather than value and ties. The plan meters **2,491.46 million governed actions in FY2030-31** across 545 paying tenants, or approximately 4.6 million per tenant per year MEASURED — FINANCIAL MODEL. At 45,000 addressable companies generating one million governed actions each, the Indian universe is roughly 45 billion governed actions a year; the plan captures about 5.5% of that volume and about 2.0% of the central revenue band. Volume and value give the same answer, which is the only property of a bottom-up model worth checking.

11.5 India specifically: the obligation is already in force

The reason this company is built in India is not cost and it is not talent. It is that India legislated the artefact before the technology arrived, and then, in June 2026, its central bank drafted a specification of the product.

The MCA audit-trail rule is the load-bearing fact. Rule 3(1) of the Companies (Accounts) Rules, 2014 has required since **1 April 2023** that accounting software used by every company registered under the Companies Act carry an audit trail recording when a change occurred, who made it and what changed, operative all year, not disabled, preserved for a **minimum of eight years**. It reaches all **~1.85 million active companies** — small com-

panies, One Person Companies, Section 8 entities and foreign companies included; LLPs and partnerships excluded. Rule 11(g) makes the statutory auditor's report on that trail an affirmative annual duty (India Briefing, 16 October 2024; ICAI EIRC Implementation Guide, 2024). When an agent begins writing to an Indian company's books it inherits that obligation on day one. There is no classification exercise, no grace period and no deadline to wait for.

The RBI Draft Guidance on Model Risk Management is, in substance, a regulatory specification of L1 and L2. RBI Press Release 2026-2027/528, released **24 June 2026** with comments closed 24 July 2026, applies to **all eleven categories of RBI-regulated entity** — commercial banks, small finance banks, payments banks, local area banks, regional rural banks, urban and rural co-operative banks, all NBFC layers, the all-India financial institutions, asset reconstruction companies and credit information companies — and covers all models, internal or third-party, whether or not the entity calls them models. It mandates **override, suspension and deactivation mechanisms including kill-switch arrangements**; **human-in-the-loop** oversight by staff able to challenge outputs; documentation enabling **traceability, reproducibility and auditability**; retention of decommissioned models for a **minimum of ten years**; and full accountability of the regulated entity for third-party outcomes, with independent validation required **regardless of vendor certifications** (CorpLawUpdates analysis, 24 June 2026). Board-approved policy, enforcement, kill switch, human approval, reproducible log, ten-year retention, third-party accountability surviving a vendor's certificate: that is the product. The honest qualification is that it remains a **draft** with no published effective date, and **we have modelled no revenue against it**.

The gap the same regulator has already measured. The RBI's FREE-AI committee reported on **13 August 2025** with seven Sutras, six Pillars and 26 recommendations. Its survey found approximately one-third of regulated entities maintaining board-level AI oversight and **only 18% maintaining audit logs** (Dvara Research, 13 August 2025). Its accountability Sutra — deploying-entity accountability regardless of autonomy — forecloses transferring liability to a model vendor or an agent framework, which is what makes a per-action record a purchase rather than a preference.

DPDP puts a date on it. The Rules were notified **14 November 2025**, starting an eighteen-month transition: soft enforcement ends around **13–14 November 2026**, Significant Data Fiduciaries complete their first independent audit cycle in Q1 2027, and the Data Protection Board gains full adjudicatory powers around **13–14 May 2027**, with penalties to **Rs 250 crore (US$27.8 million)** per major violation. SDF status triggers on five million-plus data principals, turnover of Rs 250 crore or more, **or the use of AI for large-scale profiling** — an AI-specific hook inside a privacy statute — and carries an India-based DPO, an independent external data audit and DPIAs (India Briefing; Shardul Amarchand Mangaldas). May 2027 falls inside FY2027-28 of this plan.

MeitY has declined to legislate, and that helps. The India AI Governance Guidelines of November 2025 set seven Sutras, three new institutions and an explicitly techno-legal posture favouring voluntary compliance, self-certification and sandboxes, governing through the DPDP Act, the IT Act 2000, consumer law and sector regulators rather than a standalone AI Act; they name ISO/IEC 42001 as the governance foundation and state that **the deployer, not the AI vendor, is accountable** (MeitY via PIB, November 2025; SARC

Global, 2026). That posture is routinely read as weak regulation; for this business model it is the opposite. Self-certification requires evidence the enterprise generated itself and can defend. A prescriptive regime with a government register buys consultants; a techno-legal regime with self-certification buys tooling.

What we are not asserting. GST e-invoicing is in force at the Rs 5 crore turnover threshold since 1 August 2023; invoices without a valid IRN have no legal standing and buyers cannot claim Input Tax Credit against them (Sovos, 28 January 2025). Every e-invoice is therefore a governed action with a statutory deadline, an irreversibility property and a financial consequence for a counterparty. **We could not obtain an authoritative IRN volume figure** — the GSTN page carries no statistics and the NIC IRP endpoints are closed to automated retrieval. No IRN volume appears anywhere in this memorandum and none is embedded in the model UNVERIFIED — THEREFORE NOT ASSERTED.

Finally, India's own software market bounds the claim. India enterprise software spending is forecast at **US$24.7 billion in 2026** and India information security spending at **US$3.435 billion in 2026** (Gartner, 18 November 2025 and 9 March 2026). India alone is not the market for this company at scale. It is the build-and-prove geography and the regulatory home ground; beyond FY2028-29 the revenue case is India plus GCC, Singapore and the EU, in that order and for the reasons in §13.10.

11.6 Who pays, where we enter, and what a deal is worth

Three people pay, at three different moments, for three different artefacts. The assurance levels exist because those are three budgets, not one.

The operator who must stop a bad write — an operations or finance owner being asked to let an agent touch the books. Their question is "can I let this run without it doing something I cannot undo?" They buy **L1 Guarded**: the gated write path, the six never-skippable gates, human approval through obligations, a thirty-day rollback from the declared reversal plan, and an append-only hash-chained record of every write, refusal and escalation. What L1 may claim is bounded in writing — tamper-evident to you; it may not say tamper-proof, signed, independently verifiable, court-ready or immutable. Entry deal: Rs 1.80 lakh floor plus metered volume, typically Rs 3–10 lakh in year one.

The auditor and the finance controller who must reconstruct one — in practice the CFO's external auditor, a lender's diligence team or a customer's compliance function. Their question is "can I verify this without trusting the vendor?" They buy **L2 Attested**: Ed25519 signature over a frozen sixteen-field preimage, key custody per residency domain, a batched Merkle root anchored via RFC 3161 at a published interval, an exportable bundle with a manifest, and an offline verifier shipped as free source to anyone — a verifier you must buy from the vendor whose records it checks is not a verifier. Typical deal: Rs 25–40 lakh.

The counterparty or supervisor who must verify without trusting anyone. Their question is "does this survive the vendor?" They buy **L3 Proven**: a second independent seal implementation kept in agreement with the first, published test vectors including a known-tampered bundle with its expected verdict, the open Action Receipt standard, and counter-signature by a party that is not us. Typical deal: Rs 90 lakh to Rs 1.2 crore including sovereign deployment.

The plan's tenant mix follows that structure rather than assuming it away: at March 2031, **279 tenants at L1, 211 at L2, 55 at L3, with 11 sovereign deployments and 140 certified partner firms** MEASURED — FINANCIAL MODEL. L2 tenants accumulate as the auditor's requirement hardens, which §13.11 names as the mechanism that must actually occur for the thesis to hold. Distribution follows the buyer: direct to the controller and the CRO, and through **CA firms, audit firms and systems integrators** who already hold the annual conversation in which Rule 11(g) is signed. Partner-sourced revenue rises from zero to 45% of external revenue by March 2031 at 18% of list, shown as contra-revenue rather than netted quietly.

Two published prices bound the conversation. **Microsoft Agent 365 is US$15 per user per month**, or included in Microsoft 365 E7 (Microsoft Security Blog, 1 May 2026) — approximately Rs 1,350 per user per month, or Rs 2.70 lakh a month for a 200-person firm before a single agent writes anything anywhere. **Salesforce Agentforce is US$0.10 per action**, about Rs 9.00 — an agent step inside a conversation, of which one task produces many. Our top rate of Rs 1.60 sits well under that ceiling for a unit a hundred times rarer and a hundred times more consequential. We never price per user or per seat, anywhere, at any level: a per-seat price charges for headcount and tells the buyer nothing about whether anything was governed.

11.7 The addressable-market statement we will defend in diligence

India-only addressable market: Rs 3,600 crore to Rs 24,000 crore (US$400 million to US$2.67 billion), central case Rs 11,250 crore (US$1.25 billion). All MODELLED**.**

The assumptions, stated so they can be attacked:

1. **Population.** 30,000 to 60,000 Indian companies operate a system of record material enough to justify a governed write path, drawn from 1,850,932 active companies (MCA, March 2025). The narrowing from 1.85 million to tens of thousands is our judgment, not a published figure.
2. **Contract value.** Rs 12 lakh to Rs 40 lakh per tenant per year, from the published price book at realistic level and volume mixes. The upper bound is the plan's own FY2030-31 blended external ACV; it is not an aspiration layered on top of the plan.
3. **No agent-adoption multiplier.** The band assumes governed actions arise from ordinary enterprise write traffic that exists today. It does not require the >40% of agentic projects Gartner expects to be cancelled by end-2027 to survive (Gartner, 25 June 2025).
4. **Geography excluded.** GCC, Singapore, the EU and the US are excluded from the denominator entirely. Every non-Indian rupee in the plan is upside against this number, not a component of it.

What we defend, and what we do not. We defend the conservative band. Rs 3,600 crore is 1.6% of India's forecast 2026 enterprise software spend and 11.6% of its forecast 2026 information security spend — large, but comprehensible as displacement of controls-testing labour rather than the creation of a new software line. The central and upper bands, at US$1.25–2.67 billion, would represent 5% to 11% of all Indian enterprise software spending. That is not credible as a standing new budget line and we do not claim it

as one. Those bands become coherent only if a governed action displaces assurance labour, which is a claim about the audit-services market, not the software market, and which we cannot yet prove because we have no customer.

Against the conservative band, the plan's FY2030-31 revenue of **Rs 230.32 crore (US$25.6 million) is 6.4%**; against the central band, **2.0%** MEASURED — FINANCIAL MODEL. A plan that requires two per cent of its own conservatively-drawn home market is the kind of plan that survives being wrong about most things. That is the point of stating it this way.

12. Competition: where elan1 wins, where it does not, and what would end it

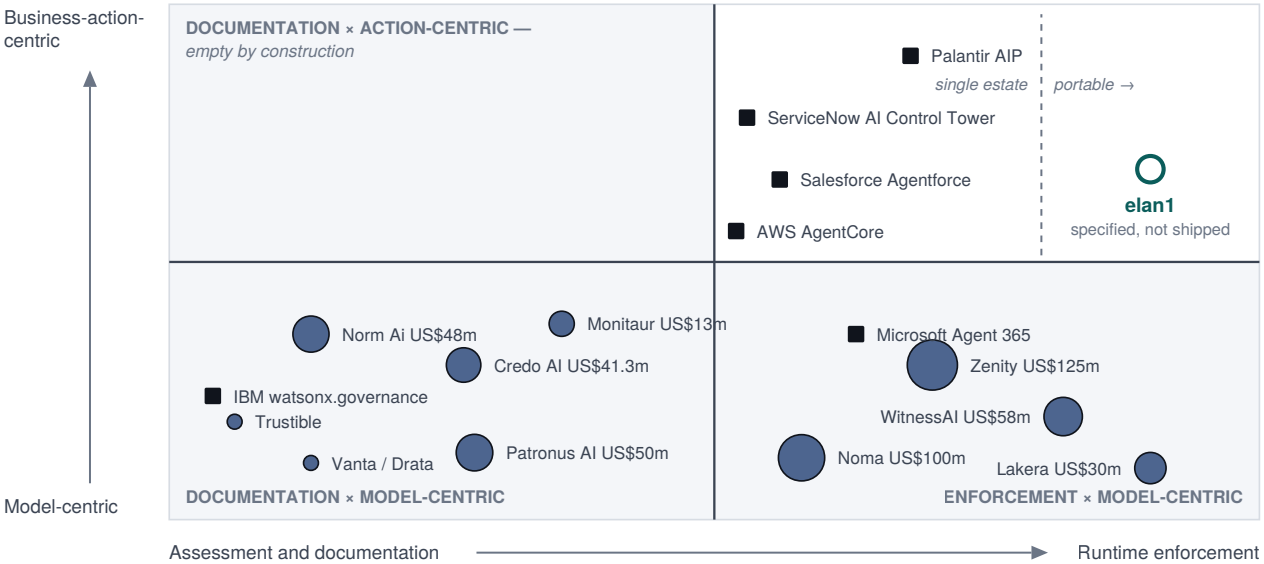
12.1 The map

Vendors describe this field by their own taxonomy and the taxonomy is useless. Two axes separate it. **Axis 1 — position relative to the action:** a product either documents and registers (inventories models and agents, stores policies, produces evidence *about* systems), or it intercepts at runtime (sits inline and can allow, modify or block), or it sits on the **write path into a system of record** and intercepts the consequential business action — the journal entry, the payment, the ledger update — rather than the prompt or the network call. **Axis 2 — what is being governed:** either **model-centric** (the model, the prompt, the output, the token) or **business-action-centric** (the state change in the ERP or core system). The tell is always the data model. A product whose central object is a registered asset cannot produce per-action evidence without rebuilding around a different noun, and nobody rebuilds around a different noun after Series C.

Two independent third parties make the same first cut. The analysis of Gartner's inaugural Magic Quadrant names the factor separating genuine governance platforms from monitoring tools as **"runtime enforcement — active intervention during AI execution rather than post-hoc compliance review"** (Sanjeev Mohan, "Inside Gartner's First AI Governance Platform Magic Quadrant", June 2026). A published critique of Drata's AI Agent Governance launch is blunter: the product is **"monitoring, not enforcement… post-hoc visibility [that] answers what an agent did after the fact"**, with no pre-execution interception (containment.ai, 5 August 2026). Neither author has any relationship with this company. Both describe the dividing line we are built on.

The same map, with the money on it

Marker area is disclosed total funding where a figure exists. The capital is in enforcement; the empty quadrant stays empty.



THE EMPTY QUADRANT

Enforcement × action-centric × portable × independently verifiable. Across approximately 262 vendors surveyed, no funded company was found selling hash-chained, RFC 3161-anchored, offline-verifiable evidence of enforced business actions as a product.

elan1's own row is in it, and every strong column in that row currently reads No — because the company has the design and nobody's books.

MARKERS

- area = disclosed total funding
- platform, not separately funded
- elan1 — specified, not shipped

THE MOST MATERIAL PLAYERS

Vendor	Position on the map	Last disclosed round	Date	Why it matters
Zenity	Enforcement × model	US$125m Series C	3 Aug 2026	One round equal to a quarter of the AI governance category's whole forecast 2026 revenue.
Noma Security	Enforcement × model	US$100m Series B	2026	Agent and AI-security runtime. The unit is a model interaction, so the record is a trace.
WitnessAI	Enforcement × model	US$58m Series B	13 Jan 2026	Network-layer enforcement; no business-write unit.
Patronus AI	Documentation × model	US$50m Series B	Jun 2026	The pure-governance anchor. Evaluation, not enforcement.
Norm Ai	Documentation × model	US$48m Series B	Mar 2025	Regulation as code, without a write path to enforce on.
Monitaur	Documentation × model	≈US$13m total	n/d	Nearest vocabulary — "policy-to-proof workflows with cryptographic audit logs" — and the highest narrative threat.

Funding as disclosed and dated in section 12; figures are total capital raised where one could be found, not valuations. Vendor placement is elan1's reading of published product scope.

the two axes with every material vendor placed; the enforcement × action-centric × portable × independently-verifiable quadrant shown empty, including elan1's own row

The four quadrants, populated:

- **Documentation × model-centric.** Credo AI, Trustible, IBM watsonx.governance, Holistic AI, Saidot, Cranium, Relyance, Monitaur, OneTrust, Truyo, Vanta, Drata. This is the AI governance category as an analyst currently defines it. Genuinely useful; genuinely not evidence of what the governed system did.
- **Enforcement × model-centric.** Zenity, Noma, WitnessAI, Straiker, HiddenLayer, Airia, ModelOp with Kong, Microsoft Agent 365, Bedrock Guardrails, Google Model Armor, Boomi's AI Gateway. The unit is a model interaction, so the record is a trace. Telemetry is not evidence: the entity producing the log is the same entity whose activity is being logged, so the actor is not a reliable narrator of its own actions.
- **Enforcement × action-centric, single-vendor.** Palantir AIP, ServiceNow AI Control Tower, SAP Agent Hub, Salesforce Agentforce Operations. Right unit, right position in the path, locked to one estate.
- **Enforcement × action-centric, portable, with a record a stranger can check. Empty.** Including our row.

12.2 The rule: designed is not shipped

The matrix below is rescored under one rule, and the rule is applied to us first.

> A cell reads **YES** only where the capability is running in a customer's production tenant and is publicly evidenced. **Partial** means it exists for a narrow slice, or exists but does not do the load-bearing part. **No** means it is absent, announced, on a roadmap, in a datasheet, or built but not in production.

An earlier version of this matrix scored elan1's own per-action record as "Designed". That was the most misleading cell in the document, and it was ours. Under the v3 rule, **elan1's strongest columns read No**, because we are pre-revenue with no customer. The same rule is applied to competitors: a funding round, a valuation, a headcount, a rebrand, a keynote, a roadmap slide, a private preview and an analyst placement are none of them evidence of a shipped capability.

Sourcing caveat: the scores are our reading of public material as at 20 September 2026 and are UNVERIFIED unless marked otherwise. A finding by absence is weaker than a finding by presence, and most of the No cells in the last two columns are findings by absence.

12.3 The rescored matrix

Vendor	Central object	Stops a business write at runtime	Per-action record of the write	Independently checkable	Refusal recorded as evidence
Credo AI	use case / model	No	No	No	No
Trustible	use case / regulation	No	No	No	No
Holistic AI	model risk	No	No	No	No
Monitaur	model + control evidence	No	Partial — evidence about a model	No	No
ModelOp	model	No	No	No	No
Cranium	AI asset inventory	No	No	No	No
Saidot	use case / policy	No	No	No	No
Relyance	data flow	No	No	No	No
Truyo	use case / privacy request	No	No	No	No
Airia	agent	Partial — agent gateway	No	No	No
OneTrust	policy / data asset	No	No	No	No
Vanta	control evidence	No	No	No	No
Drata	control / agent	No — monitoring, not enforcement	No	No	No
IBM watsonx.governance	model	No	No	No	No
ServiceNow AI Control Tower	agent / workflow	Partial — inside ServiceNow	Partial — workflow records	No	No
SAP Agent Hub	agent	Partial — inside SAP	Partial — SAP's own document trail	No	No
Zenity	agent (security)	Partial — blocks agent behaviours	No	No	No
Noma Security	agent / AI runtime	Partial	No	No	No
WitnessAI	AI interaction (network)	Partial — at the network layer	No	No	No
Straiker	agent runtime	Partial	No	No	No
HiddenLayer	model / agent harness	Partial	No	No	No
Fiddler AI	model interaction	Partial — policy at execution time	No — traces	No	No
Arize · Braintrust · Patronus · Arthur	trace / evaluation	No	No	No	No

Vendor	Central object	Stops a business write at runtime	Per-action record of the write	Independently checkable	Refusal recorded as evidence
Microsoft Agent 365	agent identity	Partial — identity, DLP, conditional access, runtime blocking of coding agents	No — audit logs	No	No
Salesforce Agentforce Operations	agent action in Salesforce	Partial — inside Salesforce	Partial — permanent trail against a blueprint	No	No
AWS Bedrock Guardrails / AgentCore	model call / tool access	Partial — inside the AWS account boundary	No	No	No
Google Model Armor / Agentspace	prompt / response	Partial	No	No	No
Boomi Agent Control Tower	agent / integration	Partial — registry, guardrails, kill switch	No — observability and audit logs	No	No
Kong AI Gateway / Agent Gateway	API call	Partial — at the gateway	No	No	No
UiPath	automation run	Partial UNVERIFIED	No	No	No
Palantir AIP	the action, inside Foundry	**Yes — but only on Foundry objects**	**Yes — on Foundry objects**	No	Partial
elan1 (L1, September 2026)	the governed write	**No — nothing in production**	**No — nothing in production**	**No — L1 is unsigned by design**	**No — nothing in production**

12.4 What the matrix says

Palantir AIP is the only row with two Yes cells, and it is the row that proves the design is right rather than the row that proves it is ours. Same architecture, single-vendor scope, no portability and no third-party verifiability. If someone tells you nobody is building this, they have not looked at AIP. The uncomfortable corollary is that the gap in the fourth quadrant is not empty because it is hard to see — Palantir saw it. It is empty because closing it *portably* requires holding the credential to somebody else's system of record, which is a commercially awkward thing to ask for, and is the reason our own Phase 1 runs on a hosted ERP rather than on a customer's SAP instance.

Boomi Agent Control Tower is the shape the market is converging on and the one most likely to be mistaken for us. It registers agents from Bedrock, Agentforce, Copilot and Snowflake, gives real-time observability, built-in guardrails and an instant kill switch, and had **more than 75,000 agents in production as of February 2026** (Boomi; shashi.co, 31 July 2026). Boomi is an integration vendor, which puts it architecturally closer to our position than any pure-play. It observes and routes agents; it does not produce a per-action record of the business write, and it signs nothing.

The industry-wide finding is narrower and sharper than "nobody does governance". Open Policy Agent signs the policy bundle. It does not sign the decision. The industry has solved proving which rules were in force; it has not attempted proving which ruling was made. Every commercial policy decision point we examined emits a decision as

a return value and nothing else — not signed, not chained, not bound to the action it authorised. **The industry signs what an agent was allowed to do, and does not sign what it did.**

The category's own analyst framework has not asked the verifiability question. Gartner's June 2026 Magic Quadrant inclusion criteria require discovery, compliance risk management, policy enforcement, dynamic risk scoring, evidence collection, interoperability, workflow and audit trail, all shipping by 1 April 2026, plus more than ten paid deployments. More than one hundred vendors claim the capability; **thirteen met the criteria**. The number of inclusion criteria requiring independently verifiable evidence is **zero** MEASURED — BY ABSENCE ACROSS THE SURVEYED FIELD. A category whose defining analyst framework does not ask the verifiability question is a category that has not yet been asked it by a buyer with leverage — which is either an indictment of the opportunity or the opportunity itself.

One correction worth making in a sales conversation because it is checkable in thirty seconds: a Forrester chart circulating in this market as an AI-governance ranking is **the GRC Wave, not the AI-governance one**. The relevant AI-adjacent Forrester wave, Q3 2025, had Credo AI and IBM as leaders. Anyone quoting a Forrester AI Governance Wave with a different leader set is quoting the wrong document.

12.5 The money behind the field

Company	Round	Amount	Date	Lead / notable
Zenity	Series C	US$125m	3 Aug 2026	Norwest; SoftBank Vision Fund 2, Intel Capital, Third Point
Airia	Growth	US$100m	16 Sep 2025	Funded principally by its co-founder
Noma Security	Series B	US$100m	Jul 2025	Evolution Equity Partners (total US$132m)
HiddenLayer	Series B	US$100m	2 Sep 2026	Delta-v Capital; M12, Morgan Stanley (total US$186m)
Straiker	Series A	US$64m	29 Jun 2026	Marathon Management; Citi Ventures, Workday Ventures
WitnessAI	Series B	US$58m	13 Jan 2026	Sound Ventures; Qualcomm, Samsung (total US$85.5m)
Patronus AI	Series B	US$50m	Jun 2026	Greenfield Partners (total US$70.5m)
Norm Ai	Series C	US$120m	7 Jul 2026	Khosla Ventures, at US$1.2bn
Vanta	Series D	US$150m	Jul 2025	Wellington Management, at US$4.15bn
anecdotes	Series B	US$55m	8 Apr 2025	Glilot and DTCP (total US$85m)
Fiddler AI	Series C	US$30m	Jan 2026	RPS Ventures
Cranium AI	Series A	US$25m	Nov 2023	(total ≈US$32m UNVERIFIED)
Sprinto	Series B	US$20m	Apr 2024	Accel (total US$31.5m)
Monitaur	Series A	US$6m	2024	Cultivation Capital (total ≈US$13m)
Trustible	Seed	US$4.6m	Jun 2025	Lookout Ventures

Sources: company releases and SecurityWeek, PR Newswire, SiliconANGLE, Axios, TechCrunch, Sacra and New Market Pitch, as cited in the underlying research dossier, all read 22 September 2026.

Three source conflicts are disclosed rather than resolved. **Zenity's Series C** is US$125 million per the company and SecurityWeek, and US$115 million per one tracker. **Lakera's acquisition price** is approximately US$300 million per Calcalist and US$202 million implied by New Market Pitch. **WitnessAI's Series A** is US$27.5 million (May 2024) per the company and US$58 million per one tracker; we prefer the company. Funding totals for Credo AI, ModelOp, Drata, OneTrust's current valuation, Arthur, Relyance, Truyo, Saidot and Scrut Automation sit behind paid databases and are **not asserted anywhere in this memorandum**.

The shape of the money matters more than any single row. Across the 25 months to September 2026, capital moved decisively from documentation to enforcement: US$50–64 million Series A rounds and US$100–125 million Series B and C rounds became normal in enforcement, while the pure-governance layer stayed at a US$10 million median with a single US$50 million outlier. Q2 2026 alone recorded 27 deals totalling US$462.8 million (New Market Pitch, updated September 2026). The tracker's own conclusion reads as though it were written for this document: "*The strongest companies are more likely to be those that convert governance requirements into measurable evidence or enforceable behavior inside deployed AI systems.*"

A founder recollection that could not be verified, disclosed here. No round of exactly US$54 million in AI governance or agent security was found in this research. The nearest candidates are **anecdotes' US$55 million Series B (8 April 2025)**, **WitnessAI's US$58 million Series B (13 January 2026)**, **Patronus AI's US$50 million Series B (June 2026)** and **Norm Ai's US$48 million Series B (March 2025)**; a UK company, AI Score, raised **£5.4 million** in September 2026, which is a plausible origin of the memory. We do not cite a US$54 million round. Where a single anchor is needed, we use **Patronus AI at US$50 million** for the pure-governance category and **Zenity at US$125 million** for the enforcement category.

12.6 The platform-absorption risk, at full strength

This is the strongest argument against this company and 2026 was the year it began happening. We state it without cushioning.

Microsoft Agent 365 reached general availability on 1 May 2026 at **US$15 per user per month standalone, or included in Microsoft 365 E7**. It discovers local agents — including OpenClaw, GitHub Copilot CLI and Claude Code — through Defender and Intune; maps devices, MCP servers, identities and cloud resources; applies **policy-based controls to agent actions**; performs **runtime blocking** of coding agents behaving maliciously; syncs registries with AWS Bedrock and Google Cloud; and, decisively, performs **"audit-ready evidence generation for compliance"**. Tens of millions of agents were registered within two months of preview (Microsoft Security Blog, 1 May 2026; shashi.co, 31 July 2026). A US$15-per-seat bundle that says "audit-ready evidence" removes the budget for a standalone tier-one product in Microsoft-centric estates.

ServiceNow AI Control Tower is a Magic Quadrant Leader with kill-switch authority, offered free for one year on a bundle valued at US$2 million. Expanded 5 May 2026, it spans discovery across 30-plus enterprise integrations including **SAP, Oracle and Workday**; observability through the Traceloop acquisition; governance aligned to

NIST and the EU AI Act; identity access governance with a kill switch via the Veza acquisition; and it claims that when an agent goes off script or exceeds its permissions, Control Tower detects it and shuts it down in real time. ServiceNow spent **US$11.6 billion in 2025 M&A** — Armis at US$7.75 billion, Moveworks at US$2.85 billion, Veza at approximately US$1 billion — building toward exactly this (ServiceNow newsroom, 5 May 2026; Software Strategies Blog, 28 March 2026).

Salesforce Agentforce Operations, announced 29 April 2026, "creates a permanent audit trail by recording every AI action against relevant workflow blueprints", and Data 360 Governance adds AI tagging, dynamic masking, encryption and access monitoring mapped to AI compliance requirements (Yahoo Finance, 10 May 2026). That is the nearest thing to our concept shipped by an incumbent: action-level, permanent, tied to an approved blueprint. And the inaugural Leaders of the pure-play AI governance category are **IBM, ServiceNow and Truyo** — two of which are not pure-plays (Gartner Magic Quadrant, June 2026).

12.7 The counter, and how narrow it is

The documented counter is real, specific and third-party.

Every platform governs inward. Microsoft's coverage for agents on competing platforms is "expanding but newer and partial"; AWS AgentCore's visibility **"stops outside the AWS account boundary"**; ServiceNow's authority is **"strongest for what runs through ServiceNow"**; and Google's agent lists end at platform boundaries (Kosmoy, "Gartner Symposium 2026: AI agent governance", 16 August 2026).

None of them governs a write into SAP, Oracle EBS, Temenos, Finacle or Tally. And none of them produces evidence verifiable by a party that does not trust the vendor. ServiceNow's evidence lives in ServiceNow. Microsoft's audit log is attested by Microsoft. Salesforce's permanent trail is permanent inside Salesforce's object model. For an external auditor, a regulator conducting an inspection, a lender's diligence team or a counterparty, an audit trail attested by the party whose conduct it records is exactly the artefact they are trained to discount.

This moat is narrower than it sounds, and we will say what would close it.

1. **Microsoft extends Agent 365's "audit-ready evidence" to cross-platform business writes and adds an independently verifiable receipt.** At US$15 per seat, L1 becomes unsellable in Microsoft estates the week that ships. Signal we monitor monthly: the Purview for Agent 365 documentation and the audit-log schema.
2. **ServiceNow AI Control Tower gains approvals or write operations into a system of record ServiceNow does not own.** Signal: a connector catalogue listing write operations into ERPs, or a release note mentioning approvals on external records. Monitored monthly. This is the single largest threat in the portfolio: ServiceNow has distribution, workflow and an existing trusted relationship with the exact buyer, and if it extends to third-party systems of record we are a feature.
3. **SAP or Oracle ships native write-path approval gating with signed evidence.** SAP is already a Magic Quadrant Niche Player and is the system of record we govern. This is the existential scenario and it is not far-fetched.

4. **Any two of Microsoft, ServiceNow, SAP or Boomi move governance from a priced SKU to an included capability.** The budget line disappears before we ever bill against it.

Our defence is structural rather than competitive. We never price per seat, so a per-seat bundle does not sit in the same procurement line. We enter through the ERP and audit budgets rather than the AI-governance budget. And the artefact we sell — a record checkable by a party who trusts neither the agent nor the platform — is the one thing a platform vendor structurally will not build, because building it would mean conceding that its own attestation is insufficient.

12.8 The uncontested space, and what it might mean

Across approximately **262 vendors surveyed** in this research, no funded company was found selling hash-chained, cryptographically sealed, RFC 3161-anchored, offline-verifiable evidence of *enforced business actions* as a product.

The closest language found anywhere is **Monitaur's "policy-to-proof workflows with cryptographic audit logs"** — a company with roughly **US$13 million raised**, confined to insurance model governance, whose own vendor documentation states that the platform "does not screen untrusted input, gate access to sensitive data, or block exfiltration at runtime" (druce.ai governance wiki, read 22 September 2026). Monitaur is a Gartner Visionary and the highest *narrative* threat in the pure-play group, because its vocabulary is nearest ours and it will be raised in diligence. It is not an architectural threat: it produces evidence about a model, not a per-action record of a business write, and it enforces nothing.

We are obliged to say what an empty space might mean, because a partner will think it. **It might be empty because the problem is not worth solving** — if buyers never refuse a mutable log, cryptographic assurance is a premium nobody pays and the price collapses to the price of a logging library. That is risk three in §13.11 and we have not hedged it. **It might be empty because it is commercially awkward to occupy**: closing it portably requires holding, or being trusted with, the credential to somebody else's system of record, which is a harder and slower sale than a dashboard and is why the incumbents stopped at the boundary of their own estates. That is our reading. **Or it might not be empty long.** An active pre-standard field in signed action receipts already exists: an IETF individual Internet-Draft at revision -08 (31 August 2026) specifying hash-chained, RFC 3161-anchored receipts mapped to EU AI Act Articles 12 and 26 and DORA Article 17; an academic receipt protocol published May 2026; at least four commercial or community efforts; and open feature requests for cryptographic action receipts filed against LangGraph, Microsoft AutoGen and ByteDance deer-flow. Demand is arriving bottom-up at the orchestration frameworks, not only top-down from compliance. **The format is not the moat.** The moat is that our receipt is produced by a system that actually refused, gated and executed the write — which no format-only effort can do, and which §13.4 develops.

Absence of a public competitor is not proof of absence. We have found no twenty-first vendor doing this in a vertical we do not watch, and we carry an open question standing against exactly that possibility.

12.9 The funding and exit record as an underwriting floor

The honest answer to "what if you never become the category leader" is a number, and it is available.

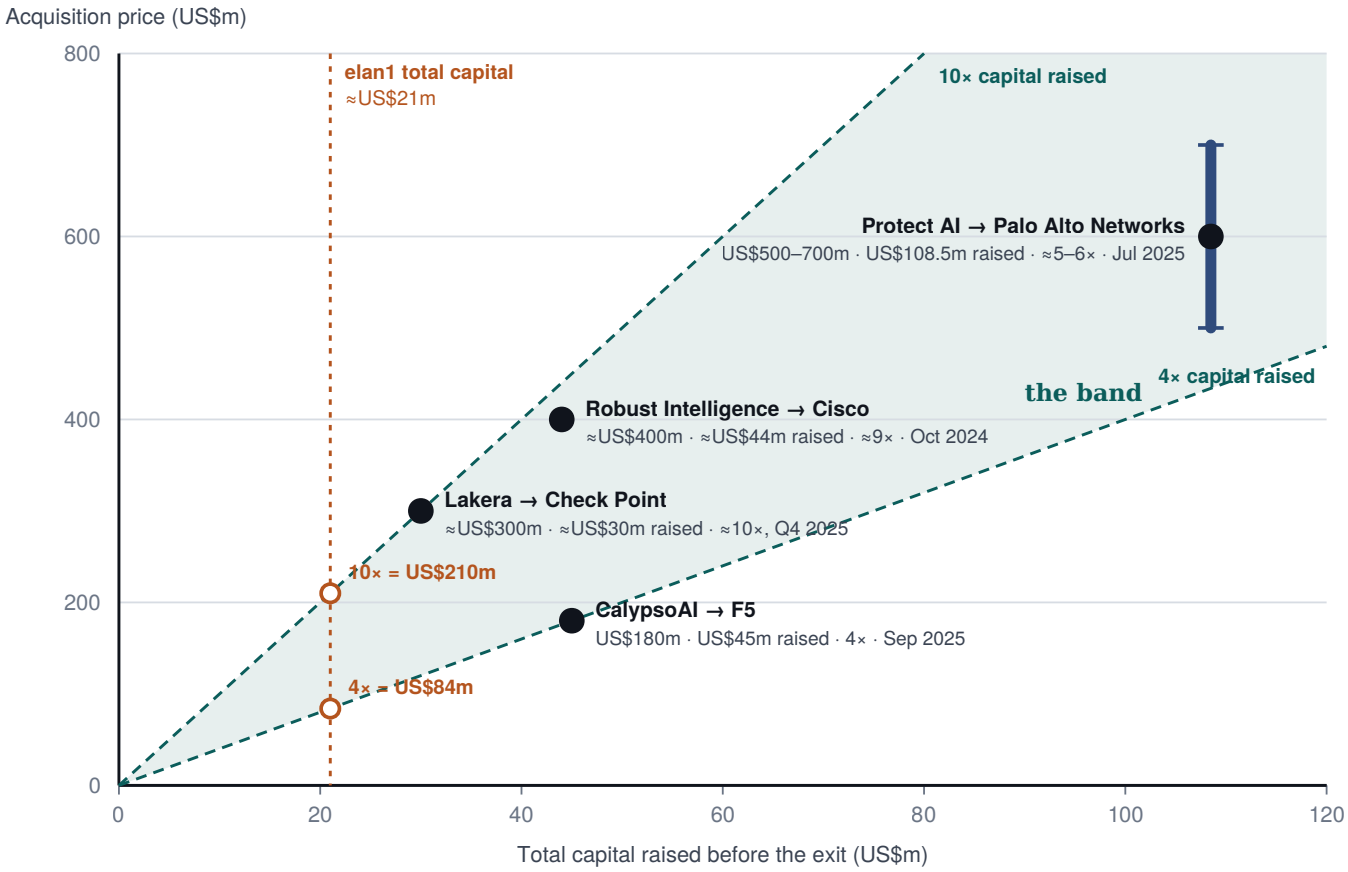
Target	Acquirer	Price	Total raised	Multiple on capital	Date
CalypsoAI	F5	US$180m	US$45m	**4×**	Sep 2025
Protect AI	Palo Alto Networks	US$500–700m	US$108.5m	**≈5–6×**	Jul 2025
Robust Intelligence	Cisco	≈US$400m	≈US$44m	**≈9×**	Oct 2024
Lakera	Check Point	≈US$300m	≈US$30m	**≈10×**	Q4 2025

Sources: F5 press release and SecurityWeek (CalypsoAI); devidevs, 19 March 2026 and New Market Pitch (Protect AI, Robust Intelligence); Calcalist (Lakera). Revenue was not disclosed in any of the four, so no revenue multiple can be computed, and the Lakera price is contested at approximately US$300 million against an implied US$202 million.

Those four sit inside a broader consolidation: **seventeen acquisitions between October 2024 and May 2026**, including Weights & Biases to CoreWeave at approximately US$1.7 billion, Statsig to OpenAI at US$1.1 billion, Prompt Security to SentinelOne at approximately US$250 million, Galileo to Cisco at an estimated US$400 million to US$1 billion, Langfuse to ClickHouse, Promptfoo and Humanloop to OpenAI and Anthropic respectively, plus Aim Security to Cato, Invariant Labs to Snyk, Apex to Tenable and Onum to CrowdStrike.

The underwriting floor: four exits inside a 4× to 10× band

None of these was a failure. This is the outcome range in the scenario where elan1 never becomes the category leader.



17 ACQUISITIONS

October 2024 to May 2026

Weights & Biases to CoreWeave at ≈US$1.7bn; Statsig to OpenAI at US$1.1bn; Prompt Security to SentinelOne at ≈US$250m; Galileo to Cisco; Langfuse to ClickHouse; Promptfoo and Humanloop to OpenAI and Anthropic; Aim to Cato; Invariant Labs to Snyk; Apex to Tenable; Onum to CrowdStrike.

Revenue was not disclosed in any of the four plotted exits, so no revenue multiple can be computed. The Lakera price is contested at ≈US$300m against an implied US$202m.

The floor, stated plainly

Against ≈US$21m of total capital, a 4× to 10× band implies US$84m to US$210m in the scenario where elan1 is absorbed rather than leads the category.

F5 press release and SecurityWeek (CalypsoAI); devidevs, 19 Mar 2026 and New Market Pitch (Protect AI, Robust Intelligence); Calcalist (Lakera). elan1 capital base is modelled.

seventeen AI-security and evaluation exits, October 2024 to May 2026, plotted as price against total capital raised, with the 4× to 10× band shaded

The sceptic's reading of that table is written down and we should quote it rather than paraphrase: one analysis concludes that independent AI security **"as a standalone product category is no longer commercially viable"**, and that what survives is consulting — inventories, red teaming, documentation, vendor-neutral assessment (devidevs, 19 March 2026). Eight of roughly a dozen credible evaluation and observability companies were acquired inside twenty months.

Our counter is not that the sceptic is wrong. It is that none of those exits was a failure. The band is 4× to 10× total capital raised, with several well above. The pattern is fast, profitable consolidation, not collapse. Against a Rs 180 crore (US$20 million) Series A inside a total capital base that the plan carries to roughly US$21 million including the Rs 8 crore bridge, a 4× to 10× band on capital raised implies an outcome range of approximately **US$84 million to US$210 million** in the scenario where we never become the category leader and are instead absorbed by a platform that needs the write-path primitive and the India regulatory position. That is the honest downside underwriting floor, and it is the number we would put in front of an investment committee rather than a terminal-value multiple.

12.10 The watch list

We run a single quarterly competitor review across the group — **twenty-two rows in four threat classes**, owned by the founder, with each brand lead owning their rows and the compliance owner owning Class D. The list is grouped by what would hurt us rather than by who the vendor is, because the three threats that would most damage the group do not arrive inside one brand.

The governing rule: a watch item exists to force a decision, not to produce awareness. If a row's trigger fires and nothing changes, the row was wrong and should be deleted or rewritten. A list of things we are keeping an eye on is not a control. A row nobody checked is marked `not checked`, never `no change`, and a row that has not moved in four consecutive quarters is proposed for deletion.

Class	What it is	Representative triggers	Owner · cadence
A — incumbent bundling (10 rows)	A platform the buyer already pays for absorbs what we sell. The likeliest way we lose, and it does not require anyone to build a better product	ServiceNow AI Control Tower gains write operations into a system of record it does not own; Agent 365 governance moves from priced SKU to included, or adds a per-action business-write record; IBM, Boomi or Credo AI ships anything that **signs or chains a decision**; Palantir offers AIP action governance against non-Foundry systems	Founder · **monthly** for ServiceNow, Microsoft and the platform layer; quarterly for the rest
B — an open-source host moves up (9 rows)	Frappe is the sharpest case: it owns the permissions model, the partner network and about 30,000 sites, and already ships agent tooling	Frappe's agent runtime ships GA under a permissive licence, permission-aware, with an approval step; any release describing invariant tests against tenant data before a change is published	Founder and rung1 lead · **monthly**
C — price collapse (6 rows)	Does not kill the product; decides what kind of business we are, and decides it quickly	Governance becomes an included capability in any two of Microsoft, ServiceNow, SAP or Boomi; any major vendor prices a governed business action below Rs 4; **our own measured cost per governed action exceeds our own transfer price for two consecutive months**	Founder and stack1 lead · quarterly, **monthly for our own cost line**
D — a regulator or a standard changes the game (7 rows)	Either a rule forces the buyer's hand, or **a weaker artefact gets blessed as sufficient**, which removes the premium	MCA, RBI or an EU notified body names an acceptable evidence format that does not require independent verifiability; a pure-play publishes a signed or chained decision record; the DPDP 13 May 2027 date moves; the GST e-invoicing threshold drops to Rs 2–3 crore; the next Gartner MQ adds a verifiable-evidence inclusion criterion, or explicitly does not	Compliance owner · **monthly** for D1, D2 and D4

What is not a trigger. Half the discipline is refusing to react. None of the following opens a review: a funding round, a valuation or a headcount; a rebrand, a repositioning or a new category name; a conference keynote, a roadmap slide or a private preview; an analyst placement, including a Magic Quadrant move; or a competitor's announcement of a capability that is not shipped. Designed is not yes, and it applies to competitors exactly as it applies to us.

The trigger most likely to fire is our own — Class C, our measured cost per governed action rising above our own internal transfer price for two consecutive months. A competitor's price collapse is a threat; our own cost exceeding our own price is a fact, and it arrives with a date on it. The plan carries cost per governed action from **Rs 3.039 in FY2026-27 to Rs 0.636 in FY2027-28 and Rs 0.129 by FY2030-31**, against an internal transfer price held flat at Rs 0.40 MEASURED — FINANCIAL MODEL. The crossing happens in FY2027-28 by design, and the row exists to detect it not happening.

Three Class D rows would be good news if they fired: the GST e-invoicing threshold dropping to Rs 2–3 crore, which roughly triples the Indian addressable population; a verifiable-evidence inclusion criterion in the next Gartner Magic Quadrant, which converts our differentiator into a purchase requirement written by someone else; and a final RBI circular operationalising the June 2026 draft MRM guidance across eleven categories of regulated entity. A change in market size forces a strategy review just as much as a threat does, and reviews that only run on bad news run late.

The value of this discipline is not what it discovers. It is that we will have written down, in advance and in calm conditions, what would make us change our mind. A company that

has not done that changes its mind for the wrong reason at the worst time, usually in a room with an investor in it.

12.11 A diligence hazard, flagged so nobody trips on it

"Holistic AI" names two unrelated companies and several funding aggregators conflate them.

- **Holistic AI**, founded 2020, London with a Palo Alto presence, is the AI governance vendor — risk assessment, discovery, bias and safety testing, compliance mapping to the EU AI Act, NIST AI RMF, ISO 42001 and NYC Local Law 144. It is the sole Challenger in Gartner's June 2026 Magic Quadrant. Funding is approximately **US$35 million, low confidence**, plus an Innovate UK grant of approximately £596,670.
- **"H Company", also styled Holistic AI**, is a Paris LLM-agent company that raised approximately **US$200 million**. Crunchbase's `holistic-ai-0946` record is the Paris company, and press coverage headlined "Holistic AI founded by DeepMind alumni raises $200M" refers to it.

A diligence team pulling Holistic AI from a database will very likely retrieve the Paris company and conclude that a well-capitalised competitor exists in the AI governance category. It does not. **The US$200 million figure must not be attached to the governance vendor**, and we flag it here rather than letting it surface as an apparent omission on our part.

13. AI trends to 2031, and how elan1 must evolve to meet them

13.1 Protocols: the call layer settled, the write layer did not

The agent stack layered itself in 2026 and one row stayed empty.

Layer	Status, September 2026
Agent ↔ tool and data	**MCP**, decisively. Linux Foundation governance, multi-vendor maintainership, NSA/CISA security guidance
Agent ↔ agent	**A2A v1.0**, Linux Foundation, 150-plus organisations, Signed Agent Cards
Agent discovery and directory	AGNTCY Agent Directory and the MCP Registry — contested, neither dominant
Agent ↔ money	**Fragmented** — AP2, ACP, x402, Visa TAP, Mastercard Agent Pay
Agent ↔ system of record, with policy	**No standard.** This is the opening

MCP is no longer an Anthropic project in any governance sense; it is maintained as a Series of LF Projects with contributions from AWS, Anthropic, Google Cloud, Microsoft and Cloudflare (MCP Blog, 28 July 2026). That lowers the platform risk of building a product whose primary caller interface is MCP, and it means the roadmap moves at committee speed.

The **2026-07-28 specification** contains one change that matters more to this company than everything else in the release. **Multi Round-Trip Requests** let a server return `resultType: "input_required"` mid-call, with the client retrying once it has the answer. MCP now has a first-class, in-band affordance for "I cannot complete this until a human answers." Human-approval gating — which every competing architecture bolts on out-of-band through a workflow engine or a chat message — becomes a native property of the call. **This is a direct product opportunity landing in FY2026-27**: the approval gate stops being an integration and becomes a protocol behaviour any MCP client already understands. The same release made the protocol core stateless, so every call carries its own identity claim and a policy gate can evaluate per request; added header-based routing, which makes a policy-enforcing proxy cheap to deploy, for us and for a competitor; and replaced Dynamic Client Registration with Client ID Metadata Documents, turning client identity into a fetchable, attestable document — usable raw material for a receipt's "who called" field. **A2A v1.0's Signed Agent Cards** add the precedent that an agent's declared capabilities are a signed artefact rather than a self-assertion; a receipt bound to one is verifiable end to end.

And then there is the argument that does the most work in a sales conversation. An independent census of the official MCP registry on **14 September 2026** counted 101,219 entries resolving to **31,309 unique servers, of which 22.6% — 7,090 servers — have no source repository at all**, with three hosts fronting 14.5% of all servers and growth running from 456 to 6,673 new servers a month over the year. Set against that: 82% of 2,614 MCP implementations vulnerable to path traversal (Endor Labs, 2025); 36.7% of 7,000-plus tested servers exposed to SSRF (BlueRock Security, 2026); **8.5% using OAu-**

th, with 53% on static API keys (Astrix, October 2025); 24,008 secrets exposed in MCP config files on public GitHub (GitGuardian, 2026).

Nearly one MCP server in four cannot be code-reviewed before deployment, by design. An enterprise cannot inspect its way to safety across 31,000 servers growing at over six thousand a month. It can only control what those servers are permitted to *do*. Every named structural attack class in the MCP literature — tool poisoning, rug pulls, the confused deputy — is an input-side attack, and the defence that holds is not a better tool description. It is a check at the moment of the write, on the semantic content of the write, independent of how the agent was persuaded to attempt it. That is the cleanest argument available for a kernel on the write path rather than a scanner on the supply chain.

13.2 Identity: consume it, never compete on it

Agent identity consolidated fast in 2026 and we should be glad.

Microsoft Entra Agent ID reached general availability in Q2 2026 — sources disagree between April and 1 May 2026 and we do not resolve it UNVERIFIED — MONTH. It runs on Agent Identity Blueprints, Agent Identities and Agent User Accounts, with four new Conditional Access templates including block-high-risk-agent, block-when-principal-compromised, and **separate policies for autonomous versus delegated agent scenarios**. That last distinction is a vendor validation of our core abstraction: the governance question turns on whether a human is in the loop for this specific action. Microsoft encodes it at the identity layer; we encode it at the action layer. They compose.

Okta and Auth0 shipped Auth for MCP and an Okta MCP server to GA on 6 May 2026, with least-privilege access control **at the tool-call level**. That is the closest adjacent product to our policy gate, and the distinction must be held precisely in front of an investor who already knows Okta: Okta answers *may this agent call this tool*; we answer *given this payload, in this tenant, against this record, at this value, does this write require a human, and what proof exists afterward*. Authorisation versus governance with evidence. They compose, and conflating them is the fastest way to lose a category argument.

SPIFFE and SPIRE give cryptographic workload identity with auto-rotating SVIDs, at a typical cost of one to three dedicated platform engineers over 6–24 months across 8–10 interdependent components — the right answer for a large regulated enterprise with a platform team, the wrong answer for the Indian mid-market. **KYA-OS**, the MCP-Identity framework donated by Vouched to the Decentralized Identity Foundation in March 2026, uses DIDs and verifiable credentials to verify agents and their human principals without prior coordination; it is a genuine specification with no production deployment at scale, and we treat it as a 2027–2028 dependency.

The MCP roadmap's identity line item — **DPoP and Workload Identity Federation, explicitly moving away from API keys** — will move a large piece of "who is this agent" into the protocol. That is net-positive, because we inherit a stronger assertion for free, and it removes identity as a differentiator for everyone. Our position is settled: **consume identity, differentiate on enforcement, approval and evidence, never compete on authentication.** The gap this leaves is measurable — **47.1% of organisational AI agents lack active monitoring or security controls, 78% of organisations have no**

documented policy for creating or removing AI identities, and only 21.9% treat agents as independent identity-bearing entities.

13.3 Agent payment rails as a rival definition of an authorised action

This is the trend most likely to be absent from a competing memorandum and it is the one that could redefine our unit without our participation.

The payments industry is independently converging on a data structure that is functionally an action receipt — a signed, verifiable record binding a human's intent, an agent's mandate and a consequential action.

Protocol	Sponsor	Authorisation model
AP2	Google, September 2025	**Verifiable user intent plus agent mandate**; MCP-compatible by design
ACP	Stripe, OpenAI, Meta	Delegated payment tokens, OAuth, product feeds; most deployable near-term
x402	x402 Foundation (Coinbase origin)	HTTP 402: server returns payment requirements, agent signs and retries. Stateless, per call
Visa TAP	Visa	**Cryptographic signatures bound to merchant, purpose and time**
Mastercard Agent Pay	Mastercard	Tokenisation plus consumer-defined purchase constraints

Source: Applied Technology Index comparative analysis, 25 June 2026.

If the payments definition of an authorised agent action wins first, it becomes the default schema and we align to it rather than defining it. Three things follow, and they are product decisions rather than observations.

x402 is the metering precedent. A per-HTTP-call payment rail with a signed retry is structurally identical to metering a governed action. If x402 becomes the way agents pay for API calls, "governed action" and "paid action" converge and our unit of account acquires a settlement rail. That is an opportunity.

Visa TAP's binding — merchant, purpose, time — is the minimum viable receipt schema, and ours must be a strict superset. We add tenant, record, policy version, approver identity and prior-receipt hash. A receipt that is a subset of a card network's binding is a receipt that gets replaced by the card network's binding.

AP2 is MCP-compatible by design, so a receipt that can carry or reference an AP2 mandate for the payment subset of governed actions is materially more credible than one that ignores the payments stack. The action for FY2029-30 in §13.9 is exactly this: when a governed action is also a paid action, the payment mandate travels inside the receipt.

13.4 Cryptographic transparency stopped being a research topic

When this company was conceived, aligning to a transparency standard meant aligning to a moving draft. It no longer does.

RFC 9943, "An Architecture for Trustworthy and Transparent Digital Supply Chains", was published on 30 June 2026 on the IETF Standards Track as a Pro-

posed Standard. Authored from Fraunhofer SIT, Microsoft Research and ARM, it specifies a **Transparency Service** maintaining a verifiable data structure and endorsing its state; an **append-only log** comprising the entire registration history; **Receipts** as COSE Single Signer Data Objects that are independently verifiable signed proofs of the log's properties; and **Signed Statements** binding issuer identity to content. Its normative companion **RFC 9942 (COSE Receipts)** gives the receipt a stable wire format. The reference API work continues as `draft-ietf-scitt-scrapi`, at revision -11.

That is an IETF standard describing, almost exactly, the L2 primitive. It converts "proprietary hash chain" — a diligence liability — into "implements a published Proposed Standard", and gives L3's cross-organisation tier a standards home. No competitor found in this research claims conformance for business-action governance, and independent open-source Transparency Service implementations already exist, one of which registers **every AI evaluation run** with a SCITT service. The pattern is being validated by strangers.

RFC 9901 (SD-JWT, selective disclosure for JSON Web Tokens) reached Internet Standard status in late 2025 and is the credential format for the EU Digital Identity Wallet under eIDAS 2.0. It answers the hardest commercial objection to a verifiable evidence log: "*I cannot hand my auditor a receipt containing the customer's PAN, the invoice amount and the approver's name.*" Issue the receipt once with salted hashed disclosures and let the holder reveal only the fields a given verifier needs — the auditor sees the policy decision and the approver's role, the regulator sees the tenant and timestamp, nobody sees the payload unless entitled. **This goes into Action Receipt v1, not v2**, because retrofitting selective disclosure is a breaking change to a format we want others to adopt.

Rekor v2 is being redesigned for the billions of entries cloud-native CI produces, using tiled trees so verifiers fetch only the slices they need, with 2023 signatures remaining verifiable through 2030; verification now **defaults to requiring a checkpoint signed by at least two witnesses** across multiple jurisdictions, and Sigstore operates its own RFC 3161 Timestamp Authority. The two hardest problems in running a transparency log — witness diversity and scale — have public, battle-tested answers, so we do not build a bespoke log. We emit COSE receipts to a SCITT-conformant transparency service and treat the choice of *which* service as a deployment-time, per-tenant, per-jurisdiction configuration — which is what an India-first, residency-sensitive product needs anyway. **in-toto and SLSA** supply the vocabulary: an Action Receipt is an in-toto-style attestation whose subject is a write to a system of record rather than a build artefact, and whose predicate carries the policy decision, the approver and the prior receipt hash. Framing it that way is likelier to win IETF and OpenSSF traction than inventing new nouns.

C2PA is the governance precedent, not a competitor. Content Credentials reached specification 2.4 with Deployment Guidance 1.0 on 8 July 2026, hardware adoption in Google Pixel 10 and Sony broadcast cameras, over 6,000 Content Authenticity Initiative members by early 2026, and — the part that matters — **a formal conformance programme**. A specification without a conformance programme is a PDF. The conformance suite ships with the Action Receipt specification on day one, and a certification mark follows. A standard whose conformance we run is worth more than a standard we merely wrote.

One India-specific asset no global vendor will bother to build. The Controller of Certifying Authorities publishes Time Stamping Services Guidelines v2.0, requiring tokens to comply with RFC 3161, permitting licensed Certifying Authorities to operate timestamping services and issue timestamping certificates to external entities, and requiring synchronisation to Indian Standard Time within **±1 second** against a National Physical Laboratory caesium clock, all under the Information Technology Act 2000. A receipt anchored to an RFC 3161 token from an India-licensed CA has its time attested under the IT Act. In an Indian court, an RBI inspection or an MCA proceeding that is a materially stronger evidentiary posture than a timestamp from a US transparency log. The plan funds two timestamp authorities from FY2028-29, at Rs 0.07 crore rising to Rs 0.29 crore by FY2030-31 MEASURED — FINANCIAL MODEL.

The competitive point that must not be lost. We are not first to the IETF on receipts, and being late to a draft is survivable while being late to adoption is not. The differentiator cannot be the format, because formats converge or die. It is that **we produce receipts as a by-product of actually enforcing the gate and executing the write.** The literature names why that matters: receiver-attested receipts cannot prove a *non-action* — a compromised agent that skips the call leaves no trace, the suppression attack. A kernel that is the **single writer** closes that gap by construction, because every write goes through it and absence of a receipt is itself evidence. The architecture and the artefact are inseparable, and that is the strongest technical claim this company has.

13.5 January 2026: the insurer became a buyer

Effective 1 January 2026, ISO published three generative-AI exclusion endorsements for standard Commercial General Liability policies — CG 40 47 (broad exclusion across bodily injury, property damage and personal and advertising injury), CG 40 48 (personal and advertising injury only) and CG 35 08 (the products and completed-operations variant). In a single renewal cycle, generative-AI loss moved from silently covered to expressly excluded across the standard market.

Specialist carriers moved into the gap through early 2026: **Klaimee** (first- and third-party agent losses), **Testudo** (a Lloyd's-backed MGA in the US mid-market), **HSB and Munich Re** (AI liability for SMBs), **Mayflower Specialty with Hadron** (the first dedicated US affirmative AI liability programme, bundling D&O, EPL and E&O), **Agent Insured** (EU-focused, opening Q3 2026) and **Corgi** (high-limit professional liability for AI agent startups). **AIUC-1** pairs a security and safety certification with Lloyd's-backed coverage and quarterly re-testing.

What those underwriters demand, verbatim from the research, is **"trace-level" evidence — detailed logs of individual task sequences including tool calls, decisions and outputs for each interaction, so exposure can be priced at the interaction level rather than agent-wide** — along with evidence of meaningful human oversight for consequential actions, functioning kill switches, and authority scoping through spend caps, action allow-lists and escalation triggers (Zylos, 10 July 2026; Fenwick on silent AI and coverage fragmentation). "Price at the interaction level" is, in insurance language, **price per governed action** — the same unit, arrived at independently by an industry with a strong incentive to get the unit right.

This is the adoption incentive that does not wait for a regulator. The open problem with every receipt proposal in the standards literature is that nobody emits receipts voluntarily absent a mandate or market pressure. A regulator creates the obligation slowly and enforces it later. **An insurer creates priced demand immediately, through a premium differential — a feedback loop measured in a renewal cycle rather than an enforcement cycle.** Get an Action Receipt accepted as an underwriting artefact by one carrier and elan1 stops being a compliance cost and becomes a quantifiable premium reduction: a different sale, to a different buyer, with an ROI the CFO can compute.

It is also a distinct future revenue line. The evidence SKU carries **Rs 1.09 crore in FY2028-29 rising to Rs 17.84 crore by FY2030-31** MEASURED — FINANCIAL MODEL, priced per verifier profile per regime per year with unlimited exports, plus counterparty verification seats. An underwriting profile is structurally identical to a regulatory verifier profile — a named party, a named regime, a defined field set, an annual fee. **We have modelled no insurance-specific revenue and are not asking to be underwritten on it.** The SKU already has the right shape, and establishing one carrier relationship is the cheapest high-leverage action available in the next two quarters.

The legal backdrop supports the purchase. *Moffatt v. Air Canada* (February 2024) established that companies remain liable for agent-generated misrepresentations, foreclosing the "the AI did it" defence — and India's regulators say the same thing in their own words, RBI FREE-AI through deploying-entity accountability regardless of autonomy and MeitY through the deployer, not the AI vendor, being accountable.

13.6 The demand evidence, mapped mechanism by mechanism

The Cloud Security Alliance and Token Security surveyed enterprise agent deployments and published on **21 April 2026**:

Finding	Figure	The elan1 mechanism that answers it
Had at least one cybersecurity incident caused by AI agents in the past year	**65%**	The single writer: every consequential write passes one chokepoint
— of which, **unintended business process actions**	**41%**	Typed intent plus blast-radius check before execution
Cannot enforce purpose limitations on AI agents	**63%**	**K7 policy gates held as data**, evaluated at a versioned policy, six of them never skippable
Cannot terminate misbehaving agents	**60%**	**Single-writer execution with kill capability** and a declared 30-day reversal plan
Lack evidence-quality audit trails	**67%**	**Hash-chained record of every write, refusal and escalation**; Ed25519-sealed and RFC 3161-anchored at L2
Classify AI agents as equivalent to human insiders	19%	The autonomy ladder A0–A5, with a missing grant collapsing to A0

Three of those numbers belong on one page: **63% cannot enforce purpose, 60% cannot stop, 67% cannot evidence.** Those are, in order, the policy gate, the single writer and the receipt log. A product whose three capabilities map one-to-one onto the three most-cited control gaps in a 2026 survey does not need a category narrative.

The two-sided numbers, stated with both sides. Gartner forecasts that **over 40% of agentic AI projects will be cancelled by end-2027**, citing escalating costs, unclear business value and **inadequate risk controls**, and estimates that of thousands of self-described agentic vendors only approximately **130 offer genuine capabilities** (Gartner, 25 June 2025). The first half is evidence that governance failure kills agent projects; the second is evidence that agent projects die, which shrinks our funnel. We do not cite the 40% without the second edge. Gartner separately named the category and sized it — **guardian agents capturing 10–15% of the agentic AI market by 2030**, in three types, of which **Protectors adjust or block AI actions and permissions during operations** (Gartner, 11 June 2025). We claim the budget line Gartner created and reject the architecture Gartner described. **A guardian agent is an agent: probabilistic, supervising another probabilistic system. A kernel is deterministic policy evaluation on the write path.** Auditors, courts and underwriters do not accept a probabilistic supervisor's opinion; they accept a signed record. It is also a smaller market than the analyst's, which is why §11 does not build the TAM from it.

McKinsey's gap is the clearest statement of the bottleneck. The State of AI 2026 survey, fielded 4 May to 8 June 2026 across 1,719 respondents in 97 nations and published 25 August 2026, found **40% of enterprises above US$1 billion in revenue scaling agents, up from 27%; 80% reporting individual productivity gains; and 37% reporting enterprise EBIT impact — flat year over year**. The standard explanation for that 43-point gap is workflow redesign. The narrower one is what we sell into: **productivity gains stay individual as long as agents only read and draft. P&L impact requires agents to write** — to post the journal entry, issue the credit note, update the claim status, release the payment. Enterprises have not made that leap at scale because they cannot control or evidence it, and the gap did not close in a year.

And the most vivid single number in the research. Top computer-use models now exceed the OSWorld-Verified human baseline of 72.4% — Qwen3.8 Max at 86.1%, Claude Mythos 5 at 85.0%, Claude Opus 4.8 at 83.4%. It does not matter, because of compounding. At 98% per-step accuracy a five-step task succeeds end to end about 90% of the time, a twenty-step task about 67%, and **a fifty-step task about 36%** — and most production workflows span twenty to fifty steps. The observed enterprise mitigation is **verification checkpoints that catch wrong actions pre-commit**, human review for high-consequence steps, short verified segments replacing long unattended runs, and full autonomy reserved for short, low-stakes, high-volume work.

A pre-commit checkpoint on consequential steps is a policy gate. The market arrived independently at this architecture as the mitigation for the dominant failure mode of the most-hyped agent form factor. And the 36% figure is a structural property of compounding, not a model deficiency, which means better models do not remove the need for the gate.

13.7 The deflation objection, answered

A sophisticated investor will raise this and an unprepared answer is fatal, so we state it at its strongest. Inference costs are collapsing: GPT-3-equivalent quality fell from US$60 per million tokens in November 2021 to US$0.06 in late 2024; the median decline across benchmarks runs at approximately **50× per year**, accelerating to roughly 200× after

January 2024; algorithmic efficiency alone contributes about 3× annually and ML hardware cost falls about 30% a year. If a governed action is priced as a margin on inference, this business deflates at 50× a year and there is nothing further to discuss.

A governed action is not priced off inference. The policy evaluation is deterministic and near-free. The expensive parts are the evidence log that never compacts, the retention obligation, the approval workflow, the residency footprint and the regulatory mapping — and those track legal risk and retention duration, which is rising: eight years under MCA Rule 3(1), ten years under the RBI draft MRM guidance, five years under SEBI's proposed rule, six months minimum under EU AI Act Articles 19 and 26.

Falling inference cost is volume expansion, not price compression. Costs falling 50× a year while enterprise inference spend rose from US$3.5 billion in late 2024 to US$8.4 billion by mid-2025 — **140% in six months** — is the definition of elastic demand. A per-action meter is levered to volume, and the plan is built on exactly that: **0.36 million governed actions in FY2026-27 rising to 2,491.46 million in FY2030-31** MEASURED — FINANCIAL MODEL.

The real risk is a pricing-anchor risk, not a cost risk. The per-action price must stay small relative to *the value of the action*, never relative to the cost of the token. Anchored to inference, we deflate with it. Anchored to the cost of getting the action wrong — an Input Tax Credit denial for a counterparty, a Rs 250 crore DPDP penalty, a €15 million AI Act transparency fine, a director's one-year imprisonment exposure under the Companies Act — we are anchored to a number that is rising.

Never benchmark a governed action against a token. Benchmark it against a transaction fee — an e-invoice IRN, a payment gateway charge, an insurance premium per insured event. The plan bears this out rather than assuming it: **revenue per governed action rises from Rs 0.400 in FY2026-27 through Rs 0.718, Rs 0.893 and Rs 0.917 to Rs 0.924 in FY2030-31, while cost per governed action falls from Rs 3.039 to Rs 0.129** MEASURED — FINANCIAL MODEL, taking gross margin from not meaningful to 11.4%, 62.2%, 79.6% and 86.0%. Price rises because the mix moves toward higher assurance levels and list prices escalate 4% per annum from March 2029; cost falls because the fixed evidence plane amortises across volume. Two curves moving in opposite directions, neither of them a bet on the token price.

One pricing shape we refuse on principle rather than arithmetic: **outcome pricing.** A refusal is a correct outcome that produces no business result. Outcome pricing would either charge nothing for the thing we most want the product to do, or create a standing commercial reason to allow a write. Either way the price list would be arguing with the gate.

13.8 Sovereignty, small models, machine-readable rules and OpenTelemetry

Sovereignty pressure is real, unresolved at the compute layer, and therefore displaces onto the layers where it can be resolved. The IndiaAI Mission had 34,000 GPUs deployed by mid-2026 against a target of 100,000 by December 2026, subsidised at approximately Rs 65 per GPU-hour, with indigenous models from Sarvam and Krutrim and Bhashini covering 22 scheduled languages — all of it on imported hardware, with no domestic AI chip manufacturing and a live public argument that India's sovereign AI is not sovereign in any operative sense. **Sovereign compute is not achievable. Sovereign**

evidence is, today, through a CCA-licensed RFC 3161 anchor and a per-tenant transparency service pinned to a jurisdiction. The architecture follows: the policy kernel runs anywhere; the transparency service and timestamp anchor are pinned per tenant, per jurisdiction. The correct engineering answer and the correct sovereignty story are the same answer. The plan funds sovereign and on-premises deployments from FY2029-30, reaching **11 deployments and Rs 9.46 crore of revenue by FY2030-31** MEASURED — FINANCIAL MODEL.

Machine-readable regulation is real, early, and creates a dangerous temptation. Working examples exist — DORA's ICT third-party reporting, the UK Digital Regulatory Reporting initiative, ESEF's Inline XBRL. The obstacles are structural: converting intentionally flexible legal standards into rigid algorithms produces systems that are **"confidently, traceably wrong"**, and terms like "reasonable steps" and "fair treatment" resist automation. The recommended progression is classification → queryability → computability → execution, execution reserved for deterministic requirements, with the conclusion that the most valuable near-term version is "*not a machine that decides every compliance question. It is a rulebook that can finally tell us what kind of rule we are looking at*" (FinTech Global, 29 July and 3 August 2026). Policy gates as data is the right architecture and the marketing must be careful. Our packs encode the **deterministic, prescriptive** subset — thresholds, approval matrices, retention floors, mandatory-field checks, segregation of duties — and route the judgment-laden subset to a human with the rule text attached. **Claiming to automate "fair treatment" is how a governance vendor gets destroyed by its first regulatory examination.** The pack's value is that it knows which rules are which.

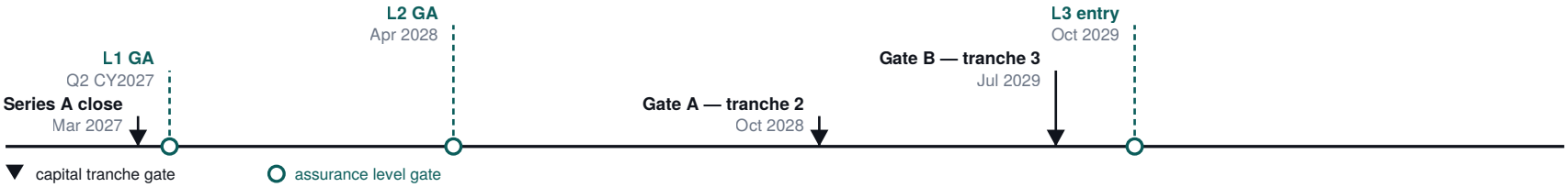
OpenTelemetry convergence is a cheap, high-leverage decision available today. The GenAI semantic conventions now cover LLM calls, agent reasoning and MCP tool invocations, and OpenTelemetry graduated from CNCF. Traces are not evidence — unsigned, sampled, mutable, retained for weeks — but they are the vocabulary everyone will already have instrumented. **The Action Receipt carries the corresponding OTel trace and span IDs as first-class fields**, which makes the receipt the signed, retained, selectively-disclosable anchor, leaves the trace as debugging detail, and turns adoption into a configuration change rather than a re-instrumentation project. **On-device and small models** push the same way: a smaller model closer to the data removes one more place a network-layer control could have caught something, and moves the only reliable chokepoint to the system of record.

ISO/IEC 42001 has a supply problem that is a product opportunity. Approximately **350 organisations are certified globally** against **72% of enterprise buyers screening for the certificate in procurement**, at US$85,000 to US$650,000 and four to twelve months each. The bottleneck is evidence collection. A kernel emitting a continuous, verifiable record of every governed action, mapped to Annex A controls, converts a six-to-twelve-month assembly exercise into a query — and MeitY's own enterprise action plan names adopting ISO/IEC 42001 as its third step, so in India this is government-recommended rather than optional.

13.9 The evolution plan, FY2026-27 to FY2030-31

Five years, three questions, and the gates between them

What must be built, which markets open, and which bet is being tested — with every capital and assurance gate on the same page.



	FY2026-27 Make the receipt real, and make it Indian	FY2027-28 Ride the enforcement ramp, make the receipt bankable	FY2028-29 Sign it, and open the second and third packs	FY2029-30 Cross the border, and be the meter	FY2030-31 The evidence layer
WHAT MUST BE BUILT	Action Receipt v1 on COSE Receipts (RFC 9942), registered to a SCITT-conformant transparency service. A CCA-licensed Indian RFC 3161 anchor. OTel trace and span IDs as first-class fields. The public mapping table. L1 Guarded GA.	The whole L2 chain: key custody per residency domain, two independent seal implementations agreeing octet for octet on 64 vectors, a timestamp-authority contract, the batched Merkle anchor job, the offline verifier. ledger1 live October 2027.	L2 Attested GA, April 2028 — Ed25519 over the frozen sixteen-field preimage, RFC 3161 anchoring at a published interval, the exportable bundle, the verifier as free source to anyone. invoice1 April 2028, collect1 October 2028.	L3 Proven entry, October 2029: a second independent seal implementation, published vectors including a tampered bundle, counter-signature by a party that is not us. First sovereign deployment July 2029. Agent identity consumed, never produced.	The conformance programme and a certification mark for third-party Action Receipt implementations, on the C2PA model. No new rungs, no new gates, and no seventeenth proof field — at any level, ever.
WHICH MARKETS OPEN	India — BFSI and any Companies Act entity touching books of account. MCA Rule 3(1) and 11(g) are in force now; there is no commencement date to wait for.	India — insurance, behind the IRDAI working group's AI audit mandate. DPDP main obligations land 13 May 2027, inside this year.	GCC and Singapore: acute residency pressure, high sovereign AI spend, frameworks young enough to be receptive to an evidence standard rather than a certification regime.	EU high-risk deployers, on Article 12's automatic, tamper-evident, six-month-minimum log requirement — the first year EU demand is real rather than anticipatory.	United States — largest, most fragmented, entered last and deliberately. An India-first company's weapons are worth nothing there.
WHICH BET IS BEING TESTED	That the path can be built and run at all. 27 people, 180,000 governed actions a month, all internal, zero paying tenants, revenue Rs 0.01 cr.	That a CA introduces a client, and that an auditor will run the verifier on their own machine. 39 tenants, 6 partner firms, revenue Rs 1.89 cr.	That evidence gets its own line on a contract. 148 tenants, 39 of them at L2, revenue Rs 18.08 cr, gross margin 62.2%.	That sovereignty pressure displaces onto the layer where it can be resolved. 312 tenants, 4 sovereign deployments, revenue Rs 81.18 cr.	That a governed action is an auditable unit of enterprise work, metered like an IRN. 545 tenants, revenue Rs 230.32 cr, EBITDA +Rs 22.58 cr.

Memorandum sections 13.9, 13.10 and 16.5. Financial figures measured against the model; dates modelled. Nothing in the plan depends on a regulator acting on a fixed day.

five financial years against three rows: what must be built, which markets open, and which bet is being tested, with the assurance-level gates and tranche gates marked

FY2026-27 — make the receipt real and make it Indian. The theme is evidentiary defensibility in one jurisdiction, not breadth. Action Receipt v1 on COSE Receipts (RFC 9942), registered to a SCITT-conformant transparency service (RFC 9943) — no invented wire format. Selective disclosure per RFC 9901 in v1, not v2, because a receipt that cannot be shown to an auditor without leaking payload and PII will be blocked by the customer's own DPO. A CCA-licensed Indian RFC 3161 timestamp anchor as a product feature. Hash-chained sequential receipts with a dual anchor, matching or exceeding the floor set by the existing IETF individual draft so our receipts are a superset rather than a competing subset. OTel trace and span IDs as first-class receipt fields. MCP Multi Round-Trip Requests as the native human-approval channel. And the mapping table published and maintained: Action Receipt field → EU AI Act Article 12, 14, 19, 26 → NIST control overlay → ISO 42001 Annex A → DPDP obligation → MCA Rule 3(1) → SEBI logging requirement. One table, public. That table is the product's credibility. The plan's own gates: L1 Guarded general availability in Q2 CY2027, Series A close March 2027, headcount 27, revenue Rs 0.01 crore MEASURED — FINANCIAL MODEL.

FY2027-28 — ride the enforcement ramp and make the receipt bankable. DPDP full enforcement lands 13–14 May 2027, inside this year, with SDF audit cycles beginning Q1 2027; the DPDP evidence pack ships ahead of it, not after. The first external paying tenant lands July 2027 and the first regulatory pack, ledger1, goes live October 2027. An insurance integration: an Action Receipt accepted as an underwriting artefact by one carrier, targeting the structures already built for it. Standards work moves from observation to participation — take the Action Receipt to a working group, ideally as a SCITT profile, because being the ninth format is worse than being the second implementer of the first format, and the nearest competing individual draft expires 4 March 2027. Plan: 39 paying tenants, 6 certified partner firms, revenue Rs 1.89 crore, exit ARR Rs 5.02 crore MEASURED — FINANCIAL MODEL.

FY2028-29 — sign it, and open the second and third packs. L2 Attested general availability April 2028: Ed25519 over the frozen sixteen-field preimage, key custody per residency domain, batched Merkle anchoring via RFC 3161 at a published interval, the exportable bundle with a manifest, and the offline verifier shipped as free source to anyone. Second pack (invoice1) April 2028, third pack (collect1) October 2028. The insure1 pack follows IRDAI's working group, constituted 18 June 2026 with a three-month mandate that expressly includes **developing AI audit frameworks for pre- and post-deployment phases** — the most precisely-timed Indian sector opportunity in the research, and one we have not yet confirmed has reported UNVERIFIED — DELIVERY. The Gate A tranche opens October 2028. Plan: 148 tenants, 39 of them at L2, revenue Rs 18.08 crore, gross margin 62.2% MEASURED — FINANCIAL MODEL.

FY2029-30 — cross the border and be the meter. EU Annex III high-risk obligations bite 2 December 2027, so this is the first year EU demand is real rather than anticipatory; we enter on Article 12's automatic, tamper-evident, six-month-minimum log requirement, for which our receipt is a literal answer, with the transparency service and timestamp anchor pinned in-region. L3 Proven entry October 2029; first sovereign deployment July 2029; Gate B tranche July 2029. Agent identity is consumed rather than produced — by now MCP's DPoP and Workload Identity Federation work, A2A Signed Agent Cards, Entra Agent ID and KYA-OS should be mature enough that we bind receipts to whichever asser-

tion the customer already holds and compete on none of them. Payments convergence: where a governed action is also a paid action, the payment mandate travels inside the receipt. Plan: 312 tenants, 4 sovereign deployments, revenue Rs 81.18 crore, gross margin 79.6% MEASURED — FINANCIAL MODEL.

FY2030-31 — the evidence layer. The conformance programme and a certification mark for third-party Action Receipt implementations, on the C2PA model. Gartner's guardian-agent category reaches 10–15% of the agentic market by 2030 and the AI governance platform market passes US$1 billion; both are too small to be this company's endgame. The endgame is that **a governed action is an auditable unit of enterprise work**, metered the way an e-invoice IRN or a card transaction is metered, and priced against the value and risk of the action. Plan: 545 tenants, 11 sovereign deployments, 140 certified partner firms, revenue Rs 230.32 crore (US$25.6 million), EBITDA positive at Rs 22.58 crore, exit ARR Rs 334.23 crore (US$37.1 million) MEASURED — FINANCIAL MODEL.

13.10 Market entry order, and the case against going to the US sooner

Order	Market	Reason	Timing
1	**India — BFSI and any Companies Act entity touching books of account**	MCA Rule 3(1) and 11(g) in force, universal, auditor-reported, director criminal exposure. RBI FREE-AI accountability regardless of autonomy. DPDP ramp to May 2027	In force now
2	**India — insurance**	IRDAI working group with an explicit AI audit framework mandate; narrow, dated, addressable	FY2027-28
3	**India — healthcare (ABDM)**	Immutable audit trail already mandated; consent artefacts already cryptographically signed; the CERT-In six-hour breach clock makes sub-minute reconstruction a purchase	Demand-led
4	**GCC and Singapore**	Acute residency pressure, high sovereign AI spend, frameworks young enough to be receptive to an evidence standard rather than a prescriptive certification regime	FY2028-29
5	**EU — high-risk deployers**	Articles 12, 14, 19 and 26; enforcement 2 December 2027; procurement pull runs ahead of enforcement	FY2029-30
6	**US**	Largest market, most fragmented target	FY2030-31

The case against entering the US earlier must be made explicitly because an investor will ask, and it is not that demand is absent. **Texas TRAIGA is in force since 1 January 2026** with AG civil penalties of US$10,000 to US$200,000 per violation; the **Colorado AI Act was blocked by a federal court in April 2026** and replaced by SB 26-189, signed 14 May 2026 and effective 1 January 2027; **California's TFAIA is in force since 1 January 2026**; and a federal preemption Executive Order issued in December 2025 remains legally ineffective with the preemption fight unresolved as of September 2026. The compliance target moves quarterly, US enterprise sales cycles are long, ServiceNow and the hyperscalers already hold the install base, and an India-first company's structural advantages — CCA-licensed timestamps, DPDP fluency, MCA framing, a mid-market price point — are worth precisely nothing there. We would be entering the most crowded market in the world with none of our weapons.

Two markets we have deliberately not sized. **Telecom and public procurement**: no India-specific, AI-agent-directed rule was found with a firm date, so telco1 and gov1 are de-

mand-led packs rather than regulation-led ones, and we say so rather than asserting a driver the sourcing does not support. **Everything outside India in the TAM of §11.7**: excluded from the denominator entirely.

13.11 The three things that would make the whole thesis wrong

We state these before an investor finds them, without hedging, and with the leading indicator we watch for each.

One. Agents never get write access at scale. The thesis assumes enterprises move agents from read-and-draft to write-and-execute. The evidence is genuinely two-sided. For: 40% of enterprises above US$1 billion are scaling agents, up from 27% (McKinsey, 25 August 2026); Gartner projects at least 15% of day-to-day work decisions made autonomously by 2028, from 0% in 2024, and 33% of enterprise software applications including agentic AI by 2028, from under 1%. Against: enterprise EBIT impact is stuck at 37% and did not move in a year; a fifty-step task succeeds end to end about 36% of the time; over 40% of agentic projects are forecast cancelled by end-2027; and 65% of organisations have already had an agent-caused incident. **If the enterprise conclusion from that incident data is "do not give agents write access" rather than "gate the writes", this market does not form.** This is the single largest risk and it is a category risk, not a competitive one. Leading indicator: whether the 80%-productivity to 37%-EBIT gap narrows in the next two McKinsey waves. It has not narrowed yet.

Two. The platform absorbs the kernel. If MCP's roadmap delivers agent identity through DPoP and Workload Identity Federation, if A2A's Signed Agent Cards come to carry policy assertions, if the orchestration frameworks ship native cryptographic receipts in response to the feature requests already open against LangGraph, AutoGen and deerflow, and if ServiceNow and Microsoft bundle the gate into platforms enterprises already own — then governance becomes a protocol feature and a platform checkbox rather than a product. Microsoft at US$15 per seat with "audit-ready evidence generation", ServiceNow free for a year with kill-switch authority across 30-plus integrations including SAP and Oracle, and Salesforce with a permanent audit trail against approved blueprints are three companies that have already taken the first step. **The defence is not technical. It is that an evidence artefact must be independently verifiable by a party who trusts neither the agent nor the platform.** ServiceNow's evidence living in ServiceNow is a structural weakness we must name loudly and early. If we fail to establish that independence as a *requirement* — with auditors, with the ICAI, with the RBI, with an insurer — the platform wins, and the quality of our engineering will not matter. Leading indicators: a ServiceNow connector catalogue listing write operations into ERPs; the words "signature", "attestation over a decision" or "verifiable record" appearing in a Microsoft, IBM, Boomi or Credo AI release note.

Three. Auditors, regulators and courts keep accepting ordinary logs. The entire premium for hash-chained, timestamped, independently verifiable evidence rests on someone with authority refusing a mutable application log. Today that refusal is implied but not operationalised. Rule 11(g) requires the auditor to report that the trail was not tampered with. EU AI Act Article 12 requires automatic lifetime logs, and the operational reading is explicit that standard application logging is insufficient because logs can be si-

lently modified, with cryptographic signing and external key management named as the viable approach (Help Net Security, 16 April 2026). NIST's framing is "*if you cannot reconstruct what an agent did and why, you cannot defend it.*" But **no Indian auditor has yet qualified an opinion because an agent's writes were recorded in a mutable log. No court has excluded a mutable AI log.** If that refusal never materialises, we are selling cryptographic assurance into a market that will accept a CSV, and the price collapses to the price of a logging library. Our own internal watch list carries the inverse of this as a Class D trigger — a regulator blessing a weaker artefact — and our own commercial gate is blunter still: if there is no evidence line item in any draft contract by Q4 2027, the L2 thesis has failed and this becomes a smaller, real business rather than the one described in this memorandum. Leading indicators, in the order we expect them: **the first insurer that prices a premium differential on receipt quality; the first ICAI guidance addressing non-human actors under Rule 11(g); the first RBI circular operationalising FREE-AI's assurance pillar.** We expect the insurer first, which is why §13.5 is strategically more important than its modelled revenue suggests.

The honest summary of all three is one sentence. **The architecture is right, the regulatory home ground is real and already in force, the uncontested space is documented across 262 vendors — and every strong column in our own competitive matrix currently reads No, because we have the design and nobody's books.** The fastest way to change every score in that bottom row is one customer's books, once, with the record to show for it. That is what this round buys.

Part IV — The plan

14. Go to market: four motions and the one that matters

15. Management, organisation and the people plan

16. The operating plan

17. Financial plan and projections

18. Risks, and what would falsify the thesis

19. The ask, the use of funds and the terms

14. Go to market: four motions and the one that matters

elan1 sells a governed action. The unit is the same object at all four points where it appears — permitted, executed, recorded, billed — and the company's own rule is that if something is billed that was not permitted, or recorded at a different granularity from what was billed, that is a defect and not a pricing choice. Everything below is the question of how that unit reaches a buyer.

Four motions carry it. A captive first consumer inside the group. The Indian chartered accountant and audit firm channel. Direct enterprise entry through a ninety-day regulatory pack pilot. And third-party developers arriving over MCP. They are not equal. Motion one is a proving ground that generates no external revenue and one disclosed related-party transfer line. Motion four is a funnel with a long tail and a deliberately narrow gate at the end of it. Motion three produces the single most valuable non-revenue milestone in this plan, which is a written acceptance or a written objection from a real audit firm. Motion two is the one that decides whether this is a company.

Before any of it: elan1 is pre-revenue. There is no external customer, no signed order and no invoice. The counts and the cohort shapes below are the plan's, and the plan is a model. Nothing in this section has been measured against a buyer.

REVISED 27 OCT 2026 · SEE R-17

Four motions, and the one that decides whether this is a company

Each feeds a named revenue line and has to clear a named gate. Motion two is the one that decides.

1 CAPTIVE FIRST CONSUMER

rung1 Enterprise is the first production consumer of the kernel. From 1 January 2027 elan1 charges it Rs 0.40 per committed governed action, refusals at zero, reset quarterly against measured cost.

FEEDS

Governed actions — internal (rung1)
Rs 0.01 / 0.52 / 2.18 / 5.58 / 11.20 cr across the five years

MUST CLEAR
THE METER RECONCILES

Two-way reconciliation clean across a full month, first invoice on a reconciled period — 31 January 2027. Discount this line to zero as evidence of demand; keep it at full weight as evidence of function.

2 THE CA AND AUDIT-FIRM CHANNEL

The person carrying the audit-trail question into a Rs 5–50 crore firm is not a CIO. It is the CA who signs the books, or the audit firm that must write the Rule 11(g) sentence.

FEEDS

Platform licence · partner certification · channel margin
140 certified firms by Mar 2031 at Rs 1,50,000 each; partners keep 18% of list, rising to 45% of external revenue

MUST CLEAR
THE CHANNEL FALSIFIER

After twenty CA conversations, if fewer than three agree to introduce a client the assumption is falsified — rung1 kill criterion 4. Fewer than twenty such conversations have happened.

3 THE 90-DAY PACK PILOT

Direct enterprise entry. One declaration, one certified verifier profile, one regime-specific export, aimed at one buyer with one auditor under one dated obligation.

FEEDS

Regulatory packs · Evidence SKU
Packs Rs 0.06 / 0.83 / 3.24 / 7.63 cr; evidence Rs 1.09 / 6.32 / 17.84 cr

MUST CLEAR
THE DAY-80 VERDICT

The auditor writes, in their own words, what the bundle would and would not let them conclude — published internally verbatim, including if unflattering. On day 85: would you pay for this on its own line?

4 THIRD PARTIES OVER MCP

Attested advisory by default: every intent evaluated and recorded, the record exportable, and a flag stating the caller acted and not the kernel. Enforced mode is earned per write type, never per tenant.

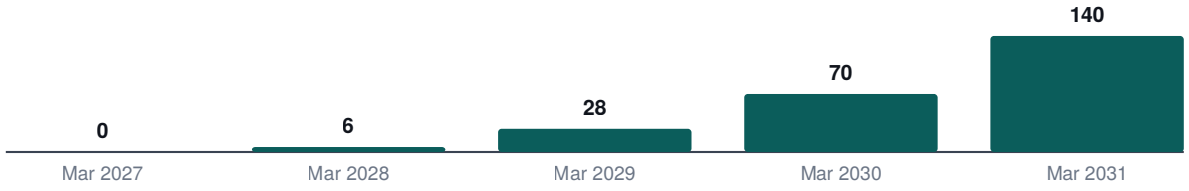
FEEDS

Platform licence · Governed actions — external
Rs 1.05 / 11.96 / 58.70 / 176.98 cr across FY2027-28 to FY2030-31

MUST CLEAR
THE BYPASS PROOF

Thirty days of production advisory traffic, plus every known path to the target other than the single writer demonstrated failing. Kill criterion: 30 June 2027 with no signed third-party integration.

CERTIFIED PARTNER FIRMS AT EACH FINANCIAL YEAR END [modelled]



Partner-sourced revenue rises from zero to 45% of external revenue by March 2031, at 18% of list — shown as a contra-revenue line rather than netted quietly.

elan1 is pre-revenue. There is no external customer, no signed order and no invoice. Every count here is the plan's, and the plan is a model.

Memorandum section 14; counts and revenue lines measured against the financial model. All figures modelled. Rs crore.

the four motions on one page: captive consumer, CA channel, pack pilot, MCP developers — with the revenue line each feeds and the gate each has to clear

14.1 Motion one — the captive first consumer

rung1 is the first production consumer of the kernel. From 1 January 2027 elan1 charges rung1 **Rs 0.40 per committed governed action**, refusals at zero, reset quarterly against measured cost. The group closed this as a decision rather than leaving it as an intention: internal consumption is charged, not stated.

What the money buys is not the money. It buys a real write path under real load before any external customer sees it: the plan carries 60,000 governed actions in January 2027, 120,000 in February and 180,000 in March, all internal, producing FY2026-27 revenue of Rs 0.01 crore against COGS of Rs 0.11 crore and a cost per governed action of Rs 3.039 — an honest number and a bad one, which is what a fixed-cost evidence plane looks like at 3.6 lakh actions a year. It buys a policy corpus, because every design partner running a governed write against their own books produces refusal traces and gate outcomes that no amount of specification generates. It buys a consumer that reads its bill, because a free internal consumer does not check the meter. And it buys a complaint: the only way to learn whether Rs 0.40 is defensible is to have charged it to somebody who complains, and rung1 will complain. That is the point of the price, not a side effect of it.

The related-party nature is plain and should be read plainly. rung1 is a sister operating company under the same holding company and the same founder, drawing on the same kernel team. Two ventures sharing any critical dependency are one venture for risk purposes, and the group's own operating model records the funded assets as one bet with three budgets. The internal governed-action line runs at Rs 0.01 crore, Rs 0.52 crore, Rs 2.18 crore, Rs 5.58 crore and Rs 11.20 crore across the plan — 27.5 per cent of total revenue in FY2027-28, falling to 4.9 per cent by FY2030-31.

How an investor should treat that line. Discount it to zero as evidence of demand; keep it at full weight as evidence of function. It is not traction, and the group's own pricing document forbids presenting it as traction. It is a unit test with money attached: it proves the meter reconciles, that every invoice line traces to one hash-chained record, and that cost per governed action becomes a measured number rather than a modelled one. The revenue that matters begins with the first external paying tenant in **July 2027**, and every tenant count in this memorandum excludes rung1.

14.2 Motion two — the chartered accountant and audit firm channel

This is the distinctive Indian motion and the centre of the plan.

The reasoning is narrow and checkable. The Ministry of Corporate Affairs has required accounting software to carry an audit trail — an edit log, operative through the year, protected from tampering — since **1 April 2023** PUBLISHED. The statutory auditor must report on whether that feature existed and operated. Penalties reach the company, the directors and the auditor, and include imprisonment exposure for officers. The rule applies to every company registered under the Companies Act — roughly 1.85 million active companies — and not to LLPs or proprietorships. Nobody in that population reads an AI governance analyst report. Their CA tells them what they need, once a year, in a conversation about the audit.

So the person who carries that question into a Rs 5–50 crore firm is not a CIO. It is the CA who signs off the books, or the audit firm that has to write the Rule 11(g) sentence. That person is already obliged to ask the question elan1 answers. The group's own pack admission gate for this is written as: if nobody is obliged to ask, nobody asks.

Partner types. Four, and they are not interchangeable.

Partner type	What they do	What they keep	Who holds the contract
CA firms	Introduce, frame the obligation, read the verification report	18% of list on partner-sourced revenue	elan1
Audit firms	Accept or reject the evidence; author the day-0 necessity statement	Fee from their own client, not from us	elan1
Systems integrators	Deploy, author declarations, run first-line support	18% of list, plus their own delivery margin	elan1
Platform OEMs	Embed the kernel under their own brand	Their own margin, on their own price	elan1

The audit firm row is deliberately odd. An audit firm is a partner whose value is that it can say no. elan1 takes no revenue share from an auditor and asks for no endorsement, no logo and no quotation from one, and the company's standing rule is that a conversation with an auditor is never described, internally or externally, as validation. An auditor that is paid to approve the artefact is an auditor whose approval is worth nothing.

Certification levels and what each may claim. Three levels, one price. The claim ladder is not a marketing hierarchy; it is the existing claim boundary of the product, cut into three pieces a partner can be trained and tested against.

- **Introducer.** May say that a governed change passed stated rules, with a named actor and, where required, a named approver, and that a record exists. May not say signed, tamper-proof, immutable, court-ready or independently verifiable. May not say "prevented" or "blocked" about anything reached over MCP.
- **Implementer.** Everything above, plus may author a declaration and put it to a named certifier who is not its author. May run the ninety-day pilot's operational steps. May not certify their own work, and may not promise anything elan1 has not built.
- **Verifier.** Everything above, plus may run the offline verifier against a customer's bundle and read the report to the customer's auditor. Available only from L2 Attested, which is April 2028. A verifier partner may state what a report does not prove — the test the programme actually fails on first drafts.

Partner certification is priced at Rs 1,50,000 per firm per year MODELLED. That is a qualification fee, not a revenue line: Rs 0.02 crore in FY2027-28 rising to Rs 1.69 crore in FY2030-31, under 0.8 per cent of revenue at the end of the plan. It exists to make certification cost something, because a free badge is a badge nobody defends.

Revenue share and who owns the customer. Partners keep **18 per cent of list** on partner-sourced revenue, shown as a contra-revenue line: Rs 0.01 crore, Rs 0.61 crore, Rs 4.93 crore and Rs 18.04 crore across FY2027-28 to FY2030-31. Partner-sourced share of external revenue rises from **0 per cent to 45 per cent by March 2031**. elan1 holds the contract, the data processing agreement and, in enforced mode, the write credential to

the customer's system of record. That is not a commercial preference. A partner cannot hold a credential to a third party's books and also be the party elan1 indemnifies, and the group's entity separations exist to keep third-party indemnities away from customer write credentials.

Support escalation, four rungs and no fifth: the partner takes first line; elan1's solutions and field engineering team takes second line; the kernel lead takes anything that touches the write path; the founder, with the kernel lead for technical detail, takes anything that reaches a regulator or a certification body. No partner and no systems integrator may represent elan1's claim to a regulator. That is a written decision, not a courtesy.

The plan's partner counts are 6 certified firms at March 2028, 28 at March 2029, 70 at March 2030 and 140 at March 2031, against 39, 148, 312 and 545 paying tenants. The implied load is under five tenants per certified firm at every point — roughly 5.3 in FY2028-29 and 3.9 by FY2030-31. That is a deliberately shallow assumption. A channel plan that needs twenty tenants per firm is a plan that needs each firm to be excellent; a plan that needs four is a plan that needs each firm to do it once or twice and not be embarrassed.

And the falsifier. The group has already written the condition under which this motion is declared dead: after twenty CA conversations, if fewer than three agree to introduce a client, the channel assumption is falsified. Fewer than twenty such conversations have happened. The entire go-to-market rests on an untested assumption about who introduces us, and it is stated here rather than waited for.

14.3 Motion three — direct enterprise and the pack pilot

The standard entry for a direct enterprise customer is a **ninety-day pack pilot**. A pack is one declaration, one certified verifier profile and one regime-specific export mapping, aimed at one buyer with one auditor under one dated obligation. The first is `ledger1`, bound to the MCA audit-trail rule, live **October 2027**; `invoice1` for GST e-invoicing follows in **April 2028** and `collect1` in **October 2028**. Regulatory packs are priced at **Rs 1,35,000 per tenant per year, blended**, and carry Rs 0.06 crore, Rs 0.83 crore, Rs 3.24 crore and Rs 7.63 crore across the plan.

The pilot's purpose is narrow and stated in advance: to find out whether anyone will pay for evidence on its own line. Everything else is secondary.

What the customer does. Their auditor gives half a day on day 0, before anything is shown, and answers two questions: what three questions would you ask about a system of this kind in an engagement, and what would you need to see to rely on a record like this — not what would be nice, what would be necessary. That written statement is an input to the verifier profile; where it names something elan1 does not bind, the profile gets a `not_measurable` row with a stated condition that would change the answer, never a quiet omission. On day 1 the tenant upgrades from L1 to L2, and the boundary date and the record counts on each side of it are shown to customer and auditor the same day. Days 2 to 75 are normal operation — no special handling, no curated data, no suppressed refusals — and the customer is told explicitly that refusals are part of what is being tested and should not be worked around.

What elan1 does. On day 76, nothing: the customer exports the bundle themselves, from the product, without help. If they need help, that is the finding. On day 77 the auditor obtains the verifier from the published release or builds it from source, disconnects the machine and runs it — elan1 is not in the room — then runs it against the published tampered bundle and watches it fail. On day 78 the auditor runs the two-way reconciliation between elan1's chain and the accounting system's own audit trail. Exceptions in the direction of a change in the target with no elan1 record are the finding that matters: those are changes that did not go through the gates.

Acceptance criteria, stated before the pilot. The pack passes seven engineering tests before the pilot opens: the declaration validates with no blank fields; the profile is certified by someone who is not its author; every write type's reversal plan has been executed once in a dated drill; at least one real refusal exists per declared gate; a bundle exits PASS on an air-gapped machine run by someone outside the team; the published tampered bundle exits FAIL_INTEGRITY naming the record and the field; and a sound but non-conforming bundle exits FAIL_PROFILE and never FAIL_INTEGRITY. The eighth test is the auditor: they read a report unprompted and can state what it does not prove. If they cannot, the limits statement is wrong.

The auditor acceptance protocol. On day 80 the auditor writes, in their own words, what the bundle would and would not let them conclude, and whether they would ask a client to buy it. That verdict is published internally verbatim, including when it is unflattering. On day 85 the founder asks the customer the question the whole pilot exists for: would you pay for this on its own line, separately from the software? The answer, whatever it is, closes the pilot.

What changes if the auditor says no. A FAIL_INTEGRITY during a pilot is a top-severity incident and stops the pack, not just the pilot. A FAIL_PROFILE is a profile defect and goes back to the author for a new version. If the auditor will not run the verifier themselves, the pilot has failed its main purpose and is written up as such. And if the day-80 verdict is that L2 Attested is still insufficient, the open question the company has already written down is whether what they need is L3 Proven or something elan1 has not built at all — a question with no answer in this plan.

That written acceptance, or written objection, from a real audit firm is the single most valuable non-revenue milestone here. It is the first time the evidence thesis meets a party with standing whose professional obligation is to be unimpressed. No regulator has reviewed the profile. No auditor has examined an elan1 record in a live engagement. Until one has, the evidence SKU — Rs 1.09 crore, Rs 6.32 crore and Rs 17.84 crore across FY2028-29 to FY2030-31 — is a hypothesis with a specification register attached.

14.4 Motion four — third parties over MCP

The fourth motion is a developer funnel with an intentionally awkward gate in it.

Advisory mode comes first. A third party reaching the kernel over MCP or HTTP is in **attested advisory** mode by default: every write intent is evaluated against policy and recorded, and the record is exportable. What may not be said about that mode is "prevented", "blocked" or "cannot". MCP alone gives advice, not enforcement — a caller that ignores a refusal still writes, and the only thing elan1 holds is a record that it was told not to. The

proof record carries a flag stating that the act was performed by the caller and not by the kernel, and that flag survives into any bundle a customer shows a third party. Writing "enforced" on a slide about an MCP integration is, in the company's own words, the one claim that would end a first enterprise deal.

Enforced mode is earned, per write type and never per tenant, after at least thirty days of production traffic in advisory mode, and only once the reviewer has been handed the bypass proof: every known path to the target system other than the single writer demonstrated failing, with the attempts recorded in the chain. If a promoted write type later shows a successful write with no record, the mode reverts immediately, the tenant is told, and records keep the mode they were written under, forever.

Sandbox keys are self-serve. Production keys never are, and the gap between the two is the entire product. A developer gets a sandbox key on e-mail verification, an isolated tenant with synthetic fixtures, and a chain of their own marked as sandbox and metered at quantity zero. To reach production they must state the enforcement mode in writing, give every write type a reversal plan or an explicit irreversible flag, prove all three outcomes in sandbox including a real refusal and a real escalation resolved by a real human, have a named human certify the declaration, and name a production owner who will receive incident notices. A person reads the request; the promise is two working days.

What converts the funnel is not documentation volume. It is the four things a serious integrator checks first and that get deferred under schedule pressure: a public status page with chain integrity as its own component, a published incident process, a conformance suite the consumer can run themselves, and a twelve-month sunset window on any breaking change with a dated notice to a named human. A status page that appears the week after the first outage is read exactly as what it is.

The kernel's own termination condition sits on this motion. If **30 June 2027** passes with no third party — inside or outside the group — having integrated against KernelPort under a signed agreement, the kernel is terminated. That is not a warning. It is a signed criterion with a date.

14.5 Pricing and packaging in market

The price book the model runs on:

Item	Price (Rs)
Platform floor, L1 Guarded, per tenant per year	1,80,000
Platform floor, L2 Attested, per tenant per year	6,00,000
Platform floor, L3 Proven, per tenant per year	24,00,000
Sovereign / on-premises deployment, per year	1,20,00,000
Included governed actions per year — L1 / L2 / L3	4,80,000 / 15,00,000 / 42,00,000
Governed action beyond allowance — L1 / L2 / L3	1.60 / 1.20 / 0.90
Governed action, sovereign deployment	0.55
Governed action, internal transfer price to rung1	0.40
Regulatory pack, per tenant per year (blended)	1,35,000
Evidence bundle beyond allowance, each	2,500
Verifier profile, per regime per year	3,00,000
Counterparty verification seat, per year	45,000
Partner certification, per firm per year	1,50,000

Refusals are metered at quantity zero and are never billed — enforced by a database constraint rather than a policy, so a caller cannot forget to pass zero because the caller does not pass it. When a finance director asks whether the vendor is incentivised to make the system say no, and they ask within ten minutes, the answer is a constraint. List prices are flat to March 2029 and escalate 4 per cent per annum thereafter.

Two things fall out of the ladder that are worth stating rather than hiding. At full inclusion the L1 floor prices a governed action at roughly Rs 0.375 — below the Rs 0.40 internal transfer price — while L2 lands at Rs 0.40 and L3 at about Rs 0.571. The included rate rises with the level while the overage rate falls, which is the opposite of a volume discount and is deliberate: the floor is a right to run an evidence plane, and the overage is consumption. The consequence is that an L1 tenant sitting inside its allowance is not, on its own, a profitable tenant. The plan's blended revenue per governed action rises from Rs 0.718 to Rs 0.924 while cost per governed action falls from Rs 0.636 to Rs 0.129, which is where the 86.0 per cent gross margin at the end of the plan comes from.

The anchors to argue against. Microsoft Agent 365 prices agent governance at **US$15 per user per month** PUBLISHED, which anchors governance as a per-seat line inside an estate the buyer already pays for. elan1 never prices per user or per seat, anywhere in the group, at any level, and enters through the budget of the person who has to hand something to an auditor rather than through an AI governance budget. Salesforce Agentforce prices **US$0.10 per action** PUBLISHED — about **Rs 8.80** at Rs 90 to the dollar — which anchors the action as the unit, and caps the price. elan1's internal floor is Rs 0.40.

The room between Rs 0.40 and about Rs 8.80 is roughly twenty times. It is the room elan1 has. It is also the room a competitor has to come down into, and the first half of that sentence should never be presented without the second. The company's own watch list carries the trigger: any major vendor pricing a governed business action below Rs 4 opens a strategy review.

The open question, stated honestly: elan1's external list price per governed action at L1 general availability is not yet set. It is open in three places in the company's own documents, it is the second of eleven questions the company says it cannot answer, and no customer has been quoted. The price book above is what the financial model runs on. It is not a published price list, because there is no published price list.

One pricing shape is refused on principle rather than on arithmetic. elan1 will not price on outcomes at any assurance level. A refusal is a correct outcome that produces no business result; outcome pricing would either charge nothing for the thing the product most exists to do, or create a standing commercial reason to allow a write. Either way the price list would be arguing with the gate.

14.6 Sales motion mechanics

The funnel, as the tenant counts imply it. Zero paying tenants at March 2027. Nine by the second quarter of FY2027-28, 21 by the third, 39 at March 2028 — all L1 Guarded. Then 148 at March 2029, of which 109 L1 and 39 L2. Then 312, split 186 / 110 / 16 across L1, L2 and L3. Then 545, split 279 / 211 / 55. Sovereign deployments appear only from FY2029-30: four, then eleven.

The cycle. L1 Guarded reaches general availability in the second quarter of calendar 2027; the first external paying tenant is July 2027. One quarter from availability to first revenue is the shortest cycle in the plan, and it is short because the first cohort comes out of the design-partner relationships. Thereafter the standard entry is a ninety-day pack pilot plus contracting, so a direct enterprise deal runs two quarters from first conversation to first invoice. Every one of those numbers is modelled. No deal has been run.

Deal sizes. FY2027-28 exit ARR of Rs 5.02 crore across 39 L1 tenants implies roughly Rs 12.9 lakh per tenant — seven times the L1 floor. That is reachable only if the average first-year tenant runs materially above its 4,80,000 included actions or buys a regulatory pack, or both. It is the most load-bearing assumption in the first cohort, and it is arithmetic rather than observation.

A first-year cohort, concretely. Thirty-nine Indian companies, most introduced by a CA or an audit firm, all at L1 Guarded on the India residency domain, most running `ledger1` against the MCA audit-trail obligation from October 2027, with six certified partner firms behind them. None of them can hand an auditor a file that verifies without elan1, because L2 Attested does not exist until April 2028. What they can say to their auditor is that their agents cannot write to their books without passing rules they set, that a person approves anything material, and that there is an unbroken internal record of every attempt including the refusals. That is a real claim and a limited one — and selling L1 to a buyer who needs L2 loses the account at the audit, which is the worst possible moment to lose it.

Retention and expansion. The expansion path is the assurance ladder, and it is a specified runbook rather than a re-platforming. The tenant does not re-declare, does not migrate and does not stop writing. The upgrade adds a signature to records from a named sequence number onward; everything before it stays Level 1 forever, labelled as such, with the boundary date and the counts on each side rendered on screen. Back-signing a record produced before a key existed would be the exact fraud the product is built to make impossible. The only thing the upgrade touches in the declaration is an addition to

the proof-binding block. If it turned out to require a new declaration, a data migration or a write freeze, the level design was decoration; the success criterion for the first upgrade is not that it worked, but that it was boring. Expansion shows up in the plan as the L2 tenant count rising 0, 39, 110, 211, and L3 0, 16, 55.

Customer acquisition economics that can be defended. Sales and marketing programmes run at Rs 0.22 crore, Rs 1.28 crore, Rs 4.57 crore, Rs 14.30 crore and Rs 35.36 crore, against revenue of Rs 0.01 crore, Rs 1.89 crore, Rs 18.08 crore, Rs 81.18 crore and Rs 230.32 crore — 68 per cent of revenue in FY2027-28, 25 per cent in FY2028-29 and 15 per cent by FY2030-31. Against net tenant additions of 39, 109, 164 and 233, that is roughly Rs 3.3 lakh, Rs 4.2 lakh, Rs 8.7 lakh and Rs 15.2 lakh of programme spend per added tenant — rising rather than falling, because the mix moves up the ladder toward L2, L3 and sovereign deployments while the go-to-market function grows from 14 to 50 people. What can be defended is the direction of the gross margin: 11.4 per cent, 62.2 per cent, 79.6 per cent, 86.0 per cent. What cannot yet be defended is any payback figure, because there is no observed churn, no observed win rate and no observed sales cycle.

14.7 International sequencing

A regime is a pack. A country is a set of packs. That is the whole sequencing logic, and it is why international expansion carries Rs 0.00, Rs 0.00, Rs 0.54 crore, Rs 2.43 crore and Rs 4.92 crore of operating expense rather than a field organisation.

India first, and only India, through FY2027-28. The MCA audit-trail rule has been in force since April 2023, applies to every registered company, is reported on by the statutory auditor every year and carries officer-level exposure. The DPDP Rules were notified in November 2025 with main obligations from **13 May 2027** PUBLISHED, including annual independent audit and algorithmic due diligence for significant data fiduciaries. The Reserve Bank's draft model risk management guidance of June 2026 specifies kill switches, human-in-the-loop for automated decisions, traceability, reproducibility and auditability, and ten-year retention, across all eleven categories of regulated entity — in substance a regulatory specification of this product, with the caveat that it remains a draft with no stated effective date. India is also where the evidence can be made sovereign: the Controller of Certifying Authorities publishes RFC 3161-compliant timestamping guidelines, so an Indian-licensed timestamp anchor is available under the IT Act 2000. No global vendor is likely to bother.

GCC and Singapore second, from FY2028-29. The gate here is residency, not regulation. Sovereign deployments carry a Rs 1,20,00,000 per year price and a Rs 0.55 per action rate, and the first lands in **July 2029**, which is also the tranche 3 gate. These markets buy the evidence plane because it can be pinned to their jurisdiction, and they buy it one deployment at a time: four by March 2030, eleven by March 2031, Rs 2.46 crore and Rs 9.46 crore of revenue. It is a small, slow, high-price motion and it is modelled as one.

EU third, from FY2028-29 into FY2029-30. Article 12 of the EU AI Act requires automatic recording of events over the lifetime of a high-risk system, with a six-month minimum retention and no prescribed format — close to a legal description of what this product emits as a by-product. But the high-risk standalone obligations moved from 2 August 2026 to **2 December 2027** under the Digital Omnibus agreed in May 2026, and the in-regu-

lated-products obligations to August 2028 PUBLISHED. The forcing function slipped sixteen months, and the honest reading is that no plan should be funded on an EU enforcement date. The EU gate opens on procurement pull, which runs ahead of enforcement, and on one pack rather than a country entry.

US last, FY2029-30 at the earliest. It is the largest market and the worst first one. The compliance target moves quarterly across states, federal preemption is unresolved, and the incumbents already hold the install base. An India-first company's structural advantages — a licensed Indian timestamp anchor, DPDP fluency, MCA framing and a price point built for a Rs 5–50 crore firm — are worth nothing in Texas. The case against entering earlier is made here because an investor will ask, and the answer is not that demand is absent.

15. Management, organisation and the people plan

15.1 The founder, and what he has already done

M K Elango works between Coimbatore and Chennai. He is the author of *Milk, Mountain, Moonshot*, the portfolio framework the group actually runs on, and holds an academic council position at Excel Engineering College. He owns every document in the corpus this memorandum draws on. The relevant evidence about him is not the biography; it is a set of artefacts that exist and can be inspected.

A numbered decision register. Thirteen closed entries, DR-001 to DR-013, each dated and owned, each with its reasoning recorded beside it. An entry in the register is closed; reopening one requires a new numbered entry that supersedes it by number. The register exists because across roughly eighty-four prior documents the same idea carried three names and the same name carried three ideas — at one point "L0" meant three different things in documents that cited each other.

Written kill criteria. Five per funded venture, fifteen in total, signed by three named people before the first payment moves. Termination requires no further approval; restarting requires full re-underwriting. They are reviewed when the gating rung moves, not annually.

A willingness to scrap work. The prior corpus of roughly eighty-four documents was rewritten into eighty-one in one pass, with the old material retained as archive rather than quietly deleted. A published seal test vector — TV-001 at 311 octets, with its digest — was retired outright once it was found to have been computed against a superseded encoding table, and the replacement digest has deliberately not been written down because two independent implementations have not yet produced it and agreed. Decision DR-010 changed the scoring rule in every competitive matrix so that "designed" scores zero, and then applied it to elan1: the company's own row now reads No in every column that matters, because it is pre-revenue with no customer.

Eight product ideas rejected by name against published gates. Vertical packs are admitted against five gates — a dated hook, an auditor obliged to ask, honest reversibility, a buyer for evidence on its own line, and elan1 being in the write path rather than reading someone else's log. Applied, they killed `retail1` (nobody audits a price change), `edu1` (no buyer for evidence on its own line), `energy1` (the write path belongs to SCADA vendors), `agri1` (subsidy audits are annual and on paper), `legal1` (the matter lives in someone else's document system) and `public1` (the procurement cycle outlasts the runway), plus two others held in the portfolio register. Rejections are retained by name with the gate they failed. They are not softened, parked or renamed.

That is governance evidence in the only form that counts: written before the pressure, applied against the author's own ideas, and retained when unflattering.

And it is concentration risk, stated plainly. The objective currently resides in one person's continuity of intent. That is not a governance model; it is the absence of one, functioning because of an individual. Every pair of funded assets shares at least two critical dependencies and all three share the founder, and there is no version of this plan in which

the founder is the constraint and the portfolio absorbs it. There is no board. The intended weekly split of founder attention — roughly 50 per cent to the product company, 30 to the kernel, 20 to the runtime — has never been measured, and a split nobody measures is a preference, not an allocation.

15.2 The team today and the key hires

Headcount at October 2026 is eleven, reaching 27 by March 2027 when tranche 1 closes. In priority order, these are the roles that must be filled before tranche 1 is spent.

One — the evidence and cryptography lead. Accountable for the sixteen-field frozen record, the Ed25519 seal, the two-implementation rule, key custody per residency domain and the offline verifier. This function grows from one person in October 2026 to three by March 2027 and nine by March 2028, at the highest salary band in the plan, Rs 38 lakh fully loaded. The two-implementation rule means this hire cannot be a single person for long: two implementations written by two people from the specification text alone, with no shared code and no shared channel, must produce identical bytes across all sixty-four test vectors, and when they disagree the text is wrong and the text is fixed first.

Two — the pack and regulatory engineering lead. Accountable for the verifier profiles, the clause-to-field bindings and the pack admission gates. This is the function that overtakes kernel engineering, and the one with no obvious hiring pool in India.

Three — the go-to-market and partners lead. The first Operator hire, and the one the founder should make early, make senior, and give the channel entire. The company's own note on this is blunt: the first Operator hire is the one that saves the company, and founders resist it longest because the role looks like administration and the candidate is less exciting than everyone else being hired.

Behind those three: a platform and SRE lead who owns residency, isolation and the restore drill; a security, compliance and certification owner — a role that does not exist today and is already blocking, because the compliance owner is the named owner of the regulatory watch list and there is nobody in the seat; and finance, legal and operations, which carries the four-entity structure, the related-party documentation and the DPDP role register.

What happens if the three are late. If the cryptography lead is late, L2 Attested slips from April 2028, and the L2 chain is six items in series with about one quarter of float end to end — so a one-quarter slip in the first item is a one-quarter slip in the evidence pack, the auditor acceptance protocol and the evidence SKU. If the regulatory engineering lead is late, packs do not ship, and the direct enterprise motion has no entry product; the plan's Rs 7.63 crore of pack revenue and, more importantly, its route to the auditor go with it. If the go-to-market lead is late, the CA channel is run by the founder, which is the failure mode the corpus already names: spending Visionary attention on Operator work, because Operator work is legible, finishable and produces the feeling of a day well spent.

15.3 Organisation design

Ten functions. For each: what it owns, what it must never own, and how it is measured.

Function	Owns	Must never own	Measured by
Kernel engineering	The one write function, the nine rungs, the gates, KernelPort	A second write path; a special case for any product	Latency envelope under real tenant load
Evidence and cryptography	The frozen record, the seal, key custody, the offline verifier	The chain writer and the verifier sharing a library	Two implementations agreeing across 64 vectors
Pack and regulatory engineering	Declarations, verifier profiles, clause bindings	A pack that is a code fork rather than configuration	Packs passing all eight tests, and auditor verdicts
Platform and SRE	Residency, isolation, the runtime, restore drills	Any decision about what is allowed	Restore drills executed and timed; chain-integrity uptime
Security, compliance, certification	The baseline, the incident clock, the sub-processor list	A brand-specific weakening of the baseline	Evidenced control rows; six-hour path tested
Product and design	The Four Doors, the approval screens	A fifth door, or a bespoke screen	Approver sees diff, gate results and policy version
Solutions and field engineering	Second-line support, customer declarations	First-line support at scale — the channel carries it	Time to first governed write in a tenant's own books
Go to market and partners	The channel, certification, pricing inside bands	The floor, the meter basis, the refusal price	Certified firms; partner-sourced share of revenue
Standards, policy, regulator affairs	Receipt format work, regulator engagement	Any claim a verifier cannot demonstrate	Published specification versions; corrections received
Finance, legal and operations	Entities, related-party documentation, the board page	Presenting a number differently from how the meter produced it	Reconciled periods; no invoice over an unreconciled period

Two of these are unusual for a company of this size, and both are deliberate.

Pack and regulatory engineering exists because the regulatory surface is fragmenting faster than any code base can follow, and a pack that is configuration — declarations, policy rules as data, a certified profile, an export mapping — scales with fragmentation while a jurisdiction-specific fork does not. It also produces the artefact the buyer actually buys. Packs are the sale; screens are the surface; nobody buys an approvals screen.

Standards, policy and regulator affairs exists because the format is the moat, and a format nobody else can implement is not a standard. The IETF published the SCITT architecture as RFC 9943 on 30 June 2026, with COSE Receipts as RFC 9942 underneath it PUBLISHED. Aligning to a receipt standard stopped being an aspiration and became an engineering task in mid-2026, and the company that is late to that table implements someone else's format. This function also holds the only permission to speak to a regulator, under one rule: nothing is claimed that a verifier cannot demonstrate, every sentence maps to a verifier exit code, a named artefact or a dated document, and a sentence that maps to none of those is cut before the meeting rather than defended in it.

15.4 The headcount plan

Function	Band, Rs lakh/yr (FY2026-27)	Mar 2027	Mar 2028	Mar 2029	Mar 2030	Mar 2031
Kernel engineering	34	7	17	25	32	38
Evidence and cryptography	38	3	9	15	21	26
Pack and regulatory engineering	30	2	11	23	37	50
Platform and SRE	30	3	9	15	21	27
Security, compliance, certification	32	2	6	11	16	21
Product and design	28	2	6	10	13	16
Solutions and field engineering	26	2	11	22	32	40
Go to market and partners	27	3	14	28	42	50
Standards, policy, regulator affairs	36	1	4	7	10	13
Finance, legal and operations	24	2	8	14	19	24
Total		**27**	**95**	**170**	**243**	**305**

Salary bands escalate **8 per cent per annum**. The ESOP charge is modelled at **11 per cent of cash people cost** and is non-cash. People cost outside cost of revenue runs Rs 2.94 crore, Rs 19.74 crore, Rs 44.82 crore, Rs 74.19 crore and Rs 105.61 crore across the plan — 60 per cent of total operating expense at the end of it.

The monthly build to tranche 1 is deliberately slow: eleven people in October 2026, twelve in November, sixteen in December, twenty-two in January, twenty-six in February and twenty-seven in March 2027, with minimum cash of **Rs 4.4 crore in February 2027**, the month before tranche 1 closes. That is the thinnest point in the whole plan and it sits immediately before the round.

Why pack and regulatory engineering overtakes kernel engineering. Kernel engineering runs ahead until March 2029 — 25 against 23 — is overtaken during FY2029-30, and ends at 50 against 38. The reason is structural, not a resourcing preference. The kernel is frozen by design: KernelPort's call shapes are fixed, the sixteen-field record is a hard freeze that cannot change without invalidating every digest written under it, and nothing above plane P3 may import a kernel type, enforced in CI. A frozen surface needs a team that maintains and hardens it, not one that grows with revenue. Packs are the opposite: intended churn, one per regime, independently authored, versioned separately, with no shared code. Every new jurisdiction and every new obligation is a pack, and packs are where the plan's revenue mix moves. If those two lines ever cross back the other way, it means the kernel is being reopened, and reopening the kernel is the failure this architecture exists to prevent.

Why field engineering stays small. Solutions and field engineering reaches 40 people against 545 paying tenants at March 2031 — roughly fourteen tenants per field engineer — because the channel carries delivery. A partner takes first line; elan1 takes second. Certified partner firms grow from 6 to 140 over the same period, and partner-sourced revenue reaches 45 per cent of external revenue. If the channel does not carry delivery, this line

is the first one that has to grow, and it grows at the expense of the gross margin, because delivery and customer success sits inside cost of revenue at Rs 1.02 crore, Rs 2.82 crore, Rs 4.94 crore and Rs 7.06 crore.

15.5 Governance

The board as proposed. There is no board today. That is stated first because it is the state of the company, and because three of the fifteen kill criteria are signed by three named people precisely because there is no board to sign them — and the identity of those three signatories is itself an open question. On the close of tranche 1 the company proposes a board at the holding company with a written scope for every investor seat, observer rights for the remaining investors, and one further seat the group already commits to independently: a member of each Mountain venture board with no career stake in that venture's survival, paid for judgement rather than attendance and rotated out after three years, because sitting long enough creates the stake the seat exists to exclude.

What the company will and will not accept is already written. It will accept a board seat with a written scope, information rights including the unflattering numbers, investment at the holding company, ordinary anti-dilution and standard protective provisions, and a change-of-control provision with a defined process. It will not accept a veto over the objective or its wording, a right to require that a number be presented differently from how the meter produced it, any structure in which the kernel, the declaration schema or plane P3 and below can travel with an operating company, a full ratchet, consent rights over pricing or releases or hiring below brand lead, or any provision under which a change of control can close the open receipt standard, revoke its grant or make the verifier chargeable.

Reporting cadence. Monthly: paying tenants by band, net new and churned, revenue by line, cash, burn and months of runway. Weekly internally and monthly to the board: gross margin by tier against a 40 per cent floor. Monthly internally and quarterly to the board: cost per governed action, on the same page and the same day as the refusal rate. Per gate: outcomes as pass, fail or re-enter, judged against the written failure statement the team made before the gate. Quarterly: capital to the next gate per venture, and which kill criteria are within one measure of firing. Annually: layer ratios actually spent across capital, headcount and senior attention, and the independence recount.

That is the fifteen-row board page the company already publishes to itself. Its governing rule is that no cell is an estimate wearing a measurement's clothes, and that a cell which cannot be filled is left visibly empty rather than quietly removed. At the date of writing, paying customers reads zero, revenue reads Rs 0, cost per governed action reads modelled only, refusal rate reads not yet observable, gate outcomes reads none attempted, and the kill-criteria row reads all five per venture are live.

The decision-register discipline extends into operations. A product team that wants the kernel changed opens a change request; the kernel lead applies one question — can this be expressed as a declaration or an adapter? — and if yes, the request is closed with the expression and no kernel change happens. If no, an architecture decision record is written with the alternative considered and the defect class it prevents, and the founder signs or refuses. On signature the change enters the queue with a CI invariant added that would

fail if the old behaviour returned. Escalation is kernel lead to founder, and there is no third step, because a product team that ships its own gate has built a second kernel.

The standing bodies. Four, with separate metrics, cadences and owners, because sharing any of them re-merges the layers after they have been separated. The **Telos Council** — founder plus two, at least one from outside the group — owns three things and only three: the objective, the layer ratios and the coherence matrix, annually for allocation and three-yearly for the objective. Its prohibitions are written before its rights: no operational agenda, no programme reviews, no delivery reporting, no pricing, no release decisions and no hiring below brand lead, because the moment it acquires them it is an executive committee with an unusual name. The **Milk Operating Committee** runs the product company monthly. The **Mountain venture boards**, one each for the kernel and the runtime, meet quarterly plus gate reviews and hold genuine kill authority without escalating. The **Moonshot Office** meets annually and holds no profit and loss, no delivery accountability and no revenue target — because a unit with a P&L optimises it, not through weakness but through competence, and a unit optimising one on a fifteen-year horizon does the achievable thing and finds nearer-term revenue.

The separations, and why an investor in the kernel should care. Four entities are proposed: a holding company holding the kernel team, plane P3 and below, the declaration schema, KernelPort, all trademarks and the open receipt standard with its licence grant; operating companies for the product and the runtime; and a fourth that may never exist. Four things must never sit in the same entity. The kernel and the runtime, because the architecture says the kernel never lives inside the runtime and the entity structure says it again in the only language a share purchase agreement reads. The receipt standard and anything saleable, because in an operating company the standard could be sold with that company, and an open standard a purchaser can close is not an open standard. The regulated collections business and the kernel, because putting a licensing perimeter around the entity holding the group's intellectual property is how a licence question becomes an existential one. And customer write credentials and third-party indemnities, because a claim under the second must not reach the first.

An investor in the kernel is buying the holding company. The separations are what make that a coherent purchase: they are why the thing being bought cannot leave with an operating company, and why a claim arising from a systems integrator's indemnity cannot reach the credentials elan1 holds to a customer's books.

15.6 Culture and operating cadence

Four practices, all already in the corpus, and all checkable.

One writer per shared file. The repository map assigns an owner to each row, and a pull request crossing two rows needs both owners. The licence register lives in the repository and is generated into the knowledge vault, never hand-edited in a wiki, because a hand-edited wiki becomes a second source of truth and the second source is always the one someone reads.

Mutation proof for every gate test. A test is not trusted green until it has been shown to fail. The seal specification carries sixty-four vectors of which twenty-eight are negative, and the rule is explicit: an implementation that passes all the positives and fails to reject

the negatives is not an implementation. The same discipline runs through the pack tests — the published tampered bundle must exit with an integrity failure naming the record and the field, and a verifier nobody has watched refuse is not a verifier.

No document exists unless it ends in a decision someone can act on this month. Every document ends in exactly two tables: the decisions it makes and the open questions it leaves, each question with a named owner and a date. Those two tables are the working surface of the set and are read first at every review.

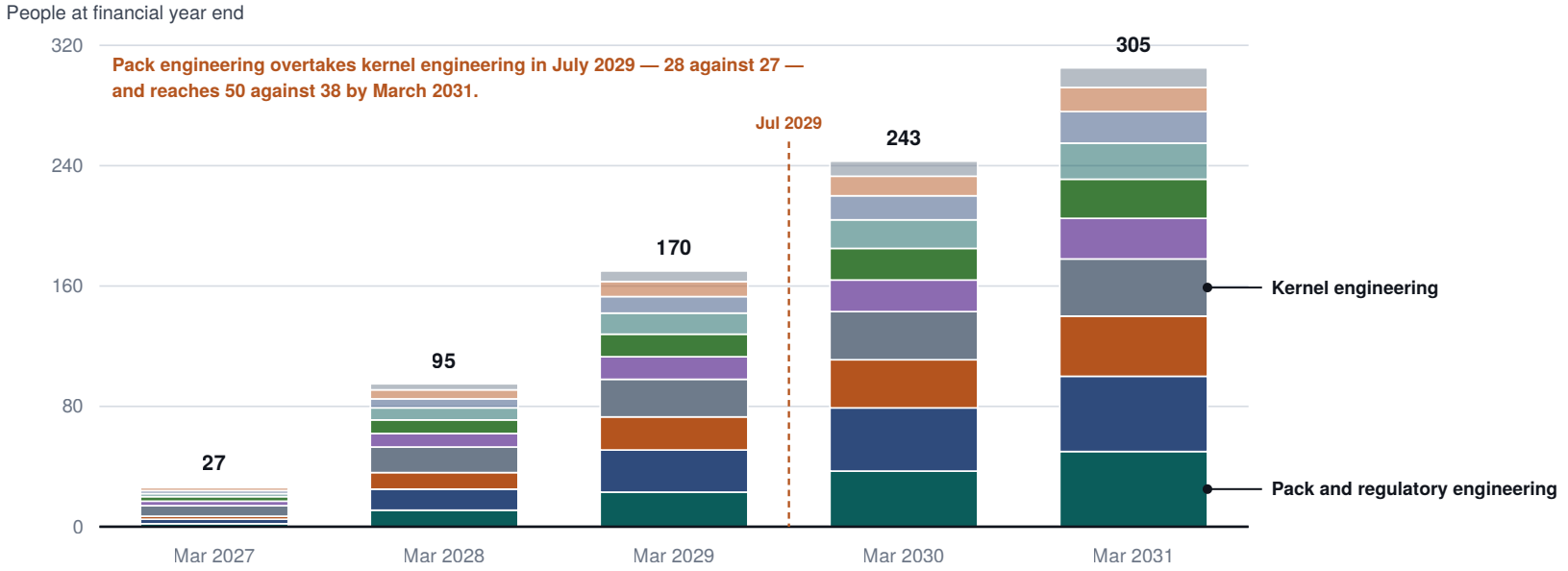
A capability not running scores zero. Only shipped, demonstrable capability scores one, and the rule applies to elan1 before it applies to a competitor. Latency targets are marked as things to measure rather than as claims, and none of them enters a customer document until it has been measured under a real tenant's load.

Two smaller rules do disproportionate work. Every refusal is logged with its code, gate, policy version and evaluation instant, because refusals are evidence and not noise. And nobody's target is a lower refusal rate — it is published beside cost per governed action every month, precisely so that a falling cost number cannot be read as good news when what actually happened is that somebody loosened a gate.

Headcount by function: one kernel, built once; a regulatory surface, built continuously

Pack and regulatory engineering overtakes kernel engineering in July 2029 and is the largest engineering group by March 2031.

The kernel is built once and amortised across every consumer; the regulatory surface is built continuously, one certified profile at a time. That shape is what takes gross margin from 11.4% in FY2027-28 to 86.0% in FY2030-31.



FUNCTION, AND HEADCOUNT AT MARCH 2027 → 2031

Pack and regulatory engineering	2 11 23 37 50	Platform and SRE	3 9 15 21 27	Product and design	2 6 10 13 16
Go to market and partners	3 14 28 42 50	Evidence and cryptography	3 9 15 21 26	Standards, policy, regulator affairs	1 4 7 10 13
Solutions and field engineering	2 11 22 32 40	Finance, legal and operations	2 8 14 19 24	**Total**	**27 95 170 243 305**
Kernel engineering	7 17 25 32 38	Security, compliance, certification	2 6 11 16 21		

Measured against the financial model; the plan is modelled. Headcount at each financial year end, March 2027 to March 2031.

headcount by function, March 2027 to March 2031, showing pack and regulatory engineering crossing kernel engineering during FY2029-30 and field engineering held flat against tenant growth

16. The operating plan

16.1 How the plan is structured, and why the granularity changes

This section answers two questions and nothing else: what the money does, and how an investor will know whether it worked. It is written at three different resolutions, and the change in resolution is deliberate.

October 2026 to March 2027 is planned month by month. Six months, six sub-sections, each with a named theme, a named set of things that ship or are signed, the hiring for that month by function, the spend and the closing cash to the lakh, and one sentence stating what must be true on the last day of the month or the plan has slipped. This is the period in which the round is raised and the kernel is finished. It is also the period in which the company is thinnest: closing cash falls to **Rs 4.4 crore (US$0.49 million) in February 2027**, the lowest point anywhere in the fifty-four-month model, and the month before tranche 1 is due. Nothing in a window like that may be vague. A plan that says "kernel hardening" for a quarter is a plan whose author has not decided what to build.

FY2027-28 is planned quarter by quarter. Four sub-sections. This is the year of first external revenue — the first paying tenant in July 2027, the first regulatory pack live in October 2027, exit ARR of **Rs 5.02 crore (US$0.56 million)** at 31 March 2028 — and it is the year in which the gates become quarterly. Gate 1 falls on 31 January 2028 and Gate 2 on 31 March 2028. A quarter is the right unit because the gates are, and because the commercial counts that matter (tenants, certified partner firms, exit ARR) are read at quarter ends.

FY2028-29, FY2029-30 and FY2030-31 are planned year by year. One sub-section each: the single strategic objective of the year, the product and standards milestones, the market milestones, the organisational shape, the financial outturn from the annual summary, and two or three named conditions under which the year is judged a failure. Beyond about eighteen months a monthly commitment is theatre. We would be writing a number for July 2030 that nobody in the company will read in July 2030, and an investor who takes it seriously is being misled by our formatting rather than by our forecast. The honest instrument at that distance is an objective, a gate and a falsifier.

Two things are true across all three horizons and should be said once, here, plainly.

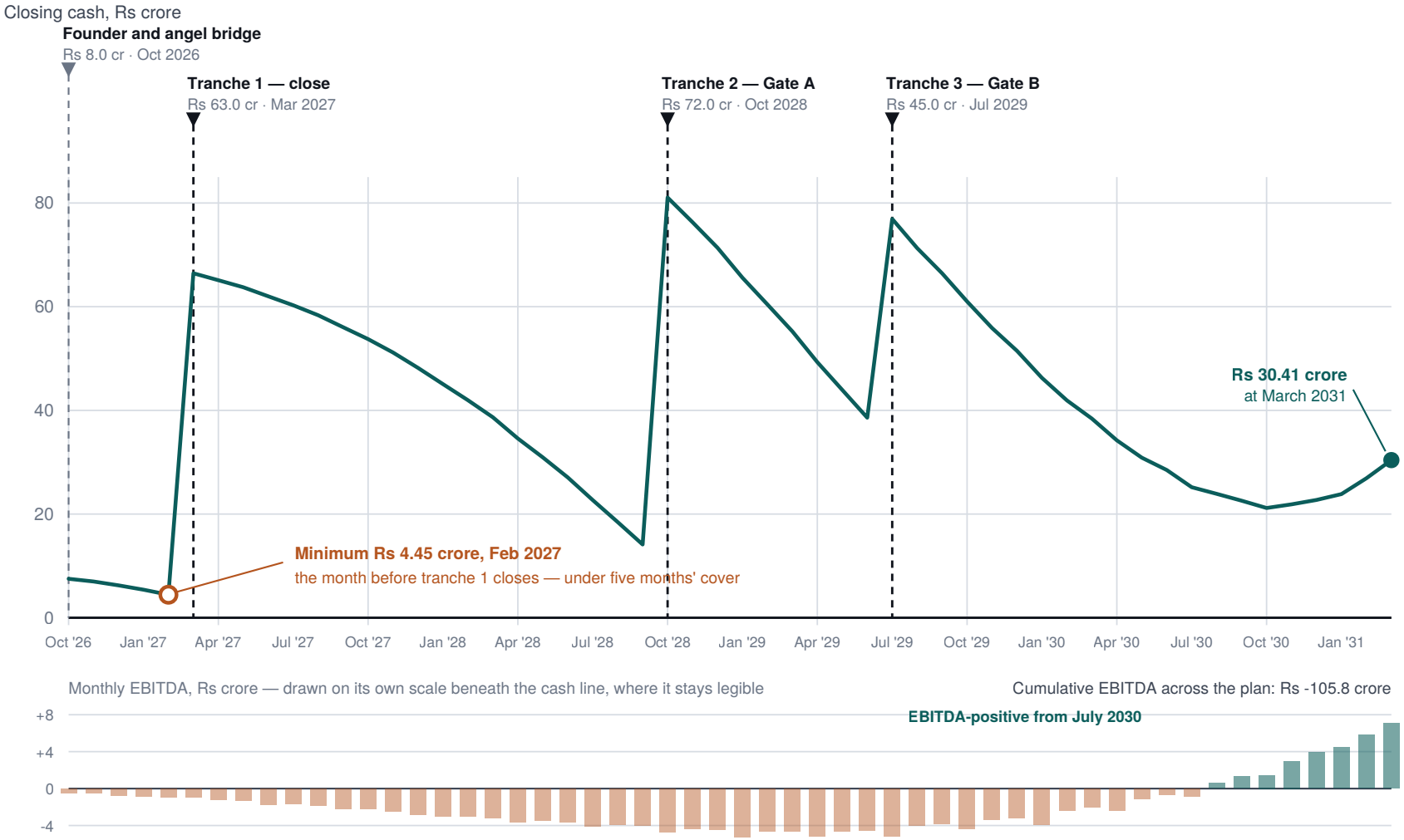
The first is that **elan1 is pre-revenue with no external customer.** No brand in this group has invoiced anybody. Governed actions committed and refused stand at zero; cost per governed action is modelled only; refusal rate is not yet observable; no gate has been attempted. The first six months of this plan are a build, and the plan says so without apology. The revenue that appears from January 2027 is **internal transfer revenue from rung1 at Rs 0.40 per governed action** — Rs 0.24 lakh in January, Rs 0.48 lakh in February, Rs 0.72 lakh in March — and internal transfer revenue is not elan1 traction. It is stated here because it is in the model, not because it is a market signal.

The second is the house rule that governs every claim below: **"Designed" scores zero. Only shipped, demonstrable capability scores one.** [published] Where a milestone below is a specification, it is called a specification. Where it is a measurement, the instru-

ment is named. Where a figure has not been measured under a real tenant's load, it carries MODELLED.

Closing cash across fifty-four months, and the four events that move it

The plan never runs out of cash, and its thinnest month is the one before the round closes.



Measured against the financial model, which is modelled throughout. Rs crore; 1 crore = 10,000,000. Fifty-four months, October 2026 to March 2031.

closing cash by quarter, October 2026 to March 2031, with the three tranche dates marked and the Rs 4.4 crore February 2027 minimum called out

16.2 The monthly plan, October 2026 to March 2027

The engine behind every figure in this sub-section is the same one that produces the quarterly and annual views later in the section; they tie exactly because they are aggregations of one model, not three.

Month	Revenue	Opex	EBITDA	Funding in	Closing cash
Oct 2026	0.00	47.11	-47.66	800	751.39
Nov 2026	0.00	50.58	-51.13	0	699.28
Dec 2026	0.00	71.78	-73.54	0	624.63
Jan 2027	0.24	80.50	-82.08	0	541.25
Feb 2027	0.48	92.54	-95.16	0	444.66
Mar 2027	0.72	96.38	-98.83	6,300	6,644.36

All figures Rs lakh. Cost of revenue by month: 0.55, 0.55, 1.76, 1.82, 3.10, 3.17. Net burn by month: 48.61, 52.11, 74.65, 83.38, 96.59, 100.29. Headcount rises 11 → 12 → 16 → 22 → 26 → 27. Governed actions: nil, nil, nil, 60,000, 120,000, 180,000 — all internal, all metered at Rs 0.40.

Two numbers in that table carry the whole six months. The **Rs 8.0 crore founder-and-angel bridge lands in October 2026** and is not part of the Rs 180 crore round. The **Rs 63.0 crore of tranche 1 lands in March 2027**, and between those two events the company spends Rs 4.39 crore of operating expense while closing cash falls from Rs 751.39 lakh to Rs 444.66 lakh.

16.2.1 October 2026 — the six documents that block coding

Theme: write the six things that cannot be changed later, and stop.

The build does not begin in October. Six documents block coding, in order: **E02 Kernel / Layer Contract v1** (every product calls it; if it moves, everything moves), **E03 Declaration Spec v1**, **R03 Gate Specification** (the moat; vague gates, vague product), **R01 Scope Freeze — rung1 Enterprise v1**, **S01 Scope Freeze and Customer Zero**, and **O01 Vocabulary and Decision Register**. [published] Each moves from DRAFT to SIGNED this month or the month is not closed. The reason is not process aesthetics: across roughly eighty-four prior documents the same idea carried three names and the same name carried three ideas, and in the previous corpus "L0" meant three different things in documents that cited each other. That cost has been paid once.

Also closed in October: the three signatories on each kill-criteria document (still open at the date of writing and blocking tranche sizing); the named CERT-In responder and deputy; the agreed RPO and RTO before any go-live; the internal transfer price, closed at **Rs 0.40 per governed action from 1 January 2027**; whether ERPNext hosted mode can be configured so the site accepts only kernel-issued tokens, which decides whether Mode B can ever be called Enforced; and the first two of the twenty CA conversations that rung1 kill criterion 4 counts.

The investor process starts this month, because a March 2027 close worked backwards means first partner meetings in November, diligence through December and January, a term sheet in February and signature in March. The monthly plan and the fundraising plan are the same document.

Hiring: eleven people at month end — kernel engineering 4, evidence and cryptography 1, pack and regulatory engineering 1, platform and SRE 2, product and design 1, go-to-market and partners 1, finance, legal and operations 1. No security or certification hire yet, no solutions engineer, no standards hire.

Spend and cash: opex **Rs 47.11 lakh**, COGS Rs 0.55 lakh, net burn Rs 48.61 lakh. Rs 800 lakh in from the bridge. Closing cash **Rs 751.39 lakh**.

The one thing that must be true on 31 October 2026: all six coding-blockers carry status SIGNED. If they do not, coding has either not started or has started against a moving contract, and everything downstream inherits the ambiguity.

16.2.2 November 2026 — the record shape is frozen for ten years

Theme: freeze the sixteen fields, because the L1 chain has to be forward-compatible with a seal we will not build for a year.

Three specifications close this month. **KernelPort's six call shapes are frozen for Phase 1** — `define · assert · seal · verify · scope · refuse` — including `seal`, which at L1 returns a hash-chain receipt and at L2 returns a signature. The call shape does not change between the two; the contents do. [published] **The sixteen-field record layout is frozen**, unsigned, so that the L1 to L2 move is a retrofit and not a migration of a customer's evidence. And the **Declaration schema major** carrying the `doors` → `channels` rename is published: it is a breaking change, it takes a major, and it lands before L1 general availability rather than after.

E12 Seal Spec v6 and its sixty-four test vectors are drafted this month. They are not implemented. This is the entire content of the five per cent of resources allocated to the Moonshot against a framework row that funds it at zero, and the defence of that breach is narrow and stated: five per cent buys the seal format and the proof-binding fields being specified now so that the L1 hash chain is forward-compatible. **If the spend ever buys implementation rather than specification, the defence has failed and the allocation returns to zero.** [published]

Four questions carry a 30 November date and are answered this month or escalate: whether the Mode B caller-performed flag must be visible to the end customer or only in the export bundle; where counsel draws the line between "separate network service" and "shared process" for an AGPL component under Indian law; whether retaining a proof record with erased identifiers satisfies DPDP erasure, given the hash chain cannot be rewritten — the sharpest unresolved legal question in the corpus; and the measured p50 latency of a full nine-rung governed write on Mumbai hosting, which is UNVERIFIED until measured on real hardware.

Hiring: twelve. One kernel engineer added (kernel engineering 4 → 5). Nothing else moves.

Spend and cash: opex **Rs 50.58 lakh**, net burn Rs 52.11 lakh, closing cash **Rs 699.28 lakh**.

The one thing that must be true on 30 November 2026: the sixteen-field preimage is frozen and the Declaration schema major is published. A record shape changed after the first customer's chain has started is a migration of evidence, and migrating evidence is the one thing this product exists to make unnecessary.

16.2.3 December 2026 — customer zero has to be real, not declared

Theme: one real governed write, in a real design partner's own books, with the bypass attempt shown failing.

Two kill criteria fall due on 31 December 2026, and they are the reason this month is the largest single hiring step of the six. **rung1 terminates if 31 December 2026 passes without the hosted product completing one end-to-end governed write, gate check, approval and proof record for a real design partner. stack1 terminates if 31 December 2026 passes without stack1 being the runtime rung1 and elan1 actually run on** — customer zero has to be real, not declared. [published]

The demonstration is specific. A rung1 agent assembles a write intent from the Declaration's `write_types`; `scope` returns the permitted shape and the autonomy level held; `define` registers a Governed Action; `assert` runs rungs 0b to 6 and returns allow, refuse or needs_approval; a named approver sees the diff, the gate outcomes and the policy version before pressing Approve; the kernel executes rung 7 itself, using the credential it holds; rung 8 writes the hash-chained entry; rung 9 meters one Governed Action. Then somebody tries to write to the same site around the kernel, and it fails, and the failure is recorded. The demonstration without the bypass attempt is a demonstration of a feature, not of a boundary.

The licence register's CONDITIONAL rows are counsel-confirmed this month, before any component reaches a paying customer. The register is re-read at the exact commit SHA, because a licence is a property of a commit and not of a project's reputation: over the preceding twenty-four months there was one favourable licence move in seven, and five candidate components died in six.

Hiring: sixteen, the biggest proportional step in the six months — evidence and cryptography to 2, the first security, compliance and certification hire, the first solutions and field engineering hire, go-to-market to 2.

Spend and cash: opex **Rs 71.78 lakh**, COGS Rs 1.76 lakh, net burn Rs 74.65 lakh, closing cash **Rs 624.63 lakh**.

The one thing that must be true on 31 December 2026: one governed write, in a design partner's own ERPNext site, through the kernel — and nobody can make one around it. Two of the fifteen kill criteria fire on this date if it is not.

16.2.4 January 2027 — the meter starts and the security baseline closes

Theme: the first metered month, and the thirteen-row bar that stands between us and a first external user.

Metering goes live. **60,000 governed actions** are committed in January, all internal, at the **Rs 0.40 transfer price**, producing **Rs 0.24 lakh** of revenue. The number is trivial and is reported because the model contains it, not because it is traction. What matters is not the revenue but the reconciliation: `meter.reconcile()` compares proof records to billing lines nightly, in both directions, and a mismatch is a defect rather than a rounding question. An invoice is never issued over an unreconciled period.

The **O05 security, residency and DPDP baseline** closes this month against its thirteen-row minimum bar: ap-south-1 Mumbai across three availability zones with no data outside India and a CI check that fails the build if a resource is declared outside the region allow-list; row-level security on every tenant table with a cross-tenant read test running in CI; target credentials minted per call with a ten-minute life; signing keys in a managed KMS with ninety-day rotation; 180-day logs retained in India with clocks synchronised to NPL or NIC; one successful restore drill on record, including restoring the evidence store and re-running `verify` on a sample of proof records; a signed DPA template, a published privacy notice and a live consent ledger; a published sub-processor list; a named CERT-In responder and the six-hour path tested once; the erasure path tested end to end on a fixture tenant; break-glass tested and alerting within one minute. **A box that cannot be evidenced is not ticked**, and no brand lets a person outside the company log in until every row in its column is ticked. [published]

The audit-firm approach starts this month — not to be certified, but to establish who the first paying evidence customer's auditor is likely to be, because the certification sequencing rule is that we certify to the standard that auditor names and not before.

Hiring: twenty-two, a step of six. Kernel engineering to 6, pack and regulatory engineering to 2, platform and SRE to 3, product and design to 2, the first standards, policy and regulator-affairs hire, finance and operations to 2.

Spend and cash: opex **Rs 80.50 lakh**, net burn Rs 83.38 lakh, closing cash **Rs 541.25 lakh**.

The one thing that must be true on 31 January 2027: the meter reconciles in both directions across a full calendar month with no unexplained discrepancy, and the first internal invoice is issued on a reconciled period. Billing discipline that is not proved on an internal customer will not be proved on an external one.

16.2.5 February 2027 — the thinnest month in the plan

Theme: the go-live bar, the CA channel, and a signed term sheet.

February is the month the plan is most fragile. Closing cash is **Rs 444.66 lakh — Rs 4.4 crore, US$0.49 million** — the minimum across fifty-four months, against a monthly net burn of Rs 96.59 lakh. That is just over four and a half months of cover MODELLED. Every sentence in this month's plan is written in the knowledge that the company is one slipped signature from a hiring freeze.

The **E09 L1 general-availability readiness checklist** is worked through this month, eight rows, measured rather than asserted: documentation published at a stable URL with a version and change log, with a spider that fails the build on a 404; self-serve sandbox keys issued on e-mail verification with an isolated tenant provisioned in under sixty seconds, timed on every issuance with p95 published; quotas of ten writes a minute and

5,000 writes a month on sandbox, hard stop, with `X-RateLimit-*` on every response; a public per-component status page on which **chain integrity is its own component**, flipped by a missed nightly integrity job without anybody pressing anything; a published support address with a response-time promise and a named human on a rota; an incident process with a written post-incident note for every P0 and P1 published to affected tenants within five working days; the versioning policy in force with a twelve-month sunset and `Deprecation` and `Sunset` headers; and the C1–C14 conformance tests published and runnable by a consumer against the reference tenant. Items 4, 6 and 8 are the ones that get deferred under schedule pressure and are the three a serious integrator checks first. **A status page that appears the week after the first outage is read exactly as what it is.** [published]

The CA channel is tested in earnest. rung1 kill criterion 4 says the CA assumption is falsified if, after twenty CA conversations, fewer than three agree to introduce a client. The twentieth conversation is a dated event, not a mood, and it is reported whether or not it flatters.

Hiring: twenty-six. Evidence and cryptography to 3, security and certification to 2, solutions and field engineering to 2, go-to-market to 3.

Spend and cash: opex **Rs 92.54 lakh**, COGS Rs 3.10 lakh, net burn Rs 96.59 lakh, closing cash **Rs 444.66 lakh**.

The one thing that must be true on 28 February 2027: a signed term sheet. With Rs 4.4 crore and a burn of Rs 96.59 lakh a month, February without a term sheet is March with a hiring freeze, and the named management response — hiring freeze, pack programme cut to the two funded packs, international expansion deferred — begins one quarter earlier than the downside scenario assumes.

16.2.6 March 2027 — close

Theme: Rs 63.0 crore in, and the last two Phase 1 kill criteria answered.

Tranche 1 of Rs 63.0 crore (US$7.0 million) is received. Closing cash moves from Rs 444.66 lakh to **Rs 6,644.36 lakh — Rs 66.44 crore, US$7.38 million**. Governed actions reach 180,000 for the month; revenue is Rs 0.72 lakh; exit ARR for FY2026-27 is **Rs 0.09 crore**, which is the honest size of an internal transfer line and is reported as such.

Two further dated obligations close. **stack1 terminates if the seven-class conformance suite cannot demonstrate one green substitution of a real component behind a `fusion.*/v1` contract, with both human gates recorded, by 31 March 2027.** And the longest-lead item in the whole plan opens: **which timestamp authority, and does an Indian-resident RFC 3161 TSA meeting DPDP residency exist, or do we anchor outside India and explain it** — owned by the founder with the kernel lead, dated 31 March 2027, and not delegated at any point thereafter.

The other question this month is the uncomfortable one the company has already written down for itself: *do we raise at all before R1 closes, or is the honest answer that there is nothing yet to underwrite?* [published] The answer this plan gives is that the round is raised against a build with dated gates and a signed kill page, and that the first external

revenue is a quarter away — not that the business is proved. An investor is buying the gate calendar in 16.5, not a revenue run rate.

Hiring: twenty-seven. One kernel engineer (to 7). Nothing else.

Spend and cash: opex **Rs 96.38 lakh**, net burn Rs 100.29 lakh, Rs 6,300 lakh in, closing cash **Rs 6,644.36 lakh**.

The one thing that must be true on 31 March 2027: the money is in the bank.

16.3 The quarterly plan, FY2027-28

FY2027-28 is the year the company finds out whether anybody outside it will pay for a governed write. It ends with **Rs 1.89 crore (US$0.21 million) of revenue, 39 paying tenants, 6 certified partner firms, exit ARR of Rs 5.02 crore (US$0.56 million)**, and an EBITDA loss of **Rs 26.73 crore (US$2.97 million)**. Gross margin for the year is 11.4%, which is what a fixed-cost evidence plane looks like before volume arrives, and it is reported rather than smoothed.

Quarter	Revenue	EBITDA	Exit ARR	Closing cash	Tenants
Q1 Apr–Jun 2027	0.04	-4.25	0.20	62.00	0
Q2 Jul–Sep 2027	0.22	-5.77	1.24	56.04	9
Q3 Oct–Dec 2027	0.56	-7.57	2.77	48.20	21
Q4 Jan–Mar 2028	1.06	-9.14	5.02	38.67	39

Rs crore. Opex by quarter: 4.14, 5.70, 7.64, 9.46. Cost of revenue: 0.15, 0.29, 0.49, 0.74. Gross margin: -267.0%, -30.6%, 12.4%, 30.3%. Headcount: 44, 59, 76, 95. Certified partner firms: 0, 0, 2, 6.

16.3.1 Q1, April to June 2027 — L1 general availability

Objective: make the layer reachable by somebody who has not met us.

Product milestone: L1 Guarded general availability. General availability means an outside developer signs up without talking to us, holds a sandbox key in a minute, builds against the reference tenant, and receives a production key only after a human review. It does not mean self-serve production — **a production key is a credential to somebody's books, and there is no honest way to issue one without a human reading what the applicant declared.** [published] It does not change the Assurance Level. The production review checks four things and only four: that the enforcement mode is stated in writing and matches `channels[].mode`; that every write type has a reversal plan or an explicit irreversible flag; that the three outcomes were proved in sandbox, including a real refusal and a real escalation resolved by a real human; and that a named human certified the declaration.

Commercial milestone: none, and the plan says so. Tenants at 30 June 2027: **zero**. The first external paying tenant is July. A quarter in which the product becomes generally available and nobody pays is exactly what the model contains, and presenting it otherwise would be the first place this plan stopped being useful.

Organisational milestone: headcount 44, up from 27 in one quarter. Seventeen people in three months is the steepest proportional hiring step anywhere in the plan and is the quarter's largest execution risk. The named countermeasure is that the first senior operator hire is made early and given the Milk layer entire.

Financials: revenue Rs 0.04 crore, opex Rs 4.14 crore, EBITDA **-Rs 4.25 crore**, exit ARR Rs 0.20 crore, closing cash **Rs 62.00 crore**.

Exit criteria for the quarter. All eight E09 readiness rows read done and measured. Sandbox provisioning p95 published. C1–C14 published with fixtures and a machine-readable result file, passing on our reference implementation and failing on a deliberately broken one. Status page live with chain integrity as its own component. And two kill criteria are read on 30 June 2027: **rung1 terminates if fewer than ten design partners have run a governed write against their own ERPNext site in production; elan1 terminates if no third party — inside or outside the group — has integrated against KernelPort under a signed agreement.** The second of those is rung R3, the gating rung of the entire portfolio.

16.3.2 Q2, July to September 2027 — the first external money, and signing

Objective: close R1 and R3, and make the record signable.

Product milestone: L2 signing live by 30 September 2027. Ed25519 over the frozen sixteen-field preimage, with key custody inside the ap-south-1 residency domain and a successor key registered. No anchor and no bundle claim yet — those are Q3. The precondition, dependency 2 on the roadmap, is **key custody per residency domain by 31 August 2027**, owned by the stack1 lead and then the kernel lead. If signing has nowhere defensible to live, we either wait or hold keys somewhere we cannot explain to a DPDP auditor, and the second is not an option.

Signing does not go live in front of a customer this quarter. **No bundle is shown to a customer before the two independent seal implementations have agreed byte for byte across all sixty-four vectors — under any commercial pressure whatsoever.** [published]

Commercial milestone: the first external paying tenant, July 2027, and **nine paying tenants** at 30 September. `ledger1`'s profile binding carries `applies_to_records_from: 2027-07-01`, which is not a coincidence: the first pack's evidence window opens on the month the first external tenant starts writing.

Organisational milestone: headcount 59.

Financials: revenue Rs 0.22 crore, opex Rs 5.70 crore, EBITDA **-Rs 5.77 crore**, exit ARR Rs 1.24 crore, closing cash **Rs 56.04 crore**. Gross margin -30.6%, which is the correct sign when nine tenants are carrying a residency domain's fixed cost.

Exit criteria for the quarter. Rung R1 closed — a signed order and a received payment. Rung R3 closed — a third party integrated against KernelPort under a signed agreement, invoiced. Ed25519 signing live in production with a registered successor key and one rotation already performed. And the design partner who will hand a bundle to their own auditor for Gate 1 has agreed in writing, dated 30 September 2027 — because a Gate 1

that fails on the customer side rather than the engineering side fails later and is harder to fix.

16.3.3 Q3, October to December 2027 — the first pack, and the anchor

Objective: make the record checkable by a stranger, and sell the first pack.

Product milestones, in dependency order. The **timestamp-authority contract is signed by 31 October 2027** — two authorities, one of them India-based. This is a negotiation with an entity we have not yet named, on someone else's calendar, that no amount of engineering shortens; it is the single most likely cause of a miss in this year and it is the one item on the page that is not delegated. The **batched Merkle anchor job lands by 30 November 2027**, and only on a blocking-green `fusion.run/v1`, because replay must not re-run the side effect: duplicate anchors on replay means anchoring ships late or ships wrong, and wrong is worse. **RFC 3161 anchoring is live by 31 December 2027** at a published interval SLO of **fifteen minutes or better**, together with the exportable bundle and its manifest, and the **offline verifier shipped as source, free, with published test vectors including the known-tampered bundle**. The verifier has zero dependencies, an empty lockfile and a reproducible build, and it is never priced, to anyone, including non-customers — a verifier behind a paywall is a verifier a sceptical auditor will not run, and an unrun verifier proves nothing.

Commercial milestone: `ledger1` live in October 2027 — the first regulatory pack, bound to the Ministry of Corporate Affairs audit-trail requirement for accounting software, in force since 1 April 2023. It was chosen over GST e-invoicing on gate G-E and on nothing else: for e-invoicing the decisive fact is that an IRN was issued, and the IRN is produced by a government endpoint and reaches us as a response. **A pack built on it would be reading somebody else's log for the part that matters.** [published] GST e-invoicing is not abandoned; it is `invoice1`, and it is second.

The ninety-day pilot protocol opens in October with one named customer and one named auditor. Day 0 is the auditor's half-day, before anything is shown: the founder asks what they would need to see to rely on a record like this — not what would be nice, what would be necessary — and anything we do not bind becomes a `not_measurable` row with a `would_change_if`, never a quiet omission.

Tenants 21, certified partner firms 2. stack1 reaches general availability and signs its first OEM agreement with a named GPU operator by 31 December 2027.

Organisational milestone: headcount 76.

Financials: revenue Rs 0.56 crore, opex Rs 7.64 crore, EBITDA **-Rs 7.57 crore**, exit ARR Rs 2.77 crore, closing cash **Rs 48.20 crore**. Gross margin turns positive at **12.4%** — the first quarter in the plan in which a governed action costs less than it earns.

Exit criteria for the quarter. Anchoring live and the anchor-lag metric published, not estimated, over a measured month. The verifier's reproducible build checked by a person outside the team. Two certified partner firms. And the pack is in production with a named statutory auditor who has agreed in writing to spend the time.

16.3.4 Q4, January to March 2028 — Gate 1 and Gate 2

Objective: prove that a customer's write survives us.

Product milestone: Gate 1, 31 January 2028. A governed write made by **a paying customer, in their own books**, exports as a bundle that **verifies on an air-gapped machine with no elan1 process running**, checked by someone holding our key fingerprint obtained out of band. The prior corpus set Gate 1 at end Q2 2027 against a walking skeleton; this plan raises the bar to a real customer's write and moves the date to 31 January 2028. **That is a harder test, later, and it is stated plainly rather than presented as the same gate passing on time.** [published]

Gate 2, 31 March 2028: app three renders its four doors from its Declaration with zero lines of hand-written screen code, built by a team that did not build apps one and two. App one always works; app three is where the platform thesis is either true or decoration. The two gates were chosen because they fail independently — Gate 1 is a cryptography-and-contract question, Gate 2 is a surface-compiler question — and a proposal that puts both on one dependency is refused.

The **L1 to L2 upgrade runbook (E19)** is rehearsed and then executed on a real tenant in this quarter, with the tenant's sign-off. Five stages plus pre-flight; seven preconditions verified rather than asserted, including a full-chain replay recomputing every digest; and one irreversible instant at stage 2, when signing switches on at a named sequence number. Records before that boundary stay Level 1 forever and are labelled so. **The success criterion for the first upgrade is not that it worked. It is that it was boring.**

The `ledger1` pilot closes in this quarter: day 76 the customer exports a bundle themselves, without our help — if they need our help, that is the finding; day 77 the auditor verifies offline and we are not in the room; day 78 the two-way reconciliation between our chain and ERPNext's own audit trail; day 80 the auditor's written verdict, published internally verbatim including when unflattering; day 85 the question asked plainly — **would you pay for this on its own line, separately from the software?**

Commercial milestone: 39 paying tenants, 6 certified partner firms, exit ARR Rs 5.02 crore (US$0.56 million).

Organisational milestone: headcount 95.

Financials: revenue Rs 1.06 crore, opex Rs 9.46 crore, EBITDA **-Rs 9.14 crore**, closing cash **Rs 38.67 crore**. Gross margin 30.3%.

Exit criteria for the quarter. Gate 1 passed and dated, with the witness named. Gate 2 passed and dated, with the team named. The upgrade runbook executed on a real tenant with sign-off. Thirty-nine paying tenants. And if Gate 1 is missed, it is reported as missed: **nothing is re-scoped to catch up.**

16.4 The annual plans, FY2028-29 to FY2030-31

Year	Revenue	GM %	EBITDA	Exit ARR	Closing cash
FY2028-29	18.08	62.2	-50.73	33.68	55.23
FY2029-30	81.18	79.6	-46.48	133.04	38.41
FY2030-31	230.32	86.0	22.58	334.23	30.41

Rs crore. Opex by year: 61.98, 111.09, 175.50. Cost of revenue: 6.84, 16.57, 32.25. Headcount at year end: 170, 243, 305. Paying tenants at year end: 148, 312, 545. In US dollars at Rs 90.00: revenue US$2.01m, US$9.02m, US$25.59m; EBITDA US$-5.64m, US$-5.16m, US$2.51m; exit ARR US$3.74m, US$14.78m, US$37.14m.

16.4.1 FY2028-29 — make evidence a line item, or admit it is a feature

The single strategic objective: find out whether evidence has its own buyer and its own budget line.

Product and standards. L2 Attested reaches general availability on 30 April 2028, gated on the twelve done-measurements of the L2 scope freeze, of which the first eight are hard gates and block the level: two independent seal implementations agreeing octet for octet on all sixty-four vectors with the diff empty and the disagreement log published; the offline verifier refusing every one of the twenty-eight negative vectors, naming record and field; key custody in the `in` residency domain with a registered successor and abutting windows, and a rotation performed in production once before general availability; the anchor interval published as an SLO per tier and met over a measured month; two timestamp authorities contracted, one India-based, and a single-authority outage survived in a dated drill; one verifier profile certified by a certifier who is not its author; a bundle exported and verified on an air-gapped machine by a person who has never seen our code, witnessed and written up with the witness named; and chain continuity over a tenant's whole history read continuous, over the full range and not a sample. Items 9 and 10 make the claim honest; items 11 and 12 decide whether L2 is a business or a capability.

`invoice1` ships in April 2028 and **`collect1` in October 2028** — the second and third packs, each admitted through the same five gates applied before any build work: a dated hook, an auditor who is obliged to ask, write types that can declare honestly whether they are reversible, a buyer who would pay for the bundle on its own line, and — the gate that kills the most candidates and is the least negotiable — **elan1 in the write path rather than reading somebody else's log.**

Gate 3 falls at the end of December 2028: the day somebody signs a contract with evidence on its own line. If it closes without one, the honest conclusion is that evidence is a feature of SKU 1, elan1 is a smaller and real business rather than a category, and **L3 is not started — including design work, including a slide.**

Market. India depth, then the first international motion. GCC and Singapore open in this year, and the international expansion line appears in opex for the first time at **Rs 0.54 crore**. The certification question is opened but not answered speculatively: we certify to the standard the first paying evidence customer's auditor names, and the three real gaps in an auditable AI management system — impact assessment, internal audit, management review — are process work a small company can do in a quarter with help. Certification and audit spend is **Rs 1.44 crore** for the year.

Organisation. Headcount **170** at 31 March 2029: kernel engineering 25, evidence and cryptography 15, pack and regulatory engineering 23, platform and SRE 15, security and certification 11, product and design 10, solutions and field engineering 22, go-to-market and partners 28, standards and regulator affairs 7, finance, legal and operations 14. The

two fastest-growing functions are pack engineering and go-to-market, which is what it looks like when a kernel becomes a product line.

Financial outturn. Revenue **Rs 18.08 crore**, gross margin **62.2%**, opex Rs 61.98 crore, EBITDA **-Rs 50.73 crore**, exit ARR **Rs 33.68 crore**, closing cash **Rs 55.23 crore** after tranche 2. **148 paying tenants** (109 at L1, 39 at L2), **28 certified partner firms**, **202.39 million governed actions** of which 147.79 million are external. Revenue per governed action **Rs 0.893**; cost per governed action **Rs 0.338** MODELLED.

What would make this year a failure. One: Gate 3 closes on 31 December 2028 with no contract carrying evidence on its own line. Two: cost per governed action, measured under production load, does not reach Rs 0.338 — the number on which the whole gross-margin curve rests, and the one that has never been measured. Three: fewer than 148 paying tenants or exit ARR below Rs 33.68 crore at 31 March 2029.

16.4.2 FY2029-30 — the receipt starts to outlive us

The single strategic objective: make the proof checkable by parties who have no relationship with us.

Product and standards. L3 Proven entry, October 2029 — and it begins on an event, not a date. No L3 capability is designed, staffed or promised until an auditor who does not work for us and is not paid by us has accepted an L2 evidence bundle as evidence in a real engagement and has said so in writing we may keep. Acceptance is measured against four tests, all of which must be true: they **ran the offline verifier themselves, on their own machine**, with their run and their exit code, dated; they **relied on the bundle for a working paper or a finding** rather than merely looking at it; they can **state, unprompted, what a PASS does not establish**; and they **would ask for one again**, in writing. [published]

Against that entry condition the year ships cross-organisation verification, selective disclosure, customer-held keys, sovereign deployment, precedent intelligence and earned autonomy — and the **Action Receipt specification, published under terms a competitor can implement**, with the vectors and the tampered bundle. The word for the format is **published**, not open, until an implementation by an organisation that is not us passes the conformance suite. The sixteen fields do not change, at L3 or ever; no model becomes reachable at rungs 3, 4, 5, 6 or 8; and no autonomy is raised by any route other than the graduation write type.

Market. The EU opens in this year, on the back of Annex III high-risk obligations that bite on 2 December 2027 and Article 12's requirement for automatic, tamper-evident logs — for which the receipt is a literal answer. The first sovereign or on-premises deployment is contracted in July 2029, and sovereign revenue appears for the first time at **Rs 2.46 crore**; four such deployments are live at 31 March 2030. The evidence SKU reaches **Rs 6.32 crore**. List prices, flat to March 2029, escalate 4% per annum from that date.

Organisation. Headcount **243**. Pack and regulatory engineering reaches 37 and go-to-market 42; the two of them together are a third of the company, which is the correct shape for a business selling packs through partners. Certified partner firms reach **70**, and partner-sourced revenue carries an 18% channel margin shown as a contra-revenue line of **-Rs 4.93 crore**.

Financial outturn. Revenue **Rs 81.18 crore (US$9.02 million)**, gross margin **79.6%**, opex Rs 111.09 crore, EBITDA **-Rs 46.48 crore**, exit ARR **Rs 133.04 crore (US$14.78 million)**, closing cash **Rs 38.41 crore**. **312 paying tenants** — 186 L1, 110 L2, 16 L3. **885.59 million governed actions**, cost per action **Rs 0.187** MODELLED.

What would make this year a failure. One: the L3 entry condition is not met by October 2029 — no external auditor will put the bundle in a working paper — in which case L3 is not started and the company is an L2 business with a kernel and three packs. Two: no sovereign deployment is signed, against a plan that carries four by March 2030. Three: EU entry produces no paying tenant by 31 March 2030, against an international expansion line of Rs 2.43 crore.

16.4.3 FY2030-31 — be the meter, and hand the format away

The single strategic objective: make the format survive the company, and cross into profit while doing it.

Product and standards. The Action Receipt moves from published to standardised — which requires a body that is not us — and the done-measurement that decides it is binary: **one implementation by an organisation that is not us passes the conformance suite, with their name, their result and their permission to cite it, or an honest statement that nobody did.** Two organisations exchange, accept and verify a receipt in production, each binding it into their own chain. One tenant signs with a key we have never held, and our own key register shows no entry for it. At least one non-elan1 counter-signature is in production under a commercial arrangement.

ISO/IEC 42001 or SOC 2 Type II exists with a date on it — and when it does, the only permitted sentence is "we hold X, covering Y, issued on Z", and nothing else. A certificate never stands in for the product claim, and a deck that places a certification logo beside an assurance-level claim is wrong.

Market. The United States opens in this year and not earlier: the compliance target keeps moving, enterprise sales cycles are long, and the category is crowded. Sovereign deployments reach **11**, and sovereign revenue **Rs 9.46 crore**. Partner-sourced revenue reaches 45% of external revenue, with **140 certified partner firms** and a channel contra of **-Rs 18.04 crore**.

Organisation. Headcount **305**. Pack and regulatory engineering 50 and go-to-market 50 are the two largest functions; kernel engineering is 38, which is the point at which the kernel team is no longer the company.

Financial outturn. Revenue **Rs 230.32 crore (US$25.59 million)**, gross margin **86.0%**, opex Rs 175.50 crore, **EBITDA positive at Rs 22.58 crore (US$2.51 million)** — the crossing happens in Q2 FY2030-31 at Rs 1.08 crore. Exit ARR **Rs 334.23 crore (US$37.14 million)**, closing cash **Rs 30.41 crore**, **545 paying tenants** (279 L1, 211 L2, 55 L3), **2,491.46 million governed actions** at a cost of **Rs 0.129** each MODELLED. Cumulative EBITDA across the whole plan is **-Rs 105.8 crore**, which is the number an investor should hold in mind against the Rs 180 crore raised.

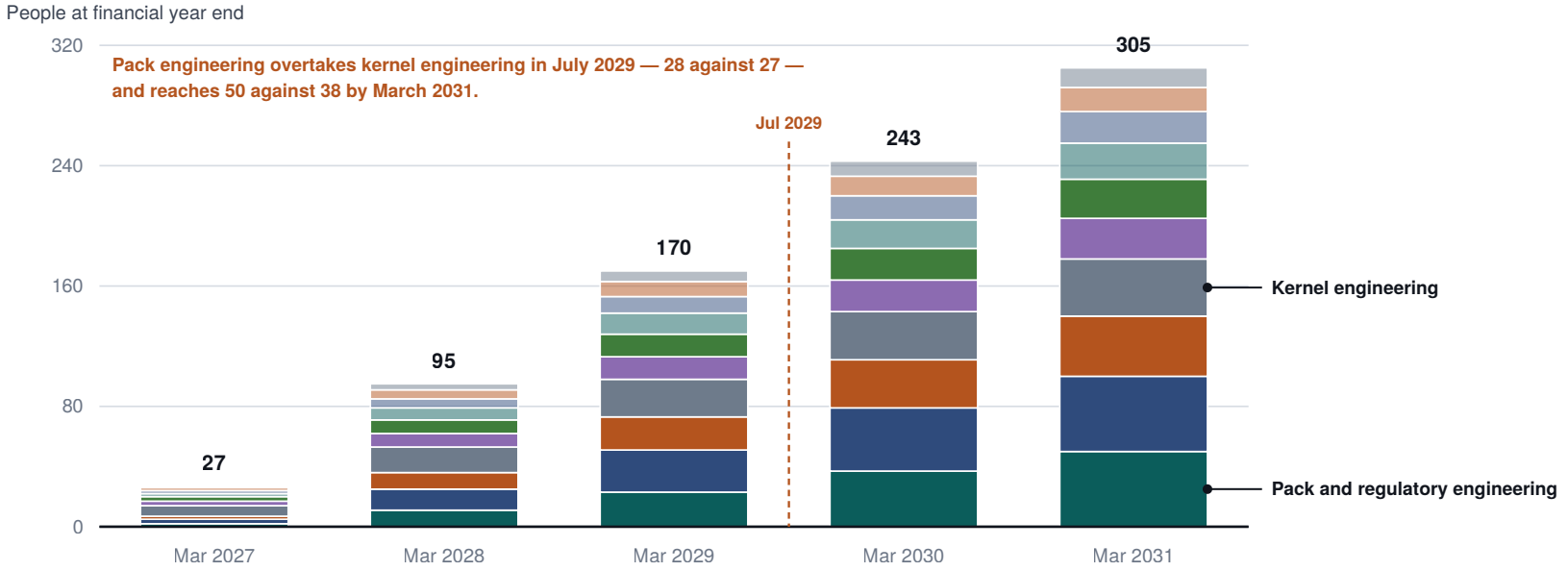
What would make this year a failure. One: EBITDA does not cross zero, against a plan that crosses in Q2 and ends the year at Rs 22.58 crore. Two: no implementation of the Ac-

tion Receipt by an organisation that is not us — in which case we have published a document and paid for it with founder time. Three: closing cash below Rs 30.41 crore without a named management action taken before the year end rather than explained after it.

Headcount by function: one kernel, built once; a regulatory surface, built continuously

Pack and regulatory engineering overtakes kernel engineering in July 2029 and is the largest engineering group by March 2031.

The kernel is built once and amortised across every consumer; the regulatory surface is built continuously, one certified profile at a time. That shape is what takes gross margin from 11.4% in FY2027-28 to 86.0% in FY2030-31.



FUNCTION, AND HEADCOUNT AT MARCH 2027 → 2031

Pack and regulatory engineering	2 11 23 37 50	Platform and SRE	3 9 15 21 27	Product and design	2 6 10 13 16
Go to market and partners	3 14 28 42 50	Evidence and cryptography	3 9 15 21 26	Standards, policy, regulator affairs	1 4 7 10 13
Solutions and field engineering	2 11 22 32 40	Finance, legal and operations	2 8 14 19 24	**Total**	**27 95 170 243 305**
Kernel engineering	7 17 25 32 38	Security, compliance, certification	2 6 11 16 21		

Measured against the financial model; the plan is modelled. Headcount at each financial year end, March 2027 to March 2031.

headcount by function at each financial year end, March 2027 to March 2031, showing pack engineering and go-to-market overtaking kernel engineering during FY2029-30

16.5 The gate calendar

Every gate in the plan on one page: product gates, commercial gates, certification gates and the two tranche gates. Each has a date, a condition an outsider can check, an owner by function, and a stated consequence. A gate review has a fixed shape — the team states in advance and in writing what would count as failure, the board reviews the evidence against that statement and nothing else, and returns pass, fail, or re-enter at the previous gate's pricing. **There is no partial tranche, because the partial tranche is how gates decay into reviews.** [published]

Date	Gate	Observable condition	Owner	If missed
31 Oct 2026	Six coding blockers	E02, E03, R03, R01, S01, O01 all status SIGNED	Founder	Coding starts against a moving contract; the March close narrows
30 Nov 2026	Record shape frozen	Sixteen-field preimage frozen; Declaration schema major published	Kernel engineering	L1→L2 becomes a migration of customer evidence, not a retrofit
31 Dec 2026	First real governed write	One end-to-end write, gate check, approval, proof record in a design partner's own site, with the bypass attempt shown failing	rung1 lead	rung1 kill criterion 5 fires
31 Dec 2026	Customer zero real	stack1 is the runtime rung1 and elan1 actually run on	stack1 lead	stack1 kill criterion 5 fires
31 Jan 2027	Meter reconciles	Two-way reconciliation clean across a full month; first invoice on a reconciled period	Kernel engineering	No invoice issues; billing discipline unproved before GA
28 Feb 2027	Term sheet signed	A signed term sheet	Founder	Rs 4.4 cr cash against Rs 96.59 lakh burn: under five months' cover
31 Mar 2027	**Tranche 1 — Rs 63.0 cr**	Funds received	Founder	The plan stops
31 Mar 2027	First substitution	One green substitution behind a `fusion.*/v1` contract, both human gates recorded	stack1 lead	stack1 kill criterion 1 fires
30 Jun 2027	Ten design partners	Ten partners running governed writes in production	rung1 lead	rung1 kill criterion 1 fires
30 Jun 2027	R3 — the gating rung	A third party integrated against KernelPort under a signed agreement	Founder	elan1 kill criterion 5 fires
30 Jun 2027	L1 general availability	All eight E09 readiness rows done and measured	elan1 lead	The first external tenant slips out of July
31 Jul 2027	R1 — first paying tenant	A signed order and a received payment	Go-to-market	The FY2027-28 revenue line misses from its first month
31 Aug 2027	Key custody	Signing key per residency domain, registered successor, one rotation performed	Platform and SRE, then kernel	Signing has nowhere defensible to live
30 Sep 2027	L2 signing live	Two independent seal implementations agree octet for octet on all 64 vectors; diff empty; disagreement log published	Kernel engineering	Everything downstream; Gate 1 moves a full quarter
31 Oct 2027	Timestamp authority	Contract signed with two authorities, one India-based	Founder, not delegated	The L2 claim collapses to "signed but not timestamped"
31 Oct 2027	First pack in production	`ledger1` live with a named statutory auditor; pilot day 0 complete	Pack engineering	The ninety-day pilot cannot close inside Q4
30 Nov 2027	Anchor job	Batched Merkle anchor on a blocking-green `fusion.run/v1`	stack1 lead	Duplicate anchors on replay
31 Dec 2027	Anchoring and verifier	Anchor interval ≤15 min published as an SLO and met over a measured month; verifier shipped as source with the tampered bundle	Kernel engineering	Gate 1 cannot be attempted
31 Dec 2027	stack1 GA and first OEM	Published list price, support SLA, one OEM agreement with a named operator	stack1 lead; founder signs the agreement	The OEM revenue mix has no evidence behind it
31 Jan 2028	**Gate 1**	A paying customer's write verifies on an air-gapped machine, no elan1 process running,	Kernel engineering	Gate 1 moves to Phase 4; nothing is re-scoped to catch up

Date	Gate	Observable condition	Owner	If missed
		witness named, fingerprint obtained out of band		
31 Jan 2028	Pilot verdict	Day-80 auditor verdict in their own words, published internally verbatim; day-85 answer recorded	Founder	Gate G-D untested; SKU 2 stays a hypothesis
31 Mar 2028	**Gate 2**	App three renders four doors from its Declaration with zero screen code, built by a team that built neither of the first two	Product and design	The platform thesis is decoration
30 Apr 2028	L2 general availability	E14 done-measurements 1–8 all closed and dated	elan1 lead	L2 cannot be quoted; SKU 2 cannot be invoiced
30 Apr 2028	Second pack	`invoice1` live	Pack engineering	The pack programme is a single-pack programme
31 Oct 2028	Third pack	`collect1` live	Pack engineering	As above
31 Oct 2028	**Tranche 2 — Gate A, Rs 72.0 cr**	The eight conditions in 16.5.1	Founder	Hiring freeze; pack programme cut to two; international expansion deferred
31 Dec 2028	Gate 3	A signed contract with evidence on its own line	Founder	Evidence is a feature of SKU 1; L3 is not started
31 Mar 2029	Certification target named	The standard the first paying evidence customer's auditor names is chosen and only then	Security and certification	A certificate bought to feel credible rather than to be credible
31 Jul 2029	**Tranche 3 — Gate B, Rs 45.0 cr**	The eight conditions in 16.5.2	Founder	As for Gate A, and L3 is not staffed
31 Oct 2029	L3 entry	The four-test entry condition met, in writing we may keep	Founder	L3 is not started; elan1 remains an L2 business
31 Mar 2030	Certification held	ISO/IEC 42001 certificate or SOC 2 Type II report exists with a date on it	Security and certification	Procurement conversations run against competitors who hold one
31 Mar 2031	Profitability	EBITDA positive for the year at Rs 22.58 cr	Founder	The plan requires a further round it has not asked for

16.5.1 Gate A — tranche 2, Rs 72.0 crore, October 2028

Measured on the state at **30 September 2028** and presented within fifteen working days. All eight conditions, or no tranche.

1. **L2 Attested has been generally available since 30 April 2028**, with done-measurements 1 to 8 closed and dated. In particular: two independent seal implementations, one written by a team with no access to the other's source, agree **octet for octet on all sixty-four published vectors** with an empty diff and the disagreement log published beside the specification; the offline verifier **refuses all twenty-eight negative vectors**, naming record and field, with the empty-lockfile check green in CI; **two timestamp authorities under contract, one India-based**, and a single-authority outage survived in a dated drill; and the anchor interval published as an SLO per tier and **met over a measured calendar month**.
2. **Gate 1 passed on or before 31 January 2028 and Gate 2 on or before 31 March 2028**, each with its witness or team named in writing.

3. **`ledger1` in production since October 2027 with a named statutory auditor**; the ninety-day pilot closed; the day-80 verdict published internally verbatim; the day-85 question asked and its answer recorded, whatever it was. **`invoice1` live since April 2028 and `collect1` live in October 2028.**
4. **Not fewer than 84 paying external tenants at 30 September 2028**, and **exit ARR not less than Rs 15.35 crore (US$1.71 million)** MODELLED.
5. **Cost per governed action measured under production load** — not modelled — published weekly for at least twenty-six consecutive weeks, and **at or below Rs 0.338 for the six months to 30 September 2028** MODELLED.
6. **At least one contract, draft or signed, in which evidence appears on its own line item.** The falsifier the company wrote for itself is the absence of one; this gate reads it forward.
7. **No kill criterion has fired**, and any criterion within one measure of firing carries a written management response dated before the gate.
8. **Closing cash at 30 September 2028 not below Rs 14.13 crore** MODELLED — the test that the plan has not burned ahead of itself.

16.5.2 Gate B — tranche 3, Rs 45.0 crore, July 2029

Measured on the state at **30 June 2029**. All eight, or no tranche.

1. **The L3 entry condition is met**: an auditor who does not work for us and is not paid by us has accepted an L2 evidence bundle as evidence in a real engagement and has said so in writing we may keep, with all four tests satisfied — they ran the verifier themselves on their own machine, with their run and exit code, dated; they relied on the bundle for a working paper or a finding; they can state unprompted what a PASS does not establish; and they would ask for one again, in writing.
2. **Gate 3 closed on or before 31 December 2028** — a signed contract with evidence on its own line.
3. **Action Receipt v1 published** under terms a competitor can implement, with the sixty-four vectors and the known-tampered bundle, and **at least two named external implementers working against the specification, of whom at least one has produced a receipt our verifier accepts.**
4. **Not fewer than 186 paying external tenants at 30 June 2029**, **exit ARR not less than Rs 48.14 crore (US$5.35 million)** MODELLED, and **not fewer than 28 certified partner firms at 31 March 2029**.
5. **Gross margin for the twelve months to 31 March 2029 at or above 62.2%** MODELLED, and **no tier below the 40% gross-margin floor for two consecutive months without having been repriced inside one billing cycle.**
6. **One signed sovereign or on-premises deployment order** at the Rs 1.20 crore per-year list price.
7. **A certification path started against the standard the first paying evidence customer's auditor named** — ISO/IEC 42001 or SOC 2 Type II — with an engaged auditor and a dated Stage 1 or readiness report.
8. **Closing cash at 30 June 2029 not below Rs 38.59 crore** MODELLED.

16.6 Dependencies and the critical path

Thirteen hard dependencies carry the plan through its most concentrated period. Each has an owner, a date and a stated consequence of lateness. **The purpose of a dependency map is not to show that the plan works. It is to show which single slip takes three brands down with it, so that the one is watched and the rest are left alone.** [published]

#	Item	Depends on	Owner	Needed by
1	L2 signing live	Two independent seal implementations producing identical bytes across every published vector	Kernel engineering	30 Sep 2027
2	Key custody per residency domain	Residency-domain deploy topology and secrets handling at GA quality	Platform and SRE, then kernel	31 Aug 2027
3	RFC 3161 anchoring	A signed contract with a named timestamp authority	**Founder**	Contract 31 Oct 2027; live 31 Dec 2027
4	Batched Merkle anchor job	`fusion.run/v1` blocking-green — replay must not re-run the side effect	stack1 lead	30 Nov 2027
5	Offline verifier and test vectors	Frozen sixteen-field record; seal spec v6	Kernel engineering	31 Dec 2027
6	First India evidence pack	Item 5, plus one design partner willing to hand a bundle to their own auditor	rung1 lead with kernel	31 Jan 2028
7	Revenue line on Twenty	Counsel closing the Application Exception question	Counsel	30 Nov 2026
8	Revenue line opening at all	25 paying rung1 customers and one external security review of the elan1 layer cleared	Founder	30 Jun 2027
9	Inbound channel (rung1 Voice)	A voice channel kind in Declaration block 7, riding a schema major	Kernel engineering	30 Sep 2027
10	Inbound carriage	A carrier contract for inbound numbers only	rung1 lead	31 Oct 2027
11	stack1 GA	All ten contracts blocking-green on the five blocking classes	stack1 lead	30 Sep 2027
12	OEM motion	Operator portal, rebrandable console, the white-label naming rule	stack1 lead	31 Dec 2027
13	SI motion	Five contracts an SI can be sold honestly; the pilot converting	stack1 lead	31 Dec 2027

The critical path is items 1 → 2 → 3 → 4 → 5 → 6, ending at Gate 1 on 31 January 2028, with eight weeks to the phase exit on 31 March 2028. That is the whole chain. Nothing in the revenue line and nothing in stack1's go-to-market sits on it. The chain carries roughly **one quarter of float end to end**, and float spent early is float unavailable in January. **Spend it once.**

Line	Float	Why
The L2 chain	One quarter, shared across six items in series	Six items in series; the float is not per-item
Inbound channel	One full quarter	Nothing downstream depends on it; a pilot landing a quarter late costs one customer conversation
Revenue line on Zoho	One quarter	Twenty carries the line; Zoho widens it
stack1 OEM	One quarter	Waits on GA, and GA waits on conformance, already in flight
stack1 SI motion	Open-ended	Sells the existing conformance state; not waiting on GA

What happens to the rest when one line slips a quarter:

If this slips	Effect on the plan	The rule that applies
The L2 chain	Gate 1 moves out a full quarter; the evidence sales line is lost for the year; kill-criterion pressure rises and the Moonshot allocation's defence weakens, because specification has not become capability	Nothing is re-scoped to catch up. A missed gate is reported as a missed gate
stack1 GA or conformance	Items 2 and 4 slip, so the whole L2 chain slips with them; the product line is unaffected because it uses contracts already in service	stack1 slippage reaches elan1 and never reaches the product. That asymmetry is the reason the boundary exists
The revenue line	The Phase 3 revenue plan misses; elan1 loses a second system-of-record Declaration target, which is a real loss of evidence about the kernel and not a blocker	The line is not accelerated by borrowing kernel-team time. That trade has never once been worth it
The inbound channel	One customer conversation	Cut it before cutting anything on the chain
Founder attention	Everything, at once	See below

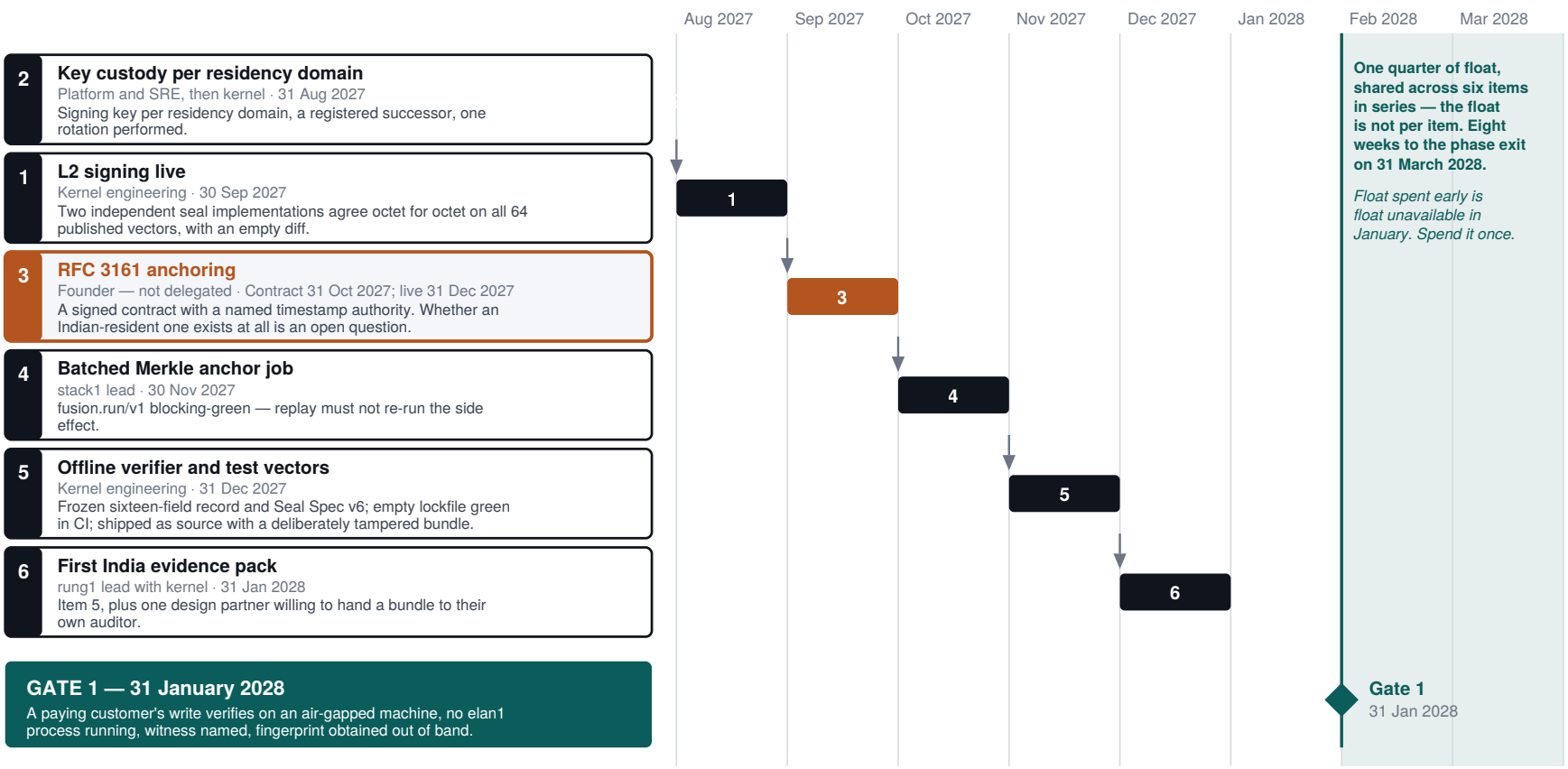
The one dependency that moves everything is item 3, the timestamp-authority contract. It is the longest-lead item on the chain: a negotiation with an entity we have not yet named, on someone else's calendar, that no amount of engineering shortens. If it lands a quarter late, anchoring cannot start, the evidence pack has no product, the verifier has nothing to verify against an external clock, Gate 1 moves into Phase 4, and the L2 revenue line in FY2028-29 — Rs 18.08 crore of plan — loses its first two quarters. It is the single most likely cause of a miss and **it is the one item that is not delegated, at any point, to anybody.** The open question behind it is also stated: whether an Indian-resident RFC 3161 authority meeting DPDP residency exists at all, or whether we anchor outside India and explain it.

There is a second dependency that appears in no budget and that an investor should ask about directly. Seven counterparty classes need the founder personally and cannot be handed to a brand lead: the timestamp authority, the first GPU operator, the first systems integrator, the first CRM design partner, the inbound carrier, the auditor's counterparty on the evidence pack, and the existing CA channel. That is more new relationships in nine months than the preceding two phases combined. Three rules apply: **at most one new counterparty class opened per quarter, and a new one displaces an existing one**; two things are the founder's and are not delegated — the timestamp-authority contract and the first OEM agreement; and **the weekly split is written down and read back monthly against what happened**, because a split nobody measures is a preference and

not an allocation. The intended split is roughly 50 / 30 / 20 across the three brands and **it has never been measured** UNVERIFIED.

The critical path: six items in series, one quarter of float

Item 3 is the one that moves everything. It is a negotiation on somebody else's calendar, and it is not delegated to anybody.



THE ONE DEPENDENCY THAT MOVES EVERYTHING IS ITEM 3, THE TIMESTAMP-AUTHORITY CONTRACT.

If it lands a quarter late, anchoring cannot start, the evidence pack has no product, the verifier has nothing to verify against an external clock, Gate 1 moves into Phase 4, and the FY2028-29 L2 revenue line loses its first two quarters.

Memorandum section 16.6: thirteen hard dependencies, of which items 1 to 6 are in series. Dates and owners as stated; the plan is modelled.

items 1 to 6 in series from key custody to Gate 1 on 31 January 2028, with the shared quarter of float and the eight weeks to phase exit marked

Two dates in this window are outside our control and neither creates demand on a fixed day: **EU AI Act high-risk standalone obligations from 2 December 2027**, and **DPDP main obligations from 13–14 May 2027**, landing just before the critical quarter opens. Both make the L2 conversation legible to a buyer who has already started it. No plan in this group depends on a regulation arriving on a fixed day, and a strategy deck that assumes one is the defect.

16.7 Kill criteria and the discipline behind them

Fifteen criteria, five per funded venture, signed before the money moves. **Termination requires no further approval; restarting requires full re-underwriting.** They are reviewed when the gating rung moves, not annually. Two of them fire as early as 31 December 2026.

An investor should read this as a protection rather than as pessimism. The commonest way a venture of this shape destroys capital is not a single catastrophic failure; it is a programme that meets every gate on time and inside budget, correctly chooses the narrow branch each time on the evidence available, and four gates later ships something adjacent, three years late to be interesting, with the gating rung unmoved. The kill page is the instrument that makes that visible while the money is still in the account. **A portfolio that has killed nothing was not run.**

rung1 Enterprise — terminated if:

#	Criterion	Threshold and date
1	Design partners do not reach production	Fewer than **ten design partners** have run a governed write against their own ERPNext site in production by **30 June 2027**
2	Capital overrun	Capital to reach **twenty-five paying customers** exceeds **twice the underwritten plan**
3	The rung is resolved by another route	**Frappe ships "Flow"** with a governed write path and published licence terms giving a tenant gate checks, approval and an audit record without us
4	The channel assumption is falsified	After **twenty CA conversations, fewer than three** agree to introduce a client
5	No real governed write	**31 December 2026** passes without one end-to-end governed write, gate check, approval and proof record for a real design partner

elan1 kernel — terminated if:

#	Criterion	Threshold and date
1	The envelope does not hold	The governed write path cannot hold **p50 ≤ 120 ms, p99 ≤ 450 ms** at ten design partners' load — **measured, not estimated**
2	Capital overrun	Capital to reach L1 GA to a third party exceeds **twice the underwritten plan**
3	A platform vendor resolves it	A vendor ships an external, exportable, hash-chained governed write path across systems of record we do not own, which rung1 can adopt instead
4	Enforcement cannot be held outside the system of record	No ERPNext deployment mode lets the kernel hold the write credential or lets the site accept only kernel-issued tokens — leaving us with advice and not control
5	No third-party integration	**30 June 2027** passes with no third party — inside or outside the group — integrated against KernelPort under a signed agreement

stack1 runtime — terminated if:

#	Criterion	Threshold and date
1	Substitution is not demonstrated	The seven-class conformance suite cannot demonstrate **one green substitution** behind a `fusion.*/v1` contract, with both human gates recorded, by **31 March 2027**
2	Capital overrun	Capital to reach conformance plus one external pilot exceeds **twice the underwritten plan**
3	The contract layer buys nothing	Pinning components at an exact commit SHA plus a licence register proves sufficient
4	Substitution costs more than rebuilding	The first real substitution costs more engineer-days than rebuilding the integration would have
5	Customer zero is not real	**31 December 2026** passes without stack1 being the runtime rung1 and elan1 actually run on

Two clauses in that page deserve to be read together with the tranche structure. **Both doubling criteria — rung1 2, elan1 2, stack1 2 — terminate the venture without a further meeting.** And the underwritten plan figure that they double is, at the date of writing, an open question owned by the founder. It is closed at signature, in the same document the three signatories sign, and until it is closed the criteria are unenforceable rather than merely unwritten. The memorandum states this rather than presenting a signed page that does not exist.

One further discipline belongs here because it is the mirror of the kill page. **Parked means suspended in writing with a stated restoration trigger, not quietly starved.** rung1 Commerce reopens when rung1 Enterprise has twenty-five paying customers and a named customer asks for commerce writes in writing. The revenue line reopens at Phase 3 entry, conditional on twenty-five paying customers and one external security review of the elan1 layer cleared. The regulated outbound product reopens only on a paid pilot with a signed order from a named counterparty, a named carrier partner, and **money received**. A parked asset keeps its objective and loses its budget; if it cannot name the condition that restores the budget, it is not parked, it is dead and nobody has said so.

Finally, the downside is named rather than implied. The downside scenario — 58% of base tenant additions, 82% of base pricing, 122% of base unit cost, and a six-month slip in every revenue event — produces **FY2030-31 revenue of Rs 75.4 crore, EBITDA of -Rs 127.2 crore and a cash position of -Rs 157.9 crore.** The unmitigated downside runs out of cash. **The management response is a named action, not an assumption inside the scenario**: hiring freeze, pack programme cut to the two funded packs, international expansion deferred. An investor is entitled to ask at which month that response is triggered, and the answer this plan gives is the first month in which two consecutive quarters miss their tenant count or their exit ARR by more than twenty per cent.

16.8 Reporting: what an investor receives and when

The reporting commitment is short, fixed in shape, and deliberately unflattering in places. **No cell is an estimate wearing a measurement's clothes.** A cell that cannot be filled is left visibly empty rather than quietly removed.

Monthly, within ten working days of month end — the investor pack. Paying tenants by tier and by assurance level, with net new and churned. Revenue by line — platform li-

cence, governed actions external, governed actions internal, evidence SKU, regulatory packs, sovereign deployments, partner certification, channel contra. Governed actions committed **and refused**. Cost per governed action and refusal rate, **on the same page, the same day**. Cash, burn and months of runway. Headcount by function against the plan in 16.2 and 16.4. Progress against the gate calendar in 16.5, stated as attempted, passed, failed or not yet due. And the one-line statement of which kill criteria are within one measure of firing.

Weekly, published internally and included in the monthly pack — three numbers. Gross margin by tier against the **40% floor**. Inference cost of revenue as a share of revenue against a **22% ceiling**. Unallocated cost of revenue against a **5% ceiling**. The corpus set cost per governed action at monthly internally and quarterly to the board; this plan raises it to **weekly**, beside the refusal rate, because it is the number that decides whether elan1 is a business and because it has never been measured. Until it is measured under a real tenant's load it is published carrying `MODELLED` and the label is not dropped quietly.

The repricing rule, stated as an obligation rather than an intention: a tier whose gross margin sits below 40% for two consecutive months is repriced inside one billing cycle. Not reviewed, not escalated — repriced. The floor itself is never discounted, by anyone, ever: the fixed cost of an evidence plane does not care how well known the customer is, and a below-floor deal is one in which the evidence plane is subsidised by customers who paid properly. That is the mechanism by which a governance company quietly stops being able to afford its own controls.

Quarterly — the board pack, built on the fifteen-row number page the company already publishes to itself.

#	Number	Source	Cadence
1	Paying customers, by turnover band	Billing	Monthly
2	Net new and churned, by band	Billing	Monthly
3	Revenue by brand and line	Billing	Monthly
4	Gross margin by tier, against a 40% floor	Cost model	Weekly
5	Cost per governed action	Kernel meter	Weekly
6	Refusal rate, on the same page	Kernel meter	Weekly
7	Governed actions committed, and refused	Kernel meter	Monthly
8	Inference cost of revenue ÷ revenue, against a 22% ceiling	Cost model	Weekly
9	Unallocated cost of revenue, against a 5% ceiling	Cost model	Weekly
10	Cash, burn, months of runway	Finance	Monthly
11	Capital to the next gate, per venture	Venture boards	Quarterly
12	Layer ratios actually spent — capital, headcount and senior attention	Governing body	Annually
13	Weighted coherence, against its own history	Governing body	Annually
14	Gate outcomes: pass, fail, re-enter	Venture boards	Per gate
15	Kill criteria: which are within one measure of firing	Governing body	Quarterly

Row 12 is the one most often skipped and the most informative. Of capital, headcount and senior attention, **attention is the input actually being rationed and it appears in no budget.** It is reported as measured hours against the intended split, not as the intended split.

Ahead of the numbers, at every board meeting: the open-questions page. At the date of writing there are eleven questions the company cannot answer, and they include the ones that matter most to this plan — whether Rs 0.40 per governed action survives contact with measured cost; what the external list price is at general availability; whether anyone will pay for evidence as a separate line; which timestamp authority, and whether an Indian-resident RFC 3161 authority meeting DPDP residency exists; who counter-signs at L3 and whether they will do it commercially; and whether a CA actually introduces a client. **A pack that answered all eleven would be a pack somebody had written backwards from the answer they wanted.** [published] The board's most useful hour is spent on that table rather than on the one before it.

Gate reporting has a fixed and unusual shape. Before each gate, the team states in writing what would count as failure. At the gate, the board reviews the evidence against that statement and nothing else, and returns pass, fail, or re-enter at the previous gate's pricing. Gate outcomes are reported as **attempted and passed**, not as passed — a gate nobody attempted is not a gate that has not failed. At the date of writing, **no gate has been attempted**, and that cell reads zero in the first pack an investor receives.

Information rights are broad and the limits are narrow. We accept a board seat with a written scope, a no-career-stake seat on a venture board, information rights including the numbers above with the unflattering ones included, ordinary anti-dilution and standard protective provisions, and a change-of-control provision with a defined process. We do not accept a right to require that a number be presented differently from how the meter produced it. **The kernel meter is the only source for governed-action counts on any invoice, internal or external, and when two meters disagree the kernel's count is the count and the other is a report defect.** The invoice goes out at the lower number, the release ships, and the difference is carried as a named open item.

Three commitments close this section because they are the ones that will be tested first when a month goes badly. Refusals are metered at quantity zero and are never billed — enforced by a database constraint rather than by a policy, so that when a chief financial officer asks within ten minutes whether we are incentivised to make the system say no, the answer is a constraint. The refusal count appears **on the invoice itself**, not buried in a portal. And **an invoice is never issued over an unreconciled period**: a non-zero discrepancy between proof records and billing lines stops the invoice and pages us, because billing an unreconciled period is how a governance vendor ends up unable to explain its own numbers.

17. Financial plan and projections

17.1 How the model is built, and what that buys a reader

The plan is one engine. Fifty-four monthly periods run from October 2026 to March 2031, driven by tenant counts, assurance-level mix, governed-action volumes per tenant, pack attach rates, partner channel share and a declining unit cost curve. The monthly view, the quarterly view and the annual view in this section are aggregations of that single engine, which means they tie by construction rather than by reconciliation. The accompanying workbook exposes every driver, and the derived lines — margins, percentages of revenue, the opening-to-closing cash chain — are live formulas so a reader can change an assumption and watch the consequence.

Three things follow from that construction and are worth stating before any number is read.

The model is **entirely** MODELLED. elan1 has no revenue history, no measured cost per governed action, no observed churn and no observed sales cycle. There is no cohort to extrapolate. Every figure below is a construction from a price book, a driver and a judgement, and where the judgement is weak this section says so.

The model is **driver-led rather than growth-rate-led**. There is no "we will grow 3× a year" assumption anywhere in it. Revenue is tenants times price plus volume times rate, and if a reader disagrees with the plan they should disagree with a tenant count or a volume, both of which are visible.

And the model **separates related-party revenue on its own line** so it can be removed in one subtraction. That line is rung1's internal transfer at ₹0.40 per committed governed action. It is real revenue in the entity being funded, and it is also not commercial traction; the presentation lets a reader treat it either way.

17.2 The five-year shape

₹ crore	FY2026-27*	FY2027-28	FY2028-29	FY2029-30	FY2030-31
Revenue	0.01	1.89	18.08	81.18	230.32
Cost of revenue	0.11	1.67	6.84	16.57	32.25
Gross profit	-0.10	0.22	11.24	64.61	198.07
Gross margin	n/m	11.4%	62.2%	79.6%	86.0%
Operating expenses	4.39	26.94	61.98	111.09	175.50
EBITDA	**-4.48**	**-26.73**	**-50.73**	**-46.48**	**22.58**
Exit ARR	0.09	5.02	33.68	133.04	334.23
Closing cash	66.44	38.67	55.23	38.41	30.41
Headcount, year end	27	95	170	243	305
Paying tenants, year end	0	39	148	312	545

* six months, October 2026 to March 2027. All figures MODELLED.

The same figures in US dollars at ₹90.00 = US$1.00:

US$ million	FY2026-27	FY2027-28	FY2028-29	FY2029-30	FY2030-31
Revenue	0.00	0.21	2.01	9.02	25.59
EBITDA	-0.50	-2.97	-5.64	-5.16	2.51
Exit ARR	0.01	0.56	3.74	14.78	37.14

The shape is a governance-infrastructure shape rather than a software-marketing shape, and it is worth reading as one. The first eighteen months produce almost no revenue because the product is a kernel and the kernel is not finished. Gross margin is negative in the first period and only 11.4% in the second, because fixed runtime cost is spread across a volume that does not yet exist. Margin then moves quickly — 62.2%, 79.6%, 86.0% — for a reason that is mechanical rather than aspirational: cost per governed action falls faster than price does, and the evidence and pack lines carry almost no marginal cost at all.

Total revenue across the plan is ₹331.48 crore against ₹437.33 crore of total cost — ₹57.43 crore of cost of revenue and ₹379.90 crore of operating expense. Cumulative EBITDA is **-₹105.85 crore**. Peak monthly net burn is ₹6.66 crore, and it occurs in FY2029-30, the year the company is spending hardest against a pipeline that has not yet converted.

17.3 Where the revenue comes from

₹ crore	FY2026-27	FY2027-28	FY2028-29	FY2029-30	FY2030-31
Platform licence	0.00	0.25	2.37	9.05	23.55
Governed actions — external	0.00	1.05	11.96	58.70	176.98
Governed actions — internal (rung1)	0.01	0.52	2.18	5.58	11.20
Evidence SKU	0.00	0.00	1.09	6.32	17.84
Regulatory packs	0.00	0.06	0.83	3.24	7.63
Sovereign deployments	0.00	0.00	0.00	2.46	9.46
Partner certification	0.00	0.02	0.26	0.75	1.69
Channel margin (contra)	0.00	-0.01	-0.61	-4.93	-18.04
Total	**0.01**	**1.89**	**18.08**	**81.18**	**230.32**

The metered line does the work. External governed actions are 76.8% of revenue by FY2030-31. That is the intended shape — the company sells a unit, not a seat — but it also concentrates the risk, and a reader should hold both facts at once: if the per-action price does not survive contact with measured cost, three-quarters of the revenue line moves.

The platform floor is the stability underneath it. ₹23.55 crore of recurring floor across 545 tenants in FY2030-31 is what makes the metered line a subscription business rather than a utility bill. The floor is undiscountable in the price book for exactly that reason.

Evidence is the second SKU and behaves differently. It appears only once L2 is generally available, reaches ₹17.84 crore by FY2030-31, and carries close to no marginal cost. It is also the line most exposed to a single external event: if an auditor declines to rely on an elan1 bundle, this line does not exist. It is modelled on verifier profiles per regime and counterparty verification seats rather than on bundle volume, which matters — see the open item at 17.9.

Packs are smaller in revenue than in importance. ₹7.63 crore by FY2030-31 understates them, because a pack is the reason a tenant buys at all and the mechanism by which a new country is entered. They should be read as customer acquisition that happens to be revenue-positive.

The channel contra is real money given away and is shown as such. ₹18.04 crore in FY2030-31 — partners keeping 18% of list on partner-sourced revenue as the partner-sourced share rises to 45%. Most memoranda bury this in a net revenue figure. It is on its own line here because a reader underwriting a CA-and-audit-firm channel needs to see what the channel costs.

17.4 Where the money goes

₹ crore	FY2026-27	FY2027-28	FY2028-29	FY2029-30	FY2030-31
People (excluding delivery in COGS)	2.94	19.74	44.82	74.19	105.61
Sales and marketing programmes	0.22	1.28	4.57	14.30	35.36
Facilities, IT and general administration	0.36	1.57	3.16	5.49	8.97
R&D tooling and evaluation	0.26	1.03	1.86	2.70	3.47
Certification and audit	0.00	0.66	1.44	1.82	2.38
Legal, intellectual property and entities	0.30	0.86	1.47	2.55	2.26
International expansion	0.00	0.00	0.54	2.43	4.92
Standards and regulator affairs	0.07	0.26	0.55	0.93	1.14
Insurance	0.00	0.14	0.33	0.90	2.24
Contingency	0.23	1.40	3.23	5.79	9.15
Total	**4.39**	**26.94**	**61.98**	**111.09**	**175.50**

People are 60% of operating expenses across the plan, which is where they should be for a company whose product is specification and code. Two lines are unusual for a company this size and are deliberate: **certification and audit** rises to ₹2.38 crore a year, and **standards and regulator affairs** exists at all. A company selling proof that has not been certified, and selling a format it has not standardised, is selling a promise. Both lines are the cost of converting the promise into a fact, and both are underspent relative to the external benchmark for ISO/IEC 42001 alone (US$85,000–650,000, four to twelve months) in the early years — Section 10 says so plainly rather than implying comfort.

Contingency runs at 5.5% of the rest, every year, and is not a plug. It is there because the three most expensive things in this plan — a certification body, a counsel opinion on DPDP

erasure, and a timestamp authority contract — are all priced from planning figures rather than quotations.

17.5 Cost of revenue and the unit economics

₹ crore	FY2026-27	FY2027-28	FY2028-29	FY2029-30	FY2030-31
Runtime and infrastructure (stack1, cost + 15%)	0.04	0.65	3.94	11.48	24.90
Timestamp anchoring (two authorities)	0.00	0.00	0.07	0.15	0.29
Delivery and customer success	0.07	1.02	2.82	4.94	7.06
Total cost of revenue	**0.11**	**1.67**	**6.84**	**16.57**	**32.25**

Anchoring is the line a sceptical reader expects to be expensive and it is not. Anchors are batched, two authorities are contracted rather than one, and the cost lands under two-tenths of a paisa per governed action by FY2030-31 MODELLED. The figure is derived from the anchoring cost line and the volume, and no per-token authority price is asserted anywhere in this document because none could be sourced.

Financial year	Governed actions (m)	Revenue per action (₹)	Cost per action (₹)	Gross margin
FY2026-27	0.36	0.400	3.039	n/m
FY2027-28	26.32	0.718	0.636	11.4%
FY2028-29	202.39	0.893	0.338	62.2%
FY2029-30	885.59	0.917	0.187	79.6%
FY2030-31	2,491.46	0.924	0.129	86.0%

This table is the whole business on one page, and it is also the place where the plan is most falsifiable.

Revenue per governed action rises from ₹0.400 to ₹0.924 not because the price rises but because the mix changes: the ₹0.40 internal transfer price dominates in year one, and external tenants at ₹0.90 to ₹1.60 dominate by year five. The blended rate never approaches the Salesforce Agentforce anchor of US$0.10 per action — about ₹9.00 at the plan's rate, quoted elsewhere at about ₹8.80 at spot PUBLISHED. elan1 sits an order of magnitude beneath the one published per-action price in the market. That is deliberate room, and it is also room a competitor can come down into.

Cost per governed action falls from ₹0.636 to ₹0.129. **This is the single most load-bearing modelled number in the memorandum**, and nothing behind it has been measured. The marginal cost is modelled at ₹0.20 against the ₹0.40 internal transfer price. The company has committed to publishing the measured figure weekly from the first production write, whether or not it flatters, and to repricing any tier that sits below a 40% gross margin for two consecutive months inside one billing cycle. Those commitments are the reason to believe the line rather than the line itself.

Governed-action volume splits as follows, and the crossover matters:

Financial year	Internal (rung1), m	External, m	Internal share
FY2026-27	0.36	0.00	100.0%
FY2027-28	13.04	13.28	49.5%
FY2028-29	54.60	147.79	27.0%
FY2029-30	139.50	746.09	15.8%
FY2030-31	280.00	2,211.46	11.2%

Volumes are MODELLED; internal figures follow rung1's own plan and are therefore exposed to it.

17.6 Customers, channel and what a tenant is worth

End of	Tenants	L1	L2	L3	Sovereign	Partner firms
Mar 2027	0	0	0	0	0	0
Mar 2028	39	39	0	0	0	6
Mar 2029	148	109	39	0	0	28
Mar 2030	312	186	110	16	4	70
Mar 2031	545	279	211	55	11	140

Blended external revenue per tenant in FY2030-31 is **₹40.2 lakh** — ₹219.12 crore of external revenue across 545 tenants, averaged across a year in which the tenant base is still growing. At exit run-rate the assurance mix is what carries it: an L1 tenant runs at about **₹14.6 lakh** a year, an L2 tenant at about **₹59.4 lakh**, an L3 tenant at about **₹2.06 crore**, and a sovereign deployment at ₹1.20 crore of licence before a single action is metered. The upgrade path is the growth engine, and it is a specified runbook rather than a re-platforming — which is why the plan assumes expansion within an account rather than replacement of one.

545 paying tenants by March 2031, against roughly 1.85 million active Indian companies and an addressable subset in the tens of thousands, is not an aggressive penetration assumption. It is roughly four tenants per certified partner firm. The aggressive assumptions in this model are the per-tenant volumes and the cost curve, not the customer count.

17.7 Cash, funding and the tranche structure

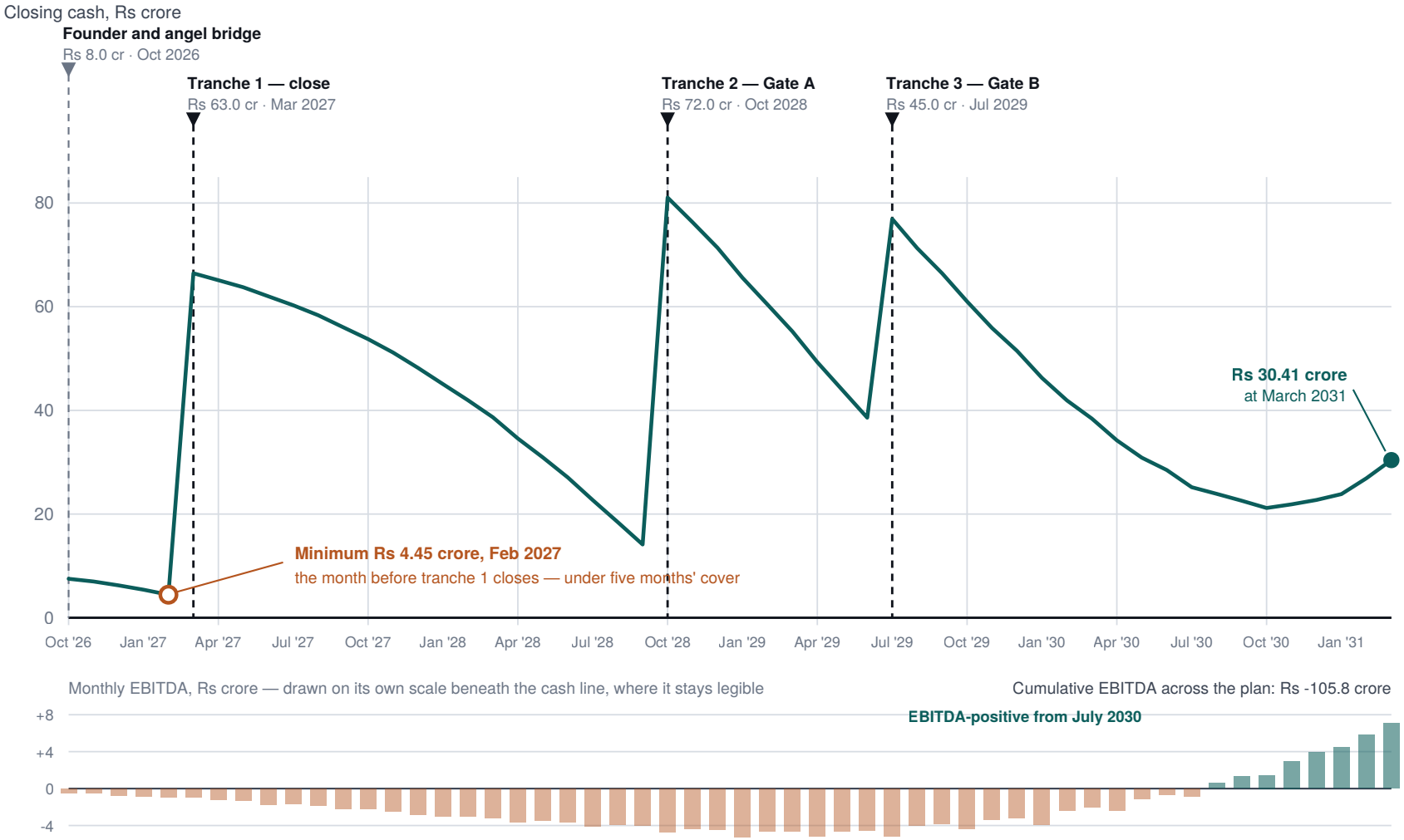
₹ crore	Date	Amount	Cumulative
Founder and angel bridge	October 2026	8.0	8.0
Series A tranche 1	March 2027	63.0	71.0
Series A tranche 2	October 2028	72.0	143.0
Series A tranche 3	July 2029	45.0	188.0

Closing cash never exceeds ₹66.44 crore and never falls below **₹4.4 crore**, in February 2027. That minimum is the month before tranche 1 closes, and it is the real risk in the

near term: the bridge gives just over four and a half months of cover at the February burn rate MODELLED. If the round slips a quarter, the company does not fail, but it stops hiring and the L1 general availability date moves with it. This is stated here because it is the first thing a diligence team will model and it should not be a discovery.

Closing cash across fifty-four months, and the four events that move it

The plan never runs out of cash, and its thinnest month is the one before the round closes.



Measured against the financial model, which is modelled throughout. Rs crore; 1 crore = 10,000,000. Fifty-four months, October 2026 to March 2031.

monthly closing cash across all fifty-four months, with the four funding events marked and the February 2027 minimum labelled

The three-tranche structure is not a negotiating posture. It maps to the three things that are genuinely unknown: whether the kernel works under load (tranche 1 proves it), whether an external auditor will rely on the evidence (Gate A and B), and whether anyone outside the company will implement the receipt format (Gate B). Money arrives when each is answered. Section 16.5 gives the full gate conditions; Section 19 gives the terms.

17.8 Scenarios

₹ crore	FY2030-31 revenue	FY2030-31 EBITDA	Closing cash Mar 2031	Minimum cash
Base	230.3	22.6	30.4	4.4
Downside	75.4	-127.2	-157.9	-157.9
Upside	343.8	131.6	156.4	4.3

Downside applies 58% of base tenant additions, 82% of base pricing, 122% of base unit cost and a six-month slip in every revenue event, simultaneously. **Upside** applies 138%, 110%, 92% and no slip.

The downside as modelled runs out of money. That is the honest output of applying four adverse assumptions at once to a fixed cost base, and it is presented without a rescue built into it. The management response is a named action rather than a hidden variable: a hiring freeze at the point where two consecutive quarters miss tenant plan, the pack programme cut to the two funded packs, international expansion deferred by a full year, and the standards work reduced to specification publication without the conformance programme. Those four moves take roughly ₹58 crore out of the FY2029-30 and FY2030-31 cost base and convert the downside into a slower company rather than a dead one. They are not in the scenario because a scenario that mitigates itself is not a scenario.

The upside is not a marketing case either. It reaches ₹343.8 crore and ₹156.4 crore of closing cash, which means the third tranche would not be drawn and the company would be choosing between a growth round and profitability. That is the outcome the gate structure is designed to make visible early.

17.9 Open items in the financial model

Four, disclosed rather than smoothed.

The external list price does not exist yet. The model uses ₹1.60, ₹1.20 and ₹0.90 per governed action beyond allowance at L1, L2 and L3. The company's own decision register records that elan1's external list price at L1 general availability is unset, to be settled before GA in Q2 CY2027, somewhere between the ₹0.40 internal floor and the roughly ₹9.00 Agentforce ceiling. The modelled ladder is a position within that range, not a decision. A 20% move in the blended rate moves FY2030-31 revenue by about ₹35 crore.

Pack revenue begins one quarter before the assurance level its first pack requires. The model recognises `ledger1` revenue from October 2027, while `in-mca-audit-trail` v1 sets a minimum assurance level of 2 and L2 general availability is April 2028. The plan assumes the first pack cohort runs under a pilot binding ahead of general availability, which is consistent with the ninety-day pilot protocol. If that binding is not accep-

ted, roughly ₹6 lakh of FY2027-28 revenue moves two quarters right. It is immaterial to the plan and material to the credibility of the plan, which is why it is here.

The evidence bundle charge sits against the specification's own rule. The price book carries ₹2,500 per evidence bundle beyond allowance, while the L2 specification states that export is unlimited and free, on the reasoning that rationing export teaches the customer not to use it. The model follows the price book. The company's position should be settled before the first evidence contract; the exposure is modest because the line is driven by verifier profiles and counterparty seats rather than bundle volume, but the two documents currently disagree and a diligence team will find it.

The corpus carries an earlier price table that this model does not use. A six-tier monthly platform table from the Phase 2 pricing work is superseded by the assurance-level annual price book used here, but no dated superseding entry has been written. Appendix E records it. If that table is still circulating in any deck, it will surface.

18. Risks, and what would falsify the thesis

18.1 The risk register

Risk	Why it is real	Leading indicator	Mitigation	Owner
Platform absorption by Microsoft, ServiceNow or Salesforce	Agent 365 prices governance at US$15 per seat; AI Control Tower and Agentforce Operations both shipped audit trails in 2026. The budget line disappears before elan1 bills against it	Governance moves from a priced SKU to an included capability in any two of Microsoft, ServiceNow, SAP or Boomi	Never price per seat; enter through the auditor's budget; compete on evidence a party who distrusts the vendor can check — which none of them will produce about themselves	Founder
The category is too small	AI governance platforms were about US$492M in 2026 and pass US$1bn only by 2030; 13 of more than 100 claiming vendors met the inclusion bar; zero inclusion criteria require verifiable evidence	The next analyst framework again omits a verifiable-evidence criterion	Do not sell into the AI governance budget. The budget displaced is controls-testing labour and sampling-based assurance	Founder
Per-action price does not survive measured cost	Modelled marginal cost is Rs 0.20 against a Rs 0.40 transfer price. Nothing has been measured under load. FY2026-27 cost per governed action is Rs 3.039	Measured cost per governed action exceeds the transfer price for two consecutive months	Published monthly beside the refusal rate; transfer price reset quarterly against measured cost; no price set below measured cost except by the founder in writing with an end date	Kernel lead
DPDP erasure against the hash chain	The design retains proof records with identifiers erased and asserts the chain stays verifiable. Counsel has not answered whether that satisfies DPDP erasure. **The evidence thesis rests on an unanswered legal question**	Counsel returns an adverse reading, or a data-subject request reaches a live tenant before the answer exists	Erasure is a governed write with dual control on a 72-hour clock; per-record salt destruction makes payloads unrecoverable including to elan1 while digests still verify	Founder with counsel
Auditor rejects the evidence at L2	No auditor has examined an elan1 record in a live engagement. No regulator has reviewed a verifier profile	The day-80 written verdict in the first pack pilot	The auditor's necessity statement is taken on day 0 and binds the profile; anything unbindable becomes a stated `not_measurable` row	Founder
Late to the IETF on the receipt format	SCITT published as RFC 9943 on 30 June 2026 with COSE Receipts as RFC 9942. Eight or more competing receipt efforts exist	A competing receipt format acquires two independent implementations before elan1 publishes	Profile the published standard rather than compete with it; win on production of receipts, not on defining them; standards function funded from day one	Standards lead
Dependence on rung1, and transfer-price circularity	rung1 is the only production load until July 2027 and the transfer price is set by the same founder on both sides of the transaction	rung1 misses its own kill criterion — ten design partners running governed writes by 30 June 2027	Arm's-length documentation, quarterly reset against measured cost, four-entity structure, and internal transfer excluded from all traction claims	Finance and legal
Key custody and insider risk	The company discloses it itself: whoever controls the store could in principle recompute the whole chain at L1, and a hash chain cannot detect a truncated tail	A break in the nightly chain-integrity job; break-glass use without an alert inside one minute	Keys in a managed KMS the material never leaves; 90-day rotation; every key use is itself a governed write; two independent timestamp authorities from L2	Evidence lead
Founder concentration	The objective resides in one person's continuity of intent. There is no board. All three funded assets share him	The independence recount still shows the founder in every pair at the 2028 annual review	Telos Council holding the objective independently of the person who declared it; six things never delegated, in writing	Telos Council
Two scarce specialisms, hired from Coimbatore and Chennai	Applied cryptography and regulatory engineering. Pack engineering grows from 2 to 50 and evidence from 3 to 26	Either function more than one quarter behind plan at any March	Highest bands in the plan (Rs 38 and Rs 30 lakh); equity-heavy, milestone-linked packages; the second seal implementation may be a paid external team	Founder
	One favourable licence move in seven over 24 months; five candid-	A LICENSE diff at a pinned commit, or an	Permissive licences only inside the paid service; copyleft behind a	Runtime lead

Risk	Why it is real	Leading indicator	Mitigation	Owner
Open-source licence exposure	ate components died in six months, including two acquisitions and one relicensing	acquisition of a pinned component	contract as a separate network service; quarterly re-read at the pinned commit; one CI check excludes proprietary directories across five components	
EU AI Act delay removes a forcing function	High-risk standalone obligations moved from 2 August 2026 to 2 December 2027, and in-product obligations to August 2028. Lobbying succeeded once	A further deferral, or harmonised standards still unfinished at end-2027	No revenue line in this plan depends on an EU date. EU is FY2028-29 optionality carried at Rs 2.43 crore of expansion cost	Compliance owner
Inference cost deflation compresses per-action pricing	Median inference cost decline of roughly 50× per year, accelerating after 2024	Any major vendor prices a governed business action below Rs 4	A governed action is not priced off inference — the cost is the evidence plane, which never compacts. Benchmark against a transaction fee, never against a token	Founder
Currency and India cost base	Revenue and cost are both rupee; the USD view is presented at Rs 90.00 = US$1.00 throughout	A material move in the rupee between tranches	Costs and revenues are matched in currency; the dollar view is a translation, not a hedge, and is labelled as one	Finance

Two of these deserve to be read together. The one most likely to fire is the cost one, because a competitor's price collapse is a threat while the company's own cost exceeding its own price is a fact that arrives with a date on it. The one that would do the most damage is the erasure question, because it is the only row where an adverse answer does not compress a margin — it invalidates the artefact.

18.2 Kill criteria, and the tranche gates as investor-visible versions of them

Fifteen criteria, five per funded venture, signed by three named people before the first payment. Termination requires no further approval. Restarting requires full re-underwriting. The third criterion in each set — the one that says the rung is resolved by another route — is the one nobody writes and the one that fires most often.

The kernel terminates if: the governed write path cannot hold its published envelope of p50 at or under 120 ms and p99 at or under 450 ms at ten design partners' load, measured rather than estimated; capital to reach L1 general availability to a third party exceeds twice the underwritten plan; a platform vendor ships an external, exportable, hash-chained governed write path that works across systems of record elan1 does not own; the assumption that enforcement can be held outside the system of record is falsified, leaving advice and not control; or **30 June 2027** passes with no third party, inside or outside the group, having integrated against KernelPort under a signed agreement.

The product company terminates if: fewer than ten design partners have run a governed write against their own site in production by **30 June 2027**; capital to twenty-five paying customers exceeds twice the underwritten plan; the platform it builds on ships its own governed write path with licence terms that let a tenant get gate checks, approval and an audit record without elan1; **after twenty CA conversations, fewer than three agree to introduce a client**; or **31 December 2026** passes without one end-to-end governed write, gate check, approval and proof record for a real design partner.

The runtime terminates if: the conformance suite cannot demonstrate one green substitution behind a contract, with both human gates recorded, by **31 March 2027**; capital exceeds twice the underwritten plan; pinning components at an exact commit plus a licence register turns out to be sufficient; the first real substitution costs more engineer-days than rebuilding the integration would have; or **31 December 2026** passes without the runtime being what the other two actually run on, because customer zero has to be real and not declared.

Three of those fifteen currently have no threshold, because the underwritten plan figure that the doubling criteria double has not been written. That is disclosed rather than papered over, and it is the ninth of the eleven questions the company says it cannot answer.

The tranche gates are the investor-visible version of the same discipline. The round is **Rs 180.0 crore / US$20.0 million** in three tranches, preceded by a founder and angel bridge of **Rs 8.0 crore** in October 2026 that is not part of it.

Tranche	Date	Amount	The state the plan expects at that point
Tranche 1 — close	Mar 2027	Rs 63.0 cr	27 people; 180,000 governed actions a month, all internal; zero paying tenants; L1 GA one quarter away
Tranche 2 — Gate A	Oct 2028	Rs 72.0 cr	L2 Attested live since April 2028; two packs live, the third landing; FY2028-29 tracking 148 tenants and Rs 18.08 cr revenue
Tranche 3 — Gate B	Jul 2029	Rs 45.0 cr	First sovereign deployment; L3 entry one quarter away; FY2029-30 tracking 312 tenants and Rs 81.18 cr revenue

Capital is released against gates, not months, and there is no partial tranche — the partial tranche is how gates decay into reviews. A gate review has a fixed shape: the team states in advance and in writing what would count as failure, the board reviews the evidence against that statement and nothing else, and returns pass, fail, or re-enter at the previous gate's pricing.

Minimum cash across the plan is **Rs 4.4 crore in February 2027**, the month before tranche 1 closes. Closing cash at March 2031 is **Rs 30.4 crore**. Cumulative EBITDA across the plan is **Rs -105.8 crore**. The plan turns EBITDA-positive inside FY2030-31, at Rs 1.08 crore in the second quarter.

18.3 The falsification list

Four observable outcomes would mean the thesis is wrong. Each has a date, a number or an event, and each has a management response that is an action rather than a hope.

One. By 30 June 2027, no third party has integrated against KernelPort under a signed agreement. This is kill criterion five for the kernel and it is not a soft indicator: it says that a governed write path nobody outside the building will connect to is a feature of one company's product, not a platform. Management response: the kernel terminates as a separately funded venture, the team folds into the product company as an internal control layer, and the remaining tranches are not drawn. The company has said in advance that this is a smaller, real business rather than the thesis.

Two. By Q4 2027, no draft contract anywhere contains an evidence line item. Evidence is priced on its own line from L2 precisely so that this answer becomes observable early rather than late. If nobody will contract for it separately, the L2 and L3 thesis collapses and the evidence SKU — Rs 1.09 crore, Rs 6.32 crore and Rs 17.84 crore across the last three years — is a feature of the platform licence and not a category. Management response: evidence is folded into the platform floor, the pack programme is cut to the packs already funded, and the L3 programme is stopped rather than deferred.

Three. The first pack pilot's day-80 verdict is that an auditor would not rely on the bundle, and what they would need is something elan1 has not built. A day-80 verdict that names L3 is a schedule problem. A day-80 verdict that names something not on the roadmap at all is a product problem, and the company has already written the question down without an answer. Management response: the pack programme stops taking new candidates, the verdict is published internally verbatim, and the next quarter is spent on whatever the auditor named or on establishing that it cannot be built.

Four. Measured cost per governed action exceeds the Rs 0.40 transfer price for two consecutive months. Modelled marginal cost is Rs 0.20; the dominant line in it is a shadow-sandbox apply and a second gate pass per write, and the company's own open question is whether that figure is right or ten times too low on a real site with a real dataset. Management response: the transfer price resets at the quarterly review, the external price is set above measured cost or not set at all, and if the gap does not close within two quarters the unit is repriced rather than explained — the floor rule is that no price in this group is set below measured unit cost except by the founder, in writing, with the end date in the same sentence.

A fifth would falsify the category rather than the company: enterprises reading the agent incident record and concluding not to gate the writes but to withhold write access altogether. That is a category risk, not a competitive one, and there is no management response to it beyond noticing it early.

18.4 The scenarios

Scenario	FY2030-31 revenue	FY2030-31 EBITDA	Closing cash Mar 2031	Minimum cash
Base	Rs 230.3 cr	Rs 15.6 cr	Rs 63.4 cr	Rs 4.3 cr
Downside	Rs 75.4 cr	Rs -127.2 cr	Rs -135.0 cr	Rs -135.0 cr
Upside	Rs 343.8 cr	Rs 131.6 cr	Rs 229.6 cr	Rs 4.3 cr

Downside is 58 per cent of base tenant additions, 82 per cent of base pricing, 122 per cent of base unit cost, and a six-month slip in every revenue event. **Upside** is 138 per cent of base tenant additions, 110 per cent of base pricing, 92 per cent of base unit cost, and no slip.

The scenario engine's base case and the annual summary differ on FY2030-31 EBITDA — Rs 15.6 crore against Rs 22.58 crore — and on closing cash. Both are shown here rather than the more flattering one being chosen, and the reconciliation is carried as a named open item.

The unmitigated downside runs out of cash. Closing cash of Rs -135.0 crore is not a number a company survives; it is the arithmetic of the plan if nothing is done. The management response is named as an action rather than folded into the scenario as an assumption: a hiring freeze, the pack programme cut to the two funded packs, and international expansion deferred. Those three levers touch the three largest discretionary lines. People cost outside cost of revenue reaches Rs 105.61 crore in FY2030-31 and a freeze from the point of recognition removes most of the growth in it; pack and regulatory engineering is the largest single function at 50 people; international expansion runs Rs 0.54 crore, Rs 2.43 crore and Rs 4.92 crore and is cut entirely. What none of them does is touch the evidence plane, because the fixed cost of the evidence plane is the product.

18.5 The questions this company cannot answer

The corpus lists eleven. These are the material ones, reproduced because a memorandum that publishes its own unanswered questions is making a claim about its own reliability, and that claim is made here explicitly: every number in this document that is not a published third-party price or a legal fact is a model, and the list below is what the model does not cover.

1. **Does Rs 0.40 per governed action survive contact with measured cost?** Nothing has been measured under a real tenant's load.
2. **What is elan1's external list price per governed action at L1 general availability**, between the Rs 0.40 internal floor and the roughly Rs 8.80 Agentforce ceiling? No customer has been quoted.
3. **Will anyone pay for evidence as a separate line?** No draft contract exists to look at.
4. **Which timestamp authority, and does an Indian-resident RFC 3161 authority meeting DPDP residency exist?** Not yet negotiated, and it is the longest-lead item on the evidence chain — a negotiation with an entity not yet named, on someone else's calendar, that no amount of engineering shortens.
5. **Does retaining a proof record with erased identifiers satisfy DPDP erasure, given the hash chain cannot be rewritten?** Counsel has not answered. This is the sharpest unresolved tension in the whole corpus.
6. **Does a CA actually introduce a client?** Fewer than twenty conversations have happened.
7. **Does "governed action" survive contact with a CA selling to a Rs 5 crore firm**, or is a customer-facing synonym needed? Never tested on a real buyer, and open in three documents.
8. **Who are the three signatories on each kill criteria document, given there is no board?**
9. **What is the underwritten plan figure that the doubling criteria double?** Not written, which leaves three of fifteen kill criteria without a threshold.
10. **Does the entity split happen before or after the first external customer?** Novating a live contract is expensive; splitting early costs cash the company does not have.

A pack that answered all of them would be a pack somebody had written backwards from the answer they wanted. These are the actual state of the company, and the most useful hour a board spends is spent on this table rather than on the one before it.

Gates above the line, kills below it

Capital is released against gates, not months. Fifteen kill criteria and four falsifiers sit under the same timeline.

ABOVE — THE THREE TRANCHE GATES

The founder and angel bridge of Rs 8.0 crore, October 2026, precedes the round and is not part of it.

TRANCHE 1 — CLOSE

Rs 63.0 crore · March 2027

27 people; 180,000 governed actions a month, all internal; zero paying tenants; L1 general availability one quarter away. The minimum cash of Rs 4.45 crore falls in the month before, against a monthly burn of Rs 0.97 crore — under five months' cover.

TRANCHE 2 — GATE A

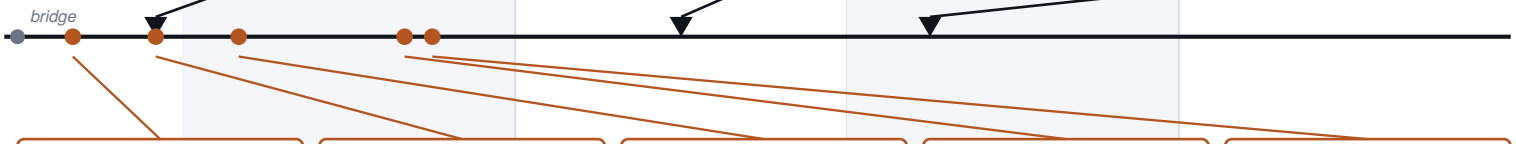
Rs 72.0 crore · October 2028

All eight conditions, or no tranche. L2 GA since April 2028, with 64 vectors agreed octet for octet and 28 negatives refused; ledger1, invoice1 and collect1 live; at least 84 paying tenants; exit ARR at or above Rs 15.35 cr; measured cost per governed action at or below Rs 0.338; one contract with evidence on its own line; no kill criterion fired; cash at or above Rs 14.13 cr.

TRANCHE 3 — GATE B

Rs 45.0 crore · July 2029

All eight. An auditor who does not work for us has accepted an L2 bundle in a real engagement, in writing we may keep; Gate 3 closed; Action Receipt v1 published with two external implementers; at least 186 tenants; exit ARR at or above Rs 48.14 cr; gross margin at or above 62.2%; one signed sovereign order; cash at or above Rs 38.59 cr.



BELOW — KILL CRITERIA AND THE FOUR FALSIFIERS

31 Dec 2026 — two fire early

rung1 K5: no end-to-end governed write, gate check, approval and proof record for a real design partner. stack1 K5: customer zero is not real.

FY2026-27

31 Mar 2027

stack1 K1: the seven-class conformance suite cannot demonstrate one green substitution behind a fusion.*/v1 contract, with both human gates recorded.

FY2027-28

30 Jun 2027 — and FALSIFIER ONE

rung1 K1: fewer than ten design partners in production. elan1 K5: no third party has integrated against KernelPort under a signed agreement.

FY2028-29

Q4 2027 — FALSIFIER TWO

No draft contract anywhere contains an evidence line item. The L2 and L3 thesis collapses and the evidence SKU is a feature of the platform licence, not a category.

FY2029-30

Day 80 of the pilot — FALSIFIER THREE

The auditor would not rely on the bundle, and what they would need is something elan1 has not built at all. A product problem, not a schedule problem.

FY2030-31

NOT DATED — MEASURED WHENEVER THE GATING RUNG MOVES. The remaining kill criteria, grouped.

Capital overrun × 3

rung1, elan1 and stack1 each terminate if capital to the stated milestone exceeds twice the underwritten plan. The figure they double is itself an open question, which leaves three of the fifteen without a threshold.

The economics are falsified × 2

Substitution costs more engineer-days than rebuilding would have; and FALSIFIER FOUR — measured cost per governed action exceeds the Rs 0.40 transfer price for two consecutive months.

Resolved by another route × 3

Frappe ships a governed write path; a platform vendor ships an exportable hash-chained path across systems of record elan1 does not own; pinning components at a commit SHA proves sufficient.

The channel is falsified × 1

rung1 K4, which is also the go-to-market falsifier: after twenty CA conversations, fewer than three agree to introduce a client.

The architecture is falsified × 2

The envelope will not hold p50 ≤ 120 ms and p99 ≤ 450 ms at ten design partners' load, measured rather than estimated; or no deployment mode lets the kernel hold the write credential.

Termination requires no further approval; restarting requires full re-underwriting. A portfolio that has killed nothing was not run.

Memorandum sections 16.5, 16.7 and 18.3. Fifteen kill criteria, five per funded venture, grouped here rather than listed. Thresholds modelled.

the three tranche gates and the fifteen kill criteria on one timeline, October 2026 to March 2031, marking the four falsifiers and their dates

19. The ask, the use of funds and the terms

19.1 The ask

₹180.0 crore — US$20.0 million at ₹90.00 = US$1.00 — in three tranches released against named, observable, falsifiable gates.

Tranche	Amount	Indicative date	Released against
1	₹63.0 cr	At close, March 2027	The round
2	₹72.0 cr	October 2028	Gate A, measured on the state at 30 September 2028
3	₹45.0 cr	July 2029	Gate B, measured on the state at 30 June 2029

An ₹8.0 crore founder-and-angel bridge, already committed, funds the company from October 2026 to close and sits outside this round.

The gate conditions are set out in full at Section 16.5. Their character matters more than their content: every one of them is a fact an outsider can check without asking the company. Two independent implementations of the seal produce identical bytes across sixty-four vectors, or they do not. A named statutory auditor has accepted an evidence bundle in a real engagement in writing, or has not. Two external parties have implemented the Action Receipt format and one has produced a receipt elan1's verifier accepts, or they have not. A tenant count, an ARR figure, a cash balance. There is no gate in this structure that turns on management's own judgement of its own progress.

19.2 What the tranches are actually buying

Tranche 1 — ₹63.0 crore — buys the kernel under real load, and the first pack. It funds eighteen months: L1 to general availability in Q2 CY2027, the first external paying tenant in July 2027, `ledger1` in production in October 2027, the L2 build and the first two independent seal implementations, the certification programme started, and the headcount from 27 to 170. At the end of it the company has a measured cost per governed action, a refusal rate that is observable for the first time, 148 paying tenants and ₹33.68 crore of exit ARR. It also has the one thing no amount of specification can produce: a production write path that has been running for a year.

Tranche 2 — ₹72.0 crore — buys the evidence business and the second and third packs. It funds L2 general availability, the evidence SKU as a separate revenue line, `invoice1` and `collect1`, the verifier profile programme across regimes, the partner and verifier certification programme to 70 firms, and the first international entities. This is the tranche that converts a control product into an assurance product, and it is deliberately the largest because that conversion is where the margin is.

Tranche 3 — ₹45.0 crore — buys the standard and the international position. It funds L3 entry once the external acceptance condition is met, cross-organisation verification, selective disclosure, sovereign deployments, the Action Receipt conformance programme, and market entry beyond India in the order set out at Section 13. It is the smal-

lest tranche because by the time it is drawn the company is generating ₹81.18 crore a year and the money is buying acceleration rather than survival.

19.3 Use of funds

The ₹188.0 crore of funding is not spent in isolation: cumulative cost across the plan is ₹437.33 crore, of which ₹331.48 crore is met by revenue earned along the way. The table below is the application of the whole ₹437.33 crore, because that is what an investor is actually underwriting.

Application	Share of cumulative spend	₹ crore
People — kernel, evidence, packs, platform, security, product	38%	166.0
People — solutions, commercial, partners, standards, operations	22%	97.2
Sales, marketing and partner enablement programmes	13%	55.7
Facilities, tooling, insurance, administration and contingency	12%	52.3
Runtime, infrastructure and timestamp anchoring	9%	41.5
Certification, audit, legal, intellectual property and entities	3%	13.7
International expansion	2%	7.9
Standards and regulator affairs	1%	3.0

Roughly sixty paise in every rupee goes to people, and of that the larger share goes to the two functions that are the product: kernel and evidence engineering, and pack and regulatory engineering. By March 2031 pack and regulatory engineering is the joint-largest function in the company alongside go to market, both at 50 people, and well ahead of kernel engineering at 38. That crossover is the plan working as designed — the kernel is built once, the packs are built forever.

19.4 Terms the company is seeking

The founder's position, stated so that a partner can react to it rather than discover it:

- **A priced equity round**, primary only. No secondary in this round.
- **One lead with a board seat**, and a second institutional participant with observer rights. The board to be five: founder, lead investor, one independent with regulated-industry audit or supervisory experience, one independent with enterprise infrastructure operating experience, and one further founder-nominated seat.
- **Tranche releases on the stated gate conditions, verified by the board**, with tranche 2 and 3 committed at close rather than subject to re-underwriting. Gates that measure facts, not milestones that measure effort.
- **Standard protective provisions**, one times non-participating liquidation preference, pro-rata rights, information rights matching the reporting set at Section 16.8.
- **An ESOP pool sized to the hiring plan**, refreshed at the round, with the charge already carried in the model at 11% of cash people cost.

- **Intellectual property consolidated in elan1 Private Limited** at close, with the arm's-length agreements to rung1 and stack1 documented and disclosed as part of the closing conditions.

And the terms the company will not accept, for reasons that go to the product rather than to control: **no exclusivity that prevents a competitor implementing the Action Receipt format**, because a format only one company can use is not a standard and the entire L3 thesis depends on it being one; **no arrangement that makes elan1's evidence dependent on elan1's continued existence**, because the verifier must remain free and offline; and **no restriction on publishing the measured cost per governed action**, because the commitment to publish it whether or not it flatters is a product claim, not a marketing choice.

19.5 What an investor should underwrite

Not the FY2030-31 revenue figure. Three things.

First, that the write path is the right place to stand. Everything else in this memorandum follows from it — the moat against platforms that govern only their own estates, the suppression attack that only a single writer closes, the evidence that is worth something because the party producing it also refused things, and the precedent data that only accumulates where approvals and refusals are actually made. If an investor does not believe the write path is defensible, no financial projection in Section 17 should change their mind.

Second, that regulation compiles. The pack thesis says a clause in a rule can become a runtime gate, that doing it once builds a factory, and that each subsequent regime is cheaper. India is the test: the MCA audit-trail rule and the RBI's draft model risk guidance are unusually well-shaped for this, and if the thesis does not work here it will not work anywhere.

Third, that this founder will keep saying no. The evidence is already on the record — a hundred days of work scrapped, eight product ideas rejected by name against published gates, fifteen kill criteria signed with thresholds and dates, a scoring rule that counts his own designed capabilities as zero, and a memorandum whose Appendix E lists sixteen contradictions in his own corpus and the one question his counsel has not answered. That discipline is what makes a ₹180 crore plan in a category with no proven willingness to pay a risk worth taking rather than a hope worth funding.

The downside, if the category consolidates before elan1 leads it, is the exit band the last two years have established in this space: four to ten times capital raised, on seventeen transactions between October 2024 and May 2026. On roughly US$21 million of total capital that is US$84 million to US$210 million. The upside is that the receipt an AI agent's action leaves behind becomes a thing every regulated enterprise needs and one company's format defines.

Appendices

Appendix A — The price book in full

Appendix B — The elan1 ecosystem: what exists, what is parked, what was retired

Appendix C — The decision register carried from the corpus

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Appendix A — The price book in full

Every figure in this appendix is taken from the financial model that produces the revenue, cost and cash statements in the body of this memorandum. The model runs one monthly engine over fifty-four months, October 2026 to March 2031; the annual, quarterly and monthly views are aggregations of that same engine. Currency is Indian rupees, with a US dollar view at Rs 90.00 = US$1.00 where the dollar figure is material. `cr` = crore = 1,00,00,000. `L` = lakh = 1,00,000.

Two cautions before the tables. First, elan1 is pre-revenue: no customer, no signed order, no invoice. Every price below is a modelled list price, not an observed one, and no buyer has yet been quoted any of them. Second, the company's own corpus records, as an open question dated before L1 general availability, that **elan1's external list price per governed action at L1 GA has not been set** — only a floor (the Rs 0.40 internal transfer price) and a ceiling (the Salesforce Agentforce anchor of roughly Rs 8.80) have been agreed. The L1 overage rate of Rs 1.60 in the table below is the rate the financial model uses; it is not a price the company has committed to externally. A reader rebuilding the revenue line should treat it as the modelling assumption it is.

A.1 Platform floors and included allowances

The platform licence is a floor plus a metered rate. The floor exists because the marginal cost of one governed action is low and the fixed cost of running an evidence plane is not: append-only storage that never compacts, a declaration registry that keeps every version for ever, and a residency footprint that costs roughly the same whether a domain holds one tenant or fifty.

Assurance level	Platform floor, Rs per tenant per year	US$	Included governed actions per year	Effective Rs per action at full inclusion
L1 Guarded	1,80,000	2,000	4,80,000	0.375
L2 Attested	6,00,000	6,667	15,00,000	0.400
L3 Proven	24,00,000	26,667	42,00,000	0.571
Sovereign / on-premises deployment	1,20,00,000	1,33,333	— (see A.2)	—

The effective rates in the last column are arithmetic on the two columns before them, shown so that a reader can see the shape of the ladder: the floor rises faster than the allowance, because what the customer is buying at L2 and L3 is key custody, anchoring and verification capability rather than throughput.

A.2 Per-action rates beyond allowance

Route	Rs per governed action	US$	Note
L1 Guarded, beyond allowance	1.60	0.0178	Modelled; the external list price at L1 GA is not yet set
L2 Attested, beyond allowance	1.20	0.0133	
L3 Proven, beyond allowance	0.90	0.0100	
Sovereign deployment	0.55	0.0061	Applies within a customer-operated deployment
Internal transfer, elan1 to rung1	0.40	0.0044	Charged from 1 January 2027; reset quarterly against measured cost

The internal transfer price is the one price in the group with a decision behind it rather than a model: elan1 bills rung1 per committed governed action from Phase 1, so that the kernel's economics are visible before a third party ever buys it. Four reasons are recorded for its not being zero: a zero transfer price hides rung1's gross margin at the only point it can still be fixed; an untested price is an untested price, and rung1 will complain, which is the point; a free internal consumer does not read its meter; and a zero price is not available between related Indian entities once the group splits into four.

A.3 Packs, the evidence SKU, and partner certification

Line	Unit	Rs	US$
Regulatory pack (blended across packs)	per tenant per year	1,35,000	1,500
Evidence bundle beyond allowance	each	2,500	28
Verifier profile	per regime per year	3,00,000	3,333
Counterparty verification seat	per year	45,000	500
Partner certification	per firm per year	1,50,000	1,667

The evidence SKU has three shapes because the corpus could not decide between them and chose to sell all three rather than guess. The **bundle** is the export itself, priced at the margin so that the customer is never rationed into not using it; the company's standing position is that export is unlimited and free within allowance, because rationing an export teaches a customer not to use it. The **verifier profile per regime per year** is the preferred shape and the one closest to how assurance is actually bought: it prices the right to produce conforming bundles for a named regime, rather than pricing the act of exporting. The **counterparty verification seat** is the L3 shape, for the receiving organisation that verifies receipts it did not issue.

Two prices are permanently zero and are recorded here as prices, not omissions:

- **The offline verifier is Rs 0**, shipped as source, to anyone, including non-customers, at every assurance level, for ever. "A verifier you must buy from the vendor whose records it checks is not a verifier." This is a public commitment inside the Action Receipt

standard, not an internal policy, and no discount authority in the company can change it.

- **A refusal is Rs 0.** See A.4.

Partner certification at Rs 1,50,000 per firm per year is a revenue line in its own right (Rs 1.69 crore in FY2030-31) and is the commercial expression of the channel: 140 certified partner firms are modelled by March 2031, from six at March 2028.

A.4 The rules that travel with the prices

These are not commentary. They are constraints the model and, where stated, the database enforce.

Refusals meter at quantity zero and are never billed. The meter event schema requires a quantity; a refusal's quantity is zero; and the database refuses to store anything else. A caller cannot forget to pass zero, because the caller does not pass it. A chief financial officer asks whether the vendor is paid to make the system say no, and asks within about ten minutes; the answer is a constraint rather than a promise. A customer who sees "412 refused, Rs 0" on an invoice learns more about what they bought than any dashboard would tell them.

The floor is not discountable, by anybody. The fixed cost of an evidence plane does not care how well known the customer is. The elan1 lead may move the overage rate up to 20% below list for twelve months or less; the founder may move it without limit and may change the tier a customer sits in; nobody may touch the platform floor, the meter basis, or the price of a refusal, and no discount exists on the evidence line at L2. Every discount carries an end date in the same document, and a pilot price names the list price it is a discount from.

List prices are flat to March 2029 and escalate 4% per annum thereafter. There is no price rise inside the first two and a half years of the plan.

Partners keep 18% of list on partner-sourced revenue. The partner-sourced share of external revenue rises from zero to 45% by March 2031. This is carried as a contra-revenue line, not netted silently: Rs -0.01 crore in FY2027-28 rising to Rs -18.04 crore in FY2030-31.

The unit is the same object at all four points. Every meter event carries a `write_id` and the record's sequence number; a line with no `write_id` cannot be invoiced, because a line without one does not exist in the meter's schema. Where two of the company's own meters disagree at invoice time, the invoice goes out at the lower number and the difference is carried as a named open item with an owner and a date.

There is no per-seat price and no outcome price, anywhere in the group, at any assurance level. Outcome pricing is refused on principle rather than on arithmetic: a refusal is a correct outcome that produces no business result, so an outcome price would either charge nothing for the thing the product most exists to do, or create a standing commercial reason to allow a write. Either way the price list would be arguing with the gate.

A.5 How the price book builds the revenue line

Revenue line	Price book inputs	FY2028-29	FY2029-30	FY2030-31
Platform licence	Floors by level (A.1)	2.37	9.05	23.55
Governed actions — external	Overage rates (A.2)	11.96	58.70	176.98
Governed actions — internal (rung1)	Rs 0.40 transfer	2.18	5.58	11.20
Evidence SKU	Bundle, profile, seat (A.3)	1.09	6.32	17.84
Regulatory packs	Rs 1,35,000 blended	0.83	3.24	7.63
Sovereign deployments	Rs 1.2 cr per year + Rs 0.55	0.00	2.46	9.46
Partner certification	Rs 1,50,000 per firm	0.26	0.75	1.69
Channel margin (contra)	18% of list, partner-sourced	-0.61	-4.93	-18.04
Total		**18.08**	**81.18**	**230.32**

Rs crore. The blended revenue per governed action implied by the model is Rs 0.893 in FY2028-29, Rs 0.917 in FY2029-30 and Rs 0.924 in FY2030-31, against a cost per governed action falling from Rs 0.338 to Rs 0.129 over the same period. The blend sits well below the L1 overage rate because most volume is inside allowance, at the internal transfer price, or on a sovereign deployment.

A.6 The competitive anchors, and what they cap

Anchor	Price	Source and date	What it fixes
Microsoft Agent 365	US$15 per user per month, standalone or bundled in Microsoft 365 E7	Microsoft Security Blog, 1 May 2026	That agent governance is a per-seat line inside an estate the buyer already pays for
Salesforce Agentforce	US$0.10 per action (about Rs 8.80)	Salesforce published pricing, read 20 September 2026	That an action is a legible unit, and roughly what one is worth
ServiceNow AI Control Tower	Free for one year, a bundle valued at US$2 million	ServiceNow, expanded May 2026	That the incumbent will give the category away to hold the account

Agent 365 at US$15 per seat means the agent-governance budget line is being absorbed into a suite the buyer already owns. The response is structural rather than competitive: elan1 never prices per user anywhere in the group, and in a Microsoft estate it enters through the enterprise application budget and the audit budget rather than as a governance line item. On the corpus's own conversion at Rs 88 to the dollar, a fifteen-user firm pays roughly Rs 19,800 a month at the Agent 365 rate — more than rung1's own top published band, a fact that cuts both ways and should be stated rather than avoided.

Agentforce at US$0.10 per action both helps and caps: per-action pricing is already legible to buyers, and roughly Rs 8.80 is the ceiling on what elan1 can ask. The Rs 0.40 internal transfer price sits about twenty times under it. That gap is the room elan1 has, and the room a competitor has to come down into. The floor underneath all of it is not competitive at all: it is the cost of an evidence plane that never compacts, which is why the floor does not move because a competitor's price did.

A.7 The open question, stated plainly

elan1's external list price per governed action at L1 general availability is not yet set. It is recorded as an open question in three separate documents of the company's own corpus, owned by the founder, dated "before L1 GA, Q2 2027". The agreed boundaries are a floor of Rs 0.40 (the internal transfer price, which itself is modelled against a modelled marginal cost of Rs 0.20 that nothing has measured under load) and a ceiling of about Rs 8.80 (the Agentforce anchor). Everything between them is unresolved. A diligence team should treat the L1 external rate in the model as the single most movable figure in the revenue line.

Appendix B — The elan1 ecosystem: what exists, what is parked, what was retired

A partner reading the corpus will meet roughly two dozen names ending in `1` and will reasonably ask how many companies are being described. The answer is one. This appendix lists every name, says what it is, what its status is and how it relates to the kernel, and then gives the naming standard that governs all of them. It closes with an explicit statement of which of these sit inside the perimeter of this raise.

The naming history is the reason the appendix exists, and the company states it in its own words: "In twelve months the same product has been published as CORE1, under an ELAN1 masthead, and as rung1. The revenue work has been called gtm1 and REV1. The runtime was fusion1. The kernel was the Governed Intelligence Platform and the Governed Action Model. None of these were bad decisions at the time; together they are a company that cannot tell a buyer what it is called."

B.1 The endorsed brands (three; two face buyers)

Brand	What it is	Written form	Status and relation to the kernel
elan1	The company, the kernel, and the governed write path. Holding company. Domain `elan1.ai`, in use	`elan1`, alone	**Live at L1 Guarded only.** It *is* the kernel. L2 Attested is Phase 3; L3 Proven is Phase 4
rung1	Product brand for Indian small and mid-market firms, sold through chartered accountants	`rung1 · by elan1` wherever a customer sees it first	**Live** (one line only). Consumes the kernel through the in-process SDK in Enforced mode; builds no gates, approvals, proof or meter of its own
stack1	The runtime and contract layer — ten `fusion.*/v1` contracts, a seven-class conformance suite, a nine-step substitution protocol	`stack1`, currently inside elan1	**Live internally**, general availability Q4 2027. Hosts the processes the kernel runs in; it does not decide what is allowed. Its own domain and legal identity wait on a scale-or-spin-out decision

rung1's own domain is not cleared and not registered. `stack1` has never been cleared as a standalone mark, because it has always sheltered under elan1. Both are open items.

The relationship among the three is fixed by a single sentence and a single decision: "rung1 is the product. stack1 is the runtime. elan1 is the kernel — the governed write path." And DR-001: one kernel; no product builds its own gates, approval, proof or meter. The kernel never lives inside the runtime.

B.2 rung1's product lines (four; none is a brand, none gets a logo)

Line	What it is	Status
rung1 Enterprise (source corpus: "rung1 ERP")	Governed AI agents for ERPNext/Frappe in hosted mode. Rs 2,499 / 7,999 / 19,999 / 49,999+ per month by turnover band. Ideal customer: Indian firms of Rs 5–50 crore turnover, introduced by their chartered accountant	**Funded — the only priced product in Phase 1.** Attach mode and Tally migration in Phase 2
rung1 Revenue (was rev1, REV1, gtm1)	Customer-relationship line: six workflows that all end in a CRM write. Self-hosted Twenty first, Zoho CRM second. Sold only to a business already live on rung1 Enterprise	**Parked.** Reopens at Phase 3 entry, conditional on twenty-five paying customers and one cleared external security review of the elan1 layer. Opens Q3 2027, GA Q1 2028
rung1 Commerce (was commerce1)	Reads the merchant's systems and changes records the merchant already owns — price, stock, order state, refunds, parity. Adapters for Shopify, WooCommerce and ONDC. Six gates, GC1–GC6	**Parked (DR-008).** Reopens in Phase 4, only after twenty-five paying customers *and* a named customer asking for commerce writes in writing
rung1 Voice (source corpus: "the inbound voice channel")	A channel on plane P6, not a product. Inbound only, approvals only, read-back before every decision, no dial-out ever. Needs a voice channel kind in Declaration block 7 and an inbound-only carrier contract	**Phase 3.** Pilot Q4 2027 on one tenant and one number, read-and-route only; GA Q1 2028. Carries one full quarter of float: "cut it before cutting anything on the chain"

Each is a line inside one brand, sold to one buyer, on one price list. None of them gets a mark. rung1 Revenue fails the new-brand test on question one (the CRM buyer is a different person but the same firm and the same budget conversation) and that is precisely why it is a line.

A boundary that must not blur: rung1 Voice is inbound only and shares no code path with verna1. "The moment anything dials out, it has become a regulated business with TRAI and DLT duties." Inbound answering on a tenant's own number is a channel; it does not reopen verna1.

B.3 verna1 — a separate brand, parked

verna1 is regulated **outbound** collections with a carrier partner. It would become a plane in its own right. It is blocked by a named regulatory surface the company does not meet: TCCCPR and DLT registration, the 1600-series calling requirement, the national preference register, and consent state.

It is parked under DR-007 and reopens only on a paid NBFC pilot — a signed order from a named non-banking financial company, with a named carrier partner, and money received. Three further conditions attach: if it reopens it is a **brand and not a pack**, it must pass the three-question test on its own, it gets its own operating company separate from day one, and **its name must be cleared before anything public** — the corpus already records that the working name collides with Skit.ai, formerly Vernacular.ai, in the same category, and that the collision was found late.

B.4 The regulatory packs — the reserved `*1` suffix

A pack is configuration: declarations, policy rules, regulatory bindings, an evaluation set, an approver experience, and from L2 a verifier profile. A pack is never a fork, never a codebase, never a brand, and never a line on a public price list under its own name.

The reserved set is `manufacture1 · retail1 · edu1 · realestate1 · health1 · bank1 · insure1 · telco1 · energy1 · gov1`.

Pack	What it is	Status
`ledger1`	The first India pack, bound to the MCA audit-trail obligation, in force since 1 April 2023, "because that rule governs the write we own". Prior portfolio material also lists it against the US SEC 17a-4 audit-trail alternative as a later profile under the same pack	**First pack, ships Q1 2028 at Gate 1.** Pilot customer and auditor both not yet named
`invoice1`	GST e-invoicing, second, "since the decisive artefact there is issued by the Invoice Registration Portal, not by us" — its limits statement must say so plainly	**Planned, second**
`collect1`	Collections pack for RBI-regulated recovery. Exists only as a pack specification sketch; the only document in the corpus carrying that status	**Spec sketch only.** "The rule citations need counsel confirmation before anything ships"
`manufacture1`, `realestate1`, `health1`, `bank1`, `insure1`, `telco1`, `gov1`	Reserved names in the convention	**Reserved, not built**

Rejected by name (see Appendix D for the gate each failed): `retail1`, `edu1`, `energy1`, `agri1`, `legal1`, `public1`, and two further candidates held in the portfolio register that **no document in the corpus names**. The rejections are retained rather than softened, parked or renamed.

B.5 Retired and deleted names

Name	Disposition
`core1` / CORE1	Retired → **rung1**. Same product, earlier name
`rev1` / REV1	Retired → **rung1 Revenue**
`gtm1`	Retired → **rung1 Revenue**. "Three names for one line. Not a separate brand and never was"
`commerce1`	Retired as a brand → **rung1 Commerce**, a product line
`fusion1`	Retired → **stack1**. The `fusion.*/v1` contract names are kept deliberately, because they are brand-free by construction and survive a split
elan1 GIP / Governed Intelligence Platform	Retired → "the elan1 layer" / "the elan1 kernel". "'Platform' over-claims at L1"
elan1 GAM / Governed Action Model	Retired → **the Right Path** (the nine rungs) and **Governed Action** (the unit). One name had been carrying two things
`LOM`	Retired in the prior corpus. No successor, and none needed
`start1`, `run1`, `academy1`	Web shells in the old tree. "Not brands, not packs and not products." To be deleted or renamed before Phase 3 opens
`sovereign1`	Appears only as the top of the old GIP pricing-tier ladder. Retired as a tier name; never a product
ELAN1, CORE1, REV1, GTM1 (all-capital forms)	Retired with the names. "They do not come back as a styling choice"

B.6 Names that appear in conversation but not in the corpus

`sales1`, `market1`, `people1`, `finance1`, `insight1` — **zero occurrences across the entire eighty-file corpus.** If any of these appears in material circulating about the company, it comes from a different source and should be checked or dropped. Under the naming standard each would have to pass the three-question test on its own or be a pack, and none has been put to it.

B.7 The naming standard itself

The `*1` suffix is reserved for vertical packs and nothing else. The company is explicit about why: "Our whole naming problem came from spending this convention on brands. `commerce1`, `verna1`, `rev1`, `gtm1` and `fusion1` all read as packs and were sold as companies. From v3.0 the suffix means pack and nothing else." verna1 is the single named exception, and only because it is parked as a separate regulated product.

The three-question new-brand test. All three must be yes, or it is a product line, a pack or a descriptive label — never a new mark.

1. Is the buyer a different person with a different budget line?
2. Would that buyer be confused rather than reassured by the parent name?
3. Can the new name be cleared, defended and marketed out of a budget that already exists?

rung1, elan1 and stack1 pass. rung1 Revenue fails question one. rung1 Commerce fails the same way. **Every vertical pack fails all three.**

Banned words in product names. The standard names them: "No Pro, Plus, Premium or Enterprise: rung1's tiers are turnover bands and they already have names on the price list." Assurance levels are L1 Guarded, L2 Attested, L3 Proven — "levels of a claim, never SKUs with brand names". Brand names are always lowercase, including at the start of a sentence; where that reads badly the sentence is rewritten rather than the name capitalised. Product lines are `<brand> <Line>`, two words, brand lowercase and line capitalised. Pack identifiers are lowercase always and match `^[a-z][a-z0-9]{2,15}1$`.

Separately, a list of words the group does not use at all: *governance* in any rung1 or stack1 document (DR-009); *platform* or *AI platform* of elan1 at L1; *signed, tamper-proof, immutable, court-ready, independently verifiable* of anything at L1; *prevented, blocked, cannot* of any MCP or HTTP integration; *enforced* of any advisory-mode deployment; *powered by* in any endorsement; and *leverage, robust, seamless, enterprise-grade, best-in-class* everywhere.

On an OEM console no elan1 mark appears at all. The operator's brand is the only brand shown. No elan1 mark, no stack1 mark, no "powered by", no second footer. The one thing that must survive white-labelling is a machine-readable response header, `X-Fusion-Contract: fusion.<name>/v1; impl=<slug>` — "a machine-readable claim rather than a logo, which is the correct shape for a guarantee that has to hold under someone else's brand."

Inside a rung1 customer screen the elan1 name appears in exactly two places: on a proof record, as "Checked and recorded by the elan1 layer", and in the console footer, as

`rung1 · by elan1`. At L2 the endorsement flips to the front, because an export bundle must tell a third party whose verifier to run and whose key fingerprint to obtain out of band.

Clearance runs in eight steps before any public use — where public use means no landing page, no deck outside a non-disclosure agreement, no paid advertisement, no public repository and no app-store listing. The steps: knockout search in Indian trademark classes 9 and 42; a single-pass market search across the category, GitHub, package registries, app stores, the `.ai`, `.com` and `.in` domains and social handles; an adjacent-company check (the worked example is verna1 against Skit.ai); filing in India in the locked form of the name; a EUIPO knockout before any EU market conversation; domain and handle registration only once step one is clear; recording the locked form in the glossary the same day; and only then spending on brand. The planning figure for filing, entity setup and data-processing-agreement templates is Rs 2–3 lakh, marked unverified. "The order matters more than the amount: every expensive naming problem in this company so far has come from doing step eight first."

B.8 A live contradiction this memorandum must flag

The naming standard bans the word "Enterprise" in a product name. The product formerly documented as "rung1 ERP" has been renamed "rung1 Enterprise".

These two cannot both stand. The standard's sentence is explicit — "No Pro, Plus, Premium or Enterprise" — and it is a signed decision with an owner and a date, not a style preference. The rename is therefore either an amendment to the brand architecture, in which case it requires a dated superseding entry recorded in the vocabulary register on the day it is made, per the standard's own step seven and clearance decision; or the standard is being breached silently, which is the failure mode the standard exists to prevent.

The memorandum takes the first reading and uses "rung1 Enterprise" throughout, because that is the instruction under which it is written. **The dated amendment has not yet been recorded, and recording it is an open action.** A diligence team should ask to see it. The same applies to the rung1 voice channel, which this memorandum calls "rung1 Voice"; that rename is less exposed, because the earlier outline brief already names the parked set as "rung1 Commerce, rung1 Revenue, rung1 Voice" — the rename is latent in the company's own material and needs only to be confirmed.

B.9 What is inside the perimeter of this raise

Inside: the elan1 kernel — the governed write path, the Declaration schema, KernelPort, the nine rungs, the gates, the proof record, the meter — at L1 Guarded now, L2 Attested from Q3 2027 and L3 Proven from October 2029; and **the regulatory packs** — `ledger1` first, `invoice1` second, `collect1` if and when its two existential dependencies clear. That is the whole of it. The Rs 180 crore is raised against the kernel and the packs.

Outside: rung1 in all its lines, including rung1 Enterprise, rung1 Revenue, rung1 Commerce and rung1 Voice; stack1; and verna1. rung1 appears in this memorandum as the kernel's first consumer, its proving ground, and the source of the internal governed-action volume that the model carries at the Rs 0.40 transfer price — not as a business being fun-

ded here. stack1 appears as a cost line and an architectural dependency. verna1 appears only as a parked asset with a named reopen condition.

One consequence should be stated rather than left to be discovered: **internal transfer revenue is not elan1 traction**, and the corpus forbids presenting it as such in any document, deck or board pack. The internal governed-action line (Rs 11.20 crore in FY2030-31) is intercompany revenue between entities that will by then be separate, and it is the volume that proves the kernel; it is not a third-party customer.

Appendix C — The decision register carried from the corpus

Thirteen architectural decisions were closed on 21 September 2026 and carried into this memorandum. The register's discipline is that "an entry here is closed. Reopening one requires a new numbered entry that supersedes it by number." None of the thirteen has been superseded.

#	Date	Decision	De-cided by	Superseded by
DR-001	21 Sep 2026	**One kernel.** No product builds its own gates, approval, proof or meter. Products vary only in Declarations, adapters and, from L3, verifier profiles	Elango	None
DR-002	21 Sep 2026	**Temporal owns anything touching a customer's books.** Every governed write runs inside a Temporal workflow	Elango	None
DR-003	21 Sep 2026	**Windmill is not adopted in v1.** May return later only as a tenant-installed catalogue app on the customer's own site	Elango	None
DR-004	21 Sep 2026	**n8n and Inngest are excluded.** n8n needs an Embed/OEM deal under its Sustainable Use Licence; Inngest is SSPL v1.0	Elango	None
DR-005	21 Sep 2026	**rung1 Enterprise on Frappe is the only priced product in Phase 1**, at Rs 2,499 / 7,999 / 19,999 / 49,999+ per month by turnover band, hosted mode	Elango	None
DR-006	21 Sep 2026	**elan1 ships Assurance Level 1 only in Phase 1.** No cryptographic seal, no RFC 3161 anchoring, no verifier profiles	Elango	None
DR-007	21 Sep 2026	**verna1 is parked.** Reopens only on a paid NBFC pilot with a signed order and a named carrier partner	Elango	None
DR-008	21 Sep 2026	**rung1 Commerce is parked.** Reopens only in Phase 4, and only after rung1 Enterprise has twenty-five paying customers	Elango	None
DR-009	21 Sep 2026	**The governance wording rule.** In rung1 and stack1 documents the word "governance" is replaced by "the elan1 layer" or one of its named forms	Elango	None
DR-010	21 Sep 2026	**"Designed" no longer counts as "yes" in any competitive matrix.** Only shipped and demonstrable capability scores 1; designed-not-shipped scores 0	Elango	None
DR-011	21 Sep 2026	**One numbering scheme.** Planes P0–P8, autonomy A0–A5, Declaration schema by name, refusal codes REF-nn, register tiers REG-T1–T7, gates G1–G9	Elango	None
DR-012	21 Sep 2026	**Block 7 of the Declaration is `channels`.** The Four Doors keep the word "doors"	Elango	Not superseded; completed by a later decision that the rename is a breaking schema change taking a schema major before L1 GA
DR-013	21 Sep 2026	**`seal` stays in KernelPort at L1 and returns a hash-chain receipt.** The call shape is fixed now; the contents change at L2	Elango	None

Why each matters to an investor

DR-001 — One kernel. This is the asset being bought. If any product may build its own gate, there are two definitions of "allowed" and neither is defensible to a regulator. It is also what makes the kernel separable: the company's four-entity structure puts the kernel

and plane P3 and below in the holding company, where they cannot travel with an operating company on a sale.

DR-002 — Temporal. A replay-style workflow runner in front of an accounting write can post the same invoice twice. Temporal is MIT-licensed, already in the stack, and does the job without a licence that restricts running it as a service. It is why the licence register's three blocked rows are all workflow engines.

DR-003 and DR-004 — Windmill, n8n and Inngest excluded. These are the cleanest evidence that the licence register is operated rather than filed. All three fail for one reason: running them as a service is the thing their licence restricts, and running them as a service is precisely the business. The cost of being wrong is named: "a licence problem discovered by a customer's counsel during diligence", plus a rebuild of the workflow engine under load.

DR-005 — rung1 Enterprise is the only priced product in Phase 1. One price list, one buyer, one system of record; everything else is unfunded until it earns a gate. This is the decision that keeps the pre-revenue period narrow enough to be underwritten.

DR-006 — L1 only in Phase 1. The company chose not to claim what it could not demonstrate. "L2 claims we cannot yet demonstrate would be a lie with a date on it." The consequence, which is uncomfortable and correct, is that the product being sold today sells control and reconstruction, not cryptographic proof, and the memorandum says so.

DR-007 and DR-008 — verna1 and rung1 Commerce parked. Parked means suspended in writing with a stated restoration trigger, not quietly starved. Both triggers are checkable by a third party. "If it cannot name the condition that restores the budget, it is not parked; it is dead and nobody has said so."

DR-009 — the governance wording rule. This looks like a style rule and is a structural one. The boundary between kernel and product is the product; blurring it in prose is how a second kernel gets built by accident.

DR-010 — "Designed" scores zero. The most investor-relevant decision in the register, because it is the company scoring against itself. The prior competitive matrix had scored elan1's own per-action record as "Designed" — "the most misleading cell in the document, and it was ours." Under the new rule elan1's own strongest columns read No. The same rule is applied to competitors: an announcement, a roadmap slide or a private preview is not a capability.

DR-011 — one numbering scheme. Three different things had been called "L0" in documents that cite each other. Resolving it cost nothing; leaving it would have cost a great deal in an audit.

DR-012 — block 7 is `channels`. Two meanings for one word inside the same schema. The follow-through matters more than the decision: the rename was confirmed to be a breaking schema change requiring a Declaration schema major, landing before L1 general availability, while no external party has authored a declaration.

DR-013 — `seal` stays in KernelPort at L1. Fixing the call shape now avoids a breaking port change between Phase 1 and Phase 3. At L1 `seal` returns a hash-chain receipt; at L2

the same call returns a signature. The port does not move when the product's central claim changes, which is the sort of foresight that is cheap in 2026 and impossible in 2028.

The discipline itself

Three rules govern how the register is used, and they are what a diligence team should test rather than the thirteen entries.

Every architectural decision has a number anyone can cite. A term that is not in the glossary is not a term; a decision that is not in the register is not a decision. Across roughly eighty-four prior documents the same idea had carried three names and the same name three ideas, and the company's own architecture review had flagged it before anyone fixed it.

No argument is re-run. An entry is closed. Reopening requires a new numbered entry that supersedes it by number — not a conversation, not a revised slide. Where a conflict is found in older material it is named, dated and resolved in line rather than silently corrected; the Phase 2, 3 and 4 indexes each carry a table of the five conflicts settled while that phase was written.

A kernel change request requires a decision record and must be product-neutral. The flow is fixed at five steps: an engineer opens a Kernel Change Request naming the write type, the gate and the exact behaviour wanted, and the kernel lead acknowledges within one working day; the kernel lead applies one question — can this be expressed as a Declaration or an adapter? — and if yes the request is closed with the expression and no kernel change happens; if no, the kernel lead writes an architecture decision record naming the alternative considered and the defect class it prevents, and the founder signs or refuses; on signature the change enters the kernel queue *with a CI invariant added that would fail if the old behaviour returned*; if refused, the refusal is recorded with its reason and the product ships without it. Escalation is kernel lead to founder, and there is no third step. No product deadline is a reason to skip step two. "A product team that ships its own gate has built a second kernel, and DR-001 exists to prevent exactly that."

The boundary is enforced in continuous integration rather than in prose: nothing above plane P3 imports a kernel type; there is one write credential per environment and a second one entering the codebase fails the build; the control plane has no network route to the record store. "An instruction in a document is advice and a failing build is a control."

Appendix D — The pack factory: template, gates, and the packs we refused

A pack is the sellable unit of the evidence business. It is what converts a named regulation into a priced line. This appendix gives the anatomy, the admission test, the acceptance tests, the eight candidates refused by name, the first pack in working detail, the collections sketch, and the sequence by which a regime becomes a product.

D.1 What a pack is

A pack is one declaration, plus one certified verifier profile, plus one regime-specific export mapping, aimed at one buyer with one auditor under one dated obligation.

Three things follow. An evidence pack is a sellable unit, not a feature and not a module. The kernel does not know what a pack is and the declaration registry has no pack table — a pack is a composition of things that already exist, plus the two that do not exist until somebody does the work: a certified profile, and a buyer who can name their auditor. And, commercially: "Packs are the sale. Screens are the surface. Nobody buys an approvals screen." A pack is configuration: never a fork, never a codebase, never a brand, and never a line on a public price list under its own name.

D.2 The five pack gates

All five must pass, and they are applied before any build work. A gate scored "probably" is scored fail. Admitting a pack is itself a governed write with `dual_control: true`, approved by the founder; a candidate admitted by the person who proposed it is refused by `GATE.DUAL_CONTROL_SAME_ACTOR`.

Gate	What it tests	It fails when
G-A · A dated hook	That there is a named regulation, standard or contract **with a date on it**	The hook is a principle, a direction of travel, or "regulators are increasingly focused on"
G-B · An auditor	That somebody's job is to ask for the evidence — internal audit, external assurance, a regulator's examination team, a certification body, or a counterparty's procurement	Nobody is obliged to ask. "If nobody is obliged to ask, nobody asks"
G-C · Reversible, or honestly irreversible	That the write types can declare which they are without lying	Every important action is irreversible and everyone pretends otherwise, so the reversal-plan discipline produces fiction
G-D · Evidence sold separately	That there is a buyer who would pay for the bundle on its own line item	Evidence is a nice-to-have attached to something else. This is the second-SKU test applied per pack
G-E · We own the write	That elan1 is **in the write path**, not reading somebody else's log	We observe rather than govern. "This gate kills the most candidates and is the least negotiable: observation produces telemetry, and telemetry is not evidence"

G-B is not satisfied by a category; it is satisfied by somebody who could be telephoned. A candidate whose G-E answer is "we could integrate with their log" is refused, because

reading a log is observation. If the named auditor later turns out not to exist — the role is vacant, or the obligation is met some other way — the pack is returned to the register with the finding, whatever has been built by then.

D.3 The eleven-block pack template

A pack missing any of these blocks is not a pack.

1. **`pack_identity`** — a `pack_id` matching `^[a-z][a-z0-9]{2,15}1$`, a version, an owner role, and the domain in one sentence a non-engineer can read.
2. **`obligation`** — regime, issuer, date, clause set. One regime per profile; a pack may carry several profiles for several jurisdictions.
3. **`buyer`** — the job title that signs, the budget line it comes from, and the auditor's job title.
4. **`gate_scores`** — the five pack gates with their evidence, retained for ever, including for packs that later fail.
5. **`declaration_ref`** — a declaration identifier at an explicit version, in the seven standard blocks. The pack does not have its own ontology.
6. **`write_types[]`** — each with blast radius, reversal plan, and whether reversible or honestly irreversible.
7. **`gates[]`** — which of the nine pre-gates are declared, in order, with parameters. The six never-skippable ones are present by construction.
8. **`profile_binding`** — a profile identifier at a version, and the `rule_as_at` date. The profile is certified by someone who is not its author.
9. **`buyer_promise`** — what the buyer receives, in the buyer's words, and in the same block what it does not establish.
10. **`tests[]`** — the pack's own acceptance tests.
11. **`pilot`** — the named customer, the named auditor, the dates, and the finding.

What a pack promises a buyer is three sentences, all of which must be true before it ships: every governed change of these types went through stated rules, with a named actor and, where required, a named approver; here is a file covering a period you choose, which your auditor can check on their own machine, offline, with software they did not get from us; and here is what that file does not establish, in the profile's own words, printed in every report.

D.4 The eight tests

Test	What it requires
T1 Declaration validates	Seven blocks validate; the six never-skippable gates present; **no field blank** — a value, `out_of_scope` with a decision record, or `not_measurable` with a reason and a `would_change_if`
T2 Profile certified	Passes the twelve profile checks and carries a certifier who is not its author
T3 Reversal is honest	Every write type's reversal plan has been executed once, in a drill, **and the drill is dated**. "A plan nobody has run is a plan that does not exist"
T4 Refusals are real	At least one refusal per declared gate in the fixture set, each with a code, the rung, every gate's result and a named operator action
T5 Bundle verifies offline	Exits `0 PASS` on an air-gapped machine, run by someone outside the team
T6 Tampered bundle refuses	The published tampered variant exits `1 FAIL_INTEGRITY`, naming record and field
T7 Non-conforming bundle is not accused	A sound bundle with a missing required member exits `2 FAIL_PROFILE`, never `1`
T8 The auditor reads it	The named auditor reads a report unprompted and **can state what it does not prove**. "If they cannot, the limits statement is wrong"

T8 is the one that fails first drafts. T7 protects the most damaging defect a verifier can have: accusing a producer of tampering when a member is merely absent.

D.5 The packs refused, by name

The rejections are carried forward "because the rejections are the more useful half of the list". A rejected candidate is recorded by name with the gate it failed and the sentence explaining it. It is not softened, parked or renamed.

Candidate	Gate failed	The sentence
`retail1`	G-B	Reversible, low stakes; nobody audits a price change
`edu1`	G-D	No buyer for evidence on its own line
`energy1`	G-E	The write path belongs to SCADA vendors
`agri1`	G-B	Subsidy audits are annual and on paper
`legal1`	G-E	The matter lives in someone else's document system
`public1`	G-A and G-D	The procurement cycle outlasts the runway
(unnamed)	Not recorded in the corpus	Held in the portfolio register
(unnamed)	Not recorded in the corpus	Held in the portfolio register

Two of the eight rejections are not named anywhere in the corpus. The register is described as holding "two others"; no document identifies them, the gate they failed, or the sentence. This is a real gap in a process whose entire claim is that rejections are recorded by name, and it is carried into Appendix E as such.

Note also what the rejections tell a reader about the shape of the opportunity: three of the six named failures are G-E failures or G-B failures — the write belongs to somebody else,

or nobody is obliged to ask. Those two gates, not market size, are what determine whether a vertical is addressable.

D.6 `ledger1` — the first pack, in working detail

The choice for the first India pack was between the MCA audit-trail rule and GST e-invoicing. Both pass G-A, G-B and G-D. **They separate on G-E.**

For GST e-invoicing, the decisive fact — that an Invoice Reference Number was issued — is produced by a government endpoint and reaches elan1 as a response. A pack built on it would be reading somebody else's log for the part that matters, and G-E exists precisely to stop that. For the MCA audit trail, the write elan1 governs *is* the change to the books of account, and in rung1 hosted mode there is no other path to it. Two secondary reasons reinforced the choice: the profile `in-mca-audit-trail v1` already exists, with four clause bindings, six checks and a limits statement; and the buyer and the auditor are the same two people the company already talks to, because rung1 sells through chartered accountants and the chartered accountant who advises a Rs 5–50 crore firm is the person who carries the audit-trail question.

GST e-invoicing is not abandoned; it is second, and it is a different pack. "A first pack that has to explain what it does not cover teaches the market the wrong lesson."

Identity and obligation. `pack_id: ledger1`, version 1, owner role elan1 lead. "Changes to the books of account, and the evidence that each one passed stated rules." Issuer: the Ministry of Corporate Affairs. Instrument: the Companies (Accounts) Rules audit-trail (edit log) requirement for accounting software, in force since 1 April 2023. Four clauses are bound: an audit trail of each and every transaction; an edit log of each change made in the books of account; the date on which each change was made; and that the audit trail shall not be disabled.

Buyer. The promoter or finance controller of a Rs 5–50 crore firm, usually on their chartered accountant's advice. **The budget line is audit and compliance, not software.** The auditor is the statutory auditor, who must report on whether the audit-trail feature operated throughout the year.

Gate scores. G-A pass (1 April 2023). G-B pass (the statutory auditor, named in the pilot). G-C pass. **G-D pass, provisionally — "this is the gate the pilot actually tests."** G-E pass (rung1 hosted mode; the single writer is the only path).

Write types, with thresholds.

Write type	Blast radius	Reversal	Dual control
`sales_invoice.submit`	`one_counter-party`	`target_native_undo` — cancel the IRN and the invoice	Above Rs 2 lakh
`sales_invoice.cancel`	`one_counter-party`	**Honestly irreversible after the 24-hour IRN window; declared as such**	Always
`purchase_invoice.submit`	`one_counter-party`	`target_native_undo`	Above Rs 2 lakh
`payment_entry.submit`	`one_counter-party`	`compensating_instrument`	Always
`journal_entry.submit`	`batch`	`compensating_instrument`	Always
`customer.update` (credit terms, GSTIN)	`one_record`	`target_native_undo`	On a GSTIN change

The twenty-four-hour window is not the company's: it is the IRN cancellation window under GST e-invoicing, and it is declared in the reversal plan rather than buried in an adapter.

Gates, in declared order: `consent`, `residency`, `retention`, `counterparty`, `precondition`, `dual_control`, `budget`. The first six are never skippable; `budget` is declared on because "a runaway journal entry is the failure mode the buyer imagines first".

Profile binding. `in-mca-audit-trail v1`; `rule_as_at: 2023-04-01`; `applies_to_records_from: 2027-07-01`; `min_assurance_level: 2`; `refusals_required: true`; `continuity_scope: full_chain`.

What the buyer receives. A bundle covering any period they choose, containing every governed change to the books of account in that period — including every refusal — each with actor, actor kind, target record, version written and platform-clock time; an unbroken sequence externally anchored by two timestamp authorities, so a trail cut at the tail is detectable; a verification report the auditor produces themselves, offline, with software they did not get from elan1; and every declaration version and lexicon referenced, verbatim, inside the bundle.

What it does not establish, in the same breath. It covers changes made through this write path; changes made directly in the accounting system are that system's own audit trail and are not in the bundle, and the two must be reconciled. It does not establish that transactions were genuine, that the rules applied were adequate, or that any obligation is satisfied — that determination belongs to the reader. **No regulator has reviewed this profile.**

The ninety-day pilot, day by day. The purpose is to find out whether G-D is real. Everything else is secondary.

Day	What happens
0	The auditor's half day, **before anything is shown**. The founder asks the auditor for three questions they would ask about a system of this kind in an engagement, and a written statement of what they would need to see to rely on a record like this — "not what would be nice, what would be necessary". Checked against the profile's clause bindings; where the auditor names something the profile does not bind, the profile gets a `not_measurable` row with a `would_change_if`, not a quiet omission
1	Upgrade. L1 to L2 under the upgrade runbook. The boundary date and the counts on each side shown to customer and auditor on the day
2–75	Run. Normal operation. **No special handling, no curated data, no suppressed refusals.** The customer is told explicitly that refusals are part of what is being tested and should not be worked around
76	Export. **The customer exports a bundle for the period themselves, from the product, without help. If they need help, that is the finding**
77	The auditor verifies. Obtains the verifier from the published release or builds from source, disconnects the machine, and runs it. "We are not in the room." Then runs it against the published tampered bundle and watches it fail
78	The two-way reconciliation between the elan1 chain and ERPNext's own audit trail for the period. **Exceptions in the direction of "a change in the target with no elan1 record" are the finding that matters** — they are changes that did not go through the gates
80	The written verdict. The auditor writes, in their own words, what the bundle would and would not let them conclude, and whether they would ask a client to buy it. Published internally **verbatim, including if it is unflattering**
85	The G-D question, asked plainly. The founder asks the customer: **would you pay for this on its own line, separately from the software?** The answer, whatever it is, closes the pilot

What will not be asked for: an endorsement, a logo, a quotation, or anything presentable as the auditor having accepted the artefact. "A conversation with an auditor is never described, internally or externally, as validation."

A `FAIL_INTEGRITY` during the pilot is a severity-zero incident and **stops the pack, not just the pilot**. A `FAIL_PROFILE` is a profile defect and goes back to the author for a new version. An `INCOMPLETE` is an export defect.

D.7 `collect1` — the collections sketch

`collect1` is the only document in the corpus carrying the status "spec sketch", and the status line is part of the specification: "the rule citations need counsel confirmation before anything ships."

Four obligation layers. *Conduct* — RBI fair-practices rules on recovery: permitted calling hours, no harassment, no third-party disclosure, an identified caller, a grievance route. *Telecom* — DLT registration of the sender, approved headers and templates, preference-register scrub, correct number series, attempt limits. *Data* — DPDP lawful basis, purpose limitation, retention, erasure handling. *Sector* — the lender's own board-approved policy and outsourcing rules, "the pack must produce evidence they can put in front of an inspection."

Six write types. `call.attempt`, a dial authorised — **irreversible, "a call cannot be unmade"**. `call.record`, the sealed outcome record — append-only. `promise.capture`, a promise-to-pay taken from the borrower — reversible, retractable with its own record. `disposition.set` — reversible. `escalation.raise`, hand to a human agent — reversible. `preference.update`, the borrower asks not to be called — **irreversible by design, never undone by an agent**.

Fourteen gates in three phases — "the part that is actually the product". Before the dial, all blocking: lawful basis, current at this instant and not cached; preference scrub, live, where a stale scrub is a refusal; time window, inside permitted recovery hours in the borrower's location; attempt cap and cooling period, per borrower per day and per week, because "a retry loop is prohibited conduct"; script and template version, approved, versioned and hash-pinned; authority band, the amount and settlement latitude this agent may discuss; number and series, calling from the lender's own allocation. During the call: disclosure, the recipient is told it is an automated call before anything else; identity check, speaking to the borrower and not a family member or colleague, with third-party disclosure a hard refusal; read-back, amounts, dates and any promise repeated and confirmed; prohibited-language guard against coercion, threats and implied legal consequences; human path, where "'connect me to a person' always works". After: recording integrity, per-chunk hashed audio, complete and unspliced; and disposition recorded, because "no call closes without one".

Refusals are a closed typed set of sixteen, reused from verna1's existing register, and billed at zero. "A refused call costs the customer nothing, and the refusal itself is recorded — which is what makes the refusal rate a compliance metric rather than a failure metric."

Autonomy is capped deliberately: the agent may state facts, take a promise inside a declared band, and escalate. It may never negotiate a settlement, waive a charge, or agree anything outside the band. "Those escalate to a human, which is a gate, not a preference."

What the pack states it does not prove: that the debt is valid; that the person who answered is the borrower, beyond the identity check performed; **that the conversation was kind — only that it followed an approved script and contained no prohibited language**; and the audio is proved authentic only from the capture point onward.

The two existential dependencies. First, **a carrier partner** who holds the carriage and whose compliance plumbing the product sits on. Second, **pack gate G-E — do we own the write?** elan1 owns the call record. "The write into the lender's collection system may belong to their core software. If it does, this pack is Attested advisory on that path, not Enforced — and the pack must say so rather than blur it."

`collect1` is therefore not a funded pack. It is a worked example of the template with an honest unresolved gate, and it is in the memorandum because the unresolved gate is instructive: the pack factory can produce a complete-looking specification for a domain it may not be able to govern, and only G-E catches it.

D.8 Export-pack sequencing: how a regime becomes a product

The sequence is fixed, and each step has a named refusal.

1. **Find the dated hook.** A regime with an instrument, an issuer and a date. Without a date it fails G-A and stops here.
2. **Name the auditor.** By role, and where possible by organisation — somebody who could be telephoned. Without one it fails G-B.
3. **Score the five gates on one page.** Each pass or fail with a sentence. "A gate scored 'probably' is scored fail." Admission is a governed write under dual control, approved

by the founder. A failure is recorded by name in the portfolio register with the gate and the sentence.

4. **Bind the clauses.** For each clause: the quoted text, the obligation kind, the write types it binds, the gates it binds, the record fields it binds, the retention period, and the check identifiers. **A clause with no check is not bound.** A row that says "the system provides adequate audit trails" is prose, not a binding — "it is the failure mode every compliance mapping in this market has." Where a clause cannot be bound the honest disposition is `not_measurable` with a reason and a `would_change_if`, never a quiet omission.
5. **Author the verifier profile, and have somebody else certify it.** Eight blocks: identity; the regime binding, clause by clause; the bundle requirements, including which bundle members are required and the minimum assurance level (2 for any profile asserting non-repudiation); the checks, each declaring its failure class; the report vocabulary, because "a report that speaks in elan1 nouns to a reader who works in a regime's nouns is a report that gets set aside"; the limits statement, required prose reproduced verbatim in every report, whose absence fails certification; versioning, carrying the `rule_as_at` date; and conformance. **The certifier is never the author.**
6. **Run the eight tests, T1 to T8.** T3 needs a dated reversal drill on a real record. T8 needs the named auditor.
7. **Run the ninety-day pilot** against the day-by-day protocol in D.6.
8. **Ask the G-D question on day 85.** Would you pay for this on its own line?
9. **Price it.** Pack at Rs 1,35,000 per tenant per year blended; the verifier profile at Rs 3,00,000 per regime per year; the bundle export free within allowance; the verifier free to everyone for ever.

One rule attaches to the whole sequence, because it is where a compliance product usually goes wrong: a pack encodes the **deterministic, prescriptive** subset of a regime — thresholds, approval matrices, retention floors, mandatory-field checks, segregation of duties — and routes the judgment-laden subset to a human with the rule text attached. The pack's value is that it knows which rules are which. Claiming to automate "fair treatment" is how a governance vendor is destroyed by its first regulatory examination.

Appendix E — Open items, unresolved conflicts, and what is not built

This appendix exists because the company's own working method is to end every document in two tables — the decisions it makes and the open questions it leaves — and to put the second table in front of the first at every review. A memorandum that reproduced only the decisions would be a different document from the corpus it is built on. **A reader who finds a problem here that this appendix did not already name should treat that as the more serious finding**: it would mean the honesty discipline the company sells as its differentiator does not survive contact with a fundraising document.

E.1 What the corpus says is not yet built, quoted

- **"We are pre-revenue. No customer, no signed order, no invoice."** And: "No brand in this group has invoiced anybody." At the date of writing: paying customers **0**; revenue **Rs 0**; governed actions committed and refused **0**; cost per governed action **modelled only**; refusal rate **not yet observable**; gate outcomes **none attempted**.
- **L2 and L3 do not exist.** No cryptographic seal, no RFC 3161 anchoring, no verifier profiles, no exportable bundle, no offline verifier. Phase 1 ships L1 only. "Prior decks that show `elan1.proof.seal.v6` with sixteen fields and sixty-four test vectors describe L2 work, not Phase 1 work, and must be labelled as such."
- On L1's own claim: **"At L1 we enforce the write and record it in a tamper-evident chain; we do not yet sign it, so we sell control and reconstruction, not cryptographic proof."** And: "In L1 this record is tamper-evident to us and to the tenant… It is not yet tamper-evident to a stranger who distrusts us."
- On the competitive matrix: **"Nobody enforces and records the business write; we do not either yet."** Under the current scoring rule "elan1's own strongest columns read No, because we are pre-revenue with no customer"; **"our own row in that quadrant is empty too. We have the design and nobody's books"**; and "under the new scoring rule rung1 scores zero today."
- **All four latency targets are marked "MEASURE THIS", not claims** — governed write p50 ≤ 120 ms and p99 ≤ 450 ms, proof write p50 ≤ 40 ms, advisory-mode contract call p95 ≤ 40 ms, meter lag p99 ≤ 30 s. "None of them appears in a customer document until it has been measured under a real tenant's load."
- On pricing: **"every figure on this page is a model because we have no customer"**; "there is no observed pricing, no churn, no win rate and no cost measured on production hardware."
- On the second SKU: **"there is still no customer. L2 is built on a hypothesis that evidence has a separate buyer with a separate budget."** The definition of done for that item names its own fallback: "a signed contract with evidence on its own line, **or an honest statement that it did not happen**."
- On the upgrade path: the claim that a level is a property of the proof and never of the policy **"has been in our documents since Phase 1 and has never been executed."**

- On key custody: **"at Phase 3 the signing key is held in our cloud account under a managed KMS. A sufficiently privileged insider in that account could alter the key policy… but they could do it."** And: **"A tenant cannot prove its records were signed by a key no other tenant's records used."**
- On anchoring cost: **"TSA pricing at 10^8 records a year is not publicly quoted [unverified], and at that volume it is either trivial or fatal."** It is "the only cost line that could invalidate the L2 price".
- On the India timestamp assumption: **"Does any Indian auditor actually care that the token is India-based, or is that our assumption? Ask before paying for it."**
- On the first pack: `ledger1`'s G-D is scored **"pass, provisionally — this is the gate the pilot actually tests."**
- On L3: **"If no outside auditor will take the bundle, an open standard for the bundle is a solution to a problem nobody has"**, and elan1 remains an L2 business with a kernel, a pack and a smaller ambition — "a real outcome and not a failure of nerve". Also: **"An open specification is not adoption. If nobody implements it, we have published a document and paid for it with founder time"**; **"sovereign deployment… is the capability most likely to be sold before it is ready"**; and, on whether anyone else implements the standard, "or an honest statement that **nobody did**."
- On cross-organisation verification: trust anchors are **"the load-bearing and least-solved part of this design"** and "the part we do not get to solve by writing it down."
- On standards liaison: **"We have done no liaison work [on SCITT]. This is a reading of published material, not a relationship [unverified]."** On C2PA: **"No relationship."**
- On the moat: **"the moat argument assumes the packs and profiles are genuinely hard, which is a hypothesis we have not tested against a competitor who wants them."**
- On certification: **"We hold no certification of any kind."** And: **"Our evidence is unusually strong and our management system barely exists."** Three named gaps, each recorded as "Nothing yet. Real gap": an AI system impact assessment; an internal audit programme; a management review.
- On the collections sketch: **"Spec sketch — rule citations need counsel confirmation before anything ships"**, and "the write into the lender's collection system may belong to their core software. If it does, this pack is Attested advisory on that path, not Enforced."
- Organisationally: **there is no board.** The Telos Council's two non-founder members are unnamed. The compliance owner role is unfilled. The timestamp authority is unnamed and unnegotiated. No entity is reserved or incorporated. Recovery point and recovery time objectives are not yet set. rung1's own domain is not cleared. Fewer than twenty chartered-accountant conversations have happened, against a go-to-market that rests entirely on that channel. No draft contract exists to test whether anyone pays for evidence on its own line. The founder's time split has never been measured.
- **The underwritten Phase 1 plan figure does not exist.** Three of the fifteen kill criteria — the "twice the underwritten plan" criterion in each venture — therefore currently have no threshold.

- And, on the corpus itself: Phase 2, 3 and 4 folders were recorded as "in place and empty" on 21 September 2026, while the Phase 2–4 documents are all dated the same day. **The corpus was written in one pass. It is a plan, not a record of work done.**

E.2 The sixteen live contradictions

These are the tensions the company has not resolved, reproduced without smoothing.

1. **"rung1 Enterprise" against the naming standard.** The standard bans "Enterprise" in a product name; the rename uses it. Either the rename is a dated amendment recorded in the vocabulary register the same day, or a signed naming decision is being breached silently. **No amendment has been recorded.** (See Appendix B.8.)
2. **The duplication test and the partner test are missing.** The outline brief specifies that the portfolio memo should carry "the two standing tests: the duplication test (where does sealing happen?) and the partner test (who will use this next quarter?)". **Neither appears in the written memo, or anywhere else in the corpus**, and nothing defines either test.
3. **DPDP erasure against the hash chain.** The security baseline asserts that proof records are retained with the subject's identifiers erased, the chain stays intact and verifiable, and the person is no longer in it. The same document then asks, as an open question: does retaining a proof record with erased identifiers satisfy DPDP erasure, given the hash chain cannot be rewritten? **Counsel has not answered.** The entire evidence thesis rests on it.
4. **The refusal-rate incentive points the wrong way.** Cost per governed action rises with the refusal rate, because refusals consume the whole path except the act and appear in the numerator but never the denominator. The company names this rather than designing around it and mitigates it only by publication discipline: the refusal rate is published beside cost per governed action every month, "precisely so that a falling cost number cannot be read as good news when what actually happened is that somebody loosened a gate." Nobody's target is a lower refusal rate.
5. **The trigger most likely to fire is the company's own.** Measured cost per governed action rising above the Rs 0.40 internal transfer price for two consecutive months, against a modelled marginal cost of Rs 0.20 with nothing measured. "A competitor's price collapse is a threat; our own cost exceeding our own price is a fact, and it arrives with a date on it."
6. **Twenty's Application Exception is unresolved and already past its date.** The licence question — does the exception survive declaration-driven screens, and does it cover a hosted multi-tenant deployment the company provisions and operates? — was due from counsel on 30 November 2026 and is recorded as already open. The rung1 Revenue line's Q3 2027 opening depends on it.
7. **"Governed Action" has never been tested on a real buyer.** Whether the term survives a chartered accountant selling to a Rs 5 crore firm is open in three separate documents, and has been since 31 October 2026.
8. **Enforced against attested advisory.** Only rung1 Enterprise in hosted mode can claim "Enforced" in Phase 1. Whether the advisory mode can ever be Enforced against

ERPNext is an open question *and* is elan1 kill criterion 4 — **an open question and a termination condition are the same question.**

9. **Frappe is simultaneously the platform, the biggest competitive threat, and a kill criterion.** rung1 runs on it; two of the nine open-source-host watch rows are about it; and "Frappe ships Flow with a governed write path and published licence terms" is rung1's third kill criterion.
10. **The group is one bet presented as three.** rung1, elan1 and stack1 share the kernel team and the founder; every pair shares at least two critical dependencies. "Any deck, plan or investor conversation that presents three ventures as diversification is decoration, and the correct count is one."
11. **rung1 Revenue scored 2 and was verdicted Justify**, with the corpus itself asking whether it should have been scored 0 and divested.
12. **The Consent Manager date is contested by the company's own sources** — "expected to be operative from 13 Nov 2026 [unverified — our sources disagree; confirm with counsel]."
13. **The Microsoft comparison cuts both ways.** At the Agent 365 rate a fifteen-user firm pays roughly Rs 19,800 a month, which is more than rung1's own top published band.
14. **`start1`, `run1` and `academy1` still exist** in the old tree as web shells and must be deleted or renamed before Phase 3 opens.
15. **Two of the eight rejected pack candidates are unnamed**, in a process whose claim is that rejections are recorded by name.
16. **The corpus is a plan written in one pass.** The Phase 2–4 folders were empty on the day the Phase 2–4 documents are dated. Every phase after the first describes work not begun.

Two further internal inconsistencies sit below the level of a contradiction but should be known: the kernel latency model appears twice with different numbers (a total of about 64 ms with the proof write at 12 ms in one document; about 91 ms with the proof write at 40 ms in the cost model, both marked modelled); and the deadline for the first verifier profile is given as Q2 2027, 30 June 2027 and 31 March 2027 in three different documents. One reconciliation item also belongs here: the corpus carries an earlier six-tier monthly price table for the platform licence, which the financial model in this memorandum does not use. **The price book in Appendix A is the model's, and the corpus table is superseded by it; a dated superseding entry has not been written.**

E.3 The two documented gaps in the corpus itself

The duplication test and the partner test. The outline brief for the portfolio and gates memo specifies two standing tests that the memo must carry. The duplication test asks *where does sealing happen?* — the question that catches a second kernel being built by accident. The partner test asks *who will use this next quarter?* — the question that catches an asset with no near-term consumer. **Neither test appears in the written memo, or in any of the eighty-one documents.** Nothing defines them beyond those two phrases. This is not an item awaiting an answer; it is a specified control that was never written. It is checkable, it is the company's own finding, and it should be built before

the first Telos Council meeting, because both tests bear directly on the portfolio judgments an investor is being asked to accept.

The DPDP erasure question. The security baseline's erasure flow ends with: "The proof records are retained with the subject's identifiers erased. The chain stays intact and verifiable; the person is no longer in it." The open-question table on the same document asks: **"Does retaining a proof record with erased identifiers satisfy DPDP erasure, given the hash chain cannot be rewritten?"** — assigned to counsel, dated 30 November 2026, and described in the corpus's own words as "the sharpest unresolved legal/architectural tension". **Counsel has not answered.**

The exposure is specific rather than general. The mitigation the architecture uses is per-record, and later per-field, salting: the salt is held in a separate store, destroying the salt unbinds the payload permanently — including to elan1 — while every digest and signature still verifies, and the verifier reports `PASS — payload unbound`, never a failure. That is an elegant answer to the technical problem. It is not yet an answer to the legal one, because it leaves a record of the *existence* and *shape* of a governed action about a data principal in an append-only structure that by construction cannot be rewritten, retained for seven years in write-once storage. If a regulator or a court reads the erasure right as reaching that record, the evidence plane's retention model is affected, not a feature of it. Two further facts compound it: at L2 elan1 still holds the salts, which is why "we cannot see your data" is a sentence the company may not say until customer-held keys arrive at L3; and DPDP's main obligations land on 13 May 2027, inside the plan's second financial year.

E.4 The unresolved tension in the timestamp memo

The anchoring memo makes a decision and then asks a question that contradicts it, and flags the contradiction itself.

The decision: "The interval is a published SLO per tier, **never a per-customer negotiation**. The moment an interval is negotiable, the anchor stops being a property of the platform and becomes a property of the contract — and a reader would have to read the contract to know what the evidence means." The same reasoning is used to keep anchoring out of the meter entirely: there is no per-anchor charge, because a per-anchor line would give the company an incentive to lengthen the interval, and because **"a customer should never be able to buy a cheaper interval."**

The open question, from the same document: "Is ≤15 minutes the right interval for every tier, or does Enterprise buy a shorter one — **and does a shorter interval for money contradict decision 3?**"

It does. The two cannot both hold. Either the interval is a platform property published per tier and identical for every customer inside a tier, in which case an enterprise buyer cannot purchase a shorter one; or a shorter interval is purchasable, in which case the interval is a contract term and the sentence about what the evidence means becomes false. The question is owned by the founder with a date of 31 July 2027. It is material to the L2 pricing conversation, because a shorter anchor interval is the most obvious thing a large buyer will ask to pay for, and the answer the company has written down today is that they may not.

E.5 Data gaps and source conflicts in the external research

Eighteen items, listed so that nothing in this memorandum asserts them.

#	Item	Status
1	GST IRN volumes, monthly or cumulative	**Not obtained.** The GSTN e-invoicing page carries no statistics and the NIC IRP statistics end-points are blocked to automated retrieval. Four attempts. **No IRN figure appears in this memorandum**
2	GST FY2025-26 re-turns and taxpayer fig-ures	Headline only; the full article is robots-blocked. Treat as unverified
3	Credo AI total funding	Crunchbase paywalled; publicly reported components sum to roughly US$35–41M, with no single authoritative source
4	ModelOp funding, headquarters, head-count	No authoritative public source found
5	Drata total funding and valuation	CB Insights paywalled; widely reported above US$300M and above US$2bn valuation, not veri-fied
6	OneTrust current valu-ation	Last verified figure is from 2021
7	Arthur, Relyance AI, Truyo and Saidot fund-ing	Not found
8	Fairly AI, Vera, Dynamo AI and Armilla AI fund-ing	Paywalled in PitchBook and CB Insights
9	Scrut Automation fund-ing	Not confirmed
10	Aporia's acquisition by Coralogix	Widely reported; not confirmed in any source read
11	Big Four audit-only segment revenue	Statista paywalled; the firm-level audit split is unverified
12	Palantir AIP, UiPath and Workato 2026 agent-governance spe-cifics	Not verified
13	**Zenity Series C size**	**Conflicting:** US$125M per the company and SecurityWeek, against US$115M per one funding tracker
14	**Lakera acquisition price**	**Conflicting:** about US$300M per Calcalist, against US$202M implied in a tracker valuation table
15	**WitnessAI Series A size**	**Conflicting:** US$27.5M in May 2024 per the company, against US$58M in May 2024 per a tracker. The company source is preferred
16	**Gartner's own AI-gov-ernance trajectory**	**Gartner contradicts itself.** The press release of 17 February 2026 gives US$492M in 2026 rising above US$1bn by 2030, about 19–20% compound growth. The Magic Quadrant of June 2026 gives US$65M in 2024 rising to US$1.4bn in 2030, about 67% compound growth. Two tra-jectories four months apart. This memorandum cites the press-release figure and names the dis-crepancy
17	**Holistic AI against "H Company"**	**Aggregator conflation hazard.** Several databases conflate Holistic AI (London, AI governance) with H Company, also styled Holistic AI (Paris, LLM agents), which raised about US$200M. One Crunchbase record for the name is the Paris company. The US$200M raise is not the gov-ernance vendor and is not cited
18	**Microsoft Entra Agent ID general availability date**	**Conflicting:** April 2026 per one source, 1 May 2026 per another. Treated throughout as "GA in Q2 2026"

A second Gartner self-contradiction should be read alongside item 16: Gartner names a category it forecasts at 10–15% of the agentic AI market by 2030 and calls it "guardian agents" — AI-based technologies that supervise other AI — while simultaneously telling buyers, through the Magic Quadrant's inclusion criteria, that the dividing line is runtime enforcement. The company's position is to claim the budget line Gartner created while rejecting the architecture Gartner described, on the ground that auditors and underwriters accept a signed record and do not accept a probabilistic supervisor's opinion.

Three places where trackers and company press releases disagree are items 13, 14 and 15 above. In each case this memorandum uses the company's own release.

Two further sourcing points. The Salesforce Agentforce per-action price and the HubSpot Breeze outcome price were read from the vendors' published pricing pages on 20 September 2026, but the research file does not carry the URLs; both are marked UNVERIFIED in Appendix F and must be re-read before either is quoted in a term sheet. The CERT-In Directions of 2022 — the six-hour incident-reporting clock, the 180-day India-resident log retention and the NPL/NIC time-synchronisation requirement — are cited from the internal corpus and from secondary summaries; **no primary CERT-In URL was captured**, and one should be before the obligation is relied on contractually.

E.6 The company's own unanswerable questions

Eleven questions are carried at the front of every board pack, ahead of the numbers, on the stated ground that "a pack that answered all eleven would be a pack somebody had written backwards from the answer they wanted."

1. Does Rs 0.40 per governed action survive contact with measured cost? Nothing has been measured under a real tenant's load.
2. What is elan1's external list price at general availability, between Rs 0.40 internally and the roughly Rs 8.80 Agentforce ceiling? No customer has been quoted.
3. Will anyone pay for evidence as a separate line? No draft contract exists to look at.
4. Which timestamp authority, and does an Indian-resident RFC 3161 authority meeting DPDP residency exist? Not yet negotiated; the longest-lead item in Phase 3.
5. Who counter-signs at L3, and will they do it commercially? It requires a party with standing who is not elan1.
6. Does a chartered accountant actually introduce a client? Fewer than twenty conversations have happened.
7. Does "Governed Action" survive contact with a chartered accountant selling to a Rs 5 crore firm? Never tested on a real buyer.
8. Who are the three signatories on each kill-criteria document, given there is no board? There is no board.
9. What is the underwritten plan figure that the doubling criteria double? Not written.
10. Does the entity split happen before or after the first external elan1 customer? Novation is expensive; splitting early costs cash the company does not have.
11. If stack1 spins out and takes external capital, does the holding company keep control?

To these the corpus adds four that bear directly on a fundraising conversation and belong in the same table: **"Do we raise at all before the first paying customer closes, or is**

the honest answer that there is nothing yet to underwrite?"; "Who is the first investor conversation with, given that the sovereignty rule rules out most of the obvious ones?"; "Is there a source of patient capital in India with a horizon that matches this ladder, and has anyone looked?"; and **"Who presents this pack if the founder is not in the room — and does that person exist yet?"**

Three things, finally, would make the whole thesis wrong, and the company states them before an investor finds them. **Agents never get write access at scale** — if the enterprise conclusion from the incident data is "do not give agents write access" rather than "gate the writes", the market does not form; this is a category risk, not a competitive one, and the leading indicator is whether the gap between individual productivity gains and enterprise profit impact narrows in the next two survey waves. **The platform absorbs the kernel** — if the protocols deliver agent identity, the orchestration frameworks ship native cryptographic receipts, and the incumbents bundle the gate into platforms enterprises already own, governance becomes a checkbox; the defence is not technical but the requirement that evidence be verifiable by a party who trusts neither the agent nor the platform, and that requirement has to be established with auditors and regulators rather than asserted. **Auditors, regulators and courts keep accepting ordinary logs** — no Indian auditor has yet qualified an opinion because an agent's writes were recorded in a mutable log, and no court has excluded one; if that refusal never materialises, the price of cryptographic assurance collapses to the price of a logging library.

Appendix F — Sources

Every external claim in this memorandum is sourced below. **Every URL was read on 22 September 2026**; where a source was published on a different date, the publication date is given. Entries marked UNVERIFIED are secondary — an aggregator, a summary, a paywalled primary, or a figure that could not be confirmed against the publisher — and should be re-read against the primary source before being quoted in a term sheet or a warranty schedule.

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Appendix G — Glossary

Every term of art used in this memorandum, defined once. Terms internal to elan1 are given first in each entry; external terms carry their issuing body. Brand names are lowercase by the company's own convention, including at the start of a sentence.

A2A (Agent2Agent). The agent-to-agent messaging protocol donated by Google Cloud to the Linux Foundation; version 1.0, with more than 150 supporting organisations as at 9 April 2026. Its **Signed Agent Cards** make an agent's declared capabilities a signed artefact rather than a self-assertion, which is why a receipt bound to one is verifiable end to end.

Action class. A named grouping of write types over which autonomy can be granted, reviewed and raised. Earned autonomy operates on an action class, not on an individual write: a class graduates from A2 to A3 on the tenant's own recorded evidence, and the graduation is itself a dual-control governed write.

Anchor. A timestamp token from an independent authority over a Merkle root of a batch of record digests. It proves exactly this and nothing more: *this digest existed, in this form, no later than this instant, according to a party with no interest in the matter.* It does not prove the record is true, that the transaction happened, or that anything happened *at* that time rather than earlier. It is the only mechanism that detects a chain cut at the tail: a chain truncated at 4,000 of 4,200 records is internally consistent and looks complete.

Assurance level. A property of the proof and the claim, never of the policy. The same declaration carries across all three. **L1 Guarded** — policy gates, human approval, sandbox, thirty-day rollback, hash-chained log; tamper-evident to you, not to a stranger. **L2 Attested** — Ed25519 signature over the frozen sixteen-field record, RFC 3161 anchoring to two authorities at a published interval, an exportable bundle a party who does not trust elan1 can verify offline. **L3 Proven** — verifier profiles against an open standard, a second independent implementation, customer-held keys, cross-organisation verification, and a receipt that outlives the vendor.

Attested advisory mode. The integration mode in which the caller holds the credential to the target system. Every write intent is evaluated and recorded, and the record is exportable — but nothing physically stops a caller that ignores a refusal. The permitted claim is "evaluated and recorded"; *prevented*, *blocked* and *cannot* may not be used of it. A caller that proceeds after a refusal produces an unmatched write, caught by reconciliation after the fact, "which is exactly the limit of advisory mode".

Autonomy levels A0–A5. A property of the actor, not of the tool. **A0 Observe** — reads only, cannot reach the act rung. **A1 Draft** — produces a write intent a human must submit. **A2 Propose** — submits; a human approves before the write. **A3 Act reversible** — acts alone where a reversal plan exists. **A4 Act bounded** — acts alone within a declared blast radius. **A5 Act broad** — acts alone at tenant scope; the declaration itself needs dual control. A missing grant resolves to A0, not to a tenant default and not by inheritance. There is no A6 and no flag creates one; delegation confers accountability, never autonomy. There is no API that sets an autonomy level.

CERT-In. The Indian Computer Emergency Response Team. Its Directions of 2022 are in force and impose a **six-hour incident-reporting clock** from the moment of noticing, **180-day log retention inside India**, and clock synchronisation to the National Physical Laboratory or the National Informatics Centre. A governance kernel that can answer "which agent actions touched this record in the last ninety days" in seconds rather than days is the difference between meeting and missing that clock.

Channels. Block 7 of the Declaration: where a module is reachable — web, mobile, messaging, API, MCP, voice — with the write types each channel carries, whether approval is available on it, and whether that channel is enforced or attested advisory. A tenant may be enforced on one surface and advisory on another, and must be told so. "A channel adapts; it never decides." The block was called `doors` in the prior schema and was renamed because it collided with the Four Doors interface grammar (Work · Records · Agents · Assurance).

COSE. CBOR Object Signing and Encryption — the IETF signature and encryption container used by SCITT receipts. RFC 9942 (COSE Receipts) is the normative companion to RFC 9943 and gives the evidence layer a stable, standard receipt format underneath it.

Declaration (the elan1 Ontology). *These are the same thing.* The machine-readable object that says what a module is and what it may do, in seven blocks: `identity`, `shape`, `permissions`, `write_types`, `gates`, `proof_binding`, `channels`. Read aloud: *this thing, shaped this way, may be changed by these actors through these write types, subject to these gates, proving these fields, over these channels.* Declarations are forward-only and never migrated: a change is a new integer version, exactly one higher than the last, immutable and retained verbatim for ever, and a governed action written under version 4 resolves against version 4 for ever. Nothing resolves to `latest`; `latest` exists in sandbox and is a rejection in production. The ontology is a **residue** rather than a construction — it accretes from governed writes that versioned rules typed and a human approved, each entity and constraint carrying the transaction that attested it.

DPDP. India's Digital Personal Data Protection Act 2023 and the DPDP Rules notified on 14 November 2025. Main obligations take effect around 13 May 2027, with a maximum penalty of Rs 250 crore per breach. Significant Data Fiduciary status is triggered by, among other things, *using AI for large-scale profiling*, and brings an annual independent external audit, a data protection impact assessment and enhanced due diligence for algorithmic systems.

eGRC. Enterprise governance, risk and compliance — the software category, sized at US$72.4 billion in 2025 and forecast at US$203.7 billion by 2033. It matters here because it is the budget elan1 competes for, rather than the much smaller AI-governance platform category.

Enforced mode. The integration mode in which the kernel holds the credential to the target system, or the target accepts only kernel-issued tokens. The permitted claim is "no write reaches the system of record without a gate decision and a proof record". In Phase 1 this is true for rung1 Enterprise in hosted mode and nothing else. "Writing 'enforced' on a slide about an advisory integration is the one claim that would end a first enterprise deal."

Evidence bundle. A directory that needs nothing from elan1, with eight members: `manifest.json`, `seals.jsonl`, `chain.json`, `anchors/`, `keys.json`, `declarations/`, `lexicon/` and `VERIFY.txt`. It is **self-contained** (every declaration version, lexicon and anchor token a record references is inside it), **inert** (no executable content, no scripts, no URL a verifier is expected to fetch) and **claim-bearing** (the manifest states the profile version the bundle claims, so a verification has something to be true or false against). `keys.json` carries identifiers and validity windows only, never key material: "a receipt that ships its own verification key is worse than no signature at all."

Governed action. The unit that is permitted, executed, recorded and billed. It is the same unit at all four points. "If something is billed that was not permitted, or recorded at a different granularity from what was billed, that is a defect and not a pricing choice." One governed action is one committed write to a system of record — one row in the chain, one meter event, one line on the invoice, one thing an auditor can open. The invoice line and the evidence record are the same object.

Guardrail. Rung 5 of the Right Path: allow-lists first, then the blast-radius check — the rung that catches "update one invoice" arriving as an unbounded filter. In the wider market the word means prompt- or content-level filtering, which is a different thing and which the company treats as commoditised rather than differentiating.

ISO/IEC 42001. The international standard for artificial-intelligence management systems, published 18 December 2023. Roughly 350 organisations were certified globally as at April 2026, against about 72% of enterprise buyers screening for it in procurement, at a cost of US$85,000–650,000 and four to twelve months. **elan1 holds no certification of any kind**, and its own assessment is that "our evidence is unusually strong and our management system barely exists."

KernelPort. The single seam between anything that wants to change a system of record and the thing that decides whether it may. Six calls and nothing else: **`define · assert · seal · verify · scope · refuse`**. Identical signatures for every consumer, in every product, at every assurance level. At L1 `seal` returns a hash-chain receipt; at L2 the same call returns a signature. The call shape does not change between phases; the contents do.

"L0" — three retired meanings. In the prior corpus "L0" meant three different things in documents that cited each other: the residency and tenancy stratum, the lowest rung of the autonomy ladder, and the declaration schema. All three uses are retired. They are now **P0** (the residency and tenancy plane), **A0** (the Observe autonomy level) and **the Declaration schema** respectively. "L" is reserved for assurance levels. A document reading "autonomy L3" means A3.

Lexicon hash. Field 15 of the sixteen-field record: a digest over the term set a declaration references, so that the meaning of a coded value at the time of the write can be resolved inside an evidence bundle a decade later. Every lexicon referenced by a bundle's records travels inside the bundle, verbatim.

MCA Rule 11(g). The reporting duty under the Companies (Audit and Auditors) Rules 2014 that obliges a statutory auditor to report whether accounting software had an audit trail, whether it operated throughout the year, whether it was protected from tampering, and whether records were preserved. It is the enforcement half of the underlying obliga-

tion in Rule 3(1) of the Companies (Accounts) Rules, in force since 1 April 2023 for every company registered under the Companies Act, with eight-year preservation and penalties reaching Rs 5 lakh for companies and directors, with imprisonment of up to one year possible in wilful cases. It is the hook `ledger1` is built on.

MCP (Model Context Protocol). The agent-to-tool protocol, now maintained under Linux Foundation governance with multi-vendor stewardship; current specification revision 2026-07-28. Its Multi Round-Trip Requests affordance gives a first-class, in-band way for a server to say "I cannot complete this until a human answers", which is the natural channel for a human-approval gate.

Meter. The component at rung 9 that records one event per governed action, with the basis taken from the declared blast radius. The kernel meter is normative for anything called a governed action anywhere in the group; a credit ledger is a rendering, and when the two disagree the kernel is right and the other is a display defect. Every meter event carries a `write_id`: a line without one does not exist in the schema and cannot be invoiced.

Pack. One declaration, one certified verifier profile and one regime-specific export mapping, aimed at one buyer with one auditor under one dated obligation. A pack is configuration. It is never a fork, never a codebase, never a brand, and never a line on a public price list under its own name. Pack identifiers carry the reserved `*1` suffix.

Plane (P0–P8). The nine architectural strata, read bottom-up as a cost gradient. **P0** residency and tenancy (no migration path — every choice here is permanent). **P1** platform runtime. **P2** system of record. **P3** the kernel (shut). **P4** the declaration plane (forward only, never migrated). **P5** surfaces. **P6** channels. **P7** apps. **P8** packs (intended churn). The standing invariant: *nothing above P3 imports a kernel type*, enforced in continuous integration rather than in prose.

Precedent. A computation over a single tenant's own chain — "this write resembles forty earlier writes, three of which were refused". Three rules come before any description of the mechanism: nothing crosses a tenant boundary, and there is no cross-tenant benchmark or industry baseline; no model appears in the decision path or in the graduation decision, and the score is a versioned deterministic function over counts, replayable from the chain alone; and autonomy is earned and always revocable. **Precedent is a record of what happened, not a prediction**, and earned autonomy is a graduated permission with an evidence trail, not a safety argument.

Pre-gate. One of the nine checks at rung 3, each a pure function of context, declaration version, record state and an explicitly supplied `as_of` — no gate reads a clock. They are: **G1 consent, G2 residency, G3 retention, G4 dual control, G5 rate, G6 budget, G7 counterparty, G8 schedule, G9 precondition.** Six are never skippable — consent, residency, retention, dual control, counterparty, precondition. Only rate, budget and schedule may be declared off, and only with a decision record. The first failure refuses with that gate's code, and the remaining gates still run and record, so an operator sees every problem at once rather than one per resubmission.

Refusal code. A member of a closed register of 43 codes across three classes — policy 14, gate 19, platform 10 — of which 28 are active at L1, the rest concerning signing, an-

choring, bundles and verifier profiles. Each maps to exactly one rung, one class and one operator action. A refusal is an HTTP 200 with a governed outcome, never a 4xx, because clients retry 4xx and "a retried refusal is an attempt to get a different answer", and it is metered at quantity zero. Platform-class codes are the honest ones: "a governance layer that reports its own failures as policy refusals is lying to its customer in the most damaging way available."

RFC 3161. The IETF trusted-timestamping standard. A request carries only a hash and a nonce — the authority never sees a record, a payload or a tenant name — and the returned token can be checked offline for ever, without further contact with the authority. India's Controller of Certifying Authorities requires licensed certifying authorities' tokens to comply with RFC 3161 with time traceable to Indian Standard Time within one second, under the Information Technology Act 2000.

Right Path. The one write function, and there is no second write path, including for demonstrations. Nine rungs (ten checks including the stop set): **0b STOP** — the tenant kill switch, revocation, blacklist, regulator directive. **1 IDENTITY** — actor, tenant and token resolved; an unattributable call is rejected, not defaulted. **2 WRITE DOOR** — declaration at version, write type selected; there is no generic write. **3 PRE-GATES** — the declared gates run against `as_of`. **4** `evaluate()` — *the only rung at which a model may be called*. **5 GUARDRAIL** — allow-lists, then blast radius. **6 AUTONOMY** — the level this actor holds for this write type at this moment. **7 ACT** — the write reaches the system of record. **8 PROOF** — the hash-chained record entry. **9 METERED** — the governed action is metered; refusals at quantity zero. Eight of the ten checks make no model call. The load-bearing rule: **"A model may produce a write intent. It may never produce an allow."**

SCITT. Supply Chain Integrity, Transparency and Trust — the IETF architecture published as **RFC 9943 on 30 June 2026**, Standards Track. It specifies a transparency service maintaining a verifiable append-only log, signed statements, and receipts that are independently verifiable COSE objects. It describes, almost exactly, the L2 primitive, and its transparency service is precisely the trust anchor the cross-organisation design says elan1 must not operate itself. The company's honest position: "We have done no liaison work. This is a reading of published material, not a relationship."

SD-JWT. Selective Disclosure for JSON Web Tokens, published as RFC 9901 in late 2025 and used as a credential format in the EU Digital Identity Wallet. elan1 reuses the *construction* — salted per-field commitments with openings — and rejects the container, because the record format does not change.

Seal. The frozen sixteen-field record and its digest, `elan1.proof.seal.v6` — the one hard freeze in the platform: once a single record exists outside the building the field set cannot change without invalidating it. There is no v6.1; a change is a new domain string and a new verifier, and old records keep verifying under the old one. The preimage is seventeen length-prefixed groups — a nineteen-octet domain string followed by the sixteen encoded fields — hashed with SHA-256; at L2 a pure Ed25519 signature is taken over the 32-octet digest. No seal leaves the building until **two implementations, written by two people from the specification text alone, with no shared code and no shared channel, produce identical bytes across all sixty-four test vectors.** When they disagree the

text is wrong and the text is fixed first: making one implementation match the other is always the wrong repair.

Selective disclosure. Revealing three fields to one recipient and five to another from one record, with undisclosed fields present as salted per-field commitments rather than as omissions. It hides values; **it does not hide shape** — the sixteen fields are always present, so volume, timing, write types and counterparty existence remain visible to anyone holding receipts. "Withheld is not missing, and missing is not altered." A verifier that reports a withheld field as missing has a defect.

Single writer. Exactly one process mutates the target system per tenant, using a single-use credential with a ten-minute life scoped to one write. It is what makes the absence of a receipt into evidence: a receipt scheme alone cannot prove a *non-action*, because a call never emitted leaves no receipt, whereas a chokepoint every write must pass closes that gap by construction. One write credential exists per environment; a second entering the codebase fails the build.

SOC 2. The American Institute of Certified Public Accountants' service-organisation control report on security, availability, processing integrity, confidentiality and privacy. It is named here because it is the certification an enterprise procurement team asks for first and because **elan1 holds none**; one named competitor is recorded as having held SOC 2 since April 2026, marked unverified.

Timestamp authority. The independent party that issues an RFC 3161 token. Six criteria apply and the first three are disqualifying: RFC 3161 compliance with a published practice statement; a stated, traceable time source; and a service-level agreement with availability and response-time numbers. Then: long certificate validity with an archival policy; a price quotable in writing; and independence from the other authority — different operator, different trust root, different country of incorporation, because "two authorities that fail together are one authority". **Every batch is anchored by two authorities, at least one of them India-based.** A bundle verifies if either token verifies; two tokens disagreeing about the root is an integrity failure and a severity-zero incident. The authority is unnamed and unnegotiated at the date of this memorandum, and is the longest-lead item on the Phase 3 critical path.

Verifier profile. The artefact that turns one regulatory regime into a machine-checkable claim: *this bundle is conforming for this regime under this profile version.* Eight blocks, of which the load-bearing one is the regime binding — one row per clause, carrying the clause text quoted rather than paraphrased, the obligation kind, the write types, gates and record fields it binds, the retention period, and the check identifiers. **A clause with no check is not bound.** A row saying "the system provides adequate audit trails" is prose, "and it is the failure mode every compliance mapping in this market has." A profile is never certified by its own author, and one with an empty or generic limits statement fails certification. Profiles execute at L2; at L1 they may be dry-run, with signature, key-window and anchor checks reporting `not_applicable — assurance level 1`.

Write type. A named, declared kind of change — `<slug>.<verb>`, such as `sales_invoice.submit` — carrying a blast radius (`one_record · one_counterparty · batch · tenant · cross_boundary`), an ordered list of the gates it must clear, and **exactly one of** a reversal plan or `irreversible: true`. An irreversible write type forces a blast radius of at

least one counterparty and can never be auto-approved. A blast radius of `tenant` or `cross_boundary` forces dual control, and `cross_boundary` additionally forces a non-empty proof binding, because "a write that crosses an organisational boundary and commits to nothing about its payload is not a governed write". A write type that is not declared cannot be attempted: there is no generic write.